Ceat Ltd. (CEATLTD)

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"CEAT Limited
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MODERATOR : MR. RONAK MEHTA – JM FINANCIAL INSTITUTIONAL SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to the CEAT Limited Q4 FY '23 Earnings Conference Call hosted by JM Financial Institutional Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for yo u to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference has been recorded. I now hand the confere nce over to Mr. Ronak Mehta from JM Financial Institutional Securities. Thank you, and over to you, Mr. Ronak.

Ronak Mehta : Yes. Hello, everyone. Very good evening to all. I hope you all and your families are keeping safe and feeling well. I would like to thank the management of CEAT for giving us this opportunity to host this call. Today, we have with us Mr. Anant Goenka, Vice Chairman; Mr. Arnab Banerjee , MD and CEO; and Mr. Kumar Subbiah , CFO. With this, I would like to hand over the call to Mr. Anant Go enka for his opening remarks. Over to you, sir.

Anant Goenka: Yes. Thank you. Good afternoon, everyone, and a warm welcome to CEAT Q4 FY '23 Earnings Call. I'm Anant Goenka, and joining on this call, we have Arnab Banerjee , MD and CEO; and Kumar Subbiah , CFO in this call with us. As you are all aware, there's been a change in CEAT management effective April 1, wherein Arnab has taken over as MD and CEO of CEAT, while I remain associated in the capacity of Vice Chairman of CEAT. It's my pleasure to introduce Arnab to this forum. Arnab has been associated with CEAT in multiple roles since 2005 and lastly, as the Chief Operating Officer.

Over the last 10 years, he has been the co -architect in CEAT 's transformation journey , in establishing multiple growth engin es at CEAT , reimagining the distribution network, our brand positioning and recall, strengthening the product portfolio, setting up manufacturing capacities, etcetera. I'm sure under his able leadership, we will see these engines working at their full potential, making CEAT a much stronger and highly efficient organization. I thank all of you for the support that you have extended to me over all these years and we look forward to your continued support at CEAT.

I'll now hand over the call to Arnab for his comments.

Arnab Banerjee: Thank you very much, Anant, and good afternoon, everyone. It's my pleasure to interact with all of you on this platform. I will be taking you through the business updates for the quarter. And thereafter, we'll hand over the ca ll to Kumar for his remarks on financial performance. Post that, we shall open the floor for question and answers.

So let me start with volume performance. Q4 was a strong quarter for us in terms of overall performance. We saw a healthy quarter -on-quarter growth in volume across markets. Growth in replacement volumes was 5%. OEM volumes grew by 8% and export volumes recovered by an encouraging 15% over Q3 FY '23. Overall volume grew by 7% over Q3.

On the replacement side, commercial category has done good. Truck bus, particularly truck bus radial, saw double -digit growth over last quarter. Healthy demand momentum in farm tyres

continued into quarter 4 as well. Demand uptick in passenger segments was relatively moderate. On the OEM side, commercial tyre, spe cialty farm and specialty showed higher growth quarter -on-quarter, followed by 2 -wheeler.

Exports saw fairly broad -based volume recovery, though the volumes are still far from the levels we have seen a few quarters ago. On a year -on-year basis, quarter 4 v olumes were up healthy 6% despite the high base.

If you look at the whole year, then we witnessed 11% volume growth over FY '22. OEM segment grew exceptionally well, coming from a low base. We've seen strong traction w in bo

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commercial and passenger segment. On the replacement side, we made good progress in passenger side in line with our medium -term vision of market leadership in the category. Growth in other categories was relatively moderate. Exports were impacted by multiple macro challenges like the war in Ukraine, currency depreciation, dollar availability in some markets and impending recession in developed markets like EU.

Now coming to demand outlook. Current domestic demand looks stable. We are keeping our fingers crossed on the sustained demand uptick going to quarter 1. There has been a sustained trust in government led infrastructure spend on the back of strong tax collections, coupled with increased visibility of private sector investments which have good demand boosters. On the other hand, inflation led stress across markets, especially rural markets, along with erratic weather patterns may have the ability to deflate demand.

2-wheelers, we expect to move in line with rural recovery. Truck and bus segment should see growth in line with growth in economy and infrastructure push, which is continuing. On the passenger side, we are hopeful of carrying our momentum into next year.

OEM volume growth should remain strong, especially in commercial and passenger s egment . 2-wheeler segment maybe bit lower in OEM going forward. Growth, however, will moderate over high base of FY '23 is what we feel.

Exports may put up a stronger show and will be a key contributor for next year's growth. There has been an improvement in dollar availability in developing economies, recessionary sentiments prevailing in Europe and North America is also a reality. But for a quality value player like CEAT, it may provide an opportunity. As channel destocking gets over normal, export volu mes should come. We are happy to inform that our newly launched truck bus radial tyres in Europe are seeing good traction. We are targeting to launch our passenger and truck bus radial tyres in U.S. markets as well by the end of FY '24. On the off high way side, we have continued to expand our channel and product basket. So all these initiatives, along with overall stability, will hopefully get our exports back on growth trajectory from the later part of FY '24.

Going on to margins. Our raw material basket costs reduced by approximately 8% to 9% over Q3. As a result, our EBITDA margin expanded by 422 basis points over Q3 to reach 12.9% on a stand -alone basis.

We were largely able to hold down our prices in the market, and hence, it's helped in the recovery of margins. On the b asis of current purchases and pipeline, we expect raw material basket to move in a narrow band in Q1, maybe inching up slightly by quarter end. As always, we are watching the raw material price movement closely, and we'll take corrective actions if there's a sustained run -up in any of the base materials. China demand will be the key variable, especially for natural r ubber .

Coming to capex . We incurred growth capex of around INR700 crores during FY '23, and we have managed to keep the spen d within these limits. We have sufficient capacities at this moment to take care of near -term growth in most of our product segments. Hence, we are reducing capex requirement for FY '24 . We expect growth capex to be around INR500 crores to INR550 crores for FY '24, which is largely towards Ambernath agri radial expansion and downstream assets in Chennai and Nagpur

Coming to marketing. CEAT was proud to get associated with the first edition of Women's Premier League as strategic time out partner. We also laun ched an advertising campaign for CEAT scooter tyres around the same event, featuring our brand ambassador Harman preet Kaur.

We remain associated with IPL as strategic timeout partner in the current edition as well and have launched a new campaign on SUV ty res during this event. We have t

aken a lead in
developing new digital channels, be it our website presence in marketplaces. As a result, D2C sales contributed roughly 6% of our replacement sales in FY '23 in passenger's category with peak levels of 8% to 9 % during the year.
Electrification is a big trend, especially in 2 -wheeler tyres. In 2 -wheeler OEMs, we continue to hold close to 50% share of business. We have significantly expanded our presence in electric vehicles in passenger segment as well, 4 premiu m electric vehicle models such as XUV400 by Mahindra, Citroen EV, MG ZS EV and MG Comet were launched with CEAT tyres (note: please read the statement corrected as - CEAT tyres got approved for 4 premium electric vehicle models such as XUV400 by Mahindra, Citroen E -C3, MG ZS EV and MG Comet), and we are waiting for more nomination s. We are also the first tyre company in India to get OEM approval for EV specific range of tyres for commercial vehic les.
A few awards and recognitions. We are proud to receive 3 important recognitions from our OEM partners for FY '23 performance. We got the award for overall performance from Maruti Suzuki, Annual Supplier Excellence Award from Mahindra, Best Performance Award from Renault Nissan. CEAT Chennai and Ambarnath plants have received 5 -star in occupational, health and safety audit by the British Safety Council. CEAT also featured amongst the top 25 in India's best workplaces in manufacturing by great places to work for 2023.
On sustainability, we continue our progress towards our sustainability vision for 2030. We achieved approximately 10% kind of reduction in overall carbon emissions per metric ton of production in FY '23 over FY '22. Currently, 33% of our pla nt power requirements are through renewable sources, vis -a-vis 26% in the previous year. We plan to increase this contribution further to 37% by the end of current fiscal. 12 additional products have received BEE 5 -star rating for energy efficiency during quarter 4. As of now, 37 of our products are 5 -star rated.

During the year, we also achieved 17% reduction in water consumption per metric ton, which is on top of a 29% reduction achieved in FY '22. About 24% of our natural rubber requirement was transport ed through alternate methods with lower carbon footprint.
So margins are inching back to normalcy after a long and difficult phase on the back of inflated commodity prices. There has been a sustained reversal in RM cost over the last few months, which giv es us confidence on the margins remaining in a comfortable range in the near term.
We have made remarkable progress on multiple fronts with product premiumization, stabilizing new capacities, Industry 4.0 practices, process improvements amongst others. As RM stability prevails, we will be able to demonstrate the effects of these initiatives in coming quarters in terms of margins as well as our return ratio. Our focus continues to be on improving the product profile in line with customer expectations, deepen ing impact in focused markets and bringing out efficiencies in operations on a sustainable basis aimed at making us resilient and stronger.
Now I would like to hand over the call to Kumar for his remarks.
Kumar Subbiah: Thank you, Arnab. Good afternoon, ladies and gentlemen, and thank you for joining our quarter 4 earnings call. I'll share some financial data points with you all, post which we can enter Q&A session.
First on revenue. Our consolidated revenue for the quarter stood at INR 2,875 c rores, a quarter -on-quarter growth of about 5.4% driven by volumes and year -on-year growth of about 10.9%, which has both price growth as well as volume growth. FY '23 was the third successive year of healthy double -digit growth revenue growth this year. D uring the year, we crossed an important milestone of INR10,000 crores and ended the year with a consolidated net revenue of INR11,

315
crores, growing by about 20. 8% in FY ‘23 over FY '22. We are happy to share with you that we have scaled up our revenue by 1.7 times pre -COVID levels that is helping us to utilize the additional capacities that we have added in the last 3 years.
Coming to gross margins, raw material scenario remained supportive during the quarter, yielding about 8% to 9% reduction in RM baske t cost versus quarter 3. As a result of lower raw material prices and maintaining of our final product prices, we have reached our desirable gross margin range of about 40%. RM prices have been operating in a brand since the last couple of months. There has been some increase in the domestic natural rubber prices and some of the petrochemical derivatives that may have some impact on the RM prices towards the later part of quarter 1.
Having said that, the global macro remain volatile with multiple variables at play, expectations

of a global economic s low down is keeping a check on inflation for now. But geopolitical situation can take unexpected turns, creating short -term su pply challenges and price spurts like was seen in case of crude recently. We are not s eeing any clear direction in China on demand. So we will continue to keep a close watch and RM situation and see how it evolves over the next few months and quarters.

Now coming to our capex . We spent about INR210 crores of total capex during the quarter. That includes about INR128 crores of project capex . Our capex for the year , overall capex for the

year was about INR890 crores, largely in line with our broad guidance of about INR900 crores for the quarter. In FY '24, we would like to keep our total capex in the range of about INR700 crores to INR750 crores, out of which our project and growth capex is expected to be in the range of INR500 crores to INR550 crores. For the sake of c larity, our regular capex consists of moulds, plant maintenance, R&D, IT, digital and efficiency improvement projects.

Coming to debt. We are happy to share with you that we were able to reduce our inventory by additional INR100 crores during quarter 4. Ou r payables also increased in line with our purchases during the quarter, and hence, our net working capital reduced sharply by about INR221 crores in quarter 4 versus quarter 3 , and overall, on a full year basis, about INR170 crores, largely driven by lowe r inventories, higher payables and efficiencies in receivables. Our quality of working capital has steadily improved in the last few years . Consistent improvement in our cash flow processes covering all elements of working capital, normal capex , project capex and operating costs has got efficiency in overall cash flow management that contributed in managing our debt and leverage ratios as well.

Our consolidated debt as of 31st March 2023 stood at INR 2093 crores, a reduction of about INR252 crores in quarte r 3. Our year -end debt of INR2,093 crores is marginally lower than the debt level of INR2,097 crores as of end of previous year. This, in one way, means that we have managed all our capital expenditure of about close to INR900 crores in the year only from our internal a ccruals . We are glad to inform you that we ended the year with a healthy debt -to-EBITDA level of 2.1 and debt equity of 0.6.

Now coming to expenses. Our employee costs increased by 17% quarter -on-quarter due to higher level of activities in o ur factories and our provisions towards leaving catchment are raging out of some settlements signed with our employees in two of our factories and some provisions relating to performance -related incentives. Our marketing spend also increased during the quarter on new campaigns, participation in WPL and initial bits of IPL. This advertisement spend is likely to increase in quarter 1 as we have a larger presence around the IP L during the year.

Coming to depreciation and inter

est costs. Depreciation for the qu arter increased versus quarter 3 due to capitalization of assets arising out of commissioning of our assets in our new factories. We expect our quarter 4 levels of depreciation to be there in the next 1 to 2 quarters. Our interest expenses remained similar to quarter 3 level. Effective interest rate increased by about 10 basis points in quarter 4 versus quarter 3. We expect interest rates to increase progressively anywhere in the range of 30 to 50 basis points in the FY '24.

Coming to EBITDA, our consolidat ed EBITDA stood at INR875 crores, highest absolute EBITDA that we have achieved during the quarter with a margin of about 13.1%, an expansion of about 458 basis points over the previous quarter. Our consolidated profit for the quarter stood at about INR132.42 crores, which compares favorably with previous quarter as well as previous year.

And we'd like to share with you that Board in the meeting yesterday approved a final dividend of about 120% for the year, and the same wo uld be paid to shareholders on ob taining approval from our shareholders. And we also like to inform you that we are awarded best risk management

company in auto -ancillary sector by CNBC 18 and ICICI Lombard recently. It is an affirmation of our robust risk management process. This is the second time that we have been awarded this award in the last 4 years. Thank you.

We can now open the floor for Q&A.

Moderator: Thank you very much. The first question is from the line of Ashutosh Tiwari from Equirus Securities.

Ashutosh Tiwari: Firstly, on the volume side, in fourth quarter, you mentioned it's a 6% growth Y -o-Y.
Arnab Banerjee : Yes.
Ashutosh Tiwari: Can you provide the breakup of the same, like between OEM replacement expose how it is for the quarter and also for the full year, Y -o-Y growth?
Arnab Banerjee : Yes. Y -o-Y replacement is around 5%. OEM would be higher at about 20%. And exports, we have de -grown by around 11%.
Ashutosh Tiwari: And for the full year?
Arnab Banerjee : And for the whole year, the same figure should be aroun d 6%, 33% and negative 3%.
Ashutosh Tiwari: Okay. And how is the like replacement market, 5% growth or 6% for the full year, which segments have done well? Like is it the PCR has done very well or how the 2 -wheeler and truck segment basically in this?
Arna b Banerjee: For the whole year?
Ashutosh Tiwari: Yes, yes.
Arnab Banerjee: For the whole year, I think PCR, PCR has definitely done well in the replacement segment. 2, 3-wheeler has middle d in terms of single -digit growth in the replacement segment. And of f-highway, of course, has done quite well. And truck bus growth has been moderate in replacement segment for the full year.
Ashutosh Tiwari: Ok and the 33% growth in OEM volumes. This is driven by mainly PCR. Is that the largest on of this?
Arnab Banerjee: In OEM, we have had a resurgence in our market share and acceptance for our truck bus radial category, especially towards the second half of the year. And that has primarily led the entire OEM growth for FY '24 over FY '23. And off -highway also h as moved up significantly in OEM for the last year.
Ashutosh Tiwari: Okay. And we were running, I think the TBR capsid a pretty high deflation level. And we have not mentioned any capex for that in FY '24. So how will you manage that growth in that TBR category in '24?

Arnab Banerjee: Yes. So TBR, we have grown, but there is a significant amount of upside still left in Halol, which will provide us growth in the immediate term. So we are still having a wait -and-watch kind of stand on TBR. There are two thing s. One is the capacity utilization in Halol, there is headroom there. And secondly, we are also looking at the product mix and the margin profile of the entire basket of TBR and we'll conti

nue to wait and watch until we take a call on further investment in TBR.
Ashutosh Tiwari: What is the utilization level in TBR last year, full year or maybe Q4?
Arnab Banerjee: Utilization level has inched up to around 80% in Halol right now.
Ashutosh Tiwari: Okay. And lastly, on the capex side, you mentioned INR700 crores to INR750 crores capex for the full year, that would mean that our debt should start declining from this year meaningfully.
Kumar Subbiah: Yes. I think it should not largely. We have 1 or 2 t hings that will happen next year also. For example, from a cash flow standpoint, we didn't have any cash outflow with respect to income tax last year. And however, we may see some higher than ETR impact on cash flow in the coming year. There could be some dividend outflow. So we are watching it. And in some cases, materials, raw materials and finished goods, we have gone a little bit below or normal norms. So we may have to normalize it. So ideally, there should not be any significant increase in debt level s. But if we are able to contain a INR700 crores to INR750 crores level, we should largely be able to maintain at the current level.
Moderator: Thank you. The next question is from the line of Joseph George from IIFL. Please go ahead.
Joseph George: At th e industry margin or individual tyre makers margins. So we have seen margins go up and down over the years depending on -- primarily depending on how raw material prices have moved. And if you went back 2 or 3 quarters and when we have checked with your ta rget has been to get to a 12% to -- sorry, 10% to 12% kind of EBITDA margin. Now we have already reached beyond that.
Now so my question is, when you think about upcoming quarters or maybe the medium term rather than the next 1 or 2 quarters, what is the margin band that you would like to set tle at? I mean because, as I said, historically, it's gone up and down, but there is a target margin that typically companies have, which is a kind of a sweet spot, which you would like to stay in. So what is that band according to you?
Arnab Banerjee: Yes. So this quarter has been good. And looking at the next quarter, let's say, quarter 1, we expect the raw material, first of all, to move in a narrow band . So in terms of the realization, also, we -- it's a competitive industry. There has been no significant erosion of realization yet. There have been some minor discounting here and there, which is happening right through the

year. So we expect the margin to stabilize over the next couple of quarters, at least in low do uble-digit kind of range. And that will be the spot we would like to maintain continuously over the quarter.

Moderator: Thank you. The next question is from the line of Chirag Shah from White Pine Investment Management. Please go ahead.
Chirag Shah: So fi rst a clarification, you indicated for full year this year replacement demand. Two -wheeler has seen a decline of how much...
Kumar Subbiah : You're referring to replacement or…¦
Chirag Shah: Replacement.
Arnab Banerjee: Replacement demand in 2 -wheeler, we h ave grown -- we have not declined.
Chirag Shah: Grown by...
Arnab Banerjee: Single -digit growth.
Chirag Shah: Single -digit growth.
Arnab Banerjee: Yes, full year.
Chirag Shah: Okay. Sir, my question is on the OTR side, how are you looking at that side? Any update, anything you would like to share incremental over there?
Arnab Banerjee: We are expanding the Ambernath plant, which manufactures agri radial, which is the most profitable part of the business. We have also put in some additional capacity in Bhandup for the bias range of agriculture and OTR. So this will lead to sustained growth in both domestic as well as export market in OTR. We are looking at range expansion also putting in new products, which is very important for success in the busine ss. And

we are looking at getting into more OEMs and increasing the share of existing OEMs globally as we go forward. So the outlook is pretty positive, both margin -wise as well as volume -wise.
Chirag Shah: Sir, what kind of expansion you're looking actual ly was? And when can we expect a sharp increase in the pace of expansion and exports, a lot of trial orders; a lot of efforts would have gone through over the last few years. So when can we expect the next leg to take shape?
Arnab Banerjee: So the expansio n in the next couple of quarters, we will see at least 20% of the capacity getting installed further. And the order book is good, so the sales will also catch up fast with the expansion in Amb ernath. So we'll go to about 1 05-odd tons per day in A mbernath , which will further expand to about 150 -plus tons per day by the end of the year.
Chirag Shah: Okay. We go to 150 tons. Okay. And what kind of SKU additions you're looking at, you alluded to that you want to do this on range expansion. So what SKUs we are looking to add, if you can have it.
Arnab Banerjee: Yes. So we have around 750 -odd SKUs total about 300 of radial , bias about 250 -odd then OTR also about 200 -odd. And in the quarter that has gone by, we have added about 20 -odd SKUs and 20 more will get added in quarter 1 as well. So this is across product range we are getting into

new areas also. So we're getting into forestry also in future, for example. We have got into lawn and garden t urf range. We've got into a agro industrial application. So we ar e getting to newer and newer niche applications, which have got these kind of SKUs and the margins are also good.
Chirag Shah: And I resume all this is for export market, right, sir?
Arnab Banerjee: These are all for export markets.
Chirag Shah: Okay. And in terms of size -wise, anything, any thought, any thinking that you have?
Arnab Banerjee: Size-wise, specifically, maybe we'll come back on that.
Chirag Shah: Okay. Okay. Thank you all.
Moderator: Thank you. The next question is from the line of Kuber Chau han from Anand Rathi. Please go ahead.
Kuber Chauhan: Two questions from my side. You talked about different kind of campaigns and expense which you have done in FY '23. So could you talk more about what's -- I mean what's your funding for FY '24 regardin g ad spends and how you are taking it? And second question is on the RM prices. So we have seen crude getting from a peak of around $123 per ton has been crude has been fallen. So what's your outlook on that and also on the rubber prices.
Arnab Banerjee: Yes. I'll take the first question first. So we have been maintaining a steady kind of investment in marketing at the rate of around 2% of turnover. It's been around that for the last year, and it will

be around 2% again for the coming year in FY '24. So th at will continue, and we didn't reduce
it substantially even during forward. So that has been a continuous investment o n the brand,
which will happen . As far as crude is concerned, Kumar, would you like to.
Kumar Subbiah: No. See, crude went up to, as you said, about $120 -plus and now hovering in the range of close
to about $75, okay. Normally, what goes into the raw material that is used in tyres as crude
derivatives . So for example, synthetic rubber has a derivative called butadiene and nylon fabric
as a derivative called caprolactam -- so similarly, Carbon Black as CBFS. So what we have
observed is while CBFS, which is a direct refined product has moved largely in line with the
crude. With respect to synthetic rubber derivatives and fabric derivative, the y have not corrected
to the extent of correction in the prices of crude. And therefore, we have not seen the kind of
reduction that we saw in crude with respect to these materials, one.
Number two, rupee has also depreciated, by about 9% to 10%. So when we have -- when we
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port these materials or when it is import parity cost, that also takes away the impact of fal l in
crude to that extent. And therefore, the question is that crude derivatives and raw material prices
have not fallen in line with the fall i n crude oil prices from peak to the current level.
Kuber Chauhan: Okay. About rubber, anything? Are you witnessing any kind of a correction in number prices?
Kumar Subbiah: The rubber prices in the international prices is largely stable for the last 2 mont hs. If you were
to convert international prices into rupees per kg, it's hovering around INR150 to INR151 per

kg for the last 2, 3 months. Local natural rubber prices went down to around INR140 per kg in
January and February. In the last 2 months, it's bee n steadily going up as we speak today and
some around INR150 to INR153 per kg. So there is some increase in natural -- local natural
rubber prices. International ruble prices have been constant in the last 2 months in terms of
rupees per kg .
Kuber Chauhan: Understood. That's it from my side. Thank you, and wish all the best.
Moderator: Thank you. The next question is from the line of Sachin Kasera from Svan Investment. Please
go ahead.
Sachin Kasera: Yes. Congrats for a good set of numbers. A couple of que stions. One, how do you see your mix
of OEM , replacement and exports in '24 versus '23?
Arnab Banerjee: So the mix is about 51, 32 , 18 currently, replacement OEM exports. We are putting in a lot of
effort towards global sales and exports, both in specialty as well as truck bus radial and passenger
categories. So this 18% is going to improve. And this 18% is good for us in terms of EBITDA
accretion. We are also putting in effort to improve our market share in truck bus radial and
passenger tyres in replaceme nt. So this -- we are looking at almost 1.5x market share gain in
truck bus radial, and we are looking at moving towards market leadership in passenger radial.
So it may not happen in the next -- in FY '24, but we will move close to it. So coupled with the se
2 initiatives, and we'll maintain our business in OEMs because passenger radial has got and as
well as truck bus radial got a huge replacement benefit in the replacement market. A significant
amount of customers replace the tyres fitted by the OEM in th eir cars or even in truck. So we
will maintain the business in OEM, and therefore, this ratio is going to gradually increase over
the years, and it will improve towards replacement and international business in the current
financial year.
Sachin Kasera: So going for next 2 years, the share of replacement export in overall revenue price should
increase from where it is today.
Arnab Banerjee: Exactly.
Sachin Kasera: Okay. Secondly, you also mentioned in the opening remarks that one of the focus area is to
improve the return ratios. So now that probably we have seen the worst of the margins, and we're
starting with some improvement. Over the next 1 to 2 years, what type of expirations we are
having in terms of incurring return ratios.
Kumar Subbiah : Equity return? Sorry...
Anant Goenka: Yes, I'm talking about the ROE and ROC E.
Sachin Kasera: ROE, ROC whichever you would like to comment on.
Kumar Subbiah : Okay. Okay. We focus a lot on ROC E. I'm sure from equity shareholders' point of view, ROE is
also an important part. Okay. Normally, I think I'll tell you philosophically, what we do is
whenever we get any capital proposal approved, we look at some payback of about 6 to 7 years

as our uppe r end. That's the level at which we would generally like to take any of the capital proposals. That would normally translate to ROC E in the range of 12% to 15%. That is the range at which we expect. Obviously, it happens with after year 2 or year 3, depend ing on when the project gets completed. So our ambition in

terms of return on capital employed is in that range of about 12% to 15% progressively.

Sachin Kasera: Okay. Sir, just a more structural and a follow -up on this. When we look at the overall auto ancillary as a sector, we are very much in terms of a B2C, large ly 70% of our revenue comes from B2C. There are a lot of potentials which are primarily B2B and the consistent deliver ROEs of ROC Es of 20% plus -- so do you see this more as a structural issue with the entire industry where because of whatever you mean talk of competitive visions and whatever other things maybe, the industry structurally makes much lower ROC E versus despite being a predominantly a B2C industry versus some of the other component guys or avenues we consider make 20 despite being primarily a B2B player.

Arnab Banerjee: Yes. So in our industry, the margins and the ROC E financially is primarily delivered from replacement and international market because margins are structurally lower in OEM. However, to get that margin from the replacement and international markets, especially domestic replacement market, it is imperative to do the OEM business at this margin because a) entire technology development for the future happens through OEMs that there's a lead that the OEM has, for example, nowadays, it's electric vehicles and the t yres are different for electric vehicles. And number two is that, as I mentioned earlier, there's a significant amount of stickiness with the customer when they re place the tyre in replacement market if there's an OE fitted tyre of CEAT, there is a significant likelihood that the customer will go for the same tyre . So the margin, therefore, holistically recover s from the replacement business. Our entire internationa l business is currently replacement business. And in future, when we have to increase our stakes in international business, we may have to get into OEMs in international also to kick-start further premiumization into bigger cars and getting the higher -marg in business and replacement, OEM entry may also be required there. So as the overall construct, we get our ROC E and margins from the replacement business.

Okay. And one additional point is, since you are comparing one industry versus the other. One of the important drivers or levers for ROC Es that asset turnover, okay, in the ent ire industry, structurally, the asset turnover is a little on the lower side. And it takes -- once you put up an investment because of very high upstream investment, okay, it starts paying off after year 3 or year 4. So you'll have to invest and upstream in the beginning. Downstream will happen over a period of time. This may not be necessarily be applicable for some of the other auto ancillary industry that you have in mind when you indicated 20%, 30% kind of an ROC E.

Sachin Kasera: Sure. So should we, if you look from a medium term, next 3 to 5 should be like as of now, 15% is like the upper end beyond as of now, practically difficult for us to look sustainably better ROC.

Arnab Ban erjee: We have significant upside in our installed capacity. So there is scope for operating leverage in this year itself and in the coming years. We have upside in capacity in 2 -wheelers, which is a

high-margin business for us. We are investing in capacit ies in number. We have upside in passenger. Again, it's a high -margin business for us. And as I mentioned, we are upsi de in TBR as well. So right now, our capex is tapering down in FY '24, whereas we are looking for growth. So ROC E definitely will see an uptrend during the next 4 quarters.

Sachin Kasera: Sure. So just a follow -up on this, sir, what type of utilization we would have on an average in FY '23? And on an overall basis, what type of leverage we have in terms of people uti lization is improving to better ROC Es.

Arnab Banerjee: Yes. So our largest factor y is Halol, where we ar

e utilizing close toward 80% and we are at similar levels in, let's say, Bhandup and Nagpur. So 3 of our factories. Ambernath is in an expansion stage a s we shared, which will progressively go up to about 150 tons. Chennai, we have some more headroom left. We are at about mid-60s kind of utilization. So that kind of sums up for you. Mostly, it is 75% to 80%, and we still have headroom left in most of the plants.

Sachin Kasera: Sure. And just one last question for...

Moderator: Sorry to... Mr. Kasera may we request that you return to the question queue for any follow -up questions. The next question is from the line of Basudeb Banerjee from ICICI Securities Limited. Please go ahead.

Basudeb Banerjee: Couple of questions, sir. I just missed you said Halol TBR utilization at 80% or overall Halol utilization 80%.
Arnab Banerjee: Overall and TBR are both at around 80%.
Basudeb Banerjee: Sir, just to understand, like sequentially, I can see your gross margin being up 550 basis points. So just wanted to understand the overall math of how raw mat basket for you has moved sequentially because 1/3 will be passed on to OEM. So residual 2/3 helped 550 basis point gross margin. So just to understand for the quarters coming ahead with slight increase in natural rubber , as you said, but still how much the raw mat basket benefit you got? And any other benefit like lower inventory or something else beyond just overall portfol io.
Kumar Subbiah : So okay. In the quarter 4, our raw material costs were lower by about 8% to 9% versus quarter 3. So therefore, that's one of the reasons for our gross margin expansion. In our overall pricing with respect to OEMs, raw material costs, bot h ways, when it goes up as well as when it goes down, it gets reflected in our final product prices. However, it varies depending on the category, the recipe and things like that with a 1 quarter lag. So therefore, when the raw material prices come down, w e may pass it on with 1 quarter lag under and the reverse is also true. So that is what it is. So going into quarter 1, okay, it's possible that some part of the raw material costs, we may have some implications on pricing with OEMs . Obviously, it depends on the category. The impact of 9% is not uniform for all categories and all our customers. So that correction will happen. And otherwise, the mix will have some impact on gross margin, mix of category mix as well as our customer mix will have some implicat ions with respect to this. Assuming raw material prices remain the same and realization remained the same. Okay, Arnab had indicated, our margin should be at double digit, maybe low end of the double digit. That's the way we see.

Moderator: Thank you. The next question is from the line of Disha Sheth from Anvil Shares & Stock. Please go ahead.
Disha Sheth: Sir, if you can throw some light on demand outlook for the coming year and quarter, if you can throw some light?
Arnab Banerjee: Yes. So the summer mont hs are usually good month s demand -wise overall. But just looking at the whole year, first, we talk about the OEMs. The commercial vehicle players are doing well, and we expect the OE demand for truck bus radials to be good in single digits and generally mirroring the GDP growth pattern. And similarly, in replacement also, truck bus tyre demand will be in strong single -digit kind of growth through the year. Summer may be a little higher, a bit lower in the monsoons, but will average out like that.
Passenger car tyre demand in OEM is showing some bullishness. We're bullish with some new vehicles coming up, EV coming up. So they have crossed their pre -COVID level already pretty strongly. So we expect that to continue in the OEM. Replacement demand also will be in somewhat single -digit kind of growth because of the past OEM trend , replacement follows that trend with a 2, 3 -year lag, b

ut positive, positive single -digit growth because of new roads are coming up, people are traveling more. People have gone back to p rivate vehicle usage. And so that's replacement.
Two-wheeler demand is dependent on both urban and rural demand . Here, we shift -- see some shift in growth of scooter tyres, maybe at the expense of motorcycle test. And the overall growth here will be lower single digits because a significant part of the economy in the small towns have not yet recovered post COVID from the income hit that they took because of inflation and because of loss of income, loss of jobs. So the non -farm part of the rural econom y is yet to bounce back. As soon as – and we have seen some recovery basis, some indicators, including FMCG growth in last quarter -- last quarter 4. So if that happens, then two -wheelers may improve over the second half of next year of this year.
Disha Sheth: Q-o-Q growth, which we delivered volume growth this quarter, the momentum should continue into Q1 is what we see.
Arnab Banerjee: Yes, Q1 demand -wise is the most positive quarter. Actually, March is when the demand picks up, March to June is g enerally good in terms of seasonal demand uptick.
Disha Sheth: That's good. And the capex should be funded by internal approvals, right?
Kumar Subbiah : Sorry, capex would be?
Disha Sheth: Funded by internal accruals since we have a good cash flow because o f margin expansion.
Kumar Subbiah : Now, as we indicated, we will have to normalize working capital. One, we see some outflow in the form of income tax, some outflow in the form of dividend and things like that. So if we are able to sustain this level of ma rgin in the year, we should largely be able to manage through

internal accruals. A percentage or 2 drop in margins in the coming quarters may have marginal
-- debt may marginally go up.
Disha Sheth: Okay. And exports, sir, I missed the point. You said it i s 18% of sales. Since it has improved this quarter, you expect you said double -digit growth in exports due to lower base?
Arnab Banerjee: Yes. Exports t hrust is continuing on all sectors. So we expect exports to do well in this quarter -- in the first quar ter.
Disha Sheth: And we export generally off -highway tyres?
Arnab Banerjee: Off-highway tyre , passenger car radial as well as truck bus radial little bit.
Disha Sheth: And more exposures into Europe and Far East Africa?
Arnab Banerjee: Europe and Americas constitute about 45%, 46% of our total export.
Disha Sheth: Okay. Okay. So, sir, just to get a view Europe things are improving and your -- what you feel since the exports have improved double digits?
Arnab Banerjee: Europe, there's a headwind. There is a recessionary headwind, especially felt by the agri radial sector, which is where the weather has been playing for a long time. It is also being felt on PCR relatively there and TBR, we have just started. So wherever the reverse is true for U.S. where we see a lot of white spaces and scope for growth. So between U.S. and Europe, we expect to manage export through the next few quarters.
Disha Sheth: Okay. Thank you, sir. That's it from me.
Moderator: The next question is from the line of Abhishek from Dolat Capital Market Private Limited.
Abhishek: In terms of RM sourcing, how much import versus domestic mix?
Kumar Subbiah : See, it varies from month -to-month and quarter -to-quarter. But normally, it's about 55% import and 45% local. And some of the local materials also priced based on i mport parity.
Abhishek: But earlier it was used to be 65% domestic side. So have you changed any policy in terms of the RM sourcing ?
Arnab Banerjee: No, we have not changed the policy. I don't know when it was 65% local. In fact, the local content has improved over last 3, 4 years because some new capacities got created in the synthetic rubber, which ent irel

y was imported by the tyre industry. In case of natural rubber, it's possible that import would have gone up because the local availability is limited. It's only a sheet rubber. So as the industry has grown over the last 3, 4 years, it's possible that quantum of import is -- and also as a percentage of the total requirement would have undergone a change. It's purely because of the fact that locally is not available. As far as CEAT is concerned, we have moved down from around 65%, 70% to closer to 50% in the last 3 years -- 3, 4 years.
Abhishek: Okay. And how is the margin structure in the off -highway tyres, sir?

Arnab Banerj ee: The margin structure is very good in Agri radial s, which we export. It is at the highest level, it is very high double digit, I would say. And the domestic market is -- will be -- in quarter 4, it would be double digits. But overall, for the year would be high single digits, but a very differential margins in the export market.
Abhishek: So it is in the range of 17%, 18% or it is lower than that?
Arnab Banerjee: For agri radial, it would be more than that.
Abhishek: Okay. And as the other expenditure and the freight cost is going down. So can we expect that it will cross 20% kind of the mark in line with its peers?
Kumar Subbiah : No, I think we're not able to give any guidance with respect to margins going into this. Generally, it is expected to be higher than the margins of other categories of tyres, but we're not able to comment whether it will cross a certain level in the coming quarters.
Moderator: That was the last question for today. I would now like to hand the conference over to the management team for closing comments.
Arnab Banerjee: Yes. Thanks very much for attending this call, and I hope we have been able to answer all the queries satisfactorily. And we shall keep in touch going forward and see you at the e nd of next quarter. Thank you.
Moderator: Thank you. On behalf of JM Financial Institutional Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2023

"CEAT Limited
Q1 FY '2 4 Earnings Conference Call"
July 26, 202 3

MANAGEMENT : MR. ARNAB BANERJEE – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – CEAT LIMITED
MR. KUMAR SUBBIAH – CHIEF FINANCIAL OFFICER –
CEAT LIMITED

MODERATOR : MR. BASUDEB BANERJEE – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to the CEAT Limited Q1 FY'24 Earnings Conference Call, hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions af ter the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. B asudeb Banerjee from ICICI Securities. Thank you, and over to you, sir.
Basudeb Banerjee: Thanks. Good afternoon, good evening, good morning to the respective participants. And thanks to the CEAT management for giving us the opportunity to host the call. W e have with us the top management of CEAT represented by Mr. Arnab Banerjee, MD & CEO; and Mr. Kumar Subbiah, CFO. So without wasting any time, over to the management for their initial comments. Over to you, sir.
Arnab Banerjee: Good afternoon, and welcome to CEAT's Q1 FY'24 Earning Call . I am Arnab Banerjee here. I'll be taking you through the business updates for the quarter, and then I will hand it over to Kumar for his remarks on the financial performance. And then we shall be open for Q&A.
Starting wit h volume performance. Q1 was a good quarter for us with overall volume growth close to 3% Q -o-Q. Exports are doing well and grew at 11% over Q4. Replacement volumes saw a sequential improvement of around 4%. Q1 is generally a good quarter for passenger seg ments. Both two -wheeler and PCUV reported good growth. Commercial vehicle tyre sales saw a marginal drop. OEM volumes dipped 3% Q-o-Q, primarily because of portfolio changeover in the PCUV segment, where we are exiting small rim -size vehicles and entering higher rim -size vehicle s. And this makeover will take 1 or 2 quarters more.
Demand outlook, monsoon so far has been near the long -term average. However, we'll have to wait out through Q4 and see how well it is distributed across the country. Rural demand is showing some signs of uptick, but we'll have to wait, as I said, through t he Q2 see how it (monsoon) impacts demand. Replacement demand has been stable overall across categories : motorcycles, scooter and passengers growing well with commercial vehicle segment showing some constraint in growth. In the OEM side, again, two -wheeler s is growing well over last quarter, whereas passenger and heavy vehicles are not doing so well Q-o-Q.
Export markets have been steady and are expected to pick up in the latter half of the year. Demand from traditional areas for us that is, Middle East, Af rica, SAARC, these are improving as the currency situation is getting better in this area. Europe is impacted by mild recessionary trends, which is felt mostly on the farm radial side. Whereas U.S. and Latin America have continued to do well.
Going on to m argins. Input prices have remained stable during the quarter. The commodity basket declined by about 1.5% vis -a-vis Q4. We have largely been able to maintain our pricing in replacement market, which has helped us sustain gross margin around 41% level. Stan dalone EBITDA margin for the quarter is at 13.2%, and standalone net profit is around INR 159 crores.
In the current quarter, at an annualized basis, our post -tax ROCE h as entered double -digit levels.

And we intend to focus on this parameter going forward. We have been doing lot of work around efficiency improvement and zero -waste approach to cost over the last 2 -3 years, which will come in handy as far as our margins and ROCE is concerned.
On the future trends, which we keep talking about, there are 4 of t hem: electrification, globalization, premiumization and digital. Going one -by-one, in the electric vehicle segment, we continue t

o hold 40% -plus share in electric vehicle two -wheelers. In passenger segment, we are either nominated and launched or we are wo rking with OEMs to work on several projects, such as Mahindra XUV40 0, MG Comet, ZS EV, Citroen C3.
We are working with Tata, Kia as well on their EV projects. So we will have a good share in the electric vehicle four -wheeler market as well. In the TBR segm ent also in electric vehicle buses, some of our approvals are in Tata Motor Ace electric mini pickup, the Starbus project, electric buses by Volvo Eicher, JBM, BYD, PMI Electro. So we are well -placed as far as EV is concerned in all segments.
Now globaliza tion is going to be a key driver. 19% of our value is coming from international business, and we want to see it going up over the years. We have already doubled our sales from focused geographies of EU and in Americas in the last 4 years. On the off -highwa y side, we have a good presence SKU wise and we have an entry to about 80% of the global agricultural market. We have got into flagship OEMs such as John Deere, CNH, AGCO, for this business. And we'll continue to focus on faster ramp -up of agri radials.
On the passenger side, passenger car ty re segment , our export sales hit a run rate of about 2 million t yres per annum and a bulk of it is coming from the European Union. TBR ty res also have been launched in Europe and have seen good acceptance by customer s. It has grown very well in Latin American market and we are on course for a rollout to U.S. in the Q4 of current financial year.
Closer home, Sri Lanka situation is improving. Currency has been stable, and the t yre demand there also should start recoverin g going forward. Q1 has been much better. We have opened our CEAT Shoppe, which is an exclusive CEAT showroom outside India, that is in Nepal.
The third trend is premiumization. And here we are well -placed with our 4 premium platform in passenger car t yre, which is SportDrive, Cross Drive, SecuraDrive and SecuraDrive SUV. Revenue share from these premium platforms is tracking close to 28%, and this should keep going up over the quarters. We did the strategic time out in IPL 2023 campaign. We were also presen t on media, which was focused on SUV t yres once again.
Continuing our association with cricket, we signed out with Matthew Hayden. And we want to associate with him over the cricket properties that are coming up this year. In two -wheeler segments, with the premiumization outlook, we have started investing in new properties such as Supercross League , Enduro Tracks, which is an adventure event , Discovery Rides with premium bikes and Rider Mania. And these properties will grow in the future. We continue to inv est in the CEAT brand. And even as we speak, with the heavy monsoons in Mumbai, we are on with our two -wheeler monsoon t yre change campaign.

To provide a premium one -stop experience to commercial customers, we have opened the largest truck service hub in G andhidham, Gujarat, which has 6 service bays in Q1. It has a retreading unit as well where Marangoni has set up the unit. And consequently, we are looking at a partnership with Marangoni over retreading.
On the digitalization trend, the Lighthouse 4.0 succ ess continues. We are horizontally deploying it to Chennai plant now and looking for more certifications in the coming quarters. Coming to D2C channel, our passenger car ty re sales in D2C channels has moved up to 6%, and we have decided to invest in market ing CRM in the coming quarters.
Our total capex for FY'24 is likely to be around INR 750 crores.
We have looked at our TBR strategy closely over the last few quarters. We have established significant superiority of our products, leading to better pricing and margins for TBR. All these new TBR platforms are doing well on t yre life, fuel efficiency and rank amongst the best in their respective ran

ges. OEM acceptance has been good with our share going up to double digits. And as a result of this strat egy, our margins in domestic TBR has been on an uptrend.
We have received good feedback and acceptance in international markets as well. And as I mentioned earlier, we are poised to launch it in the U.S. market later in the year. Our Halol

capacity utiliza tion has crossed 90% level. And therefore, we think it is important to resume the Chennai TBR expansion, which was approved by Board earlier. The Board had approved the full project of around 90,000 t yres. We are taking up only half of that as Phase 1, abo ut 45,000 tyres. The total capex over the years will be around INR 700 crores. This investment fits well into our plan of incurring bite -sized capex every year and into our pecking order of capital allocation across categories.

On sustainability, we are c ontinuing to do well. For instance, ton CO2 emission per metric ton has reduced by 9% Y -o-Y. 36% of our plant power requirement is tied up through renewable sources versus 26% a year ago. We will continue to increase this saliency. Water consumption per to nne reduced by 12% Y -o-Y. We were also recognized at the Economic Times Sustainable Organization 2023 Forum for our sustainability initiatives.

So FY'24 is turning out to be a steady year from demand perspective as well as from the perspective of raw mate rial prices. Our focus will be now to accelerate growth momentum, invest in the brand, invest in market presence, manufacturing capabilities and takes CEAT to a sustainable, healthy margin and in a superior ROC E orbit.

With this, I would like to hand over the call to Kumar for his remarks.

Kumar Subbiah: Thank you, Arnab. Good afternoon, ladies and gentlemen, and thank you for joining our Q1 earnings call. I'll share some further financial data points with you all, post which we can enter Q&A.

First, on rev enue. Our consolidated net revenue for the quarter stood at INR 2,935 crores, a growth of about 2.1% Q-o-Q and 4.1% Y-o-Y, which has a mix of both price and volume growth.

And coming to gross margins, our consolidated gross margin improved by about 100 basi s points Q-o-Q sequentially and about 940 basis points Y-o-Y, largely driven by a drop in raw materia l costs and better product mix.

We are witnessing some kind of stability in the prices of base material like crude oil, rubber and also currency that helped in terms of maintaining stability in the prices of raw material costs for the last 6 months. While crude oil prices have moved up i n the last 2 weeks from $75 level to around $83 as we speak, we still expect our raw material prices to be within the range as far as Q2 is concerned.

Coming to debt , capital expenditure and working capital. We spent about INR 220 crores on various capex items during the quarter, which consists of both projects as well as normal capex . We prioritize d high-impact capex and key project capex in Q1, leading to incurring o f capex a little more than the proportionate amount for the year. As Arnab mentioned, we would like to maintain our overall capex guidance of INR 750 crores for the year FY'24. Now working capital as of end June remained at similar levels of Q4 FY'23. That is around negative INR 142 crores. Small increase in raw material inventory and receivables was offset by marginal increase in payables during the quarter that helped us to maintain the same level. We generated healthy operating cash flow, which was used to meet and fund our capex for the quarter and also reduce our debt to the extent of about INR 97 crores.

Our consolidated debt stood at INR 1,989 crores, a reduction of about INR 97 crores over Q4 FY '23. The above reduction of INR 97 crores is over and above INR 252 crores of debt that we were able to reduce in Q4 FY'23. With these improved EBITDA and lower level of debt , de

bt
equity stands at below 0.6 as of end June and debt/EBITDA is at a comf ortable level of about 1.5x (note: please read the number corrected as 1.7x) .

Coming to our operational expenses. Employee costs during the quarter was lower to the extent of about 8.5% sequentially. It's largely on account of slightly higher provision in Q4 in our books on account of some settlements signed with employees in one of our older factories and also contribution towards performance bonus. During the quarter, our expenses increased on account of higher marketing costs and annual conferences, advertisement, travel and other costs. In our subsidiary Sri Lanka business operated slightly lower volumes and as a result, profitability remains impacted. Country's overall look in Sri Lanka is improving, and we are hoping of some recovery in tyre demand in the coming quarte rs.

Finally, our consolidated EBITDA for the quarter stood at INR 385 crores, which translates to about 13.1% EBITDA margin, about 20 basis points improvement over Q4. Depreciation and interest costs were similar to Q4 FY '23. Effective interest rate went up by about 80 basis points in Q1 versus Q4, but we largely neutralized the impact through reduction in our debt. We expect the interest rates to go up further in the range of anywhere between 20 and 30 basis points in near term.

We'd also like to share wi th you that in the month of July, on 5th of July when we convened our

Annual General Meeting, shareholders approved declaration of about 120% of annual dividend, translating to about INR 48 crores has been since paid in the month of July. Also happy to sha re

with you all that CEAT received an award from CNBC and ICICI Prudential under the category Masters of Risk Award :Auto -Ancillary Sector in large cap category. This has provided reassurance to us in terms of our best -in-class management practices.

With th at, I open this floor for Q&A.

Moderator: Thank you. The first question is from the line of Aashin Modi from Equirus Securities. Please go ahead.

Aashin Modi: Thank for the opportunity. Congratulations for a great set of numbers. So sir, my first question is on the margin side. So could you please provide more colour on margins? What is the quarter - on-quarter impact of higher A&P expense? And what was the impact of RM price pass -through and price escalations and RM on the gross margin level on a qu arter-on-quarter basis?

Kumar Subbiah: Yes, overall, on aggregate basis, raw material costs went down by about 1.1% in Q1 versus Q4, And that being about raw material costs being around 60%, 65% of our sales value, 60%, let's assume. That much favourable impact it has in Q1 versus Q4. Our marketing expenses, all our sales -related expenses overall about impact of about 0.4% adverse versus Q4. And selling price more or less remained constant, was marginally lower on account of BU mix. So balance everything through efficiencies and other aspects that Arnab had covered, is flowing into our gross margins and EBITDA margins.

Aashin Modi: Sure, sir. Sure. And then my next question is on free cash flows. So sir, our standalone gross debt reduced by INR 97 crores during the quarter. What was the capex during the quarter? And working capital, as you have mentioned that it was expected to increase with RM softening. So how do you expect the RM, the working capital change going ahead? And how do we see free cash flow generation from here?

Kumar Subbiah: So during the quarter, we generated free cash flow. We generated free cash flow in Q4 too. So we repaid INR 97 crores of debt. And as was covered, we incurred our capex of about INR 220 crores. So everything was funded through internal accruals. But I did not say , nor Arnab said that lower raw material prices will lead to increase in working capital. Maybe in the previous quarter, we said we would like to n

ormalize working capital in terms of FG inventory and RM inventor y, not relating to any drop in raw material prices. At some point in time, as our sales volume increases, we'll have to keep the inventory back to the normal levels, some kind of a normalization. Part of the normalization happened in Q1. And in general, we would like to keep the working capital at the current level in terms of absolute value.

Aashin Modi: Sure, sir. And then my last question. Could you please provide some colour on demand on the replacement and export side, a segment -wise colour on demand g oing forward?

Arnab Banerjee: So going forward, if the monsoons are good and rural demand picks up, we are looking at two - wheeler demand picking up to high single digit, low double -digit level. It's done well in Q1, demand -wise. And passenger segment also has done well, and we expect this to be in high -single digits with more SUV tyre demands, higher rim -sizes demand, the market shifting towards that kind of demand. We are not so certain about the commercial vehicle side, which in OEM as well

as replacement has been constrained. In fact, Q -on-Q, OEM volumes dropped significantly. And replacement volumes a lso have been tight. So that's the only spoiler. Otherwise, on the passenger side, we are looking at it positively.

On the export side, given the scale of global markets, we are a small player. So the recession in Europe is not going to impact us in any si gnificant way in four -wheeler sales, which is passenger car tyre sales. It may have some headwinds towards the agri radial sales. US is doing well. Latin America is doing well. So from our growth perspective, it will not be a big impact, either positive or negative.

Moderator: Thank you. The next question is from the line of Mumuksh Mandlesha from Anand Rathi. Please go ahead.

Mumuksh Mandlesha: Congrats on a good set of numbers, sir. Sir, how are you seeing the resilience of the tyre industry in terms of p rofitability post the import restrictions ? Are you seeing the local manufacturing players focusing more on profitability despite demand being low? How do you see the

competition of the new players entering India with the local plants like Michelin plans to set up
a new plant? Or any current players expanding faster?
Arnab Banerjee: We have not yet seen any significant price erosion in the replacement market. It has been competitive. And on the passenger side, demand is okay, given the circumstances, as I men tioned in my previous response. It is high single digit, low double digit kind of thing in two -wheeler, high single digit in passenger.
It's in the truck/bus radial side where demand may be a little bit constrained. So we really don't expect too much of a realization drop from our side going forward. In the OEM, of course it is indexed so realization will move along with the raw material movement. So if your question is about competitive intensity and resilience in terms of margin, then this was the scenari o in the pre-COVID years also, FY'17 to FY'20, where our gross margins used to move between 40% to 42%. And that's where we are in Q1 and around 41% margin. So as far as we are concerned, we are looking at stability of margins.
Mumuksh Mandlesha: Thank you . Can you share the Y -o-Y volume growth in terms of channel -wise and product -wise, sir, for Q1 quarter?
Arnab Banerjee: Quarter -on-quarter value -wise?
Mumuksh Mandlesha: No, volume -wise, Y -o-Y, for the channel and the product, sir?
Arnab Banerjee: Okay. So Y -o-Y truck/bus radial, we have overall grown by about 5% odd. And we got a big entry into OEMs in the truck/bus. I'm talking mostly radial. So overall, we have grown by about 35% in OEM. We have grown by high double digits in export also. Replace ment had been slower growth, single -digit kind of growth in truck/bus radial Y -o-Y. And off -highway has bee

n
growing pretty wel l, in terms of double -digit growth . The farm sector has really done very well in replacement , in OEM and as well as in internatio nal markets. We are having high growth here.

Two-wheeler has been modest in terms of low single -digit kind of growth Y -o-Y, with replacement being flattish. OE and international growing in high single digits.
Passenger, again, Y -o-Y has been low single -digit growth with us doing very well in the international market in exports, especially EU. Replacement also doing well. Whereas because of the reasons explained earlier, we have taken a beating in the OE segment temporarily because of the inch -wise portfolio changeover from 12, 13 inch t yres to 16, 17, 18 inch tyre, and this will come back over quarter 2, quarter 3, and quarter 4.
Moderator: Thank you. The next question is from the line of Siddhartha Bera from Nomura. Please go ahead.
Siddhartha Bera: Congrat s on a good set of numbers. Sir, first question is on the mix. Can you indicate what is the replacement and export mix in the current quarter versus last quarter?
Arnab Banerjee: Value -wise, the OEM is 27% and replacement and export will be making up the b alance. So there's a 2% to 3% improvement in mix in Q1 vis -a-vis last year.
Siddhartha Bera: So replacement would have gone up by 2% is what you are saying?
Arnab Banerjee: Replacement plus international. OEM would have gone down by 2% to 3%.
Siddhartha Bera: Okay. So based on your expectations, so this should normalize over the year? Or you think some of the growth in the replacement and international will continue?
Arnab Banerjee: International will definitely grow. And we would like to push this further. Replacement, if the monsoons are good and two -wheeler demand is good, then the passenger side will grow aggressively. So minor changes could be there over the next few quarters.
Siddhartha Bera: Got it. And sir, I just missed that TBR capacit y expansion capex you mentioned, what was the number? And by when do you plan to sort of start investing on this?
Arnab Banerjee: So the total amount of capex in Phase 1, which is about 45,000 tyres, we mentioned about INR 700 crores. And not much of it wi ll be incurred this year. And anyway, it is included in our capex forecast of around INR 750 crores this year.
Siddhartha Bera: So INR 750 crores includes all project plus maintenance or it is only the project capex?
Arnab Banerjee: It includes all project s plus normal capex, which we incur every year. It's all inclusive.
Siddhartha Bera: Okay, okay. So most of the TBR investments you are saying will happen more towards the second half or next year?
Arnab Banerjee: Yes, exactly.
Siddhartha Bera: Okay. And s ir, what is the utilization levels in the passenger car segment for us currently?
Arnab Banerjee: Roughly, it is around 75% passenger car and two -wheeler segments.

Siddhartha Bera: Okay. So there, you don't need to do much capex in the current or coming ye ar?
Arnab Banerjee: There is enough headroom to grow there.
Siddhartha Bera: Okay. Got it. And sir, lastly, I think for the exports, you mentioned it may be close to 19% this quarter. And generally our ambition is to go up to 25%. So I understand we are do ing a lot of things, but just in terms of when shall we start expecting a meaningful pickup in the numbers? Will it be more towards next year? And any target for the next year in terms of mix you have?
Arnab Banerjee: No, it will be gradual over the next t wo years, three years. 25% is a medium -term target that we have been sharing FY'26 kind of thing. So that is over two years, three years, it will go. We should see improvement gradually quarter -on-quarter towards the next half of this year. I think there's lot of things lined up on agri -radial side, our PCR side as

well as getting to US by Q4 this year. So it will be a gradual step -by-step increase.
Siddhartha Bera: Got it. Sir, last question on the margin. So when you say that you are focusing more on the higher -rim-size models in passenger vehicle segment, does it mean that, it will be sort of a slightly better margin segment generally compared to the other PV segments you are catering to?
Arnab Banerjee: Yes, it has significantly higher margin profile than, let's say, 17, 18 inch would have a much better margin profile than a 12, 13 inch tyre.
Siddhartha Bera: Okay. Got it, sir. I'll come back in the queue.
Moderator: Thank you. The next question is from the line of Jinesh Gandhi from Motilal Oswal Financial Services. Please go ahead.
Jinesh Gandhi: Congrats on good set of numbers. Quickly on the INR 750 crores capex for FY'24. To clarify, it would not have any material capex from TBR expansion, right ?
Kumar Subbiah: Yes. No. See, as Arnab mentioned, TBR INR 700 crores is Phase I. Out of that INR 150 crores, we have already spent on civil and PEB , and some advances. We are talking about INR 550 crores of capex, balance capex for Phase I to produce that 45,000 tyres kind of volume per month. So therefore, within that INR 550 crores, there will be some in the current year and some in the balance next two years or so. So it would be in line with the overall guidance of INR 750 crores that we have given. Ok ay, I don't think it's going to make any impact on the INR 750 crores on the total number.
Jinesh Gandhi: Yes. And the only growth capex in this would be the TBR one, the OTR, the balance in capex, would that be correct?
Kumar Subbiah: Yes. No, some downst ream on PCR, little bit on two -wheelers, And we also have something on specialty bias' capacity. So it's a mix of all of that, where depending on our demand, we are spending. On specialty, we have already announced that is agri radial. So it consists of al l of those.

Jinesh Gandhi: Okay. And of the INR 750 crores, roughly INR150 crores would be maintenance.
Kumar Subbiah: It is a range. See, maintenance means it includes R&D, it includes moulds, it includes IT, digital related, sometimes some other smaller debottlenecking proposals are also there in that part of the INR 150 crores. I think we should take it as INR 200 crores kind of a number instead of INR 150 crores.
Jinesh Gandhi: Okay. Got it. Secondly, coming to the OTR side. So can you update on where we are in terms of our capacity? I believe it's about 105 TPD. And what is your utilization there and expansion plans?
Kumar Subbiah: There we have been adding capacities in phases . And the last time, about six months back, we took the capacity to ab out 81 tons at our Ambernath. Sometime in the current quarter, it will go up to 105 tons. What we announced was 105 tons to become 160 tons, another 55 tons that we are adding. , that will be in the next financial year.
Jinesh Gandhi: Right. And that would be with the capex of?
Kumar Subbiah: So when we announced that 55 tons, we said about INR 385 crores is the capex that we have planned, overall. So that will be spent between this year and next year. That is part of the INR 750 crores that we indicated for current year.
Jinesh Gandhi: Right. And beyond this 160 TPD on the radial, what would be our capacity and the bias for agri or the OTR side?
Arnab Banerjee: The bias capacity would be approximately 100 tons -plus, 120 tonnes.
Jinesh Gandhi: Okay. And that doesn't need any expansion?
Arnab Banerjee: Our utilization is good. We have a plan for expanding. We'll do it whenever it's required. Right now, immediately, no.
Moderator: Thank you. The next question is from the line of Jyoti Singh from Arihant Capital Market

Limited. Please go ahead.
Jyoti Singh: Congratulations on the good set of numbers. My question is on t

he, could you please throw some
light on the launch in US , while we are in the planning phase? And additionally, it would be helpful if you could s et light on the targeted revenue aspects. And my second question, I would greatly appreciate an explanation about the momentum observed in the southern state as earlier we were witnessing weakness? Thank you.
Arnab Banerjee: On to your first question, the US launch will start from FY'24, Q4, starting with TBR and then following with the first range of SKUs of PCR. So as far as our market research goes and our preparation goes, it is on schedule. It's very difficult to put a turnover target, etcetera, becaus e it depends on market access also. US is a huge country , where you have to have channel set up across the country to be able to access the entire market.

So suppose I just set it up in Southern U.S. and Texas and Western U.S., then large part of the Midwe st and Eastern side is not accessible. So it will depend on what rate we progress towards market accessibility. I think we are pretty bullish in terms of ramp -up being faster than our Europe business. So yes, so maybe closer to Q4, we'll be in a position to have a view and share what is our outlook for FY'25. What was your second question?
Jyoti Singh: Sir, second question on the momentum observed in the southern states as earlier we were witnessing weakness.
Arnab Banerjee: Southern states of Ind ia, right?
Jyoti Singh: Right.
Arnab Banerjee: Yes. So I think we are putting a lot of effort there for all the categories, two -wheelers, four -wheelers and TBR. We have seen good traction in TBR. We are seeing good traction in PCR. And two -wheeler is stable. Two -wheeler, we are relatively better off in South and West. So there's more stability in that size. And we are chasing growth in four -wheeler and TBR.
Moderator: The next question is from the line of Joseph George from IIFL.
Joseph George: Just couple of questions. One is, what is your overall volu me growth on a year -on-year basis because the revenue growth is single digit and you seem to indicate that every segment has seen volume growth, what is your overall volume growth on a year -on-year basis?
Arnab Banerjee: On a Y -o-Y basis, overall growth is around 1.5%.
Joseph George: Okay. And so which segment saw declines because earlier when you gave the volume growth number across segments, most of the segments seem to have growth.
Arnab Banerjee: Yes. There is one LCV and a small commercial vehicle segm ent which has declined, which is not a priority segment for us. Then passenger and two, three -wheeler have grown in low single digits, just about positive. And off -highway and truck/bus have grown a little, higher single digits. So it works out to weighted average level of 1.5%.
Joseph George: Understood. And sir, the next question that I had was when you look at your RM basket, you mentioned that 1Q saw a 1.5% Q -o-Q drop in the RM basket. When you look at 2Q, how do you see the RM basket moving on a Q -o-Q basis compared to 1Q better?
Kumar Subbiah : See, we expect it to be within a range. We don't expect any significant upward movement, but one or two raw material prices have moved up. For example, carbon black prices have moved up from 1st of July as the f eedstock that goes into it have seen some upward movement. Recently, in the last 1 to 2 weeks, we're observing some increase in crude, Brent crude. It was hovering around $75. As we speak, it's about $83 or so.
It may not have material impact in quarter 2 because we are already end of first month of the quarter 2. And generally we have cover for 2 months or so, but we expect it to be within a range,

maybe plus or minus 1% over last quarter. That is a range in which we expect RM prices to be in quarter 2.
Moderator: The next questio

n is from the line of Mitul Shah from DAM Capital.
Mitul Shah: Congratulations, sir, for a good set of numbers. Sir, my question is on export side. How has been the pricing there?
Arnab Banerjee: So export side, quarter -on-quarter, there is minor drop in realization, about couple of percentage

points. And because there the pass -through happens very quickly, especially in Europe, U.S., Latin America kind of market. But I would say that's fine, and we don't expect to, prices to drop significantly going forward.
Mitul Shah: Across the products or any specific term?
Arnab Banerjee: It's a narrow product range. It is primarily on the commercial side. Yes, you can say across the products.
Mitul Shah: Okay. And second question is based on your presentation and you also highlighted about this portfolio rejig in PCUV. So can you give more details? And how much one can consider impact in Q1? And what would be the recovery expected in Q2 on this?
Arnab Bane rjee: Yes. So a significant proportion of our OEM sales of passenger vehicles were coming from lower rim sizes. That has gone to zero. And as our volumes grow from 14, 15, 16, 17, 18inch rim sizes, m ostly the bigger cars, SUVs, et cetera, it will start tric kling in from Q2 and have full recovery by end of Q3 in terms of overall volume.
Moderator: The next question is from the line of Chirag from White Pine.
Chirag: Congratulations for a good set of numbers. Sir, just a follow -up on the earlier participant's question, sir, you said that the supply for the 13 -inches tyre has become zero from your side?
Arnab Banerjee: Not zero. 12, 13, 14 put together, these are the lower -rim sizes. It has significantly reduced.
Chirag: And so would there still be low to mid-single digits or high single digits? Of the overall PCR tyres, they would be around single digit? That is what you're indicating from it used to be much higher earlier?
Arnab Banerjee: See, if I was selling 100 tyres, were about, let's say, 50%, 60%, it has reduced significantly in OEM. This is in OEMs.
Chirag: Yes. So, how much of this is outside the industry shift that we have seen, right? One is that this smaller inches tyre, the industry proportion has changed. And second is you may have chosen not to par ticipate in some of these businesses. So between the two, how should we look at it?
Arnab Banerjee: It's a mixture of both. You're right. The market itself is shifting towards CSU, compact SUV and SUVs. And so the proportion of 12, 13, 14 -inch, 12 and 13 m ostly is reducing significantly. And

we also see and saw an opportunity to focus more on the higher -rim size vehicles, the SUVs, etcetera. And so it's a combination of two.
Chirag: Fair point, sir. And a parallel conclusion is that your market share in hig her-inch tyres in PCR would be much more than your average market share, right, in the PCR category?
Arnab Banerjee: After this changeover in OEMs, yes.
Chirag: Yes, in OEM, definite OEM, sir.
Arnab Banerjee : Yes.
Chirag: Sir, this is helpful. Sir, one last question, if I can squeeze in. So this INR 700 crores capex for this year is largely debottling, right, except for the TBR capex that you already indicated which will happen in H2 a little bit. So, this INR 750 crores -- large part of this INR 700 crores capex is more of a debottlenecking capex, that is the right way to understand, correct? And that would add anywhere between 5% to 10% of your capacity, including down streaming and parallel expense, and is it all included?
Kumar Subbiah : No. See, it's INR750 crores. And that INR 750 crores includes project capex for Ambernath where we are doing agri -radial. Some downstream two -wheeler plant at Nagpur, downstream passenger car radial at Chennai, then some specialty bias capacity conversion in our older factories, plus our normal capex. And we're also spending som

e money on debottlenecking.
Like, for example, we did some debottlenecking in Halol factory, okay, to increase our production. So all of them put together i s about that INR 750 crores. In case of TBR, we may have some cash outflow, some cash outflow during the current year. And that will be part of that INR 750 crores is what we are seeing.
Chirag: Sir, why I'm asking is that this capex would be significantly margin or return on capital accretive, right? This particular capex that you are doing.
Kumar Subbiah: Yes, correct. See, normally when you do a debottlenecking, capex per tonne is lower. And obviously, on that capex, the incremental ROI would be higher t han the greenfield or a brownfield kind of capex. Yes.
Chirag: And sir, as a clarification, in '25, what kind of capex, INR 700 crores ballpark number is a fair assumption to look at, plus/minus depending upon how the demand, etcetera, behaved. But INR 700 crores kind of a run rate is a fair assumption for F Y '25 project capex or it would be far lower than that?
Kumar Subbiah: So first of all that, please take that as INR750 crores for the current year. And again, I know, see look, generally we carry out a long-term demand plan, supply plan in the Q3 and Q4 of the

financial year and accordingly determine the capex requirement of the following year. That is the process. I think as we also earlier mentioned that we have created enough upstream capacities. Down stream, we're involving lower lead times, would be considered in our annual plan.

And anything which is greenfield, our larger capex is where it requires some planning. We have enough headroom for us to generate revenue from the capacity that we have alrea dy created. But in general, I think the number that you have indicated could be used as for the purpose of estimating the next year requirement, but we'll be able to provide clarity more in Q4 after we carry out our annual plan where we will have LTDP and LTSP.
Chirag: No, fair point. This is very understandable, sir. And basically sir, F Y'25 also there could be a good amount of debottlenecking capex and not a major brownfield or greenfield except for the TBR. So I was trying to understand how the capex nature would be in '25, would it be more of Greenfield, brownfield or it would be more of debottlenecking that what we are doing in '24. That was the objective.
Moderator: The next question is from the line of Garvit Goyal from Nvest Analytics.
Garvi t Goyal: My question is on basically the demand side, like are you getting any kind of weak signals on the demand side from the export or either on the domestic part? Actually I joined the call a little bit late, so let's -- can you please put some light o n the demand outlook, whether you are running on any weak capacity utilization levels due to a rising import or something.
Arnab Banerjee: On the demand side, I had mentioned that it depends on the monsoon again. If the rural demand looks up, then we are a little bit positive on the two -wheeler side. It could be high single -digit or low double -digit kind of market growth. Passenger car tyres would see a solid single digit, high single -digit kind of demand growth is what we estimate. There could be some cons traint on the commercial vehicle demand side as we are looking at both OEM and replacement side is constrained. So this is the kind of outlook that we have at this moment for the next few quarters on the demand side.
Moderator: The next question is from th e line of Jinesh Gandhi from Motilal Oswal Financial Services.
Jinesh Gandhi: Sir, just to clarify on the RM cost, we are seeing stability in terms of the natural rubber and synthetic rubber so far over 1Q levels, right? Or there is some further benefit ex pected?
Kumar Subbiah: No, we are not expecting any further benefit on raw material costs . We expect it to be stable for t

he current quarter, except a couple of base material which is crude and carbon black feedstock, which is CBFS, we call it as. It moved ahead of crude in Q1, and therefore it has an impact in Q2. Crude has slightly moved up from $75 to $83. It may have some impact, but it'll have less impact in Q2. But if this sustains at that current level, there could be some adverse impact. But positiv ely, we don't expect any impact in Q2 beyond Q1.
Jinesh Gandhi: Got it. Got it. And interest costs, do you think it has peaked out in 1Q at about INR70 crores per quarter or there will be further increase despite increase in interest rates, but our overall loans are coming down. So how do we see that?
Kumar Subbiah: See, interest rates have been steadily moving up , So we've seen about 80 to 90 basis points kind of increase in interest rate. And it looks like there could be one more change in repo rate, coul d be, I'm just saying. That could be another 25 basis points kind of an impact. What is there in our

control is the ability to reduce, keep the debt under control. So in the last 2 quarters, we have reduced our debt by about little over INR 350 crores.
So our drive to bring efficiencies and cash and minimizing our debt will continue. But however, in terms of interest rate, there could be an increase to the extent of about 20, 25 basis points going into the future. Impact on Q2 would be minimal. But beyond that, there could be an increase before it starts coming down.
Jinesh Gandhi: So this is despite reduction in the debt that…
Kumar Subbiah: No, I've said basis means interest rate. Okay. If your question is whether the interest in absolute value wil l remain around INR 70 crores, which we saw in Q1, for Q2, yes. And beyond Q2, it will depend on interest rates and overall debt.
Jinesh Gandhi: Got it. Got it. And lastly, any plans to move to the new tax regime anytime soon? Or we still have substantial MAT credit for us to continue with the old regime?

Kumar Subbiah: No, we moved to the new regime 2 years back, okay? And we did have some accumulated MAT credit in our books. However, when we did an evaluation, it was making sense for us to move to new regime. Good we did move to new regime. Otherwise, the M AT credit accumulation would have increased. So therefore, we are already in new regime. That's the reason why our ETR is closer to about 25% compared to 35% that was there in the old regime.
Jinesh G andhi: Okay. And the higher rate on consol level is just because of the lower profits of those subsidiaries?
Kumar Subbiah: Okay. No, just for everyone's understanding, it's always good to look at ETR at the stand -alone level. And if you really look at the revenue and PBT before sa y dividend from the subsidiary, the difference is not much. Earlier, we had a separate entity for specialty business. However, having merged that, not much of a difference. So ETR, always we look at it on a standalone basis.
Conso lidated level, the impact sometimes could arise on account of the fact that standalone would have received dividend, whereas it gets eliminated at the consolidated level. Sometimes the dividend distribution tax paid by the subsidiary entity, is shown at th e tax rate, etcetera. So at the quarter level, you may find some marginal difference , but on a full year basis, you may not see the difference. ETR on a stand -alone basis is a good indicator.
Jinesh Gandhi: Got it. Got it. I believe we moved in fourth quar ter FY'21. Now I recollect that.
Kumar Subbiah: Which one?
Jinesh Gandhi: To the new tax regime.
Kumar Subbiah: Okay, yes. Since new regime is, it has to be from the beginning of the financial year. So April '20 to March '21. In the very first year itself we moved to the new regime. And we had enough

time to decide whether to move to a new regime or

not. Looking back, I think it was the right decision.
Moderator: Ladies and gentlemen, that is the last question. I now hand the conference over to the manageme nt for the closing comments.
Arnab Banerjee: Okay. Thank you very much for your interest in CEAT. And we would like to come back with more transparency and openness. And we'll keep the nature of questions in mind so that we can address your queries proacti vely next time around. So see you next time.
Moderator: Thank you, members of the management team. Ladies and gentlemen, on behalf of ICICI Securities, that concludes this conference call. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Nov 2023

"CEAT Limited
Q2 FY '24 Earnings Conference Call "
October 17, 202 3

MANAGEMENT : MR. ARNAB BANERJEE – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – CEAT LIMITED
MR. KUMAR SUBBIAH – CHIEF FINANCIAL OFFICER –
CEAT LIMITED
MODERATOR : MR. MITUL SHAH – DAM CAPITAL

Moderator: Ladies and gentlemen, good day, and welcome to the CEAT Limited Q2 FY '24 Earnings Conference Call hosted by DAM Capital. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after t he presentation concludes. Should you need assistance during the call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Mitul Shah from D AM Capital. Thank you, and over to you, sir.

Mitul Shah : Yes, thanks, Rayo . Good afternoon, good evening, good morning to all the participants. On behalf of DAM Capital, I welcome you all for CEAT's Q2 FY '24 Post Results Conference Call. Thank you, CEAT, for giving us the opportunity to host the call. We have with us CEAT management represented by Mr. Arnab Banerjee, MD, and CEO; and Mr. Kumar Subbiah, CFO. Without wasting any time, we'll invite Mr. Arnab Banerjee for his initial remarks. Over to you, sir.

Arnab Banerjee : Thank you. Good afternoon, and welcome to CEAT's quarter 2 FY '24 earnings call. I'll be taking you through the business updates for the quarter and then hand over the call to Kumar Subbiah for his remarks on financial performance. Post th at, we'll be open for Q&A.

So let me start with the big news of CEAT winning the Deming Grand Award. As you are aware, this is one of the most prestigious quality awards presented by the union of Japanese scientists and engineers called JUSE, for excelle nce in total quality management. CEAT became one of the only 33 companies in the world and the only tyre company in the world to win this honour since its inception in 1969. This award points towards consistency of customer experience across the globe and consistency in market share gains and financial performance.

I'll come to the performance proper for Q2. As the base is now normalized, we are reverting to more commonly referred year -on-year comparison for volume.

Quarter 2 was a good quarter for us wit h an overall volume growth of 7% over last year's quarter 2. Exports are doing good and grew about 10% over the same period. Passenger car tyres had a significant uptick, followed by truck and bus tyres. Off -highway volumes were a little subdued due to a slowdown in Europe. Replacement volumes grew about 4% year -on-year. Domestic off-highway grew very well with a strong double -digit growth, followed by passenger car tyre. Two-wheeler and truck/bus tyres volume also grew in low single digits. OEM business continued to witness healthy momentum with volumes growing by about 10% over last year. Truck and bus volumes grew by more than 35% as a testimony to increasing acceptance of our truck/bus radial tyres quality -wise. Two -three -wheeler sales have also done well, indicating a gradual recovery towards the end of last quarter.

Over Q1 FY '24, volumes grew about 3.5%. And despite quarter 2 being seasonally a low quarter. Replacement was flattish, while OEM reg istered double -digit growth in anticipation of festival sales. Exports saw a marginal drop.

Demand outlook, as you know, monsoon overall has been good, but the special distribution and the timing were inconsistent. This is likely to affect the Kharif crop output in some states and could also adversely impact the nascent rural recovery. So we would wait and watch the situation closely. As of now, replacement demand is stable across all categories with routine seasonal trends.

On the OEM side, vehicle sales growth has been varied across category. Two -wheeler bikes, de-grew in quarter 2. Four -wheelers are doing well, which topped 2 million cars in half 1, and truck and bus are growing in single digit in quarter 2.

Export markets are improving, especially the marke

ts around Asia and Africa. Europe is
impacted by recessionary trends. And as I said, traditional geographies for us like Middle East, Africa and SAARC are normalizing.

On margins, input prices remained benign during the quarter, the raw material bas ket market declined by about 2.5% to 3% vis -a-vis quarter 1. We have largely been able to maintain our selling price Q -on-Q. And there was also a relative price positioning change in aftermarket in some categories. Both these factors along with better prod uct mix, contributed towards gross margin expansion over 200 bps quarter -on-quarter and stand -alone margin -- EBITDA margin for the quarter stands at 15% and net profit stand -alone was INR199 crore s.

Capacity utilization has been improving consistently an d is about 80% overall. Better margins and higher utilizations have helped improve our ROCE as well. And we will continue to focus on ROCE by improving capital productivity and efficiency.

On the margin outlook, crude prices, as you are aware, has been going up steadily. If the current prices sustain , RM basket may be going up 3% to 4% over quarter 2 base, I think we have bottomed out on RM prices. We are watching the situation closely and will take action as appropriate going forward.

CEAT is future ready . We are looking at all the megatrends with focus, like electrification going global, premiumization and digital.

As far as electrification is concerned, we continue our strong market share in OEMs in electric vehicle 2 -wheeler tyres with more tha n 40% share of business. Recently, Oben electric e -bike, e-Sprinto, MR EV scooters were launched on CEAT tyres. In passenger market also, we are working with OEMs with several models launched or to be launched such as Mahindra XUV400, MG Comet, ZS electric vehicle, Citroen c3 a nd some upcoming launches like BYD Auto , Tata Punch EV, KIA couple of vehicles, Pravaig and EVA.

In commercial segment, electric vehicles such as Tata Motors, Ace Electric, Mini Pickup as well as electric buses by Tata Motors , we are participating also with OEMs like Volvo, Eicher Olectra,

I would like to continue on our international business pursuit. We have a run rate of selling more than 2 million passenger car tyres internationally with nearly half of them going to Europ e.

This business is doing well.

We are the largest imported tyre brand in Brazil in the off -highway segment. We have also got into several flagship OEMs such as John Deere, CNH, AGCO in off -highway re tires, and we have added 40 -plus SKUs in this vertical in quarter 2.

Truck/bus radial tyres are doing well in Europe and Latin American markets. We are getting ready for U.S. rollout by end of current financial year for both Truck/bus radial and passenger car radial. That program is going on schedule. About 200-plus SKUs will be launched across these two categories in the U.S. Sri Lanka macro situation is improving and quarter 2 has been a good quarter, both top line -wise and margin -wise in Sri Lanka.

The third major initiative is premiumization with launch of platforms such as Crossdrive, SportDrive, SecuraDrive and SecuraDrive SUV, the passenger car radial portfolio is getting premiumized, and the revenue share from these new platforms , the revenue saliency continues to improve.

CEAT has started investing in a new brand property called CEAT Trails which is about expedition. The first one happened over 22,000 kilometres from Mumbai to Siberia. This convoy went on CEAT Cross Drive and CEAT winter tyres and it was -- the en tire expedition went

through India, Nepal, China, Mongolia, and Russia, and it was completed successfully.
We continue to strengthen our association with cricket. The 25th addition of CEAT Cricket rating and awards were held in Mumbai in this quarter. We are proud to share that we have onboarded Shafali Verma as our brand amba

ssador during this quarter. And with the world --
onset of World Cup, we've launched season 2 of CEAT Timeout Series with Matthew Hayden.
As a love of riding increases across the country, CEAT is expanding its portfolio and introducing new product platforms for rally, dirt biking as well as in upmarket steel radials.
Digitalization is the third major trend where CEAT continues to remain a leader. We are implementing Industry 4.0 practices across our plants. The Chennai plant went through the assessment of Lighthouse factory in quarter 2. We are awaiting the results of the assessment. As far as end consumers are concerned, we are heavily invested in marketing CRM. We received 1.5x more sear ches on SUV tyres, 7.5x higher brand mentions and 12x higher interactions per month so far this year vis -a-vis FY '23. We are generating about 6% of our passenger car replacement sales from B2C channels.
Capex. Our overall capex for the year is likely to b e about INR800 crores. Previously, we had mentioned INR750 crores. All expansion projects are progressing as per plans. And we want to reiterate our strategy of doing bite -sized capex every year. This will help us maintain consistency in margins as well as the return ratios.
Sustainability is an important pillar for us. We continue to reduce carbon footprint . For the half year our ton carbon emissions per metric ton of production was lower by 16% Y -o-Y. About 36% of our plant power requirement is through re newable sources and we intend to increase this

contribution further during FY '24. Water consumption per ton of production in half 1 reduced 8% Y -o-Y. Natural rubber was sourced by an alternate source to the extent of 25%.
Leading our purpose on safe mobil ity, CEAT has also created kiosks, provided free tyre service on the new Samruddhi Highway, nearly 100 cars avail this service every day. This initiative was taken as the accidents on Samruddhi Highway were increasing with tyre bu rst cited as the major cause.
So the benign raw material situation has helped us take faster strides towards making CEAT brands stronger as well as improving our return ratios. As demand remains buoyant, we are hopeful of managing the volatility in raw material basket in coming qua rters. As a Deming Grand winner company, we want to become more and more consistent in our financial performance, despite the inherent nature of our raw materials and are working on several controllables, which help us navigate this better.
With this, I wo uld like to hand over the call to Kumar for his remarks.
Kumar Subbiah: Thank you, Arnab. Good afternoon, ladies, and gentlemen, and thank you for joining our call pertaining to quarter 2. I would like to share some further financial data points with you all , post which we can enter into Q&A session.
First, revenue. Our consolidated revenue for the quarter stood at I NR3,053 crores, showing a quarter -on-quarter growth of 4% and year -on-year growth of 5.5%, largely both driven by volumes. As Arnab mentioned, our revenue crossed an important milestone of INR3,000 crores during the quarter for the first time.
Coming to gr oss margins , our gross margin for the quarter moved up from 41.1% to a healthy 43.3%, largely driven by lower raw material costs and better product mix. And the raw material costs were lower in quarter 2 to the extent of about 2.5% versus quarter 1.
And th e better product mix helped further in improving the gross margin and which to the tune of good overall 227 basis points. Crude oil, which was hovering around $75 to $80 range in quarter 1 has been slowly now largely operating at the higher end of around $ 90 to $95 since middle of August. And the same has impacted the prices of feedstocks that go into making of tyres.
In general, as you are aware that any increase in crude oil prices have always had inflationary impact not only

on crude derivatives, but als o on many other commodities in general.
International rubber prices have move d up by about $100 in the last two months. Taking further into consideration the depreciati on of Indian rupee in the last three months, we expect our raw material basket to increa se by about 4% in quarter 3 versus quarter 2.
As Arnab mentioned, we'll continue to remain watchful of the overall situation and take corrective actions wherever possible. Coming to debt, capex and working capital. We spent about INR170 crores of capital expenditure during the quarter. And with this, our overall capital expenditure in the first half is about INR390 crores. We expect our full year capex to be around

INR800 crores, marginally higher than our earlier estimate of about INR750 crores.

Working capital has remained at similar level, which is about negative INR140 crores as we saw it in the previous 2 quarters. We generated healthy operating and free cash flow during the quarter and the cash that we generated, we used it to fund our entire capital -- capex requirement fully and also to reduce our debt.

Our consolidated debt stood at INR1,890 crores, a reduction of about INR103 crores over quarter 1 of current financial year. Coming to leverage ratios, our debt to EBITDA now stands at healthy level of under 1.2x and debt equity to the tune of about 0.5x.

And during the quarter, the annual credit rating review happened and our credit rating of AA for long-term and A1+ for short term was affirmed by India Ratings. Coming to operational expenses. Employee costs increased by approximately 11% quarter -on-quarter, largely on account of annual increment cycle effective July and also a higher level of production activities in factories during the quarter vis -a-vis the previous quarter.

Other expenses a lso moved up by about 4%, largely in line with increase in our volumes. As regard to Sri Lanka business, we are happy to inform you that our volumes have now started growing in line with the improvement in economic conditions in Sri Lanka, leading to impro vement in the profitability of the business also during the quarter.

Overall, our consolidated EBITDA for the quarter stood at INR463 crores which translates to a margin of about 15.1%, almost 200 basis points higher than quarter 1 and almost double that o f the same quarter of last year. Our stand -alone EBITDA of 15% is the highest in the last 6 years.

Our consolidated profit after tax stood at INR207.76 crores, which compares favourably with the PAT, profit after tax of INR6.44 crores the same quarter of l ast year and INR144 crores in quarter 1 of the current financial year.

During the quarter, the company made an investment of approximately about INR20 crores in entity called, Tyres Nmore, through both primary and secondary group. With this investment, Tyre sNmore now has become a fully owned subsidiary of CEAT.

And depreciation and interest costs in quarter 2 is largely similar to quarter 1. Effective interest rate has increased by about 5 basis points over quarter 1, we expect interest rates to remain simil ar or slightly higher levels in the near term.

During the quarter, the company also paid 120% of dividend translating to approximately about INR49 crores as approved by shareholders during the Annual General Meeting in July 2023.

With this, now we can now open the floor for Q&A. Thank you.

Moderator: Sure. Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Aashin Modi from Equirus Securities. Please go ahead.

Aashin Modi: Congratulations for a grea t set of numbers. Sir, my first question is regarding volumes. So could you please give us some understanding in the replacement 4% year -on-year growth, which we have talked about in flattish quarter -on-quarter. If you could give segment -wise how

replaceme nt market performed and what is the outlook of different segments in the replacement market?

Arnab Banerjee So in replacement market, Q2 is a seasonal quarter, seasonal downturn quarter, as you would know. Y -o-Y truck/bus view at single -digit kind of growt h, low single digits. We had a very good growth in farm tyres in replacement market. And 2, 3 -wheelers as well as PC/UV grew around mid -single digits by volume in replacement Y -o-Y.

Aashin Modi: Okay. And secondly, sir, on the export side, if you could pro vide us more color on how Europe and off -highway is performing? And what is the sequential recovery we are seeing over there? And what is the outlook on the export side?

Arnab Banerjee: In export, in Europe, there is some kind of headwind because of slowdown in the economy. We have felt this headwind primarily in the Agri radial which is not growing in Europe. However, on passenger car radial and truck/bus radial, where our base is small , market share wise, but in the context of our volume, the base is pretty big because as I mentioned, about 1 million tyre is the run rate of passenger car tyres in Europe. So in these two segments, we are not really experiencing the headwind because we con tinue to grow as we keep developing our channel in Europe. Overall, Latin America, there has been some kind of headwind because of duties on TBR tyres, but now the market is adjusting to that new reality, and we expect to come back in the second half of th e year in Latin America.

The nearby markets of Africa and Asia are normalizing vis -a-vis last year and would -- are

already doing better than last year in the first half and will continue to do well in half 2.
Aashin Modi: Okay. And sir, my last question i s, so you mentioned that there has been some changing in pricing during the quarter. Could you please give us more color which segments were they? And any more pricing changes expected going forward?
Arnab Banerjee: In quarter 2, I mentioned there's a rela tive price positioning change, so I'll explain. In passenger category, there was a straight price increase of 2% roughly in quarter 2. And in truck/bus radial segment, there was a relative price change of 1%, which means there was a downward revision by co mpetition, whereas we didn't revise the price.
So in relative terms, these two categories were most impacted. And there were other changes also in light commercial vehicle tyres to the extent of about 1%. So that was quarter 2. Quarter 3, we will watch the situation, how the raw material moves. And given an opportunity now that our products are very well accepted across categories in terms of being superior by way of tyre life and fuel efficiency, etcetera, we will have opportunities, we'll wait and see wha t to do.
Moderator: Thank you. The next question is from the line of Raghunandhan NL from Nuvama Research. Please go ahead.
Raghunandhan NL: Congratulations, sir, on stellar numbers and also on the Deming prize. Sir, just wanted to better understand on the pricing situation. On the truck and bus you indicated that competition reduced price by 1%, so just wanted to understand, is it a one -off case where in certain categories, some

discounting or price reduction is happening? Or are you concerned about compet ition intensity increasing in the market?
Arnab Banerjee: Yes. So to clarify, the price reduction by competition is by way of pricing as well as by a way of discounting. Yes, there's a lot of competitive activity happening in the market. But as I mentioned that we have been able to increase volumes in a low seaso nal quarter, which is Q2 over Q1. Despite RMC going down, we have changed the relative price standing of our brand in truck/bus radial and PCR. So I wouldn't say we are not concerned but this is an encouraging sign that w

e have been able -- the market has absorbed this kind of pricing stan ce by CEAT and has rewarded us with higher volumes. So that's encouraging. But the concern will stay if this continues.
Raghunandhan NL: Understood, sir. And any trends you can provide, sir, in terms of the first few month s of the year, how has the market share trend has been? Have you been able to sustain share?
Arnab Banerjee: Yes. So one of the disadvantages of having this call so early in the next quarter is that we don't have the entire data of market share. But I will give you some direction on that. I think we are gaining market share in two -wheeler because the last four months to five months have been really great in terms of motorcycle and scooter sales in replacement market.
And on PCR, I would think that our marke t share will be steady in the sense that there will not be significant gains or significant losses. And in truck/bus bias we would have gained a little bit of market share and in truck/bus radial, it would be consistent market share. In farm, we would have gained market share in replacement is what we believe.
Raghunandhan NL: Got it, sir. And sir, on the electric vehicle, how would your market share be?
Arnab Banerjee: Electric vehicle, the market shares are relevant for OEMs only because in replacement, t he demand is still not anything significant. In two -wheeler, as I mentioned, two -wheeler OEMs, our market share would be 40% -plus. We are there in almost all the leading brands of the country, big and small, traditional players as well as new players such as Ola.
In four -wheelers, I mentioned some of the models where we are working with OEMs closely. And we have a high double -digit kind of market share in four -wheeler OEM. Both these are slated to improve in the next two years.
Raghunandhan NL: Got it, sir. And one of the focus areas was discontinuation of smaller diameter tyres and focus on the larger tyres. Can you update on the efforts because of this, would we be lagging the industry growth? And going forward, do you expect volume growth to be similar to the industry?
Arnab Banerjee: So our exit from smaller rim -size tyre is complete. All that has to be -- that was on the cards has happened. Our Q2 volumes incidentally are -- in OEM are better than Q1 volumes with a better mix of higher rim -size tyres. Th is volume recovery will continue through Q3 and Q4. And by next year, we will be at a significant growth over a lower base, obviously, because this year, the transformation is happening. And that will be very good for growth in replacement market as well.

Raghunandhan NL: Got it, sir. Just a last question. Can you help us with the segment -wise capacity utilization, two -wheeler, four -wheeler truck and bus?
Arnab Banerjee: So overall, it's improved to nearly about 80%. The outliers here are truck/bus radial w here utilization is in excess of 90%. And in farm radial, we have just completed one round of expansion. So optically, the capacity utilization is low, but there's a big demand in US and Latin America, etcetera. So here, the capacity utilization would show as around 65 -odd percent, but this is slated to go up in second half and into next year. Otherwise, it's around 80%.
Raghunandhan NL: So two -wheeler, four -wheeler would be around 80%?
Arnab Banerjee: Roughly around 80%. I'm giving you an average figure ac ross categories.
Moderator: Thank you. The next question is from the line of Jinesh Gandhi from Motilal Oswal. Please go ahead.
Jinesh Gandhi: Congratulations on Deming grand prize as the first company on the tyre side. Quickly on the capacity question. So the expansion which we are doing this year, the INR800 crores capex, that is made predominantly towards the OTR tyre, right? Or are we also in vesting now for TBR?
Arnab Banerjee: Yes, Kumar, would you like to share the b

reakup?
Kumar Subbiah: Yes. Okay. See, approximately, the revised number of INR800 crores that was communicated includes about INR200 crores of our normal routine capex, which is R&D, IT, digital, mo ulds and plant -related, maintenance -related capex. So we are talking about balance INR600 crores. And here, our truck and bus radial, we expect to spend a little over INR100 crores, we expect our OTR to be in the range of about INR250 crores. And we also are spending something on downstream of our Nagpur two -wheeler, passenger car radial two -wheeler. And in addition to that, we also have some small portion of the debottlenecking that we had undertaken in Halol factory. So these things a dd up to around INR800 crores.
Jinesh Gandhi: Okay. And what kind of capacity addition do we expect from this INR800 crores investment?
Kumar Subbiah: The major upstream capacity expansion is happening at Ambernath, which is specialty. There we are going u p from 105 tons per day to 160 tons per day. That plant will be ready in the next year and balance all of them, except some debottlenecking at Halol are mostly downstream capacity, upstream remained constant.
Jinesh Gandhi: Okay. And our strategy of this w ide size capex, how long can you sustain them before we get on to a proper brownfield or a greenfield capex? I mean what I'm trying to understand is how long can we sustain this kind of INR800 crores to INR1,000 crores of capex before we have to invest mat erially in large capacity?
Kumar Subbiah: See, broadly, if you look at our bias tyres capacity, truck, and bus bias we don't expect any requirement in the future. Passenger car and truck and bus radial tyres, both of them we have enough space in our Chenna i factory, and therefore, we don't expect any greenfield opportunity

in terms of going outside that particular location, as and when we add, we'll add it in the existing locations.
So truck and bus radial is more a brownfield. And in case of two -wheelers, it's more about downstream. So another two years, I don't think we would need any greenfield outside the existing locations. So we don't expect any new greenfield investment required based on our long -term demand and supply plan for FY '25 and FY '26.
And brownfield upstream capacity addition you are aware of, Ambernath is one and then second is truck and bus radial is another one. Other than that, we are not adding any other -- we don't expect to add any upstream capacity in the brownfield for the next two years.
Jinesh Gandhi: Got it. And this TBR INR100 crores is for upstream or that's the downstream?
Kumar Subbiah: Yes. It's a new project, we are adding about 45,000 tyres of capacity per day (note: please read corrected as 45,000 tyres per month) . It's an upstream and downstream. It's a brownfield in an existing PCR location at Chennai.
Jinesh Gandhi: Okay. Got it. And in that context, if I look at our debt evolution, so from where we are today at close to INR1,900 crores , we should be easily able to reduce this well below INR1,000 crores by end of next financial year based on our current plan, would that be a fair expectation?
Kumar Subbiah: No. See, we have reduced the debt to the extent of about INR450 crores in the last three quarters . But we do n't have a plan to bring it down to INR1,000 crores. We are currently at a healthy level . And our debt -EBITDA is currently hovering around 1.1, 1.2. So this is a very healthy level. And we would like to utilize the cash that we generate beyond capex plan t hat we have to reduce the debt. So which would be like INR100 crores, INR100 crores is what we have done in the last two quarters.
If the performance sustains and if you maintain the capex level, that is the kind of a direction in which we'd like to move d ebt to. But we don't have any plans to bring it down to INR1,000 crores. We would li

ke to utilize that cash through productively invest.
Jinesh Gandhi: Fair enough. And lastly, given the expectation of increase in commodity basket by 3 to 4 percentage poin ts. Do you see market being conditioned up to absorb that kind of price increases of, say, over two quarters or so and in turn, maintain our margins above 14%. Is that a likelihood which we're looking at? Or given that you talked about competitive intensit y being higher, there could be some risk to margins going forward?
Arnab Banerjee: So Kumar, I'll answer that.
Kumar Subbiah: Yes, Arnab.
Arnab Banerjee: What we are realizing is as the situation is evolving more towards the passenger side where we -- over two-third of our sale is non -truck, there the pricing is increasingly getting detached from the underlying raw material movement, not completely, but it is much more than, let's say, five

years back. So there is some pricing freedom there, if I may call s o and say so, and it is not so much available on the commercial vehicle side.
So we'll wait and see how the raw material behaves. And 2/3 of our portfolio we have demonstrated that we can take some calls. So we will see if it -- if the market can absorb at least for our brand, we will evaluate it should the RMC play up in quarter 3.
Jinesh Gandhi: Got it. Thanks and all the best.
Moderator: Thank you. The next question is from the line of Siddhartha Bera from Nomura. Please go ahead.
Siddhartha Bera: Hi, si r. Thanks for the opportunity. And c ongrats, again, on the prize and good set of numbers. Sir, my first question is on this export plan, which you plan to sort of push from the last quarter of this year. Will it be fair to assume, we might see a pickup or an improvement on the exports as early as Q4 of this year, so that it's visible for the entire next year? Or do you think, some of the entry into US, the benefits from that in terms of the revenues might take longer to sort of be visible? So some more thoughts on that.
Arnab Banerjee: Yes. So the entry into US should happen by end of quarter 4 or early quarter 1 next year. So the impact of ramp -up in US will be available throughout FY '25, that's one. Secondly, there was a lot of inventory with th e trade and in the smaller and bigger OEMs as well in Europe for Agri radial stocks, which should come down. And though at lower levels, but normal procurement will start by end of quarter 3 or quarter 4. So Europe should also be better even if the market situation doesn't change throughout FY '25 or FY '24. And as I said, Latin America, we are taking some steps to broad base our network there. So that market should as well improve. And some markets in the near vicinity have already normalized to a great ex tent. So we can expect to see a step -up in exports next year.
Siddhartha Bera: Got it, sir. And one question on the cost side. So if you see the other cost, line items are also steadily inched up even in this quarter despite any sort of major events. And i n the current quarter, we have a few events also. So first, some thoughts on why it has inched up? And can we see a bigger jump in the current quarter given that the events are there?
Arnab Banerjee: Yes. Kumar?
Kumar Subbiah: Yes. See, largely, if you loo k at other expenses, mostly, it consists -- as far as we are concerned, one is our marketing -related expenses; second is the supply chain -related expenses; third is outsourcing related costs; and fourth, broad heads all our operating expenses like travel. If you look at this, there was some drop in marketing costs in quarter 2 versus quarter 1, as we had spent a little more money in quarter 1 on IPL and related marketing costs. Where it went up in quarter 2 versus quarter 1 were broadly in three different a reas. Our quantum of outsourcing volume in quarter 2 was higher than quarter 1, particularly in two -wheele

r tyres. And number
two is, we moved the tyres from a factory location to the distribution location, we had incurred our SVC cost. It wouldn't have a profit and loss impact, but on a line item wise, it will show other expenses, but it is normally part of the closing inventory. Third, our travel costs were a little higher. Our conferences happened in quarter 2. People started traveling more. So we had incurred little higher level of travel cost.

Coming to your question, whether we'll see a higher level of other expenses in quarter 3 and quarter 4. I think other expenses will go up in the event activity increase. If there is a quantum jump in volume in qua rter 3 versus quarter 2 or quarter 4. However, otherwise, it should not go up from this level of base into quarter 3 and quarter 4.
Siddhartha Bera: Got it, sir. Sir, lastly, on the working capital also in the -- as we started the year, you had told about that, it might go up in the year, and we don't expect any sort of decline there. But in the

first half, we have managed quite well. So do you think in the second half given the demand, how it is -- the working capital levels can still go up or we believe i t may continue to remain where they are?

Kumar Subbiah: See, we continue to exercise tight control in quarter 1, quarter 2. Normally, quarter 4 is when our working capital would be at its best because of higher level of sales in quarter 4. And our debtors come down, we end up normally with a little lower level of inventory. We maintain that discipline coming into quarter 1 and quarter 2, both on our raw materials and finished goods. So that really helped, it is lower than what we had originally envisage d, keeping in mind the service levels. Our endeavour is to maintain at this level , and in the event that we want to improve our service level or if you see some delay in the transit of materials, particularly in the case of international business, we may h ave a little higher level of inventory. Otherwise, our endeavour is to keep it closer to our current levels.

Siddhartha Bera: Got it, sir. Thanks again. I will come again in the queue.

Moderator: Thank you. The next question is from the line of Chirag Shah from White Pine. Please go ahead.

Chirag Shah: Yes. Thanks for the opportunity. Sir, first question is -- actually, I was disconnected in between, so apologies for repetition. So volume growth for the quarter?

Arnab Banerjee: Yes. Volume growth Y -o-Y is about 7%.

Chirag Shah: And sir, this is in standalone or this is including the Sri Lanka at consolidated level?

Arnab Banerjee: Yes, it is stand -alone.

Chirag Shah: Standalone. Okay. And sir, second question is just a clarification on this OTR side. So you explained, what's happening on the US, how we are looking at it . But if you look at '25 and maybe '26, how should one look at the geography mix for the OTR between -- on the export side?

Arnab Banerjee: Can you please repeat your question?

Chirag Shah: Sir, on the OTR, if you take '26 as a year, how one should look at the geography mix between, say, Europe and US? How do you envisage that playing out for you? '25 being the year of feeding the US market, that's why -- so how should one look at the mix betwe en U S and Europe for your OTR business?

Arnab Banerjee: Yes. So OTR and Agri radial business, we are already in the US market. When I said, we'll launch in the US, it is passenger radial and truck/bus radial. In US, we have already started

growing, creatin g the network. We have a team of local team there in the US already. We have started getting to the OEMs. But in Europe, we are ahead of US. So we have to see, how these two geographies behave. We are quite bullish on US market as well.

Chirag Shah: Okay. But is it possible -- so internally, are you looking at kind o

f an equal split between the two geographies or one geography could have a higher share for next two years, three years?

Arnab Banerjee: Both are very big markets in their own ways. The product ranges are different. We are catching up on the product range on the US side because we enter ed that market later. But both will be equally big. I mean not exactly equal, but both will be of equal dimensions going forward.

Chirag Shah: Okay. Thank you and all the best.

Moderator: Thank you. The next question is from the line of Disha Sheth from Anvil Shares & Stock. Please go ahead.

Disha Sheth: Sir, good afternoon. Sir, you mentioned that OEM demand has been varied in Q3. So can you -- if you can just thro w a light on segment -wise? As you said, replacement is stable over Q2 in terms of outlook. Hello?

Arnab Banerjee: Yes. So I mentioned about OEM demand in Q2 actually. Yes, it was varied. So just to give you some description category -wise, two -wheeler, the OEM demand was flat to slight de -growth. The OEM volumes grew only in the month of September, and still they are far, far below the FY '19 peak pre -COVID, so that's two -wheeler.

Four -wheeler is doing well, growing well. They have topped an all -time high of 2 million tyres in half 1, and this industry is slated to cross 4 million cars in that entire year. So that's doing very well. The truck segment dipped very unexpectedly in the month of June, but it has recovered in quarter 2, and it is growing at single digit. So that's the kind of lay of the land in OEM in Q2.

Disha Sheth: Yes, sorry. So the outlook remains on the similar lines for Q3 and the year in terms of your order book?

Arnab Banerjee: See, Q3 is usually people are -- OEMs are very optimistic because of the festi ve demand in October and November. So retail offtakes are reported to be good in the month of September. We also track their retail offtakes. We have to see how that production comes up because that's what decides our demand. So optimistic in the first two months, but then December is a winter month where, again, demand slows down, and it picks up again by Feb and March. So it's a cyclical seasonal thing. Q3 may be good if the festival thing works out well and if the monsoon

effect is good.
Disha Sheth: And sir, in Europe in terms of off roader , the demand is still bleak or there are signs of improvement?
Arnab Banerjee: No, the trade and the OEM destocking is -- has still happened over Q2. We expect the demand to improve by end of Q3 and Q4. That's the curr ent expectation.
Disha Sheth: Okay sir. Thank you so much, sir. That’s it from my side.

Moderator: Thank you. The next question is from the line of Rishi Vora from Kotak Securities. Please go ahead.
Rishi Vora: Thank you, sir for giving the opportunity and congratulations on good set of numbers. Just one thing on the natural rubber procurement, can you just give us a sense on how much of the natural rubber requirement is met through domestic market? And how much is imported? And also, lately, we have seen that international price -- rubber prices have surged quite significantly. So what is the reason behind it? And do you expect that domestic natural rubber prices because of the higher international rubber prices can inch -up? Like how has been the historical trend of the commodities, that would be helpful?
Arnab Banerjee: Yes. Kumar?
Kumar Subbiah: Yes. See, there are broadly two grades of rubber that go into tyres . One is called a block rubber and another one is c alled us sheet rubber. Indian production is largely sheet rubber. Almost 95% plus is sheet rubber, and that is what we buy from the local market. And almost all of our sheet rubber we buy locally. And block rubber is what we import from the international m arkets. So our overall -- if you look at the split between block rubber and sheet rubber

, okay, approximately
60% of our rubber would be block and 40% of that would be sheet. So that's normally the average distribution between block and sheet.
You are righ t, the international prices have moved up in the last two to three months. And in the previous three months, actually, international prices were lower than the local market . So therefore, there's always been a commodity, an arbitrage between the two source s of similar kind of materials. There are three possibilities. One is that the natural rubber prices move towards international prices or international prices come down and natural prices move up and they strike a balance . Or there's always a difference of about INR2, INR3 per kg between two sources of rubbers. So being a consumer of natural rubber, we would prefer international prices to come down rather than expecting local prices to go up. So only time will tell. There are no strong fundamental reasons f or the international rubber to go up, except the fact that sometimes there's a sympathy towards crude oil prices, and therefore, it has a rub -off effect on block rubber. And last, is the reason for international prices to be higher than local rubber is als o because of the fact that curren cy, Indian rupee, which was around INR81 to $1 is now on INR83.20, INR83.50. That itself has had about 3%, 3.5% kind of an impact. So it's possible that could be a midpoint between local and international rubber and that's the way the market could unfold. And that midpoint could be local rubber going up, if international prices remain to -- remain at the same level.
Rishi Vora: Understood. And sir, what would be the difference between the current landed cost of international rubber and the domestic rubber prices today? Like any sense you have?
Kumar Subbiah: See, look, you know it's a commodity. There's no one fixed price. But however, I'll give you a broad range. International could be around INR157, INR158 landed and local could be INR150, INR151 landed, something like that.

Rishi Vora: Understood, sir. And just lastly, on this -- on the volume growth and the revenue growth. So on a Y-o-Y basis, I know you indicated the volume growth is 7% and revenue growth is a little bit lower. So there has been an ASP decline. And my understanding was that over the last one year, we would have taken price increases. So what is the reason behind ASP decline on a Y -o-Y basis? Is it just a mix or is there any other reason?
Kumar Subbiah: Arnab, you want me to take?
Arnab Banerjee: Yes, you can.
Kumar Subbiah: Yes. Okay. I'll take part of it, maybe Arnab will be able to substantiate even more. As was explained, the realization from our -- one of the three segments, which is original equipment manufacturers is linked to the movement in the raw material prices. So in a scenario where if raw material prices come down, our realization also comes down with the lag of three months

and the reverse is also true. So that's one of the main cont ributors for a little bit of a higher level of volume growth on the total value growth and maybe a marginal decline in the price growth at the company level. Yes, because of the OEM mix impact on the total realization.

Rishi Vora: Understood, understood. T hank you and all the best.

Moderator: Thank you. The next question is from the line of Akshay Karwa from Anand Rathi.

Akshay Karwa: Hi, sir. Good evening and thank you so much for the opportunity. Just one question on the margin side. Sir, now that we have stopped manufacturing those smaller rim tyres and we will be focusing on the larger tyres , how do we see the margins going forward in the next two years by '26? I mean this quarter; we did a 14.9% adjusted EBITDA margin. So where do you see that trend sha ping up, sir?

Arnab Banerjee: Yes. So when I said we are exiting small rim size to higher rim size, it is for pa

ssenger segment and in OEMs. So in the OEM segment, as it is the margin is low across rim sizes, the impact will come from higher replacement de mand of higher rim sizes, where the margins are definitely high. And the impact of passenger, the saliency of passenger car tyre in our overall business is let's say, around 20% or so. So the impact will take time to come. It will come gradually, but it will be positive as things now stand. Now, the higher rim size margins are significantly superior to the smaller rim size margin s.

Akshay Karwa: So I mean can we -- like in order to model, so can we assume that something like 17% margins going forward, like in the next -- after like two, three years or something like that? Or...

Arnab Banerjee: Yes, yes, it will take at least two years to translate into significant improvements.

Akshay Karwa: Got it, sir. That's all from my side, sir. Wish you all the best.

Moderator: Thank you. The next question is from the line of Vishal from Svan Investments. Please go ahead.

Vishal: Thank you for taking my question. Sir I had two questions. First, regarding, sir, in terms of RM prices, what possible action you would be tak ing to reduce the impact of our RM increase which is happening right now through product mix or geography mix or channel mix?

Arnab Banerjee: Yes. So as the RM price creeks up, we are already seeing -- over the last two years, we are focusing on the non -truck side, which is two, three -wheeler, four-wheelers, and off -highway tyres . So the saliency of this is going up and it will continue to go up quarter -on-quarter as we speak. So that is one. Plus, there are some micromanagements of product market mix, whic h we'll also be focusing on. The last resort and definitely a good option also if there's a significant rise in RMC, we'll look at pricing because as I mentioned a while earlier, on the passenger side, there's a little bit more pricing freedom than the com mercial side. So we'll look at that as well to mitigate the RMC hike, which looks like inevitable. That's going to happen.

Vishal: Okay. Okay. Sir, my next question is regarding what kind of peak revenue you can get from the current capacity which you have ?

Arnab Banerjee: Yes, Kumar, would you like to comment on that?

Kumar Subbiah: We had shared this in the earlier calls. Based on 31st March situation, based on the assets that we had commissioned without taking into consideration this truck and bus radial addition and OTR Ambernath addition, I think our revenue potential is a little in excess of INR14,000 crores . So that was a kind of a headroom without taking into consideration what we are adding this year and next year. So that is the level after which w e can go.

Vishal: Okay. So suppose that in FY'25 and '26, the kind of capacity expansion we are taking, you shared the debottlenecking plan, so what kind of peak revenue you can generate from -- once those capacities come in line?

Kumar Subbiah: See, we are adding about -- this year -- last year, we added about INR900 crores of capex, okay, only to the extent of assets commissioned, we've taken into consideration and we said the commissioned assets would give us a revenue potential of INR14,000 cr ores. Approximately, without going into specific details, depending on how we commission assets, whatever we are going to add this year, what we added last year but not commissioned and what we are going to add next year another INR2,000 crores kind of a p lus kind of a revenue opportunity is there by FY'26 plus INR2,000 crores plus kind of an opportunity, should we use all the assets to a 90% - plus kind of a capacity utilization.

Vishal: Great, sir. Great. Great. Sir, one small question regarding the OTR ram p-up, you said that 160 tons will be completed by FY'24 end?

Kumar Subbiah: Yes, it will be in quarter one or quarter two of next fina

ncial year. It is likely to be there at that time.

Vishal: Okay. Sir, post that in FY'25 and '26, what kind of expansion w e are planning for this segment?

Kumar Subbiah: Arnab, would you like to respond?

Arnab Banerjee: Yes. So right now, we are at 105 tons, which is completed, which we intend to ramp up and fill by quarter one of next financial year. In the meantime, 105 its elf is getting expanded to 160. So we are evaluating at what point of time we will run it up to 85%, 90% capacity and then take up the next expansion. So we are waiting and evaluating at this point of time, 160 is visible.

Vishal: Okay. Okay. Sir, how much the gross margin improvement happened in Q2 was because of this mix improvement maybe in product, geography, or channel?
Arnab Banerjee: Yes. So the overall improvement is 2.2% roughly. About half of that would have come from product market fit improvemen t.
Vishal: Okay. Sir, my last question regarding what kind of internally you are targeting ROC improvement by next two years, FY'25 and '26?
Arnab Banerjee: Yes. Kumar?
Kumar Subbiah: I think we had broadly explained our logic . Our endeavour is to be somew here in the range of 14% to 16% kind of ROC. Eventually when we cut down our investments, when we commissioned all of the assets, I mean the commodity environment is stable, that's the kind of a range at which we would like to reach. Most of our new invest ments that we have made in the last three years or so, and we had a visibility to that. For example, we always looked at capital investments or capex, which gave us a payback of five, six years and that translated to this kind of ROC. So that is the direct ion in which we are moving. I think we are not looking at destination as of now, we are looking at many milestones at which we would like to cross in this journey and then keep moving towards that particular direction.
Vishal: Fantastic, sir. Thank you. Th ank you and all the best, sir.
Moderator: Thank you very much. We'll take that as the last question. I would now like to hand the conference back to the management team for closing comments.
Arnab Banerjee: So thank you very much, and I wish you all the be st for the festivities coming up in quarter three and see you next quarter. Thank you.
Moderator: Thank you very much. On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us. Ladies and gentlemen, you may now di sconnect your lines.

Call: Jan 2024

“CEAT Limited
Q3 FY ‘24 Earnings Conference Call ”
January 25, 202 4

MANAGEMENT : MR. ARNAB BANERJEE – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – CEAT LIMITED
MR. KUMAR SUBBIAH – CHIEF FINANCIAL OFFICER –
CEAT LIMITED
MODERATOR : MR. CHIRAG JAIN – EMKAY GLOBAL FINANCIAL
SERVICES

Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY24 Results Conference Call of CEAT Limited, hosted by Emkay Global Financial Services. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. Please note that this conference is being recorded.

I would now like to hand the conference over to Mr. Chirag Jain, Emkay Global Financial Services. Thank you, and over to you, sir.

Chirag Jain : Thank you, Viren. Good evening, everyone. On behalf of Emkay Global, I would like to welcome you all for CEAT Q3 FY24 Post Results Conference Call. From the management team, we have with us today, Mr. Arnab Banerjee, MD, and CEO; Mr. Kumar Subbiah, CFO; and the Investor Relations team. We will start with the opening comments from the management on business updates followed by financial highlights. Post that, we will open the floor for Q&A. Over to you, sir.

Arnab Banerjee : Good afternoon, and welcome to CEAT's quarter three FY24 earnings call. I'll be taking you through the business updates for the quarter and then I shall hand over the call to Kumar for his remarks on financial performance, after that, we'll be opening the floor for Q&A. First, I'll talk about the volume performance. Growth momentum was good for quarter three with a 12.5% volume growth over last year.

All three market segments, OEM, replacement, and international business, have done well. Internationa l business has grown by 25% YO Y, led by passenger car tyres and two-wheeler. On the off -highway side, tractor volumes -- tractor t yre volumes remain subdued, but other off - highway applications have shown good growth. In terms of geographies, we had some headwind in Europe, but other areas did well.

Replacement did well with 11% YO Y growth, led by growth in two-wheeler segment. Commercial and passenger segment growths were also healthy. OEM volumes grew by 9%, again, led by the surge in two-wheeler s production. We continue to do well on the commercial side. Passe nger volumes -- passenger car ty re volumes were impacted by the small -sized exits that we spoke about last time, and we are gradually ramping up sizes of -- higher rim sizes ty res over the quarters.

Quarter three is seasonally a weak quarter for us, in line with historical trends. Our volumes de - grew 1.7% over quarter two, primarily because of degrowth in OEM segment. Other segments were more or less flattish with mild positive growth. We have done well in PC -- in passenger market share. We've been growing from 11% in FY '19 to 16% now. And even last quarter, we had a significant growth in market share in replacement Q3 on Q2.

We also gained market share in scooter in replacement in Q3 on Q2, and market shares for motorcycle tyres and truck tyres were flat. Demand outlook seems steady. Inflation has moderated, all frequency -- all high -frequency indicators are stable. Kharif output is estimated

to be lower. However, rabi -sowing has been normal. We are hopeful and positive on overall economic prospects.
2024, we'll see probably a slower OEM growth because of the high base effect. However, in replacements and international business, we expect decent volume growth. During the year, we have seen double -digit growth for scooter tyres in replacement, mid -single -digit growth for passenger tyres, motorcycle tyres and commercial vehicles, and we expect the growth rates to be on similar lines.
Commodity basket increased by about 2.5% vis -a-vis quarter two, in line with our expectations. This was largely led by crude derivatives and natural rubber. The prices have been ra

nge bound
since last couple of months. So for Q4, we expect RM cost to be in line with the current quarter. We have largely been able to m aintain our selling prices in replacement market, in OEM market, the indexation -related changes happen quarter -to-quarter.
And we have made some price corrections in export market to be competitive. The drop in margin Q -on-Q was made up through operational efficiencies. So the drop in EBITDA margin was less than the drop in gross margin. Capacity utilization overall, 75% to 80 % with higher utilization on the TBR side, and healthy margins and higher utilization helped us to report double -digit post -tax ROCE as well.
We continue to focus to improve capital productivity and efficiency and this is giving long -term sustainable results. We are future ready . We have been maintaining our stand on four megatrends: electrification, internationalization, premiumization and digital. On electrification, we maintained our strong share of about 40% of OEM business, including the start -up models. In the passenger side, we have now participation in EV models of Mahindra, MG, PSA, and we are also engaged with Tata, Kia , BYD as well. In the commercial side, EV, Tata, Olectra, Volvo - Eicher, Mahindra, PMI, etcetera, are brands, which we are engaged with. Also three -wheelers like Altig reen, Euler, EVage , etcetera.
In international, our -- we have had a robust growth in quarter three , as we talked about. We also plan to further accelerate the growth with product launches in off -highway, passenger as well as TBR tyre. Our US GTM rollout plan is on time with PCR and TBR. Launching with -- for 150 - plus SKUs in the US, Sri Lanka macro situation is normalizing and tyre demand has improved significantly.
The saliency of export, we will try to p ush up from 18% -19% to 25% in two to three years, which means almost doubling of our exports. Premiumization , we recently launched -- at the top of two-wheeler portfolio, we've launched CEAT motorcycle steel radial, and we would like to cover this range right up to 1,000cc plus super bikes.
During Q3, we launched the p lay on Any Terrain Campaign on -- for four-wheeler tyres on digital medium, and it had close to 11 million views. The CEAT premium range of passenger tyres, CrossDrive, SportDrive, SecuraDrive, and SecuraDrive SUV are doing well with increasing saliency.

Our spend towards brand building is consistent in the 2% range year -after-year, which also happens to be the highest in the industry. Our R&D spend is one of the highest in the industry, and we intend to keep the spend in -- on marketing and R&D on a sustainable basis at this level or even higher going forward.
We will be focusing on launching new products at the premium end based on customer needs. Off-highway and premium passenger tyres, including SUVs for India and export markets would see the most activities. We have about 160 patents filed out of which 33 have been granted. On the ground, about 340 exclus ive outlets were present in FY 21, which has since grown to 550 by end of -- by this year.
Our touch -- sales touch poi nts have improved to 55,000 in two years and we'll seek expansion of each. Our share -- our coverage for premium, super premium luxury cars, which is BMW, Audi, and Mercedes, is now in the range of 85% to 90%, and we would like to keep the coverage at this level with -- even with the introduction of new models by the OEMs.
On digitalization, we will continue to horizontally deploy the Lighthouse related gains of our

Halol plant to Chennai plant and Nagpur plant through implementation of Industry 4.0 concepts of advanced analytics models, which will help us immensely in effic iencies and reducing energy consumption. On the customer side, we would like to be engaged digitally in the right context. We have had 1.5x higher searches o

n the CEAT brand for SUVs, overall 50% increase in brand success, a 77% increase in brand conversion volume, 143% increase in average engagement per compared to FY 23 baseline. We are generating about 8% passenger tyre sales directly from B2C channels. And now we have about 1 million visitors per month on our website. Our capex is going to be around INR800 crores to INR 825 crores for FY 24.

The expansion projects are all on plan. And we want to reiterate our strategy of doing bite -size capex every year, which will help us to maintain a steady growth while maintaining the financial ratios. We are committed to sustainability. And in the nine months YTD FY24, our ton s per CO2 emissions reduced by 13% Y -o-Y, 35% of our plant power requirement is tied to renewable sources, and this w ill increase further during FY 24.

Water consumption per metric tonne in -- has already reduced by 5.5%. Natural rubber sourced by alternate source is today at 24%. We have also been able to reduce the rolling resistance of tyres by about 10%. Overall demand situation is good. RM is stable. We are hopeful of this benign macro situation to continue, and we look forward to further strengthen the CEAT brand through our marketing and R&D investments.

We are also striving to improve our cost efficiency and capital productivity continuously and aim to deliver market -leading returns. Now I would like to hand over the call to Kumar for his remarks.

Kumar Subbiah: Thank you, Arnab. Good afternoon, ladies, and gentlemen, and tha nk you for joining our quarter three FY24 earnings call. I'll share some further financial data points with you, post which we can enter a Q&A session. First on financial performance. Our consolidated net reven ue for the quarter stood at INR 2,963 crores, year -on-year growth of about 8.7%, driven largely by volume

growth; and quarter -on-quarter, we observed some -- minor drop due to seasonality of the business.

Next, on gross margin. Raw material basket observed an inc rease of about 2.5% in quarter two FY24. This, along with some minor price correction in the international markets and adverse product mix led to gross margin contraction to the tune of about 202 basis points on quarter -on-quarter, while there has been substantial improvement in gross marg in vis -a-vis same period of last year.

Crude has increased more than -- had increased more than $90 to $95 range -- operated largely $90 to $95 range in the first two months of the previous quarter but corrected in the later part of the last quarter to range of $75 to $80 s ince December. And in the last one month -or-so, natural rubber prices have increased by about $120 in the international market, and the same is reflected in the local market. And rupee has more or less rema ined stable in the range of INR 83 to INR83.30. Considering these facto rs, we expect raw material baske t to be range -bound in quarter four.

Coming to capex , cash flow and working capital. Our capex outflow d uring the quarter was about INR 215 crores. And cumulatively, we have spent INR 605 crores in the first nine months. We expect our capex for the year to be in the range of, as Arnab mentioned, in the INR800 crores to INR820 crores on a full year basis.

Our working capital during the quarter went down by about INR111 crores, driven largely by improvement in receivables and enlarged payables. And I'm happy to share with you that we ended the quarter with negative working capital about INR249 crores. Our operating cash flow during the quarter and also in the first nine months has been very healthy. Our consolidated debt stood at INR1,729 crores, a reduction of about INR162 crores in quarter three versus quarter two.

In the first nine months of the current financial year, our gross debt has come down by INR363 crores and by INR618 crores in the last 12 mont

hs. With a drop in our debt and with a healthy generati on of cash profit in the first nine months of the current year, our key leverage ratios like debt-to-EBITDA on a consolidated basis stood at a healthy level of 1.05 and debt equity further improved to 0.44.

Coming to operational expenses. Our employee cost during the quarter largely remained at same level s as quarter two . Other expenses were reduced by about 9%, largely in our distribution cost, factory operating costs, marketing advertisement costs, which helped to bridge the gap in the gross margin versus last quarter to an extent of 50%. Better control of our operating expenses is

flowing through in the EBITDA number as well.
Update on Sri Lanka business. Our Sri Lanka business reported strong growth in revenue and profits year -on-year. And this gives us the confidence that the business is progressively getting back to pre -economic crisis period. The Sri Lankan currency has als o stabilized with a positive bias towards appreciation in the last three months.

Depreciation and interest costs were largely similar in quarter three as was in quarter two. Effective interest rate has largely remained the same in line with quarter two , and we expect interest rates to remain at simil ar level in the coming quarter two . Overall, our consolidated EBITDA margin for the quarter stood at 14.14%, an improvement of about 541 basis points year-on-year and a drop of about 89 basis points quarter -on-quarter.
Our consolidated profit after tax for the quarter stood at INR179.76 crores, which compares favourably with INR34.85 crores of the same period of last year. Our profit after tax for the first nine months stood at INR531.49 crores versus INR49.97 crores in the previous year.
I'd like to give an update on the credit rating. The credit rating agency, CARE, carried out annual surveillance for -- in the month of December and confirmed credit rating of AA for long -term and A1+ for the short term gets s table. With this, we can now open the floor for Q&A. Thank you.
Moderator: The first question is from the line of Aashin Modi from Equirus Securities.
Aashin Modi : Sir, congratulations on decent set of numbers. Sir, my first question is regarding your improvement of your balance sheet also reduced your debt by almost INR600 crores now. So now with the RM basket remaining stable and our -- also capex in the INR800 crores, INR1,000 crores range, do we expect to continue to reduce our debt levels or do you expect to invest into our business? How do we expect going forward?
Kumar Subbiah: We'll continue to focus on efficiencies in working capital and cash profit that we have generated to fund all our capex program. In the last quarter, we also managed to bring our working capital by INR100 crores. Now we are at minus INR250 crores level, okay, so while our endeavour is to keep it at this level, okay. At some point in time, we have to bring it back to the normal levels. So we expect the debt to stay more or less at the current level or with bias towards some drop in the next quarter, sometimes advanced tax payment, final tax payment play some role in the cash outflow. So maybe at current level, I think we a re comfortable at debt -EBITDA, one . Okay. So we may maintain at current level.
Aashin Modi : My second question regarding the profitability in the export business. So you mentioned that you've taken some price c uts in the market and now with R ed Sea crisis increasing our freight cost. So how do we expect that profitability in the international business to happen going ahead?
Arnab Banerjee: The export business is margin -accretive even at this moment. All the product categories, which is agri radial, passenger radial and truck bus radial have a superior margin profile. So it makes sense to push for volumes in export markets at a moderate price cut a

nd which we did in quarter three , and we have achieved a volume hike of 25% Y -o-Y. So we will continue to push for overall mix saliency hike of export in all geographies for all categories.
Aashin Modi : Okay. And then lastly, could you give us some colo ur on the demand outlook for different segments in the domestic replacement market going forward?

Arnab Banerjee: Yes. So domestic replacement market, if you see most of the categories, commercial, motorcycle and passenger car tyres are growing in volume terms in single digit, somewhere around mid - single digits. And so far, and it will continue to do that. The outlier is the scooter tyre category where the growth is in double digit. So that's the trend, and we expect this trend to continue for at least some time.
Moderator: The next question is from the line of Jinesh Gandhi from Ambit Capital.
Jinesh Gandhi : A couple of questions from my side. One is, when you're talking of double -digit growth in replacement. This was predominantly driven by the scooter segment and other segments remaining fairly high -- mid to high single -digit growth. That's the underlying e xpectation or there's something else to that?
Arnab Banerjee: Replacement market, are you talking of the quarter three growth?
Jinesh Gandhi : No. Going forward.
Arnab Banerjee: Industry or CEAT?
Jinesh Gandhi : First, for industry and in then in that context, CEAT.

Arnab Banerjee: Okay. Yes. So we are -- if you talk of Y -o-Y growth, we have been seeing Y -o-Y growth across segments. Yes, it is higher in the two-wheeler segments in motorcycle and scooter. In scooter, the market is growing well, and we have been gaining market share. In Q3 over Q2, we have gained market share in replacement. We have gained market share and replacement in passenger also, and passenger, as I said, is growing in mid -single digits as well.
So -- and in TBR, we have a small base single -digit market share. So we -- on a small base, we expect to grow handsomely in TBR as well. So our Q3 volume growth has been across segments and in replacement, and we expect to grow like that in the coming quar ters as well.
Jinesh Gandhi : Okay. But even the industry, you expect to grow in mid to high single digit on the replacement side?
Arnab Banerjee: On an -- the industry, as I said, is mid -single digit for most categories, but scooter tyres is an outlier, which is growing in double digits.
Jinesh Gandhi : Okay. That was for industry. Got it. And second question pertains to exports. So given that we are looking to double our exports in the next three years, would it be largely led by taking share from Chinese imports and their end markets? Or you are also expecting reasonably good growth in the end markets as well?
Arnab Banerjee: There is an impact of the availability of the Chinese market, there is protection in many of the markets. However, our positioning in the, let's say, truck bus radial or passenger radial is primarily in the value segment. What I mean is the value segment i s -- if the Chinese -- if the top end European brands are at EUR100, the Chinese would be typically at EUR40, EUR45. The Koreans will be about EUR80. So we'll be around the Korean or slightly lower than that. So a long distance away from th e Chinese brand.

And during recessionary conditions, usually, there is a down trading that happens. So we expect to get those benefits, and we are still in a growth stage. So we expect to keep growing as we get market access in different markets of Europe and US.
Jinesh Gandhi : Got it. And lastly, when you're looking at doubling of exports and increasing share of exports and a reasonably good growth in the domestic replacement segment? Whereas OE is expected to grow at slightly lower pace. In that context, how do we see margin valuation from wh

ere we are at 14%, where we are today? The mix improvement on its own should lead to higher margins than where we are today? Or you see some pressure on margins go up from where we are today?
Arnab Banerjee: So as we said, the raw material position is flattish, that's number one. And yes, we were trying to improve the mix in terms of businesses and product market combination. So we expect the margins to be mostly range -bound within a narrow range. I don't thin k we should expect any significant upswing or downswing in the near future.
Moderator: The next question is from the line of Siddhartha Bera from Nomura.
Siddhartha Bera : Congrats on a good set of numbers. Sir, replacement growth of 11%, can you break it down into segment -wise, how it was like EV, two-wheeler, and truck?
Arnab Banerjee: So Q-on-Q, we grew about 11%, you're right. As I mentioned, we have grown across the segments. So commercial category growth is in low double digits. And so it is for passengers. These are all volume growth. The outlier here is, again, two, three -wheeler where we have grown in excess of 20%. And we have seen some headwind in farm tyres, so that growth is in single digit.
Siddhartha Bera ; Sir, this is Y -o-Y growth, right?
Arnab Banerjee: This is Y -o-Y. Correct.
Siddhartha Bera : Yes. okay. And sir, the second question then is on this ASP, we have seen a fair amount of correction quarter -on-quarter. So why is it like that? And -- I mean, will it fully normalize if the growth levels also normalize going ahead? Or how should we look at it?
Arnab Banerjee: Yes. Can you please repeat your question?
Siddhartha Bera : The ASP. So we have seen nearly close to 1.7% correction in the ASP, selling prices, so why is that on...
Arnab Banerjee: Yes. And s o as I mentioned, the ASP is actually pretty stable, barring some drops in the international markets, which I mentioned. In OEM, we pass on the benefits through indexation, as you know, so that happens sort of automatically quarter -on-quarter, about 70% of our OEM volumes are indexed to underlying raw material prices. And replacement ASP is flattish. So with the raw material remaining flat, I don't see any big change in ASP barring business mix -related changes. In terms of pricing, I don't see, as of now, significant changes happening.
Siddhartha Bera : Okay. Sir, second question is on the international side, you mentioned nearly 25% volume growth on a Y -o-Y basis. But the business mix, which you shared, it shows that export mix is

18% in the first nine months and in the first half, it was 19%. So it seems to have fallen down and it's not sort of going up in line with what volume growth we are seeing. Why is that? Just wanted to reconcile.

Arnab Banerjee: Yes. So our export volume growth Q -on-Q is mainly positive. It's flattish actually, right? So as I mentioned, there are some headwinds in Europe, where we have a decent base of agri radial tyres and passenger radial tyres, what happens is that during the -- during this quarter, the consumers change over from summer tyres to winter tyres. So at that point of time, there's a pause in off -take because they have those winter tyres in their homes, which they just flip and the volume growth of pas senger is likely to come back again in quarter four.

Siddhartha Bera : Got it. Sir, lastly, on this working capital, like now you are pushing more on the exports. They're really -- do we expect working capital levels to go up or these are like the sustainable levels which you expect to continue going ahead?

Kumar Subbiah: With the recent situation in terms of longer transit times or a sailing time, it'll -- so there'll be some impact, receivables would go up because of that. However, in the overall scheme of things, it may not have much of an impact on the working capital s egment. There will be some impact, but it won't be

material.

Moderator: The next question is from the line of Aditya Rathi from Aequitas Investments.

Aditya Rathi : Firstly, my question is around the capex . So if you can give us a brief idea about the various commission timeline of the INR800 crores capex . And secondly, also, if you can explain the INR1,000 crores capex that has been announced for FY 25, various areas where we would be spending this money, that would be helpful.

Kumar Subbiah: I think INR800 crores capex is a total capex outlook that we have given for this year. And this includes -- it's a combination of project capex as well as routine, okay, in this INR800 crores, marginally about INR200 crores is a normal routine capex , which is, say, capex on R&D, capex on molds, capex on IT, some plant -related capex . This is normally would be that range around INR200 crores, INR225 crores. INR800 crores largely is the project related -- minus INR200 crores is largely project r elated, okay?

Okay, so during the course of the year, we have completed or we invested in some of the projects, which are ongoing. For example, the downstream toward -- for a two-wheeler in Nagpur, something in PCR, passenger car at Chennai and some capex and specialty tyres. So these were all on -going project capex deposits we incurred.

I think that -- so we will continue to incur. Overa ll, in the last four or five years, about INR5,200 crores worth of capex has been approved. Again, that we have spent little lower INR4,000 crores so far. On an ongoing basis, we'll continue to spend on downstream where upstream has been completed depending on our immediate demand.

INR1,000 crores is more the estimate, which anyhow will fine tune during an annual plan and get back. Could a -- would be a kind of a number that we will have to keep incurring, assuming that we grow at the current level, considering that we have our capital, capital -intensive business.

However, we don't have a complete breakup for INR1,000 crores as our annual plan discussion is under progress. And by the end of the current quarter, we complete it for us to break that into various projects and also various categories.

Aditya Rathi : Got it. So basically, the commissioning of all this project happens during the year only. We do not have any specific date when a majority of the capex will come on stream. Is that the right understanding?

Kumar Subbiah: See all the projects that we had announced so far, we already commissioned. And some of them have completed. Halol truck and bus radial was commissioned and completed. We have completed the entire capex and two-wheeler tyres at Nagpur. We are at the last 5% stage in terms of down steep. Otherwise, INR520 crores -or-so, we have already incurred, completed, we are left only with last INR30 crores.

Passenger car radial tyres at Chennai, where we committed about INR2,066 crores to create some passenger car radial tyre capacity. There, capex cash flow part more or less completed , but execution in terms of commissioning is still pending, but we still have another INR200 crores to spend there. And truck and bus radial that we announced which -- we went slow involving about INR700 crores of capex as we speak, we would have completed about INR260 crores, INR270 crores and balance it's something which in the second quarter of next financial year, we will complete and we'll keep incurring as we ramp up process.

And the last one is in our specialty. We are increasing the capacity from 95 tons to about 155 --

105 to 155 tons, which is in progress. We'll incur that, and maybe later part of next year, we'll complete that project. So these are the projects that are in progress. And some of them have been completed, few of them are work -in-progress.
Aditya Rathi : Got it. Thank you for the detail -- explanation. Sir, secondly, my question was around the st

eel
radial tyre initiative that we launched 5 days back. So what is the kind of market that we are targeting, given that this is a new product segment for India? And what are the export opportunities that we can see in this segment? Because my understanding is that premi um tyres would typically -- we would look for global sales of this product as well.
Arnab Banerjee: Okay. So the objective of launching this tyre was focused towards the domestic market, motorcycle and -- primarily motorcycle, which is completely biased. About 3% of this is absolute top end of motorcycle steel radial, where we have started seeing some activity from domestic players and a lot of tyres are imported because of inadequate supply in the domestic market.
So to start with it is 3%, but we are seeing a big consumer trend of stepping up the bikes that they are purchasing and in terms of consumer behaviour from just committing to actually cruising from Mumbai to Pune or Delhi to Agra and all, even going to Ladakh with their bikes. So there is on -road, there is off -road and going at very high speeds from the highways. So this kind of behaviour will add finish to this growth of 3% saliency, this will increase in saliency very much in the next 5 years. So this is the market that we are trying to address.

Feeding this market is also OEM bike devel opment. For example, there are two bikes already launched by Royal Enfield, 650cc and 450cc, both of them have been launched on C EAT motorcycle steel radial. There are similar lineups from other OEMs. So there's a lot of activity going to happen in with the OEMs and replacement market first in domestic. Coming to export, yes, there is an opportunity. But first, we will focus on domesti c before looking at the export market.
Aditya Rathi : Got it. Sir. And lastly, my question is slightly near term. So given that you have guided the demand in replacement segment is good, and we expect the same to continue for next year. So is there any further scope for increasing realization in the replaceme nt segment especially?
Arnab Banerjee: I think we are looking at a stable situation at this point of time. It also depends on competitive activity. Yes, we do have -- now when I say we, CEAT as well as our competitors do have some leeway as compared to the past on pricing because the industry i s changing to that extent. But my view is that it will be a period of stability rather than significant increase in top line -- in sales realization. However, business mix -related improvements are definitely possible and we'll gun for.
Mod erator : The next question is from the line of Vishal from Sv an Analytical Instruments Private Limited.
Vishal: Sir, I have a couple of questions. Sir, you said that you have taken pricing correction in domestic OEM as a measure to pass on the RM benefit, depending on the indexation. So at current price level is the pass -on complete or there is some portion of pass -on is still remaining?
Arnab Banerjee: Yes. So this is computed at the end of the quarter. As you know, right now, the comput ation is quarter three on quarter two. So we expect the trend to reverse in OEMs in quarter 4.
Vishal: Okay. Okay. Sir, going forward, do you see -- you have also said that you have taken the pricing correction in the export market to gain some market share. So what is your view on your strategy going forward in near term? Will you further do such kind of a ction to further augment your market share?
Arnab Banerjee: I think we have taken a very minor kind of correction. So it's not that we -- that it is a long -term strategy. We are satisfied with the kind of pricing and the margins that we are getting. Raw material cost is also going to be stable. So we expect more st ability in export pricing as well as volumes going forward.
Vishal: Okay. Sir, what is the volume growth you are ex

pecting in the export market for the next year?
Arnab Banerjee: Next year planning, we are still undergoing, but it will be robust, and it will be higher than what we will plan for the domestic market. Our strategy is to kind of double the export business from wherever we are in about three years' time. So you can understand that it will be an aggressive plan.
Vishal: Okay. Okay. Sir, one more bookkeeping question. I just missed the cash or liquid investment numbers as of Q3 FY24 if you have shared that number earlier.

Kumar Subbiah: No, we didn't specifically share the number. There's no cash and liquid asset investment. We only had a small amount of money, which is in transit -- cash in transit. Otherwise, we didn't invest anything in liquids.
Vishal: Okay. Sir, what -- can you share what is the utilization levels across different segments?
Arnab Banerjee: The capacity utilization, you mean?
Vishal: Yes, sir.
Arnab Banerjee: Yes. So it is around -- everywhere, it is around 75% to 80%, barring truck/bus radial at Halol, which is running at about 95%.
Vishal: Okay. Okay. Sir, my last question regarding how are you seeing the demand scenario in export market in near term across the segments?
Arnab Banerjee: So as I said, the headwind in Europe is there, and it's likely to continue for some more time. We don't see that reversing soon. And other markets such as Latin America -- in US, we are going to launch two of our categories. So that's going to give us incremental growth. We are already present with agri radial in US. That's growing fine. Our base is, of course, very small. In other legacy markets of Africa and Middle East, etcetera, there is not much of an issue in terms of headwind. So over all, I would say it will be similar to what we are experiencing in this year.
Vishal: Okay. Okay. So sir, generally, what would be the -- is the dealer inventory levels are at the comfortable levels as per your requirement or it is on a higher side currently in export markets?
Arnab Banerjee: No, so the down -stocking is happening. I think it will peter out. But the overall demand level will not improve. So maybe it will stabilize the input and output will stabilize. The down stocking is more or less we have seen a couple of quarters of down stocking . So I don't think there's much of down stocking that will happen further in retail.
Moderator: The next question is from the line of Raj from Oculus Capital Growth Fund.
Raj: So I wanted to ask regarding this tweet, Mr. Harsh Goenka tweeted a few hours ago. So could you throw some light on that tweet?
Arnab Banerjee: You mean the Tesla one?
Raj: Yes, exactly.
Arnab Banerjee: So it's not from India. It's one of our international markets where we have fitted our super premium range, which is the CEAT SportDrive, which is also available in India, and that has been fitted on a Tesla, so he tweeted about that. This range is essentially meant for the super luxury range of Mercedes, BMW, Audi, etcetera, where we ha ve about 90% coverage, which I mentioned in the opening remarks. So it's one of those tyres, which has got fitted and he tweeted about it.
Raj: Okay. Which country is it, if I may ask?

Arnab Banerjee: It's Dubai.
Moderator: The next question is from the line of Aditya Rathi from Aequitas Investments.
Aditya Rathi : Sir, my question is around the freight cost as of now, given the current crisis. How do we expect this to affect the margins in the coming quarters?
Arnab Banerjee: You're referring the export freight, right?
Aditya Rathi : Yes, export and import both will get impacted, right? So is there any significant impact on our margin because of this?
Kumar Subbiah: Okay. No, both will get impacted because overall ocean freight rates have gone up, but the freight rates have go

ne up more towards Western part of -- Western side of India towards Europe, North America, and Latin America and less of Southeast Asia and China to India. Raw materials come from the other side, okay, where the freight rate impact is not so much.
But on the export side, it has gone up. We believe it is temporary in nature. Okay, it may have some impact on our realization wherever we have a CEAT contract, okay, and we'll pick up the cost to the extent that we have -- already have an arrangement on a CEAT basis.
It will have some impact. We are not yet quantified. We are hoping it is more short -term in nature. But we'll give an update maybe by end of this quarter in case if it has any material impact.
Arnab Banerjee: Yes. I'd just like to add, the impact is mostly on the European routes. For Lat -Am and US, the impact is not that much.
Mod erator : The next question is from the line of Mitul Shah from DAM Capital Advisors.
Mitul Shah : Congratulations on a very st rong performance. Sir, I have two questions. First one is on export side. As you highlighted, Europe is under stress. But apart from Europe which other geographies do you see would be reviving or would be a key growth dr iver going forward in the next one to two years?
Arnab Banerjee: Yes. So barring Europe, to be honest, most of the other geographies are playing out fine. As I

mentioned, in US, we are yet to launch. So that growth will come forward -- start coming in from a 0 base from quarter 1, which is passenger car, truck/bus radia l. Our agri radial business in US is doing very well, again, on a small base. So th ere is no problem there. In Lat -Am, in all the countr ies, we're pretty strong in Lat -Am as well. We have not seen any kind of headwind there, on truck/bus ra dial, agri radial.
Agri radial, there is some headwind in the OEMs, but not too much. Two -wheeler, everywhere, we sell a lot of two-wheelers in Lat -Am as well. So we are not seeing too much of a disruption there. In the traditional mar kets of Africa, Middle East, et cetera, Southeast Asia. So there's not too much of a change even there. So it's business as usual in most of the parts, barring Europe where there is a headwind.

Mitul Shah : Yes. Sir is there a change indication from any of this geography or we are hearing about tariff hike for US imports tariffs from Asian countries, anything on this?
Arnab Banerjee: So we have heard about US looking at imports from Thailand, but there is no concrete information there. There's a possibility that they may restrict imports from Thailand in some time. That will be a positive development for our business. But we have no confirmation of that, nor h as the decision been taken.
Mitul Shah : Sir, second question on replacement side. Within all this segment, which segment do you see to be more promising, apart from two-wheeler , 3-wheelers where we have seen 20% -plus growth, but among this PCR, TBR and tractors and OTR, which segment do you think from a replacement perspective...
Arnab Banerjee: So I think -- yes, I think passenger car tyres is looking promising because the OEMs have had a terrific year and they -- the -- it's on the back of another good year last year. So those demands will now show up in the replacement market. We expect growth to be robust. Second interesting part of the replacement market is the increase in saliency of premium tyres, which is the higher rim sizes. And we are seeing a very good traction of our premium range, which I mentioned SportDrive, SecuraDr ive SUV, CrossDrive, which is an all -terrain tyre, which we have launched. And this covers all the vehicles that we have in the -- on the Indian roads, including super luxury models.
So we are -- the margin profile is very good in this higher rim size tyre. So overall growth, premiumization, investment by the government in roads, trend of custome

rs to travel longer distances with their families and friends. You have seen SUVs being 50% of the OEM sales this year. So we are quite bullish about our market sha re aspiration in the passenger car tyre segment. And a lot of investment is happening in R&D, and we'll continue to invest in marketing, which, as I mentioned, has been highest in th e industry, and we'll continue it at that level.
Mitul Shah : And sir, lastly on off -highway in terms of what is our strategy and outlook in terms of off -highway growth point of view?
Arnab Banerjee: So off -highway -- yes, off -highway is following the same pattern, doing well in Latin America, US, growing in Europe but it could have grown faster had the recession not been there. The second point is we have decided to upgrade the product mix off -highway to steel radial also, very small portion of the off -highway tyres are steel radials now. A significant portion of that will be steel radial in the next 12 to 15 months, which will enhance the margin profile of the off -highway tyre exports.
Mitul Shah : Gaining market share is relatively tough or can we consider similar to other segments?
Arnab Banerjee: In off highway , you mean international markets?
Mitul Shah : Yes. Yes.
Arnab Banerjee: Yes. It depends on market access. To be very honest, we really don't look at -- we have a pricing strategy. If we have access to the market through a good distribution partner we can have the

volume plans met easily. If we don't have a very good distribution partner, whatever pricing we do, the market share will never come. So I think more important than pricing is the quality of distribution partner which is what we are focusing on.
Moderator: The next question is from the line of Vishal from S van Analytical Instruments Private Limited.
Vishal: Sir, in terms of exports, we have seen that in nine months, we have grown by almost -- export revenue has grown by around 6%. Is this number correct, sir?
Arnab Banerjee: YTD, you mean?
Vishal: Yes, YTD.

Arnab Banerjee: Okay. I'll just have that checked. Meanwhile, if you have another question, you can ask.
Vishal: Yes. So going forward, what measures you will take to -- when you say that you will double exports in next two years, what measures we will take in terms of that will drive this growth? Which segment will drive this growth or which region do you plan -- you know -- think that will drive this growth?
Arnab Banerjee: So three regions: Europe, U S, Latin America. Three categories: agri radial, passenger radial, truck/bus radial, to a lesser extent, but truck/bus radial also. And in some specific geographies, two-wheeler s also. So that's the product market combination. What steps we are taking? It will require -- it will call for investment in new product development, which is very specific to the specific geographies. What se lls in Europe won't sell in Lat -Am and vice versa. So that plan is already on. We have a 5 -year road map for that.
Second is the consumer outreach in local markets, it will be initially mostly through the channel and through digital channels. So we are going to transfer our digital capabilities to these markets as well initially. And we are going to make investments li ke we have made investment in cricket. Likewise, if in Europe, it is going to be football, we'll go behind football. In US, if it is baseball, we'll go after baseball, but after we get a certain scale, not in the initial days. So it will be a replacement market play in these geographies for these products .
Vishal: Okay. Okay. Sir, what is the current regional mix in exports?
Arnab Banerjee: Okay. I'll go back to your first question, which I left unanswered. YTD value growth is about 14% Y -o-Y.
Vishal: Okay. Okay.
Arnab Banerjee: Yes. Your question was what is the -- yes, so it is fairly balanced. I think at this

moment, the
largest region will be Lat -Am. Lat -Am -- and it's fair ly balanced. Lat -Am, Africa, Europe is also pretty big, US is small for us. US is a growing market. Only agri radial is selling there. Southeast Asia is small for us. So if you ask what are the t op 2, 3 regions, then it is Lat -Am, Middle East plus Africa and Europe.
Vishal: Okay. And how do you plan that this will change over a period of next two years?

Arnab Banerjee: So US will be the big market that will come into the portfolio. As we launch the passenger radial and truck/bus radial, we would expect US to be as big or maybe bigger than Lat -Am or Europe.
Vishal: Okay. Okay. Sir, my last question is regarding after this OBR expansion where I think you will be expanding the capacity to 165 tonne per day, what is the next phase you are planning post that?
Arnab Banerjee: So we are currently at 105 tons per day, and we will reach about 160 tons per day in the next phase of expansion. We will focus on capacity utilization of 160. When we reach about 80%, 85% capacity utilization, we will plan the next phas e. And the five -year road map for the product line up, et cetera, is ready. So we will trigger the next activity when our capacity utilization reaches a proper level.
Vishal: Okay. Sir, what -- can you share the five -year road map, some highlights on product planning as per -- on the OTR segment?
Arnab Banerjee: Yes. So a rough idea, the product planning is like this. We have about 700, 750 SKUs. We would like it to expand to about 1,500 SKUs. And we're not going to follow. We are going to leapfrog on the emerging segments.
For example, there's a track , which is an emerging segment, so we jumped on to it. The emerging segments ar e very profitable in the first three to five years and then gradually when the volume increases, the profitability goes down. So that's more or less the plan because now we have got a significant exposure for sufficient length of time in Europe and also, to a lesser extent, in US. So we have -- we are catching those early opportunities and we are launching these number of SKUs. This year, we would have launched about close to 150 -plus SKUs. So that's the plan we have a 5 -year road map on that. Forestry is another area where we'll ge t into, for example. We have already launched some tyres in those range. So that plan is ready. The triggering of capacity will happen when utilization reaches a certain level.
Vishal: Great, sir. Sir, my last question, I know it will be too premature, but in the next five years, do we plan to reach this capacity of OTR somewhere around 500 -odd PPD?
Arnab Banerjee: I wish it comes true. So we'll be very happy if we do that.
Moderator: There are no further questions from the participants, I now hand the conference over to the management for closing comments. Over to you, sir.
Arnab Banerjee: No, thank you very much for your questions. I think the way you ask the questions; it helps us to look inwards and also raises some interesting opportunities in our mind. So thank you very much for the participation. I hope you are satisfied with our answers and see you again next quarter.

Moderator: On behalf of Emkay Global Financial Services, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2024

“CEAT Limited
Q4 FY‘24 Results Conference Call ”
May 03 , 202 4

MANAGEMENT : MR. ARNAB BANERJEE -- MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – CEAT LIMITED
MR. KUMAR SUBBIAH -- CHIEF FINANCIAL OFFICER –
CEAT LIMITED

MODERATOR : MR. ANIKET MHATRE -- MOTILAL OSWAL

Moderator: Ladies and gentlemen, good day, and welcome to Q4 FY '24 Results Conference Call of CEAT Limited, hosted by Motilal Oswal Financial Services Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Aniket Mhatre from Motilal Oswal. Thank you, and over to you, sir.

Aniket Mhatre : Thank you, Riya . Good evening, everyone. Welcome to the Post Results Conference Call of CEAT Limited. On behalf of Motilal Oswal Securities, I would like to thank the management of CEAT for giving us an opportunity to host this call. From the management team, we have with us Mr. Arnab Banerjee , Managing Director and Chief Executive Officer of CEAT; M r. Kumar Subbiah , Chief Financial Officer; and the Investor Relations team.

I would now hand over the call to Arnab sir to begin with his opening comments, and then we can take the Q&A session. Over to you, sir.

Arnab Banerjee: Hi, everybody. Good afternoon, and welcome to CEAT's Q4 earnings call. I'll be taking you through the business updates for the quarter. And then I shall hand over to Kumar for his remarks on the financial performance, then we'll be open for Q&A.

To start with, we are pretty upbeat with the demand situation in India. Vehicle penetration is still low, and trucks still don't travel 1,000 kilometers per day. So there's a lot of headroom. Government has been focusing on infra development and national h ighway network has grown 60% in a decade. The top players in the industry are well positioned with capacities in place and balance sheets that enable matching pace with this group.

The tire industry is covering a growing share of India's manufacturing GDP and is expected to be reaching 3.4% of manufacturing GDP by 2032. We a t CEAT had experienced a stellar year characterized by a very high profitability of INR635 crores for financial year '24 along with double -digit ROCE. The success was further underscored by generous dividend distribution of 300%, and we have had a stable margin for the quarter and also for the year and strong FCF generation. Our ratios have been strong with debt -to-EBITDA being lower than 1 and debt equity at about 0.4.

The tire industry being one of the most competitive industries in India is seeing good level of evolution with better pricing independence across segments. During quarter 4, we witnessed price cuts in TBR segments by some of the players. But at CEAT, we largely maintained the pricing with only marginal cuts in category, while we actually enhanced prices a minor way, in the passenger segment as well as farm tyres .

Quarter 4 and the entire financial year has been a momentous year for us because we are celebrating 100 years of our existence in the tire industry. We continue to strengthen the brand with targeted market ing expense. CEAT has once again secured the rights to the IPL Strategic

Time Out for the next 5 years so this will be a cumulative of 14 years now were brand property has been with us. Volume performance we grew by 5.4% in the quarter over last year and our replacement market particularly has done well in quarter 4. Exports, grew by 22% on volume and we've witnessed robust growth from Middle East and Brazil along with Europe.
Off-highway tires also witnessed good growth in LatA M and the U.S. market. Replacement grew by 5%, led by growth in TBR, passenger and 2 -wheeler segment. With our focus on premium categories we have been able to improve our saliency in premium segments in all categories. PCR market share in repla

cement again increased this quarter, and now we are close
to 17% market share. In 2 -wheeler, we have crossed 35% market share and maintain leadership. We have gained market share in TBR as well, though we are still in single digits.
OEM volumes in quarter 4 declined marginally, primarily due to decline in CV and in 2 -wheeler tires. Also on a full year basis, our volumes grew by 6.5%, led by export and weaker growth in replacement and OEM segments. By way of demand , domestic situation, as I mentioned, is upbeat , inflation has moderated. We expect above normal rainfall in the forthcoming monsoon season. We expect in most categories, high single digit to touching double -digit kind of volume growth in OEM and replacement markets.
The landscape of tire manufacturing is also being reshaped by increasing focus on sustainability and the already well -known trends of CAESwhich is connectivity, autonomous, electrical and shared mobility.
On the margin front, we should share first that the commodity basket has been flattish in quarter 4 versus quarter 3 in line with our guidance. Natural rubber prices are trending high which had marginal impact in Q4. But if this trend continues, we could h ave an escalation of RM cost by 3% to 4% in quarter 1.
We have been able to maintain our pricing in OEM segment and export markets. Operational efficiencies helped us to not affect our margin profile significantly. Stand -alone EBITDA for the quarter stood at 13.4% and stand -alone net profit was INR 119 crores. Capacity utilization continues to be good in the range of almost 80%.
I will cover now the extended producer responsibility, which is E PR. In July '22, the Ministry of Environment, Forest and Climate Change issued regulations on E PR for waste are applicable to tire manufacturers and recyclers. This would mean that the goods sold in domestic market, in T -2 years will be considered as base for calculating our obligation. As per this, the company has an obligation as on March 31, 2024 for FY '24 and also for FY '23.
We have provided for the same on a prudent basis, while the matter has been represented to the government with the company and industry forum to apply E PR prospectively and with changes in modality. We estimate the overall liability to be INR107.2 crores for both years FY '23 and '24, and this has been provided in the books in the current year . Out of this, INR34.5 crores pertains to FY '23 obligations and has been disclosed as an exceptional item during the quarter and year ended March 31, '24.

There has been evolving clarity and the relevant ecosystem gradually coming into place for E PR related cost in action. Going forward, we shall be providing for 100% of the quantity of new manufactured tires based on this formula, this will work out to roughly 1.2% to 1.4% on domestic sales. We expect that we will be able to mitigate this impact on our margins in the medium to long term due to improved product mix, pricing and internal efficiencies.
On the future trends, electrification, we continue our good work in the electric vehicle segment. In the passenger EV segment, we have entered Tata Punch EV, which is a high -volume vehicle. With this entry, we have become a supplier to all EV OEMs that are locally manufacturing in India. We now have close 20% share in the passenger EV in India, and we also have a share of around 27% in the 2 -wheeler EV ecosystem in India.
In the commercial EV segment, we have got an entry into switch Mobility's first vehicle as well as Volvo Eicher new SCV, which has been unveiled recently. Internationalization has been a key driver. We have launched 55 -plus off -highway scale in Q4. Export business is margin accretive for us, and therefore, we'll continue to invest in product mix for agri Radial and PCR and TBR. Right now, the export constitutes about 19 -plus percentage, and we would like to

take
this up to 25% in the next couple of years.

Mahindra launched their OJA tractors in U.S. completely fitted with CEAT tires. We are progressing well on channel expansion in U.S. market. The macro situation in Sri Lanka is improving gradually and passenger demand has improved there. However, commercial tire demand is still to come up.
On the premiumization front, we launched the steel radial sport rad and cross rad in the 2 -wheeler range. This is meant for high -performance motorcycle. The current potential is about 3% of the overall market and is expected to grow fast. We are also associating with premium properties such as the KTM cup and we are sponsoring several adventure biking events as well.
Our share in premiumization continues to improve, and in PCR, cross drive, sport drive, drive and security SUV continue to gain salience in the whole category. We will continue to invest in marketing spends, which hover around 2% plus range year -to-year an d which is the highest in the industry.
As mentioned earlier, our coverage for tires required for BMW, Audi and Mercedes continues to be in the range of 85% to 90% and despite rapid introduction of new models, we'll continue to launch products to keep the coverage at this range. We will continue to have highest RnD spend as compared to peers in the industry for new product development for Indian and global markets.
Our exclusive outlets have reached 550 numbers by the end of this year and our distribution expansion continues into the hinterland of the country. On the digital front, CEAT received smart manufacturing company title at CNBC that rating Manufacturing Summit 2024. We continue to deploy the Industry 4.0 initiatives from Halol to our Chennai plant in line with the light out concept.

We have had a good engagement in all social media platforms. We continue to focus on increasing our connect with end users digitally . Brand searches for premium vehicles and SUV grew by 9x, 60% increase in brand conversion volumes and 156% increase in average engagement per post per month compared to FY '23.
Furthermore, through website leads, we registered a 50% increase in premium sales. Our CapEx for FY '24 ended at around INR860 crores, the expansion projects are on plan. We reiterate our strategy of doing bitesize CapEx every year. In line with this strategy, we expect around INR1,000 crores of CapEx in FY '25.
We are focused on reducing our carbon footprint, tonne CO2 emission per metric tonne of production was lower in FY '24 by 7%, 36% of our plant power requirement is through renewable sources and at Bhandup plant, which is in the middle of Mumbai City, we installed an auto carbon charging system, which is good for the environment.
Natural rubber sourced by alternate transit route went up to 26%, and the rolling resistance of tires went down by 5%. Overall demand situation is good. We are upbeat about the India story, as I mentioned, and there is a mild inflationary impact in raw mat erial prices there is an EPR impact, and we expect to mitigate the impact of this escalation through better management of our resources.
With this, I would now like to hand over the call to Kumar.
Kumar Subbiah: Thank you, Arnab. Good afternoon, ladies and gentlemen, and thank you for joining our quarter 4 FY '24 earnings call. As the year -end, I will share some financial data points relating to the quarter 4 and also full year, post which we can take Q&A session. Overall financial performance, our consolidated net revenue for the quarter stood at INR2,991 crores, a year -on-year growth of 4.1%, driven by increase in volumes. Our consolidated EBITDA for quarter 4 stood at INR400.9 crores, which is 5 .8% higher than the same amount of the previous quarter.
The EBITDA as a percentage is a little lower in the current quarter versus the previous quarter, mainly on account o

f advertisement cost and regulatory costs. The regulatory cost aspect has been already touched upon by Arnab, I'll also explain briefly in t erms of the impact of it.
Coming to gross margin. Our gross margin saw an improvement of approximately 100 basis points, driven by better mix and the impact of higher inventory at the quarter. As we come into the current quarter, the prices of key raw materials like natural rubber and crude derivatives have shown an upward trend. In case of natural rubber, we're seeing an upward trend since the beginning of the previous quarter and the same is likely to impact our raw material costs in quarter 1 to the extent over 3% to 4%.
The crude has seen some correction in the last 2 or 3 days, and we hope it's sustained at the current level and if it sustain s the impact on raw materials could be lower. Considering these factors, we'll continue to keep a close watch on RM situation and based on how it evolves, well appropriate decisions should be taken.

Coming to debt, CapEx and working capital. We spent about INR260 crores of CapEx during the quarter so far on a full year basis, we spent about INR866 crores, which is broadly in line with our indications given in the earlier interactions.
I'm happy to share with you our overall operating working capital came down by about INR102 crores during the year and largely driven by improvement in inventories and receivables. We are also happy to share with you that we generated a healthy free cash flow of INR857 crores during the year, which is the highest and that helped in terms of funding all our CapEx during the year from our internal approvals.
Our consolidated debt stood at INR1,629 crores as of 31st March, a drop of about INR470 crores versus the same period of last year. Our debt to EBITDA on a consolidated basis stands at a comfortable level of 0.97 and debt equity of 0.4. Our debt EBITDA of 0.97 is the lowest in the recent years.
Coming to operational expenses, our employee costs largely remained same level as quarter 3. Our marketing spend has increased during the quarter on account of new campaigns, participation in IPL and WPL. This will continue in quarter 1 as well as due to IPL in quarter 1. For the year, as explained earlier on E PR. During the year, we made a provision of about INR107 crores towards extended producers responsibility. Our of INR107 crores, INR35 crores related to the previous year, and therefore, we have reported that as an exceptional and balance amount has been shown as other expenses in our consolidated as stand -alone books.
In the quarter 4, we approximately provided about INR40 crores after adjusting the provisions that we made in the earlier quarters. The impact of this additional provision that we made in quarter 4 is close to about 1.3% of the EBITDA for the quarter, and this may be appropriately considered while making compa risons with the previous quarters.
Depreciation for the quarter increased due to higher capitalization and commissioning of our assets, and we expect it to remain at this level for coming quarters and in the first half of the year. Interest costs declined during the quarter compared to quar ter 3 on account of lower debt and effective is largely the inter statement line in quarter 3, and we expect the interest rate to be in the range of plus or minus 25 basis points into quarter 2.
On a consolidated basis, we have an exceptional cost of INR58.17 crores. As explained just now, it includes close to about INR35 crores relating to E PR. We also have a voluntary retirement scheme launched in one of our factories and the cost of that is about INR7.99 crores and during the year, we also made some changes in the distribution model in Bangladesh and leading to reconfiguration of our business model.
And therefore, we took a call to take a write -off of some of the assets in our Bangladesh joi

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venture entity, and the impact of the same is about INR15.66 crores. Our overall consolidated profit for the quarter stood at INR102.3 crores and on a full year basis, it stood at INR635.3crores.

In the Board meeting, the Board recommended a 300% dividend for the last year, which approximately translates to about 20% of our profits, and this is subject to approval by shareholders in the upcoming Annual General Meeting.
With this, we can now open the floor for Q&A.
Moderator: First question is from the line of Arjun Khanna from Kotak Mahindra Asset Management.
Arjun Khanna: The first question is on the extended producer responsibility part of it. Sir, if you could help us understand why was it just taken this quarter given that it came or was notified since 2022, November? The second part of the question is, are we registered as a manufacturer and recycler or what registr ations have you taken? And in terms of the recycling, is the way of doing it ourselves and reducing this cost base of 1.4%?
Kumar Subbiah: You see this notification was issued in the year 2022, as you mentioned, around that period. For producers of tires to implement the recommendations of that particular notification. Some other conditions included having a portal registered dealer for recycling tires. So that infrastructure did not exist in '22 -'23. In fact, even the first 9 months of the current year, '23 -'24 also, the infrastructure was not fully in place. It is because of accounting prudence and to ensure that we follow the principles of conservatism, okay, we have made this provision. The company as well as the industry body has taken up with the government already to explore options or requested government to make it defective prospectively and also with some changes in mo dalities.
So it's in the absence of clarity with respect to establishing the impact of it and also inadequate infrastructure, okay . It was decided in the previous year, not to provide for the same thing. And

even in the current year also only towards the end of the year, and the government started insisting on fulfilling obligations. It was felt that it is better to reflect it in our financial books. In our books, we started providing from the beginning of the year based on our own internal estimates. When we came to a some kind of certainty with respect to the amount, we decided to provide in quarter 4, whatever was unprovided and also relating to the earlier year.
The next question, we are not recycle rs. So therefore, how we would like to fulfill the obligation is to buy certificates from recyclers who will buy those tires from the market and then recycle them and convert them into an another useful product, and we will buy those certificates from them. And the cost that we have shown in our financial statement is the cost of certificates that we would have to buy from these cycles. And we have not registered ourselves as a registered recyclers. Those who are in the business of recycling have registered themselves in the portal as the registered recyclers.
Arjun Khanna: Sure. That's very helpful. So just as a supplementary question on this. In terms of EP R certified costs, have you seen an increasing trend? And are they available to the quantum that's required at this point in time?
Kumar Subbiah: No, it is not available. It all depends on what is the extent of obligation. And as we said, it is because of accounting prudence, we have made all the provisions, it is not available. It started

some quantities started being available in the portal from quarter 4 of the last financial year, more in the later part of it. If someone were to theoretically arrive at the total obligations for this period of previous 2 years and what is required in the current year, a fraction of it is what is available at this poi

nt in time.
And in terms of pricing plan, I think it's too early to say anything. It's just starting. I think we need more time to understand whether the prices will remain at current market level or will it increase or go down. So I think we need more time.
Arjun Khanna: So just to understand the number that we have utilized for this quarter is essentially the current pricing in the market. Is that the right understanding?
Kumar Subbiah: No, we have not utilized. We didn't buy anything in the previous quarter.
Arjun Khanna: No, no. I'm saying the quantum. Yes. So the quantum for the accounting provision is the current price of the E PR certificate may not be available in that volume, but we have used that price into the quantity of recycling that we are supposed to that 35%, 70%, et c.
Kumar Subbiah: No. We have considered the current prices. We also made some understanding because the quantum involved is large. So we made certain assumptions with respect to what is likely to be the pricing. And accordingly, we have estimated the liability.
Moderator: Next question is from the line of Siddhartha Bera from Nomura.
Siddhartha Bera: Sir, again, just to clarify this point, we have provided INR40 crores in the current quarter. And the remaining INR30 crores has been provided in the first 3 quarters. Is it the right way to understand this?
Kumar Subbiah: Yes.
Siddhartha Bera: Okay. And second is, when you say that the quantum provision for the next year will be somewhere about 1.2% to 1.4% of domestic sales. Again, this can vary depending upon the pricing in the market? Or do you think this is largely decided and it won't chang e basically if you look at the full year?
Kumar Subbiah: No, it's an estimate, and it will change because the cost of certificate is what we are taking it as a cost. If the certificate cost comes down or goes up, it will have some variation. It is more an indicative number for somebody to understand the implicat ions of it. So needless to say , any movement in the prices will have some impact on the current estimate.
Siddhartha Bera: Got it, sir. And sir, my second question is volume...
Moderator: Could you please return to the question for a follow -up question. Next questio n is from the line of Amarkant G aur from Axis Capital.
Amar kant Gaur : My question was regarding the RM escalations that we have seen in the recent past. The natural rubber prices are up significantly when the crude may not be. So in your estimate, how much

price increases will we have to undertake to mitigate those kind of impacts on RM? And how much have we taken? And any clarity you can give on the price that you have taken yet.
Arnab Banerjee: Yes. So coming to the price hike, we did mention that we took a very moderate / very little price hike in quarter 4 itself in farm and PCR not across the category. In the month of April , by April

end this year, in this quarter, we have taken a price hike of around 1.5% in replacement and we are in the process of converting our orders to the new pricing in international business that also will be around 1.5% to 2% as it settles down. OEM is indexed as you know. So OEM pricing is will know the index and calculate the pricing end of quarter 1. So that is the pricing situation. So the price hike is -- the raw material hike is 3% to 4%, then you need about 1.5%, 2% at least to mitigate. So with the lag, I think we will be able to mitigate as to the price hike requirement.
Amar kant Gaur : All right. I have follow -up questions, but I'll fall back in the queue.
Moderator: Next question is from the line of Raghunandhan N. L.: from Nuvama Research. .
Raghunandhan N. L.: My question was again on EPR. Sir, can you please explain the computation because -- when I look at your last 2 -3 years , 2 years of calculation, it comes to 1.5% of domestic sales in FY '23 for 35%

2 years ago and 1.4% for FY '24 and for '25, you've given a range of 1.2% to 1.4%. One of your peer who also reported results today for them, the math works out to something like 0.8% to 0.9%. So as per the ETR document, it was showing that the calculation is based on weight into conversi on fac tor into quantity. So how do we try and arrive at this number? How is the competition done?
Kumar Subbiah: Okay. See, this is applicable when you produce and sell tires within India, okay . So from that point of view, when you apply as a percentage on our total turnover, it may not be comparable with any other organization unless otherwise, the exports and domestic turnover percentage is in the same range or it's at similar levels, one.
Number 2, I clarif ied the estimate of cost could vary from 1 organization to another organization. To my knowledge, still 31st of March, nobody would have incurred any cost of significance, okay . So everything that is getting reported is on an estimated basis. So only when you actually incur that cost, you will get to know the real cost and this liability people will discharge over a period of time.
So from our point of view, when Arnab had indicated in his speech in terms of this number, he indicated as a percentage of domestic sales. If you were to convert the expected liability, what would that be based on that percentage. So you should at this poi nt in time, take more as an indicator and the number of percentage to marginally differ from one organization to another organization, while we don't have understanding how somebody else has done.
I think it is on domestic sales. So on domestic sales, since it's not 100% at a certain percentage of our total sales, that is the way it would work out to. And it is also the note, it is around production, not on sales. Okay. If there's any difference bet ween production and sales, that will also have some implications. What you have produced, if you have not sold, okay, you may provide based on production. But it may not exactly match with as a percentage of sales.

Raghunandhan N. L.: Just supplementing on E PR, would you need to use more recycled inputs as raw materials? Will this lead to increase in RM cost?
Kumar Subbiah: See, we already use some small percentage of recycled materials. And the product needs to be recycled, okay . It doesn't have to be incorporated in the tire manufacturer once again. Our endeavor is always as a responsible corporate , an endeavor is to see how to use greener material out to use a recycled material so that it has put less load on the ecosystem. So from that point of view, if there's an opportunity for us to use more, we will certainly use subject to our R&D and recipe permitting that. Okay.
But however, our endeavor is to see how to create that ecosystem that will develop in terms of capability to recycle these tires. I think that is the direction in which industry as well as our site will work towards.
Raghunandhan N. L.: Got it, sir. I'll fall back in the queue.
Moderator: Next question is from the line of Basudeb Banerjee from ICICI Securities. .
Basudeb Banerjee : Just wanted to understand like with this year with strong margin and good business, working capital also supportive good free cash flow generation, debt reduction. So what is the utilization segment wise? And what is the planned CapEx for FY '25, including maintenance, growth CapEx as such?
Arnab Banerjee: So plant utilization is around 80% in most cases, barring TBR where utilization is very high. We have almost fully utilised our capacity and we are expecting fresh production from our Chennai expansion project of TBR in quarter 2, scaling up in quarter 3 and quarter 4. So TBR is an exception. Otherwise, it's closing to 80% in all cases. CapEx is around INR1,000 crores with about INR250 crores of maintenance CapEx and about INR750 cr

ores of growth CapEx,
primarily in Chennai TBR project, then our Ambernath expansion of agriculture radial project and also in Chennai PCR projects. These are the 3 main projects for the growth CapEx will be

deployed.
Moderator: The next question is from the line of Rishi Vora from Kotak Securities.
Rishi Vora : This quarter, our volumes grew by 5% and replacement segment also grew in that range. And you guided for a high single -digit, low double -digit growth in the coming quarters. So what are the key drivers for volume trajectory to improve from here on? Can you just highlight some of those that you are seeing on ground? .
Arnab Banerjee: Yes. So quarter 1 is a positive season for all kinds of tires because of the summer heat when tires are replaced where it is also high. So we expect strong volumes in TBR radials in replacement market that is. We expect strong volumes in passenger radi als, which is also aided by the election season. And the rural and small towns are showing signs of recovery. We have had very strong growth in replacement in motorcycle and scooter in the past 3 -4 months, we expect to continue in summer with a gaining market share in both passenger categories.

In the OEMs the commercial category is muted because of elections and is expected to stay in that zone till about August, September, when we might see a recovery in truck tires OEMs. Two - wheeler is doing very well in the second half of last year and expect it to do very well this year. They are still below the pre -COVID level. So we expect good headroom there.
And passengers may moderate a little OEMs. But still low single -digit growth is possible. In April, they grew by 1.5%. Globally, of course, in the international markets, we expect a small - - we expect the launch in the U.S. in the month of July or August quarter 2, that is strong growth expected in Middle East in Europe as well as Latin America. So that's the overall scenar io of demand outlook across the 3 segments.
Rishi Vora : Sir, any ballpark number which you'd like to share for full year in terms of overall volume guidance, it is high single digit for full year across segments like on a blended basis?
Arnab Banerjee: Yes, we would be targeting about a double -digit kind of volume growth, high single digit to double -digit kind of volume growth across segments. That's an average of segment.
Moderator: Next question is from the line of Amyn Pirani from JPMorgan. .
Amyn Pirani : Just going back to the E PR, and thanks for all the explanation till now. Just wanted to clarify. So I think there was a rule that for a year, the provision, which has to be made is for the prior year or 2 years prior production? Or is it like what provision you're making in FY '24 , that INR70 crores is for FY '24 production and FY '25 will be FY '25 production?
Kumar Subbiah: See, obligation for FY22 -23 is 35% of T minus 2, okay . An obligation for FY23 -24 is 70% of T minus 2. So that is the obligation. If we have any unit company tire manufacturers come into existence during this interim period, then the obligation starts 2 years after that.
Amyn Pirani : Okay. So for FY '25, you will be providing 100% of FY '23. Is that the correct way to think about it?
Kumar Subbiah: Yes. The base for that is T minus 2 production basis to arrive at the obligation.
Amyn Pirani : Okay, okay. Understood. And just 1 follow -up on this. You mentioned you will try to mitigate it through mix, price and efficiency. So given that this is going to impact all the tire companies, at least the domestic business of all the tire companies almost equally, are you not expecting that there should be a pass -through at least on the OEM side, which is already on a formula basis? And even on the replacement side, because this is something which is an extra cost for everyone? Or do you think that there c ould be companies

which would not pass it on and hence, there is some competitive activity on this basis also?
Arnab Banerjee: So on the OEMs, we have started engaging with the OEMs. And as you rightly said, it is an indexed formula for most of the OEMs. So we are hopeful of the outcome, but its basis a discussion with the OEMs and resolution on a one -to-one basis. In the replacement market, yes, it's a competitive situation. There could be competitive activity. But it is just like for the channel and for the customer its just like any raw material input cost increase. So they are not really

concerned whether it's EPR or some at other cost increase. So the price hike will be just taken as if an input cost has gone up and based on the competitive activity, of course.
Amyn Pirani : Understood.
Moderator: Next question is from the line of Mumuksh Mandlesha from Anand Rathi.
Mumuksh Mandlesha: Yes. Sir, I just wanted to understand on the market pricing environment in the market, sir? I mean you have taken a price hike in the end of April, particularly one large player is diverging in terms of price increases. So how do you see that kind of impac t on the pricing for us?

Arnab Banerjee: The pricing, as I said, is not totally 100% dependent on competition as it used to be some 5 -7 years back. There is some degree of pricing in demand that is possible. There is some degree of net share movements also that are possible. But individual players decide on their relative strengths and take those calls. So it has played out over the last 7 - 8 quarters, and it will play out in the future as well.
The quantum of price hike one may decide to take in different categories may also be different, right . So we have taken the price hike basis our strength and where we believe that we can pass it on without any significant impact on our market share on our volumes. For example, in passenger car category, we took a minor price hike in quarter 4 and we gained market share in quarter 4. But it may not hold true for all categories for us, and likewise, for all the competitors.
Mumuksh Mandlesha: Understood, sir. Just Kumar, sir, what would be the impact of Red Sea on the freight cost for this quarter, sir?
Kumar Subbiah: No. See, freight rates have moved up for largely to movements to Europe, okay . And the rate increase has been happening since beginning of quarter 4. So it's almost 300% increase is what has happened in freight rates. So it stays at that level now.
Moderator: Next question is from the line of Jinesh Gandhi from Ambit Capital.
Jinesh Gandhi: My question pertains to the current quarter performance where if I adjust for the EPR provisioning, EBITDA margins have improved almost 120 basis points is the third quarter despite stable RM basket and like the impact of freight cost. So is this entirely due to mix improvement or there is something else which is not getting the structure?
Kumar Subbiah: Okay. See, I think you're referring to the gross margin has improved by about close to about 100 basis points.
Jinesh Gandhi: No, I'm referring to EBITDA margin. EBITDA margins have improved about 130 basis points if I adjust for the ETR provisionings.
Kumar Subbiah: If you adjust for ETR provisioning, so if you approximately, let's assume about 1% -1.2% kind of an impact of quarter 4. So if you added to the quarter 4 margin, it is not a 1% improvement. It is about 20 to 30 basis points improvement over the previous quarter. That's what it is. So

that's largely attributable to better mix. I think as Arnab earlier mentioned, we grew strongly in replacement and exports. So that plays some role.
And if you're referring to gross margin, gross margin, the way it is computed. It has some impact on account of if you hold a higher level of finished goods inventory. The way gross margin gets

reported, it will tend to show a little higher because you just the closing value of finished goods, which is include non -material component. And therefore, it might appear as a higher improvement in gross margin, but at EBITDA level, it gets neutralised .
So largely, I think if you add back, it's not a 1%, it is about 0.2 %-0.3% improvement over the previous quarter, quarter -on-quarter.
Jinesh Gandhi: Okay. Okay. Got it. And second question pertain, given that there is such a strong outlook for demand, which we are looking at for FY '25 and we're already at 80% ex of TBR. Do we need to increase our CapEx investments to meet this growth and also meet our market share aspirations or we can manage to do this CapEx without looking at a large brownfield expansion?
Arnab Banerjee: As I mentioned, the CapEx utilization is higher for TBR. In TBR already, there's a big expansion underway at Chennai and we expect commercial production in quarter 2. So we are prepared for meeting the TBR demand and growing market share in TBR.
Jinesh Gandhi: And for other segments?
Arnab Banerjee: Can you repeat, please? .
Jinesh Gandhi: For other segments PCR and 2 -wheelers and OTR?
Arnab Banerjee: For other segments, there is enough headroom to grow in the current capacity. And in PCR also, there is an expansion going on, looking at future demand of 2 to 3 years. So the current CapEx outlay of INR1,000 crores is sufficient to look after current demand as well as future demand in the medium term.
Moderator: Next question is from the line of Swechha Jain from Whitestone Financial Advisors.
Swechha Jain: Just coming back to the EPR provision. What I want to understand is, going forward, -- every quarter, we will make a provision of 1.3% to 1.4% of the domestic sales. Have I got this correct, sir?
Kumar Subbiah: So, it is an indicator. because it has just started in the quarter that went by, we had not incurred anything. So from our point of view, it's more an indicator, it could be in that range. It depends on the cost of certificates. We will look forward to we hope government considers the request of the industry. So it was more as an indicator. I think we can keep fine -tuning in the coming quarters once you get a better hold on the certificate market and also we are assuming the need for recyclin g increases. There could be more players coming into the market. So these things all

these things influence.
Swechha Jain: But -- okay. Sir, but we every quarter or we will do like...

Moderator: Ma'am we're not able to hear you clearly.
Kumar Subbiah: So it will be an accrual basis from here on. I think the rational for making the provision in quarter 4 we explained earlier. From here onwards, it's going to be part of our normal cost subject to -- we are able to get some benefit through the interactions with the government. I t hink it will get adjusted appropriate. We look forward to it. But if it doesn't come, it will continue on a quarterly basis.
Swechha Jain: Okay. Okay. And just a follow -up, if I can ask. Actually, I missed the volume numbers that you were giving during the commentary. Could you just repeat those, if possible.
Arnab Banerjee: The industry growth. Okay. So if you are talking of CEAT's growth numbers, volume, and we grew by about 6.5% on a full year basis, 5.3% on a quarterly basis. And this was distributed across the segments with very high growth in two -wheeler and passengers and somewhat lower single -digit growth in overall truck bus. Specialty also grew close to double digit. TBR grew in single digits. So that's the kind of growth rate for Q4 Y -o-Y.
Swechha Jain: Okay. So this is the replacement or replacement growth, right?
Arnab Banerjee: It is overall. Overall.
Swechha Jain: Okay. So would you also give volume growth in replacement and OEM separately?
Arnab Banerjee: On OEM, as I ment

ioned, we grew well in replacement and OEM was moderate in quarter 4 overall. So most of this growth came from replacement and single tires.
Moderator: Next question is from the line of Nihar from Living Root Capital.
Nihar: But most of my other questions have been answered. I just wanted to ask, would it be possible to provide the market share breakdown by product or by segment category?
Arnab Banerjee: Are you asking for a replacement?
Nihar: So all of the segments, sir.
Arnab Banerjee: Approximately, as I mentioned in passenger, we are about 17 -odd percent in replacement. 2 - wheeler would be about 35% plus and truck bus radial will be still in single digits but approaching double digits and in OEM it is similar. The TBR will be higher at about mid -double digits, and passenger would be slightly lower than 17% and 2 -wheeler will be around the same, slightly lower.
Moderator: Next question is from the line of Kaushik Poddar from KB Capital Markets Private Limited .
Kaushik Poddar : This is Kauhik Poddar. I hope you can place me.
Arnab Banerjee: Yes, Kaushik.

Kaushik Poddar : Okay. I'm speaking to you after for a long, long time. See, what is the stable margin you see? I mean, around 13%, 14% is the long -term margin you can -- we can take it at a long term, whatever the target or something? Or you can improve on it?
Arnab Banerjee: See, we don't give a guidance for future. We have been maintaining that we would like to maintain the EBITDA margin at in a tight narrow band because we invest when we can invest as we are investing in the IPL in quarter 4 and quarter 1 also we'll be inves ting heavily in the IPL and brand.
And when there's a raw material hike, which we cannot mitigate, we manage the investment onto the next quarter. So basically, we are trying to manage in a tight band, the EBITDA margin. And when that happens, usually it goes up over a period of time, provi ded there is no inflation impact. So there are many things at play. There's a sharp inflation, very difficult to manage the margin at current level. So but our endeavor is to manage it in a tight band.
Kaushik Poddar : Okay. And my next question, which is that you said that as far as the passenger segment goes PCR, you are able to at least set the price. I mean which are the segments in which you are the price setters and the segments you are the price takers in other -- which other segments? .
Arnab Banerjee: There's no clear position that has evolved like that. In truck bus radial, where we are a single - digit market share player, we have price followers. That's for sure. In the other 2 segments, it depends on the situation and our need to gain market share. So sometimes we have been able to take independent calls on pricing in these 2 segments.
Kaushik Poddar : Okay. And see, as far as the market share goes since you have such a high share in the 2 -wheeler segment, I mean, probably you are the highest. So don't you have a pricing power that much more there?

Arnab Banerjee: We do have pricing power relatively better than 2 -wheelers segment. .
Moderator: Next question is from the line of Aashin Modi from Equirus Securities. .
Aashin Modi : My question was in the IPL expense. Could you quantify its impact during the quarter? And what sort of impact could we have in the next quarter because of this [inaudible 0:54:02]
Arnab Banerjee: It is 2% to 2.4% roughly, it varies. So it fluctuates around that. It's to be more above 2% in these 2 quarters and then maybe moderate in the subsequent quarter.
Aashin Modi : One last question is regarding risk status reduced our debt significantly. So that INR460-odd crores this year. So how do we cede reduction in the next year or next couple of years.
Kumar Subbiah: No. See, this year, free cash flow generation has been very healthy. I think maybe highest. Going next year, I think it was

indicated that our CapEx plan for next year is about INR1,000 crores, okay. And -- we would also like to normalize working capital, okay . So because at the end of the day, we have to meet the service levels across the geographies. So we managed to fund all our CapEx from internal accruals last year and still managed to bring our debt down.

In the first half of the current year, we see some cash flow happening. In case of E PR, which we spoke about, that will be something , we've declared dividend just now that itself translates to INR120 crores of dividend. So we'll keep in mind, I think we will keep the debt within our range, okay, within rate. We are around INR1,600 crores of debt on a stand -alone basis. We'll keep within the range of INR200 crores, INR300 crores on the higher end. And we'll continue to work in terms of opportunities to bring the debt down as and when it happens.
But just want to share with you that we are comfortable at current levels of leverage. So we all know over leverage is bad. But under leverage is not good also. So from that point of view, we'll try to manage. And the reason for keeping the CapEx, it's mor e a preparation for the following year and later on in terms of capacities is also because of the fact that the balance sheet is bringing. So we'll operate within this.
Moderator: Next question is from the line of Amyn Pirani from JPMorgan.
Amyn Pirani : I just had a clarification. So what is the TBR capacity right now? And how much are we increasing it by in the expansion that we're doing in Chennai?
Kumar Subbiah: So our factory -- existing capacity about 130,000 tires per month. It can be stressed a little bit -- and what we are putting up in Chennai is about 45,000 tires per month progressively.
Amyn Pirani : Okay. So approximately 30% expansion on the TBR capacity?
Kumar Subbiah: Yes.
Amyn Pirani : Okay. And this will be available for production in FY '26? Or this will start to become available during FY '25 itself?
Kumar Subbiah: Our intention is to commission the plant in quarter 2 of the year. Okay. Normally, it follows to the normal ramp -up route. So quarter 3 onwards it will start contributing to sales. .
Moderator: Next question is from the line of Raghunandhan N. L. from Nuvama Research.
Raghunandhan N. L.: Sir, on the export outlook side, if you can give some more color in terms of how you see the testaments of double -digit growth, which markets, which products are likely to do well? And how do you see that target of 25% share getting achieved?
Kumar Subbiah: Yes, 25% is a saliency within CEAT, which is currently 19%. So as I have mentioned, the key focus is on agriculture radials, passenger radials and truck bus radials. So strong focus on passenger radial and agriculture radial, truck bus radial is coming up as maybe we can say 2.5 categories and geographies are Europe, U.S. and Latin America.
So these are the 3 geographies that we'll focus on. Out of which U.S., we have agriculture radial, which is scaling up. Passenger radial and truck bus radial are yet to be launched. In all other geographies, we have created the market access by we have dis tribution network, product development is done. Product development is also done and tested for U.S. So this will be a

focused market. And Middle East is also shaping up well, though I didn't mention about it earlier, but it may be the fourth area, but the first 3 are the focus areas.
Raghunandhan N. L.: Got it, sir. And H2 of FY '24 exports had grown in double digits, I think, 15% plus. So how would you see the double -digit growth getting sustained. Do you see any...
Arnab Banerjee : So the international business is always fraught with higher risk because of various geopolitical events over which we don't have any control. So should -- if there are no major ab

errations, then
we see headroom for growth being a value brand, which is our products are very well accepted and at the right price at which we make good money. It is EBITDA accretive for us. We see a lot of headroom for growth in all these 3 geographies, barring some unforeseen risks, which we have not accounted fo r. But those risks are always there.
Raghunandhan N. L.: Got it, sir. And Kumar, sir, can you quantify that you indicated 300% increase in freight cost on the Europe growth like would it be a 30 -40 basis point kind of a hit this quarter? Any quantification there? What was the impact this quarter? And also thoughts on pass -through of this higher freight costs with customers have customers responded positively, have you got acceptance for pass -throu gh?
Kumar Subbiah: Okay. See, normally, there are 2 ways in which you price your product. One is FOB and another CIF. Okay. Whenever we have FOB contract, buyer takes the impact of freight as and when it happens. In case of CIF contract where we have given a price, including price and in the intervening period, so long as the price is applicable we may have to break up that freight. Okay. But when you renegotiate the prices at the next cycle, either you address the freight rates, and in the same price or are there some kind of an arrangement where the actual freight is appropriately adjusted in the pricing. So largely we pass through, okay . And the impact of that has already been taken in the previous quarter. We don't expect that to have any incremental impact on us in the coming quarters.
Moderator: Ladies and gentlemen, as there are no further questions, I would now like to hand the conference over to management for closing comments. Over to you.
Arnab Banerjee: Thank you very much for attending the conference call of this year. We have had a good year, and we hope to see you again in 3 months' time. Thank you very much.
Moderator: On behalf of CEAT Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jul 2024

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July 25, 2024

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai 400 001
Security Code: 500878 National Stock Exchange of India Limited
Exchange Plaza,
Bandra Kurla Complex, Bandra (East),
Mumbai 400 051
Symbol: CEATLTD
NCD Symbol: CL25, CL26
CP Listed ISIN : INE482A14CK0, INE482A14CL8,
INE482A14CN4, INE482A14CM6, INE482A14CO2,
INE482A14CQ7, INE482A14CP9

Dear Sir/Madam,

Sub: Q1 FY25 Results Earnings Call - Transcript

In continuation of our letter (s) dated and July 18 , 2024 and July 19, 2024, please note that the transcript of the earnings call held on Friday, July 19, 2024 at 4.00 pm (IST) for Unaudited Financial Results of the Company for the quarter ended June 30, 2024 have been made available on the website of the Company at https://www.ceat.com/investors/financial -performance.html

This is for your information and dissemination purpose .

Kindly take the same on record.

Thanking you,

Yours faithfully ,
For CEAT Limited

Gaurav Tongia
Company Secretary

Encl: As above

"CEAT Limited
Q1 FY '25 Results Conference Call "
July 19, 202 4

MANAGEMENT : MR. ARNAB BANERJEE – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – CEAT LIMITED
MR. KUMAR SUBBIAH – CHIEF FINANCIAL OFFICER –
CEAT LIMITED
MODERATOR : MR. JAY KALE – ELARA SECURITIES PRIVATE
LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the CEAT Conference Call hosted by Elara

Securities Private Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar and then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Jay Kale from Elara Securities Private Limited. Thank you, and over to you, sir.
Jay Kale : Thank you. On behalf of Elara Securities India Private Limited, I welcome you to the Q1 FY '25 Results Conference Call of CEAT Limited. From the management side, we have Mr. Arnab Banerjee, Managing Director and CEO and Mr. Kumar Subbiah, Chief Financial O fficer.
I would now hand over the call to Mr. Arnab Banerjee for his opening remarks. Over to you, sir.
Arnab Banerjee : Good afternoon, and welcome to CEAT's Quarter 1 FY '25 Earnings Call . I'll be taking you through the business updates for the quarter and then hand over to Kumar for his remarks on financial performance. Post that, we will have the Q&A.
The tyre industry continues to demonstrate robust growth with rising economic progress and more disposable income, helping in enhanced offtakes of cars. Better road infrastructure is expected to increase the vehicle utilization and enable longer drives. We expect FY '25 volume growth in replacement segment to remain healthy and OEM growth in most categories, led by 2-wheelers and passengers and MH CV will continue to be good.
We have, however, got an issue in terms of a margin squeeze in quarter one due to exceptional rise in raw material prices. We have tried to mitigate it with price increase in all segments, led by replacement in commercial segment, as we speak, including July, we have had a 2.3% price hike. In passenger segment, including July, we have had a similar price hike of around 2.5% to 3%.
In 2-wheelers, we had a price hike already of about 1%, In OEM, which is primarily indexed, we did not have too much of a price change in quarter 1. However, in quarter 2, we see an indexation benefit of already 2%. In international business, the price hik es were back ended and most of it will flow through in quarter 2.
Similarly, in replacement, also, most of the price has happened to in late May, June and July, and hence, were back -ended and will flow through in quarter 2. We continue to improve our product basket and recently launched the Milaze X5 , which is the commuter t yre for passenger segments with an innovation in wear and alignment indicator, which is one for a patent.
Our financial year started with strong revenue growth of 8.5% on a Y -o-Y basis, the standalone profit was INR149.2 crores for quarter 1 FY '25, which was 6.4% lower on a Y -o-Y basis. We continue to deliver double -digit post -tax ROCE consistently.
Further happy to share that we have had the highest ever production in our Chennai, Bhandup and Halol plants during the quarter, leading to a better capacity utilization overall of about 80%.

On T BR, our capacity is completely sold out from Halol. We have invested heavily in brand repositioning in quarter 1 to the extent off 100 bps over last year average spend on marketing front.
We also continue to invest consistently in R&D, which is at above industry levels. Growth momentum has continued well into quarter 1 with 8.7% volume growth over last year. It was led by replacement and international business with double -digit volume growth and a some what muted growth in OEM segment.
There have been some headwinds in terms of significant freight hikes to the extent of 3x to 4x in international business and also, coupled with this was

the issue of non -availability of
containers. Had it not been for these issues, our growth in international business would have been far higher. Our order base looks strong and the growth is coming from desired focused markets of Latin America, Europe and progressively, it will also come from US.
Replacement volume was led by commercial vehicles and 2 -wheeler segment, I spoke about the brand relaunch, which has led to increased traction in premium categories. Our saliency in premium categories is continuously up in passenger segment as well as in 2 -wheeler segment.
Rural demand seems to be coming back gradually. With good monsoons, we expect rural demand to keep coming back as sustainably as a high level as compared to urban demand. Our raw material cost has gone up approximately by 5% quarter -on-quarter and this is singularly responsible for the contraction in gross margin.
We mentioned about enhanced marketing spreads through IPL and World Cup also. Domestic natural rubber prices has surged by about 25% to 30% over the past few months. And currently, it has scaled INR200 which is the highest in the last 13 years. We have mitigated the RM prices, as mentioned just a few minutes back in replacement and international markets by taking progressive price hikes in steps and will continue to do so in quarter 2.

CEAT is future -ready, and we are geared now towards outgrowing the industry through acceleration in profitable segments through our 4 platforms of electrification, international business, premiumization and investing in digital measures. We have consolidat ed our position in electric vehicle OEMs in both 2 -wheeler and 3 -wheeler. We have close to 30% share now in both 2 -wheeler and 3 -wheeler EV OEMs as well as in 4 -wheeler EVs being sold by OEMs in India.
We have started working with international OEMs also and we expect to get some breakthrough and nomination within the next 3 to 4 quarters in international OEMs. International business has been a focus. 20% is saliency in quarter 1, and we have targeted at levels of 25% in 2 to 3 years. This is margin accretive. We launched about 42 -plus off -highway SKUs in quarter 1 and about 30-plus passenger vehicle SKUs in quarter 1 targeted towards various international markets.
In Srilanka, the macro situation is improving gradually, and our volumes are seeing positive traction in Srilanka with maintained profitability. We are investing in premiumization, as I mentioned, our coverage of range for meant for premium cars in India, which is let's say, BMW, Audi, Mercedes, etc, continues to be in the range of 95%.

We have launched our latest marketing campaign with a shift in our positioning from being a commuter brand through a highway brand targeted towards bigger vehicles traveling longer distances having higher speed rating.
Our investment in key media properties starting from the strategic time out in IPL with the QR code this time to news during election week and some key GEC properties and finally, in key matters during the T20 World Cup has taken off the new campaign in a very positive front -ended manner.
We also saw the finale of the second season of the K TM Cup in the month of May, which took place at Kari Motor Speedway Coimbatore. All these interventions are going to help and positively impact the premiumization in the passenger category. We continue to lead in digitization across domains and remain commit ted to offer our best business platforms for our distributors, dealers and the fleet operators.
We are also investing heavily in improving our supply chain through digital modes. Our Chennai factory is slated to go for light out certification. As you are aware, Halol was the first plant to get the certification and we can expect significant gains in energy consumption, wastage reduction, water convention and also enhancement of quality.
With interve

ntions of artificial intelligence and machine learning, we are now getting into predictive quality which is a first in the continuous process industry. And as we know, the best way to reduce cost is to enhance quality. The organic traffic on ou r website grew 45% and from premium SUV users, traffic increased by 5x. There has been a 42% uptick in brand conversion volume and 140% increase in average engagement per post Y -o-Y. Conversion from website leads increased by 10% for SUV customers.
We indicated a capex for the year at around INR1,000 crores, out of which about INR254 crores were spent in quarter 1, and all expansion projects are progressing as per plan. We continue to reduce our carbon footprint during quarter 1. Our tCO2 emissions per metric ton of production was lower by 3% Y -o-Y, and currently 37% of our plant requirement is tied up through renewable sources.
Overall, demand is looking good and will continue with our strategy to pursue accelerated growth with margin accretion , by leveraging advanced technology for superior product quality, better operational efficiency and for implementing targeted marketing to capture high -value market segments. We look forward to continue investing in marketing and R&D at levels higher than the industry average.
With this, I would like to hand over the call to Kumar.
Kumar Subbiah : Thank you, Arnab. Good afternoon, ladies and gentlemen and thank you for joining our Quarter 1 FY '2 5 Earnings Call . I'll share some more financial data points with you all post which we can enter the Q&A session.
Overall financial performance, our consolidated net revenue for the quarter stood at INR3,192.8 crores and year -on-year growth of 8.8% and 6.4% growth sequentially. The growth was driven

by volumes and the growth was margin accretive as we had a higher growth in more profitable segments like replacement and exports during the quarter.

Our revenue of INR3,193 crores achieved on a consolidated basis in quarter 1 was the highest
that we have achieved in a quarter so far. Coming to gross margin , our gross margin during the
quarter shrunk by about 184 basis points year -on-year and 306 basis points quarter -on-quarter,
largely due to increase in raw material costs that you know about 5% quarter -on-quarter. Increase
in raw material costs basket was lar gely driven by increase in the prices of natural rubber. The
prices of crude derivatives remai ned range bound during the quarter.
The natural rubber prices are currently trading around INR207 per kg in India and which is the
highest in the last 12 years. Indian rubber prices are currently at a premium to international
rubber prices to the extent of about INR10 to INR12 per kg due to short -term supply demand
gap and further steep increase in the ocean freight has also contributed to increase in the landed
prices of natural rubber.
The prices of natural rubber are expected to cool off progressively from end of the current
quarter. Overall, we expect raw material prices in quarter 2 to be higher by about 5% to 6% over
quarter 1. Considering the spurt and raw material prices, we have already put necessary controls
on discretionary expense s.
Coming to operational expenses and operating margins. Our consolidated EBITDA for the
quarter stood at INR388.2 crores, this is about 12.2% margin. This is a contraction of 130 basis
points quarter -on-quarter and primarily, the contraction is on account of increase in raw material
prices and higher but planned marketing expense in quarter 1. Employee costs was lower during
the quarter, as in the quarter 4 of last financial year, we had higher variable incentives and retirals
that was provided for based on t he previous year's performance. Other expenses, other than
marketing costs had come down in line with our various programs to bring down the operational
expenses.
Now coming to de

bt and capital expenditure and working capital. We spent about INR254 crores
of capex during the quarter, which is in line with our guidance, primarily funded through our
internal approvals and the overall proportionate amount of INR1,000 crores spent during the
quarter. We kept tight controls on our working capital, as always, and closed the quarter with a
negative working capital of INR240 crores. We generated healthy operating cash flow, which
allowed us to meet the entire capex of INR25 44 crores during the quarter funded from our
internal accruals.
Our consolidated debt stood at INR1,647 crores, a marginal increase of INR18 crores over
quarter 4 of last year and INR343 crores reduction year -on-year basis. Our debt to EBITDA on
a stand -alone basis stand at healthy 1.1 and debt to equity of 0.4. Deprec iation for the quarter
was largely in line with quarter 4. Interest costs largely remained as quarter 4 effective interest
rate has highly remained at the same level as quarter 4, and we expect the interest cost to remain
at the similar levels in the near term. Our consolidated profit after tax for the quarter was INR154
crores which compares well with INR144 crores in quarter 1 of last year and INR102 crores in
quarter 4 of the previous year, which is the preceding quarter.

Our continuous improvement in free cash flow and balance and improvement in leverage ratios
further strengthens our financial position and that is geared up to provide necessary growth
capital to the business. Lastly, our strategies are in place to strengt hen our brand CEAT while
ensuring we meet the investor expectations, create value to the investors and all stakeholders to
improve product quality, expanding our market presence and driving innovation through
sustained R&D investment. Thanks once again. W e can now open the floor for Q&A.
Mod erator : Thank you very much. First question is from the line of Siddhartha Bera from Nomura. Please
go ahead.
Siddhartha Bera : Sir, my first question is on the volume side, if you can share the volume growth numbers in the
quarter for overall as well as replacement and OEM? And I have few more follow -up, I'll come
back.
Arnab Banerjee : So the volume growth overall has been close to 9% Y -o-Y and led by replacement and export
with double -digit growth and we had a slightly muted growth in OEM in low single digits.
Siddhartha Bera : Okay. So in terms of the outlook, if you can share, I mean, how are you looking at the trends in
the replacement side? What is driving this double -digit growth in the quarter? Do you expect
some of these trends to continue going ahead? And any particular segment where you are looking
at good traction?
Arnab Banerjee : You are asking this for only replacement segment or overall?
Siddhartha Bera : Yes, replacement?
Arnab Banerjee : Okay. So replacement, we had double -digit growth in quarter 1. We expect the rural demand to
be good and with monsoons predicted to be good, we expect rural demand to be stable. Hence,
farm t yre and 2 -wheeler growth, which has been pretty robust, is expected to continue and

strengthen further because of our distribution network and investment in brands. The 4 -wheeler segment growth also because of investment in highways and extra traveling long er traveling by customers is going to sustain de mand -wise. And we are investing heavily in the brand relaunch campaign and new product development.
So we expect passenger and UV t yres also to grow healthily in replacement segment. Our growth in truck -bus radial has been also pretty robust, and we are 100% sold out from the Halol capacity. As Chennai TBR capacity comes on stream by end of quarter 2, we expect renewed growth in the tr uck-bus radial segment as well in replacement, mining, construction, all these areas are doing well. Overall, GDP growth is good. So in all segments, we e

xpect double -digit growth to
continue and in fact, accelerate from he re on as we go into quarter 2 and second half.
Siddhartha Bera : Got it, sir. Sir, on the OE side, just a follow -up. If you look at the 2 -wheeler industry production, it is up in healthy double digits on a Y -o-Y basis. So why the weak growth on the OE side, if you can share some colour there?
Arnab Banerjee : Yes. When I mentioned OE, it is overall OE. So in the OE, our truck -bus radial sale was constrained because of our capacity being sold out, and we are static in terms of MHC V volumes.

In PC/UV as the new models start coming out and rolling out on CEAT Tyres. Our growth will accelerate in PC/UV, and you're right about 2 , 3-wheeler growth being already robust in OEM and here, there's an opportunity for us to increase our market share in both motorcycle and scooter. Hence, this will catch up as we go along in quarter 2 and half 2.
Mod erator : Next question is from the line of Mumuksh Mandlesha from Anand Rathi Institutional Securities. Please go ahead.
Mumuksh Mandlesha : Sir, how do you see the pricing scenario? And recently, we have seen a competitive position in the truck and bus radial space. Also I want to hear your pricing plans for truck and bus radial space. And also, you can comment on other prices scenario in 2-wheeler space as the pricing has been lower there ?
Arnab Banerjee : So first, truck and bus radial space, I guess you're talking about replacement market again. So our price increase so far has been the maximum in truck and bus radial space, as I mentioned, about 2% to 2.5%, 2.4% to be precise, including July price hikes. I had talked about in the past few calls about increasing pricing independen ce amongst competitors in the industry. As we speak, there has been a price discount announced by one of the larger competitors, but we are not going to do any kind of discount that we are holding on.
And we have decided to re -evaluate and further increase in the month of August, which may or may not come but as of now, we are confident enough with our product superiority in TBR to hold our price and in fact, look at a further price increase later on. In 2-wheelers, yes, the price increase has been muted to about only 1% and we are looking at the next price increase by end of July. So we will continuously strive to increase price in smaller doses over quarter 2 in both truck -bus radials, 2 - 3-wheelers a s well as in PC/UV.
Mumuksh Mandlesha : Just on the 2 -wheeler, any reason why this low pricing action, sir?
Kumar Subbiah : In 2- 3-wheeler, in the competitive scenario, there was no price increase by any of the players. We were the only player to increase only by 1%, which is a small amount. And now given the performance in quarter 1, we are confident that we will be able to t ake further price hikes in 2 - 3-wheelers, even if our competitors don't.
Mumuksh Mandlesha : How much further price hike could be required to cover the increase, sir?
Kumar Subbiah : I think progressively because raw material costs impacts as we based on arrivals. I think about overall to recover all the cost gaps in quarter 1 and now, 3% to 4% kind of increase would be required progressively.
Mumuksh Mandlesha : Got it sir. Sir on the EPR, wha t was the EPR provision for Q1 a nd what would be in terms of percentage of domestic sales sir a nd I wanted to understand what's the plan for the pass -through of the impact of the both OEM and aftermarket levels sir ?
Kumar Subbiah : No, EPR now from our planning point of view we should assume it as a part of the cost. Internally, we would like to treat that like a normal raw material cost while working out

internal ly gross margins and internal margins. And as per the notification while ATMA Management Committee and body is engaging with government t

o look at some changes.
So at this point in time it is linked to what was p roduced two years back and equivalent production sold in India is what should be assumed as EP R. So that is what will be part of the P&L till such time if they get any formal communication with respect to any changes.
Mumuksh Mandlesha : Got it sir. Thank you so much for opportunity.
Moderator: Next question is from the line of M r. Raghunandhan N L from Nuvama Research . Please go ahead.
Raghunandhan N L: Thank you sir for the opportunity. S ir on the export side growth you indicated in double digits. Would it be over 20% on a Y -o-Y basis? Also the n you said that region wise LATAM, Europe and U S are doing well and U S would progressively do well. If you can elaborate which categories are doing well and U S in terms of entry into T BR and PCR, if you can provide some details on how that progress is happening a nd finally, for FY '25 would it be fair to assume that double -digit growth will continu e?
Arnab Banerjee : Okay. So it is not 20% when I mentioned double digit the export growth, but it is pretty healthy. And it would have been much higher had we not faced the issue of container shortages by end of June. This headwind is expected to continue in July and maybe part of August. We have a very healthy order base. So overall through the year we expect double -digit growth to continue in international business. So that answers part of your question.
Now in U S truck bus radial the channel build out has happened to a significant extent. We have created, let's say, so me kind of geographies within U S in mind a nd 60% of those geographies are already covered by way of network access and we have started booking orders and shipping truck bus radials to U S. So that has already started happening. The product feedback is excellent and we are meeting all benchmark product performances after testing by an independent agency.
The passenger car radial rollout is going to happen by quarter 4 of this year or by quarter 1 of next year. We are testing our products. The range expansion is happening and the channel build out has also started. So this is the status. Agri radials are already selling well and growing significantly, of course, on a low base in US. So U S progressively will become an important factor and in international business and our growth should accelerate.
We are seeing good traction of passenger and truck bus radial and agri radials already in Europe which is somewhat of a more mature market for us. And L ATAM , our t ruck bus radials have grown very handsomely in LATAM. Passengers radials and 2 -wheelers have a very small base and have got significant upside which is yet to be tapped.
Raghunandhan N L: Got it, sir. And specifically on the agri radials given that you are coming out with more and more new products, the growth will obviously be includ ing market share gains for you, b ut how would the underlying market be doing sir? Is it seeing a positive growth in Europe and the US.?

Arnab Banerjee : See we have a very low base in U S. So the growth is fantastic. So you should see it in that context. We have just entered U S with agri radi al a couple of years back. In EU we are doing well on the replacement side and we have been gradually gaining access and market share in EU. When the OEM volumes come back in EU and in the rest of the world, let's say, L ATAM etc that is when the real blockbuster growth will come.
We have set up the capacity at Ambernath which is at 105 tons already on. Our utilization is about 70%. So 30% headroom is there which we want to utilize by quarter 4. The project for Phase 2 is gaining traction for 160 tons. So we are pretty confident abo ut growth given our low base and given our go -to-market success and visibility so far.
Moderator : Thank you. N ext question is from Mr. Ajox Frederick f

rom Sundaram Mutual Fund. Please go ahead.
Ajox Frederick: Hi, sir. Thanks for the opportunity. M y question is on EPR. For this quarter have we taken EPR and is it part of RM?
Kumar Subbiah : No, it is not part for RM. I said we would like to treat it the way we treat RM from internal performance management point of view. So in the books of accounts it will appear as other expenses at this point in time.
Ajox Frederick: And we have taken for this quarter
Kumar Subbiah : We have taken.
Ajox Frederick: Okay. And sir again by accounting for the reversals my math is showing 1.03% of revenue to the EPR versus our earlier guidance of 1.3% to 1.5%. Am I right it has come off from what you have purchased and then I'm netting off your earlier numbers?
Kumar Subbiah : We made a provision based on certain assumptions. At that point in time certificates were not available or we are not able to establish the market value. So as we had completed the our commitments for the year '22 -'23. Whatever we had assumed versus what we had actually incurred that amount the differential amount we have shown it as income and the exceptional costs. I would still say it's early days.

I still say early days because in the year 1 the commitment is about 35%, year 2 it goes double and the year 3 which is the current year it triples. So from that point of view it's too early to say what the rates would be okay with respect to certificates. And second government is also trying to fix up some flo or rates. So from that point of view it's possible that the rate that government is now in terms of guidelines seems to be higher than the market rate.
So therefore we are not able to confirm whether to you what it will be. Internally, I think we have told you what the number would be in the last call. So let us stick to that range. maybe a quarter or 2 later we'll get more clarity and possibly, we'll be able to share more information in terms of how market has panned out.
Ajox Frederick: Understood sir. Very helpful. That’s it from me. Thanks.

Moderator: Thank you. N ext question is from Mr. Amar Kant Gaur from Axis Capital. Please go ahead.
Amar Kant Gaur : Hi, thanks for taking my question. I had a couple of questions. First one being -- so you guys have been quite proactive in terms of taking price hikes and not just taking price hikes for offsetting the impact of RM, but also improving your pricing position in certain segments. So I just wan ted to understand cumulatively since, let's say, from the beginning of the year what would be the price hike that you have taken in each segment a nd how far according to you, you would be from the leader in those respective segments in terms of pricing?
Arnab Banerjee : So I mentioned in commercial segment including July we have already taken about close to 2.3%, 2.4%. In passenger including July we would have taken again close to maybe 2.5% to 2.8%. In 2 -3-wheeler it has been somewhat muted, but we have taken a price hike of around 1% in replacement segment. OEM is indexed as I mentioned and we have been aggressive in terms of price hike and we believe as Kumar mentioned we need to mitigate another maybe 2% odd price hike overall, at least maybe more which will continue to do in the month of July and August and maybe in September as well.
Amar Kant Gaur : So just to understand your pricing position versus peers c ould you shed some light on that?
Kumar Subbiah : Yes, there are many peers. So you want me to answer on behalf of all that will be too much. But I can tell you...
Amar Kant Gaur: Just from a leadership perspective?
Kumar Subbiah: So the market leader in TBR has not taken an y price hike in quarter 1. The number two player in 2-3-wheeler which is the same player as the market leader in TBR has not taken any price hike in any category. And all others have taken some price hike here a

nd there depending on
their strength in the respective markets. I would say the range would be simi lar for the other players barring one player.
Amar Kant Gaur : Understood. And if I got it correct Kumar you said there would be further 5% to 6% RM cost increase in Q2?
Kumar Subbiah : Yes. Approximately that is what we expect in terms of RM cost on RM yes.
Amar Kant Gaur : So just to go back there's so much of price hike that you have talked about and you have definitely taken there's an EPR which you're talking about part of it wi ll be automatically translated, b ut when I look at the numbers this year, this quarter your ASP is largely flattish. So can you indicate where there's a gap in our understanding?
Arnab Banerjee : Yes. So first of all the OEM business is indexed. And there we have hardly got any increase because it will come with a lag. So the price hike in OEM is coming in quarter 2. The replacement price hikes have all start ed around May, middle to May end, June end and now in July. So it is back ended and the full impact will come again in quarter 2. In international business, we have a healthy order base which needs to be serviced and then the price hike will come. Secondly, because of the very hi gh freight rates, which we have seen in international trade in many cases those increase in freight rates are shared between our channel partners and us.

These are some of the reasons why the entire thing has not flowed in quarter 1. And you are right when you say that the value growth is almost entirely volume growth. So it is almost similar. So net impact will come in quarter 2. One more thing is that the business mix was such that the truck -bus radial sales and replacement was also disproportionately higher as compared to some of the other segments. So all combined it has not flown through adequately in quarter 1 and should flow through in quarter 2.
Moderator: Thank you. The next question is from the line of Jinesh Gandhi from AMBIT Capital. Please go ahead.

Jinesh Gandhi: My question pertains to the Volume growth of what we are talking of close to double -digit growth for FY '25. This is what we expect across categories? Or it could be laid by the 2 -wheelers in farm segment and PCR and truck and bus would be relatively low single digit or the single digit kind?
Arnab Banerjee : I cannot predict exactly but are you talking of replacement or overall?
Jinesh Gandhi: Sorry replacement.
Arnab Banerjee : Replacement. Okay. So because as I mentioned the rural demand seems to be coming back and monsoons are going to be good. So we expect 2 -3-wheeler and farm definitely to continue growing strongly for us. And in 2 -3-wheeler and farm both we have a network advantage. In terms of commercial vehicle, our base is low. As you know, we have a low market share to start off with in replacement.
So as the Chennai facility comes along, we expect to grow because a very favourable feedback that we are getting from customers who have used the tires. It is definitely superior in performance to any of the competitor SKU to SKU. So once the capacity comes on stream in half 2, we expect to do well in truck -bus radial as well. Passenger growth is maybe in single digits and may not test double digits. So that will be a little muted is what our expectation is. So overall, in the mix combined with other categ ories, we expect to definitely grow in double digits.
Jinesh Gandhi: Got it. And just a clarification for possible the entire cost inflation, which we've seen in 1Q and 2Q, we need to take another 2% price hike or 3% to 4% price hike?
Kumar Subbiah: No. I think, see, since we have already taken some increase and that is not reflected in the financials because of reasons that Arnab just mentioned on the exports the freight impact of it is currently shared or the existing contract, the CAF contract thos e pri

ces are currently absorbed by us. And second also, a little bit on category mix with respect to realization per kg has not been favourable because of higher growth in commercial categories and therefore these are the reasons.
So when Arnab indicated 2 %-3% it is after adjusting the price increase that we have already taken. So overall, to mitigate the impact, we need around 3 %- 4% based on what we have seen as far as the current quarter is concerned. So any increase in the prices of raw materials recently will have lower impact in the current quarter. And if it's sustained will be there more than

subsequent quarters. Just to mitigate the impact for current quarter around this range should be okay.
Moderator: Thank you. Next question is from the line of from Nirav Seksaria from Living Root Analytics. Please go ahead.
Nirav Seksaria : I think you said that Q1 and Q2, you need to take like 3% to 4% price hike, right?
Kumar Subbiah: Yes. No, I said because some increases happened already in the beginning of July.
Nirav Seksaria : So to -- including that, it's 3% to 4%.
Kumar Subbiah: Yes.
Nirav Seksaria : Okay. And also could you also mention the average commodity price that you're seeing in Q1?
Kumar Subbiah: Approximately commodity basket increased quarter -on-quarter by about 5%.
Nirav Seksaria : Sir, I mean, could you give me the price of natural rubber , crude coming that we have seen in Q1?
Kumar Subbiah: Beginning of a natural rubber, I'll be able to tell you. See, carbon flat has multiple grades overall carbon flat prices did not change much in quarter 1. So in case of natural rubber, I think the beginning of the quarter it was hovering around INR165 in that range and currently, local prices are around INR207 and international prices are about INR10 -INR12 discount to current local prices. So that moment is lower. That increase would have been lower but for the increase in freight rates, which we expect it to normalize, for example, Southeast Asia to India, freight used to be around $45 to $50 per ton .
Currently, it's $119 per ton. So we hope this will progressively by end of the quarter, we'll come back to the normal levels. So to that extent natural rubber prices should also get the benefit of drop in ocean freight as far as international prices are co ncerned. Considering domestic prices have some linkage to import parity prices. The local prices also should stabilize. So natural number of INR207 today premium about INR10 -INR12 to international price.
One is on account of the fact that no, there's a local demand. Second, transit times have increased. Earlier it used to take about 3 weeks for a vessel to reach from Southeast Asia to one of the 2 ports in India either Chennai are JNPT as far as natural rubber is concerned. That 3 weeks has now become 60 days. So there is a short -term blip in terms of supply -demand gap. So that's what that will always have a profound impact on the local prices for a short period of time.
So that's the way natural rubber prices have moved. Crude derivatives have more or less remained within a range bound. Crude prices were hovering around $90 in the first half of the

quarter 1 and it came down to around $85. And at some point time it even w ent below $80. So
it's been range bound overall. And so from that point of view crude derivative prices have not
really changed much as far as the consumption cost in quarter 1 is concerned.
Nirav Seksaria : Okay. So it's fair to assume that that in Q2 also, we see a major increase in natural rubber?

Kumar Subbiah: Yes. See, current market prices eventually will reflect. So our holding inventory cost is obviously
lower because these purchases were made over a period of time. And they're unlikely to buy
large quantities and the prices are at a 12 -year high . So we will bu

y base on the need. Sufficient
quantities are there in transit. So therefore, local purchases would be immediate short -term need -
based still sustain those consignments which are there on it reaches our ports. So therefore, we
are taking t hose things into consideration removing those streams in our forecast in our pricing
decisions.
Moderator: Thank you. Next question is from the line of Mr. Joseph George from IIFL. Please go ahead.
Joseph George: Just one question on the RM basket. You mentioned that in 2Q, you expect it to be 5% to 6%
higher compared to 1Q. What I want to understand is, will that reflect the entire RM pressure?
Or do you expect it to increase further in 3Q if the current price of crude and natural rubber were
to sustain?
Kumar Subbiah: Okay. No. See, quarter 2 is on a base of quarter 1. Our understanding on the market the
commodity prices are difficult to predict. But directionally, what we see is that the $150 impact
on freight on most of the raw materials which are imported we expect t hat to correct over this
quarter . And even on the export rate also, once the availability of this is because the freight rates
have gone up 3x to 4x in general and transit times have doubled if not tripled depending on the
location.
So we expect that to correct. When the international prices are rubber, let's assume it states today
international rubber prices around $1,630. Let's assume that state. When the transit time come
back to normal levels, when the price rates come down, what happens the premium in the
domestic market will get r eadjusted. So those things will happen during the course of the next
quarter. But without even underlying SICAM as a reference for a rubber or crude changing much
from the current levels.
Moderator: Thank you. Next question is from the line of Mr. Amin Virani from JPMorgan. Please go ahead.
Amin Virani: Just had a clarification on this EPR. In the notes, you have mentioned that you have reversed the
charge for FY '22 - '23. So just to understand, you have reversed it from this quarter's numbers
or you have gone back and reversed it from last year's numbers?
Kumar Subbiah: Because we have reversed it in the current quarter therefore, we have shown it as an income in
our exceptional costs. Exceptional costs, you would see as a negative about INR7 crores
approximately. That's largely on account of '22 -'23, adjusting some VRS that we had.
Otherwise on a restatement when we provided in '23 -24, for '22 -'23, we called it out as an
exceptional item because we are not pertaining to '23 -'24 it was pertaining to '22 -'23. So since
our actual costs are a little lower than our estimate, we have also reversed under the same head
as exceptional costs.
Moderator: Thank you. The next question is from Mr. Siddhartha Bera from Nomura. Please go ahead.

Siddhartha Bera : Sir, I had a question on this. Basically, your competition not raising prices. So do you think that
and especially in the 2 -wheeler segment. So now that we sort of leading the price hike, do you
think there's a risk of growth slowing down on market share l oss, given the difference now in
the pricing? Or you don't expect anything to sustain much despite the price gap with the larger
players?
Arnab Banerjee : So I mentioned there has been no price hike by one competitor in quarter 1. The same competitor
is having a price hike in the month of July. So the situation will correct.
Moderator: Thank you. The next question is from the line of Mumuksh Mandlesha from Anand Rathi
Institutional Equities . Please go ahead.
Mumuksh Mandlesha : Just on the employee cost, sir, it has seen a sequential decline in Q1 any one off thereand what
should be sustainable rate numbers are there?
Kumar Subbiah : In our employee cost us some posts a variable element is there and which is linked to overall
company performance, consideri

ng last year, we had grown well, particularly with respect to
profits. So therefore, quarter 4 had provisions relating to company pe rformance. And which is normalized as well as the current year goes.

Second , I think in the previous engagements, we spoke about improving capital productivity as one of the drivers. We are also working on improving manpower productivity as one of the important themes within the organization. Particularly, we also want to reflect that in terms of employee cost as a percentage of turnover as well in addi tion to that.

So some work has happened. You would have seen some VRS cost appearing in our exceptional item. One of the consequences of that is also it should lead to some drop in employment costs. And we are working in terms of improving our manpower productivity so that not only in absolute cost, but it also reflects in terms of cost as a percentage. So some of those initiatives have started yielding results and therefore, you will see that some improvement in the employment cost as been focus.

Moderator: Thank you. The next question is from the line of Jinesh Gandhi from AMBIT Capital . Please go ahead.

Jinesh Gandhi : Yes. My question is on other expenses. The clarification, the 100 basis point increase in marketing spend we are indicating is both Y -o-Y on a Q3 basis. Is that correct?

Kumar Subbiah : Can you repeat the question once again, please? What are your questions?

Jinesh Gandhi : The increase in marketing spend of 100 basis points is both on Y -o-Y and Q3 basis for IPL and World Cup. Is that correct?

Kumar Subbiah : Generally, our marketing cost, we look at on a full year basis, which are some kind of seasonality. But during IPL season, we spend more. So what we spent, I thi nk, which was covered in Arnab speech was what we spent was higher than our average pay almost on that basis, about 100 basis points over what we will be spending on a full year basis.

Moderator: Thank you. The next question is from Chirag Shah from White Pine Investment Management Pvt Ltd . Please go ahead.

Chirag Shah : So the first one, clarification for the revenue growth that we had Y -o-Y, what is the breakup between volume and pricing in the aggregate level?

Kumar Subbiah : Yes, year-on-year basis as well as quarter -on-quarter basis, the revenue growth is actually a volume growth. In fact maybe plus or minus 0.1% level. Okay . So you might assume it as a volume growth.

Chirag Shah : Okay. So second question is on th e distribution side, especially. Sir, second question is on the distribution side, especially in the export market, U.S. and Europe, so who are the distributors? Are they very similar to your existing Indian peers who are present over there? Or there are different set of distributors you are targeting?

And how are you differentiating your case given that you are the among the latest entrant from the Indian continent? And if I can even from the Asian continent in that sense. So how are you differentiating yourself that you start gaining a rea sonable and sustainable footwalls?

Arnab Banerjee : So these are local distributors who are experts in placing products in retail markets in those territories and also in fitting truck -bus radial tires to establish fleet operators in those territories. So they are not Indians who have settled there necessar ily in Europe and U.S. So that' s number one.

And number two is that the distributor's portfolio of brand should match our value proposition. That is how we select. Our value proposition is superior quality, let's say, and quality which is equivalent to the top 3 in Europe and at a value pricing, right? So how do w e support that. We support that by independent ratings by magazines in Germany, for example, they pick up the tariffs in the market, and we have no hand in supplying the samples.

They pick it up and test and they a

ct. And 2 of our platforms have ranked in the top 15 in
Germany, which is one of the toughest markets in the world. So those are the measures that we are taking through which the customer gets confidence to take it off th e reductions. So they are completely different, and the product quality, which is tuned to the local market is completely different. U.S. is different from EU as well, and U .S. and EU are both completely different from India.

Moderator: Thank you. The next question is from the line of Aditya from Sowilo . Please go ahead.

Aditya: My question was like that you have the highest R&D spend. So what exactly is it like spent was or like do you have a specific portion which is it like overall into R&D for tires or do you dedicate specific portions targeting specific markets like U.S. Americas or EU?

Arnab Banerjee : Yes. So the trend is targeted towards India, first of all. We are big domestic players, and we are investing heavily in product development for truck -bus radial, you heard me say that our products are definitely superior to that of competition in truck -bus radial. We are launching new

engines in in passenger, we are overhauling the full range to next ge neration product in 2 -wheelers.
So bulk of the spend is targeted towards increasing share and dominance in the Indian market.
As far as EU and U.S. is concerned, we have an R&D office at Frankfurt in Germany, which you are aware of. So that office along with the India office invest heavi ly in product development for EU and now increasingly maybe for the other international business market. So when I say investment in R&D, it is primarily towards domestic market and then towards international business.
Moderator: Thank you. The next question is from the line of Mukesh Saraf from Avendus Spark . Please go ahead.
Mukesh Saraf : I just had one question. You did mention about the independent pricing strategies now across segments. So could you give us some sense on, say, for a like -to-like SKU in each of these categories, how are we placed in terms of pricing or just a new market l eader in each of these segments?
Arnab Banerjee : When I say independent, it's not completely independent, I must correct the perception, but it is increasingly independent, let's say, over the last 4 years -5 years. And this is an industry phenomena. It's not just about C EAT , right? So in 2 -wheeler, for example, our pricing in motorcycle and scooter would be anywhe re -- we are the market leader.
So vis -a-vis not the question is relevant and clear. But the largest competitor. The second player, we are about 2% to 4% higher in 2 -3-wheelers. In fact, market leader is Bridgestone and the Bridgestone would be 8% -12% higher than us across the excluded. Yes. So they have a massive premium on CEAT as well as, let's say, Apollo. And CEAT and Apollo would be somewhat similar in pricing.
So that's the PCR range. As things stand now, we would be within 1% to 2% of the market leaders in truck -bus radial, we are lower in terms of pricing in the truck -bus radial segment. So these are the 3 main segments. I hope that answers your question.
Mukesh Saraf : Yes. Broadly, actually, in some form, I was trying to understand if there is some -- if there is going be some independence in pricing because in 2 -wheelers, we weren't clearly able to take too much hikes. Obviously, the leader there did not take hikes in the last quarter. And in TBR , we are looking to take hikes. Obviously, we are still priced lower than we say the market leader there.
So just trying to get a sense, while we have over the last year or so, we have taken a lot of hikes. Are we coming to a situation where from here on, taking hikes is actually going to be a lot more competitive because we're starting to see a lot of price actions, some discounting the leaders taking price hikes w

ith a much larger lag now. So I wa s just trying to get that sense?
Arnab Banerjee : Yes. So in truck -bus radials, your market share is in single digits, as you are aware. So from that perspective, it really doesn't matter. We can take pricing stand, which is fairly independent. So

that independence actually comes from low market share position. In 2 -3-wheeler, you're right . The independence is not 100%.
The price hike has been 1%, but there will be a price hike at the end of July, irrespective of what our competition does. And that confidence comes from our market share status and volumes in quarter 1, which is already demonstrated. In passenger, it's a multi -corne r thing. So the most competitive actually is passenger Car Tires, where there are multiple players and in multiple segments of commercial and passenger Car Tires, multiple ki nd of pricing stands are there.
So there, it will be opportunistic and not across the board, but in whichever segment also geographically, we may differ, like North and South India, et c. And it we will go for opportunistic pricing action in passenger vehicle.
Mukesh Saraf : That's it from my side. Thank you for that.
Moderator: Thank you. I now hand the conference over to Mr. Arnab Banerjee for closing comments.
Arnab Banerjee : Yes. So thank you very much for your patience and attending this call, and thank you for some great questions and it also gives us some fruitful thought as to what we would be acting upon and see you at the end of quarter 2, and wish you all the best. Thank you.
Moderator: Thank you. On behalf of Elara Securities Private Limited, that concludes the conference call. Thank you for joining us, and you may now disconnect your lines.

Call: Oct 2024

"CEAT Limited
Q2 FY '25 Results Conference Call "
October 18, 202 4

MANAGEMENT : MR. ARNAB BANERJEE – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – CEAT LIMITED
MR. KUMAR SUBBIAH – CHIEF FINANCIAL OFFICER –
CEAT LIMITED
MODERATOR : MR. MITUL SHAH – DAM CAPITAL ADVISORS
LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the CEAT Limited Q2 FY '25 Earnings Conference Call, hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar and then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Mitul Shah from DAM Capital. Thank you, and over to you, sir.
Mitul Shah: Thanks, Del. Good afternoon, everyone. On behalf of DAM Capital, I welcome you to the Q2 FY '25 Results Conference Call of CEAT Limited. From the management side, we have Mr. Arnab Banerjee, Managing Director and CEO; and Mr. Kumar Subbiah, Chief Financial Officer.
I would now hand over the call to Mr. Arnab Banerjee for his opening remarks. Over to you, sir.
Arnab Banerjee: Thank you. Good afternoon, and welcome to CEAT's Quarter 2 FY '25 Earnings Call. I'll be taking you through the business updates for the quarter and shall hand over to Kumar for his remarks and financial performance; post that, we will be opening up for Q& A.
The Indian tyre market is a dynamic and rapidly growing sector, fuelled by countries expanding automotive industry and economic development. We are quite positive on domestic demand overall. Commercial vehicle segment tyres are growing in mid -single digits in replacement, while it's degrowing in OE. Passenger car tyres demand is flat in OE and growing in low single digits in replacement. 2 -wheeler tyres are growing in double -digit in OEMs and also high single digit in replacement aided by recovery of demand in rural markets, post a very good monsoon.
Investment in infrastructure is leading to creation of opportunities when vehicles are traveling faster and covering longer distances per day. This leads to more trips per month. This leads to faster tyre usage, and that's good for the replacement market. Also, consumers in Passenger segment are exploring more on -road and off -road, leading to more tyre usage.
We are delighted to announce the inauguration of our truck -bus radial production line at Chennai. This marks a significant milestone in our journey towards global expansion as this plant is expected to be an export centric hub focusing on delivering high -performance tyres to international markets such as Europe and the US.
Coming to performance of Q2, our turnover was highest ever at around INR3,300 crores with highest ever volume achievement also. On the revenue front, we grew by 8.4% Y -o-Y stand -alone and 6.4% was the volume growth. Our Q -on-Q growth was 4.1% by value and about 1.2% by volume.
Our EBITDA for quarter 2 stood at 11.1% with a gross margin at 37.5%. We continue to face the Red Sea shipping situation, which has extended well beyond the region, not only impacting our transit time, but also creating significant disruptions in the flow of freight around the world, especially from South Asia to Europe.

Despite the headwinds, our international business grew by strong double digits on Y -o-Y basis

in quarter 2. We witnessed growth from each geography and more so from LATAM along with Europe. However, elevated freight rates did eat into our margins. As we speak, freight rates are cooling down but still higher compared to pre -crisis stage.
Our order base is in excess of a month and we are looking forward to in quarter 3 and quarter 4 with a lot of positivity for international business. Replacement volumes also grew in strong double digit led by healthy double -digit growth in commercial vehicle tyres, in passenger tyres and close to double -digit growth in 2 -wheeler tyres as well.
Our brand

imagery is working well with strategic focus on premium categories, positioning us to capture new audiences and enhance our overall premium appeal. Truck and bus 3 -wheelers and scooters continue to have a very, very strong growth in the replaceme nt segment and this is leading to good capacity utilization in both 2 -wheelers and 4 -wheelers factories. OEM was the only soft spot in quarter 2, where we have degrown in single digit, primarily, a, due to top situation in vehicle growth in both 3 -wheel category and 4 -wheeler category and also a temporary loss of share of business for CEAT as we are exiting some vehicles and we are entering some new vehicles whic h are coming along at a slightly slower pace.
As far as margins are concerned, the raw material prices are escalated at a very steep rate of 6% Q2 over Q1. It's very difficult to pass on the en tire increase through finished goods in such a short span of time. In OEMs, we always get the index benefit after a lag of one quarter.
In quarter 2, we got an index benefit of around 3%. And in quarter 3, we shall get an index benefit of around 4%, but it will come with a lag of 1 quarter. By the end of quarter 2, actually, on 1st of October, we further took a price increase on truck -bus radial close to 2% and a bout 3.5% on passenger car radial also.
As we speak, we are contemplating price hikes in truck -bus bias and other commercial categories in October 3rd week. As the price increase has been inadequate, as compared to raw material hike in Q1 and Q2 cumulative, we may have to take further hikes in November and December, which we shall do. Capacity utilization overall has been 80%, but close to 100% in truck -bus radial. In 2 -wheeler plant in Nagpur, it is inching up to 90%, but we have capacity at our outsourcing partner at Hyderabad.
Coming to some future trends. Electric vehicles, 2 -wheeler space in scooters, particularly now it is in excess of 20% . With new 20% of new vehicles being launched in electric, we have a 30% share of business there, and it could go up further with some new approvals coming on. In 4-wheeler, more than 2.5% is electric, another 2.5% is hybrid. In pure electric, we have share of business of 25% in passenger as well, and we are investing in technology as well as working on close relationships with OEMs to maintain or increase the sh are.
As far as the international business is concerned, this has been a core focus area for CEAT. Our top three clusters are now EU, Middle East and LATAM comprising of almost two third of international business. In Specialty segment, which is off -highway segment, I'm glad to share that we could launch about 46 plus new SKUs in quarter 2.

This is margin -accretive for us and some new OEM approvals are coming in, for example, Massey Ferguson in France, CFI in USA. and so on. For the no n-specialty business also, we have been able to launch a significant number of SKUs in truck bus radial and passengers, and we have a strong pipeline in half 2, quarter 3 and quarter 4 as well.
Sri Lanka has been doing pretty well. The macroeconomic situation has improved quite a lot. Economic stability is returning. A new President is in place with popular support. Our company in Sri Lanka has registered 31% volume growth with 19.5% EBITDA in qu arter 2. As far as premiumization is concerned, our campaign with the crafted for Curious theme is gaining traction on both digital and television media. We have partnered with KBC as a special partner, and we have launched the second version of our campa ign through KBC.
We have mounted an Africa to Arabia expedition, which is going on CEAT wheels, CEAT CrossDrive wheels. This not only establishes the credibility of the tyre but creates content for further digital amplification. In quarter 2, we had the premium CEAT international cricket awards which was graced by celebr

ities such as Rahul Dravid, Rohit Sharma and also Jayesh Shah, and this was elaborately covered in media. This is 100 years of CEAT's existence, and we are celebra ting in very many ways internally as well a s externally.
Our Beyond the Horizon campaign on digital media has about 50 films aiming at a cumulative 100 million viewership, 15 of them are already mounted and we already have 45 million viewership. This campaign shall continue till the end of December. We have taken our Enduro Park campaign right up to 3,500 meters above sea level in Ladak h. We have also tied up as a

tyre partner with Bayer Leverkusen who were the champions in Bundesliga Germany, and we continue to be associated with Torino FC who are part of Serie A in Italy.
On the digital front, we continue to engage closely with our channel partner through digital mode. We continue to enhance our efficiency in manufacturing process and we are investing in collaboration across the supply chain through a new project which has important 3 to 4 models, which will established one source of truth and enhance collaboration across the supply chain from procurement to sales.
The industry 4.0 concepts are helping us improve the efficiency of energy users, improve manpower productivity and reduce consumption of resources such as water. The organic traffic on our website grew by 21% and traffic from premium SUV users increased by 87%.
Brand conversation volume moved up by 16% with a 129% increase in average interactions per post Y -o-Y. On capex , I think details will be provided by Kumar. Our annual guideline stays around INR1,000 crores to INR1,050 crores. As mentioned, we have successfully commissioned our TBR plants in Chennai and other projects are progressing on schedule.
Sustainability. We continue to reduce our carbon footprint ton CO2 emissions per MT of production was lower by 3% Y -o-Y, 37% of our plant power requirement is tied up through renewable sources, and we will endeavour to increase this contribution further. We have strengthened our commitment to fight global warming by joining the science -based target initiative.

Looking forward, I think we are looking at accelerated growth in second half with double -digit growth in replacement, double -digit growth in international business and a bounce back from the OEMs because of clear visibility of vehicles that will be launche d on CEAT. The freight rate moderation will also happen. Container availability for dispatches is expected to improve, and our GTM to US is expected to scale up especially for truck -bus radial.
On raw materials, we expect the inflationary trend to continue, but at a lower rate of 1.5% to 2% Q3 on Q2, and therefore, this will create some space for us to enhance our margin probably. In Q4, with fresh crop coming in, we may see slightly more flatten ing of raw material situation.
With this, I will now hand over to Kumar for further elaboration.
Kumar Subbiah: Thank you, Arnab. Good afternoon, ladies and gentlemen, and thank you for joining our Q2 FY '25 earnings call. I'll share some financial additional data points with you all, post which we can enter the Q&A session. Overall, our consolidated net revenue for the quarter stood at INR3,334.5 crores, a year -on-year growth of 8.2% and quarter -on-quarter growth of 4.1%, driven by mix of both volume and price growth.
While our OEM growth was muted, replacement and export segments grew strongly in double digits and that we are happy to share with you that our consolidated revenue of INR3,304 crores is the highest that we have achieved ever.
Coming to our operating margin, our consolidated EBITDA margin for the quarter stood at, in absolute amount, INR368 crores, translating to 11.1% of our turnover. It is a contraction of about 400 basis points year -on-year and about 94 basis points quarter -on-quarter, prim

arily on account
of increase in the raw material prices.
While our raw material basket increased as compared to previous quarter, in line with our earlier estimate that we had indicated in the previous earnings call, we were a little surprised with the quantum of increase that we witnessed in the natural rubber prices, particularly within India.
While the crude has largely remained stable in the range of $75 -plus or minus $5, natural rubber prices shot up to INR250 per kg in the local market during the quarter, which was at a premium of about INR50 per kg over the international prices at a particular point in time.
In the last two to three weeks, the local natural rubber prices have come down to around import parity level, while international prices have eased up by about $200. Currently, local natural rubber prices are in the range of around INR200 per kg.
The rupee has remained stable in the range of about INR83 to INR84 to a $1 in the similar time frame, and therefore, the impact on raw material and other expenses on account of currency has remained stable.
Considering these factors, we'll continue to keep a close watch on RM situation, as Arnab mentioned, and see how it evolves over new few quarters, and we expect them to continue to move up marginally in quarter 3 to the extent of 1.5% to 2% over quarter 2 after that could stabilize.

Coming to debt, capital expenditure and working capital, we spent approximately about INR175 crores on capital expenditure during the quarter. And overall full year basis, we spent about INR430 crores, which is largely in line with the full year capital expenditure estimate that has been shared by Arnab just now.

While working capital remained negative, during the quarter, it moved up by about INR290 crores quarter -on-quarter, largely due to higher inventory level, particularly natural rubber, which we expect it to normalize over the next 2 to 3 months.

We generated healthy operating cash flow and the increase in raw material inventory leading to increase in working capital led to increase in our consolidated debt by about INR238 crores. And we also would like to bring it to your attention that our dividend payment of about INR121 crores happened during the quarter that also had some impact on cash flow for the quarter.

We expect overall working capital to normalize progressively in the next 2 to 3 months as we have already taken steps to bring down our raw material inventory cover, particularly in natural rubber. And hopefully, in the next 3 months, we would be at the normal level .

Our debt EBITDA on a consolidated basis as of 30th September stood at a comfortable level of 1.19 and debt equity at 0.45. With respect to operating expenses, our employee cost was higher by about 12% quarter -on-quarter on account of annual increments , incentives and additional salary expenses incurred on account of higher level of productivity, including a new plant, a Chennai to produce truck and bus radial tyres.

Consequent to increase in the raw material prices, we kept a tight control on other expenses, particularly discretionary costs and advertisement costs, leading to a drop in overall other expenses to the tune of about INR24 crores quarter -on-quarter.

So, the above step helped in terms of partially helping in mitigating the impact of drop in gross margin. And our operating gross margin, as I mentioned, stood at INR366 crores translating to 11.1% on turnover.

Our consolidated profit after tax stood at INR121 crores compared to about INR154 crores in quarter 1 and INR207 crores in the previous year same quarter, and the drop was primarily due to increase in the raw material costs, as I mentioned earlier.

Coming to Sri Lankan business, the Sri Lankan business witnessed a strong volume as well as profitable growth during the quarter, arising out of economy normalizing and

increase in the
arrival of tourists in Sri Lanka.

We are also happy to share with you during the quarter, credit rating agency India Rating carried out their annual surveillance and affirmed rating of AA for long term and A1+ for short term. And in case of long term, they have changed the outlook from neu tral to positive during the annual exercise.

Based on the approval by shareholders in the Annual General Meeting held towards the end of August, we distributed a dividend of INR121 crores, amounting to about 300% of our share capital.

With that, we can now open the floor for Q&A. Thank you.

Moderator: Thank you. We will now begin the question -and-answer session . The first question is from the line of Raghu Nandhan from Nuvama Wealth Management. Please go ahead.

Raghu Nandhan : Festive greetings. Sir, firstly, in terms of the price hikes cumulatively taken so far, how much would be the quantum? And is there any discounting whether we are able to retain, how is the retention?

Arnab Banerjee: So the raw material price hike has been about 4% to 5% Q1 over Q4, about 6% Q2 over Q1. As I mentioned, the cumulative price hike has been inadequate. Q2, the overall price hike was higher in commercial category to the extent of around 1% to 2%, about 1.5% in passenger; in other commercial, about 2 -odd percent. So, you can see, obviously, it was inadequate.

In quarter 1 also, there was a gap. So we are, therefore, looking at a very steep increase in quarter 3. On October 1, there was a price hike of around 1.5% on commercial, 3.5% of passenger. In the third week of October, there will be further hikes in truck -bus buyers as well as o ther commercial vehicle and we will relook at 2 -wheeler category also in November or December, maybe in November itself.

So the evidence of that is in the drop in gross margin, as you can see, which has percolated to a lesser extent in EBITDA, the drop in gross margin quarter -on-quarter has been around 1.5%.

Raghu Nandhan : So, what would be the under recoveries as of now? Would it still be to the tune of 2%, 3%?

Arnab Banerjee: I would say around 1.5% - 2% definitely.

Raghu Nandhan : Sir, it was at the beginning of Q3, you're taking this 1.5% TBR hike, 3.5% PCR and again TBB and other commercial vehicle you're going to take a price hike. And Q -o-Q, Q2 to Q3 the RM increase is 1.5%, so is it fair to assume that Q2 gross margin was the trough and Q3 onwards you should witness the expansion?

Arnab Banerjee: We have to see because the international natural rubber price is going up as we speak, though the domestic natural rubber price has come down. The petroleum -based raw material prices have not yet sobered down. So we'll have to see how it bears so we are pr ojecting at 1.5% to 2% raw material hike. And it will also depend on our ability to take further hikes in the commercial as well as in the 2 -wheeler segment.

Raghu Nandhan : Understood, sir. And my second question was on the demand side. 6.4% was the volume growth Y-o-Y. How much, sir, was the fall in OEM and growth in replacement and exports, if you can share the numbers?

Arnab Banerjee: So Y -o-Y truck -bus bias is the growing segment, right . Truck -bus radial, we are growing in very healthy double digit, which is what the future is. So overall growth in truck -bus is kind of strong single digit because of the degrowth in truck -bus bias.

But what you have to note is that radials is where the growth is. Then passenger, we are growing very strong in double digit, very strong double -digit passenger car tyres . Two -wheeler is a little less, but very close to double digit as well, but there are some sundry areas, for example, off - highway, off -highway agriculture, specialty tractors, those are growing in low single digits. So overall, it works out to around

6.5%.

Raghu Nandhan : If you break it down to OEM replacement, sir?

Arnab Banerjee: So OEM will be , we said we have Y -o-Y, it's about 3 -odd percent, 3 %- 4% down, right? And replacement and exports are in double -digit growth.

Raghu Nandhan : And within replacement, if you can give a trend for TBR, PCR and 2 -wheelers?

Arnab Banerjee: TBR, PCR, 2 -wheelers in replacement?

Raghu Nandhan : Yes, sir.

Arnab Banerjee: Okay. So TBR you asked Y -on-Y?

Raghu Nandhan : Y-on-Y, sir.

Arnab Banerjee: Yes. So , replacement Y -o-Y, the growth will be pretty strong in very high double -digit, TBR. PCR, the growth will be more or less, yes, again in double -digit, PCR. And 2 -wheeler also, we're growing strong because backed by a strong rural demand. So the 3 main cate gories will be growing very healthily. We have downtrend in specialty tractor, which depends on the season, LCVs and those kind of things, truck -bus bias.

Raghu Nandhan : Understood, sir. And just a related question here. In terms of TBR, given that you have seen high double -digit growth and also capacity expansion, how would you see the market share trending here?

Arnab Banerjee: So we have low market. If you're talking of replacement market, we have low market share. We are in high single digits. We have already gained about 1% to 1.5% share. We expect to keep gaining share because our base is very small. So that is not an issue.

Moderator: The next question is from the line of Siddhartha Bera from Nomura. Please go ahead.

Siddhartha Bera: Sir, on the replacement question a bit more. If we look at TBR, so we are gaining share. I mean, this is largely driven by – what are the drivers here which is driving our market share gain? Is it pricing or is it network, if you can just elaborate a bit? And in PCR also is this something we are gaining share because the industry is growing in double digits. So just some more thoughts there.

Arnab Banerjee: Replacement, we are gaining share because we have a superior product, and we had been fitting these products into OEMs, which have now been seen by the customer, experienced by the

customer. And some of the customers are insisting on the OEMs to supply fitted with CEAT tyres. So, it is a product, and we are gaining share by winning in some markets, not across the country. We are focusing on a few markets where these products will be accepted well and that is how we are gaining share.

So excellent products, good channel in some areas and OE fitments, that is the summary of TBR, sorry, that was TBR. And in PCR, we have got some fantastic new line of products like cross - drive, which is gaining traction across the country. It is not a product for the OEMs. It is a replacement -oriented product for 80% on and 20% off kind of appl ication.

We have a top -of-the-line sport -drive product, which is for the M ercs and the BMWs, we have 95% coverage there. So new products and the campaign is doing well, which is crafted for the curious, the 100 -year campaign is doing well, which will intensify over the next for 4-6 quarters.

So new products, good products. OEM fitments is low. This will come in and contribute to replacement sales maybe 3 to 4 quarters down the line also and good channel.
Siddhartha Bera: Got it. In terms of the mix, sir, if you see the first half mix, export mix has been around that 19% only in last year and even in this year. So if you look at the growth, then it should be also similar to our overall growth of about 8%. So how are we sort of saying that export is growing in strong double digits? I mean, they're not really visible in the mix.
Arnab Banerjee: Yes, the mix is clear . Double -digit growth in replacement and export and negative growth in OEM. So that's how the overall mix export is around 19%, you're right. And we would like this to grow to at least 20%, 21% as soon as possible.

We have the order base, but we have been held back because of certain geopolitical reason in the second quarter, as I mentioned, the co ntainers were not available.
We couldn't ship out orders that were already there. We could manufacture, but we couldn't ship out. And these roadblocks are coming down gradually. So, we should look forward to enhancing export growth disproportionately over domestic growth in future.
Siddhartha Bera: Got it. So overall, to sum it up, given strong replacement growth, the healthy export growth, should we expect a pickup in the overall volume growth trends, which we are doing in the current quarter, in the coming quarters, will that be a fair assessment?
Arnab Banerjee: Second half volume growth, we are looking at positively. That's a fair assessment.
Siddhartha Bera: Understood, sir. Sir, lastly, on the commodity. So if you look at the domestic rubber prices, they have come down a bit, quite a bit actually. So don't we expect any benefit out of that to come in the current quarter? I mean, why are we saying 1.5% to 2% commodity cost inflation in the quarter?
Kumar Subbiah: It is mainly because the material inventory that we have, we have to consume. And while domestic prices have come down from INR250, it went up to a peak of INR250 per kg, now it's hovering around INR198 to INR200, it is that level. International prices have moved up by $250, okay . So overall average, ours is two third of rubber is import and one third is local. So, from

that standpoint, average natural rubber prices in terms of consumption cost in quarter 3 is likely to be higher than quarter 2.
Moderator: The next question is from the line of Jinesh Gandhi from Ambit Capital. Please go ahead.
Jinesh Gandhi: Just some clarification on the Indonesia subsidiary, which we are proposing. What is that for?
Kumar Subbiah: So, see, this is part of our international business approach. And this is work in progress. We are setting up an entity or intend to setup an entity in Indonesia to explore servicing the market from local, okay . So it's more a pilot work in progress. We have got approval from the Board for us to move forward to explore any opportunities there.
Jinesh Gandhi: So, we will be putting up a local plant there , a manufacturing capacity there or it could be just the sales office?
Kumar Subbiah: It's no manufacturing. It is more an entity that will get created so that supply to the local market can be facilitated.
Jinesh Gandhi: Got it. Got it. And second question pertains to the competitive landscape in the replacement markets. So, are you seeing a similar price hikes by your peers to the level which we have taken?
Arnab Banerjee: It is different for different categories. But yes, more or less, we see the prices going up in most of the categories. I would say, barring maybe 2 -wheelers, where the price hike is a little muted, but across passenger, across truck -bus, across other comme rcial vehicles, farm, I think the price hikes are happening at different times. The quantum may be different, but it's happening.
Jinesh Gandhi: Okay. That's great to know. And third question pertains to our capacity addition plan going forward. So TBR is now up and running and from what I understand it is currently only the OTR side of capex which is pending. But anything beyond that which we are looking now in the growth which we are looking at?
Kumar Subbiah: In terms of capex , TBR, it is upstream and downstream we are spending that -- we would be spending that progressively. And in case of specialty farm radial tyre expansion capex , intensity has not yet fully started. So that will be something that we will end up spending some capex . Even in Chennai passenger car radial also, we are not fully spent, okay . So downstream, we are spending based on the demand. So, these three would be the critical ones

that we'll continue to spend even going into the next year.
Jinesh Gandhi: And lastly on…
Moderator: Sorry to interrupt Mr. Jinesh, please rejoin the queue for further questions. Thank you. The next question is from the line of Amar Kant Gaur from Axis Capital. Please go ahead.
Amar Kant Gaur : I had two questions and then 1 housekeeping question. So first one was, now that our TBR plant

has started and you were also indicating that this will be primarily utilized for our exports to U.S., what kind of incremental growth can we see from this plant or this business alone and in the context of overall outlook or growth that you expect to be going good for the second half and maybe going into the next year as well?

Kumar Subbiah: So, when I said international, it is not just US. It is also Latin America and Europe. So the growth in these markets -- US, of course, are just doing the GTM right now, but the growth in Europe and Latin America to some extent was held back because we had ru n out of capacity.
We are servicing the domestic market, and we'll continue to do that in priority. Now these steps will be open, and margins are good. And the growth in TBR could accelerate if we are able to take up this opportunity utilizing the capacity in Chennai. The ca pacity is 45,000 tyres per month. So, we expect to reach this level by Q1, Q2 of next year, and we expect to utilize that capacity pretty fast.
Amar Kant Gaur : Okay. That's good to know. The other question that I had was you have -- I mean I should congratulate you that you've seen that you have been quite at the forefront of taking the price hikes over the last couple of quarters, probably ahead of your peers. And you had also indicated the kind of pricing premium or disc ounts that you guys have over your peers across segments. Now that you have taken more price hikes probably than your peers that differential would also have come down. And so how much of a headroom do you see because of that or your pricing strategy would remain independent even more so now?
Arnab Banerjee: No, the price increase that we have taken is still inadequate. We feel we need to take further price hikes. As I mentioned on October 1, we have taken some -- in the third week, we are taking some and some other basis we need to cover. So we are not done with the price increase, we would like to explore more opportunities in the month of November. And if you are not done, maybe in December also.
Amar Kant Gaur : No, I'm asking this from a perspective of, like from a competitive perspective, right? So would you say that regardless of what the competition does, you would continue with your pricing strategy? Or there is probably a cap to that as well?
Arnab Banerjee: No, there is -- as I have been mentioning, there is increasing independence, but it's not 100%. So in commercial segment, it's very difficult to become completely independent. The highest degree of independence could probably be in 4 -wheeler segment and le ss so in commercial and 2-wheelers.
Amar Kant Gaur : Understood. Understood. And 1 housekeeping question that I had was that typically, we see a spike in your ASPs, regardless of what the price hikes have been taken typically in Q2. Is there a one -off there that you could probably qualify?
Arnab Banerjee: Advertising, you mean?
Amar Kant Gaur : No. In the ASPs.
Arnab Banerjee: Yes, can you repeat the question?
Amar Kant Gaur : Yeah, so what I was asking was, if you look at from Q1 to Q2, the ASPs have gone up by about 4%, while the price hikes, the impact of price hikes could not be that high, right? Maybe 1 %- 2%. So, what is accounting for that additional 2% increase in the ASP?

Arnab Banerjee: I think ASP means, are you referring to revenue?
Amar Kant Gaur: Yes.
Arnab Banerjee: Okay. So, reven

ue moved up by 4%. Are you asking whether it is on account of price or is it on account of one -off? Is that what you are asking?
Amar Kant Gaur: Yes.
Kumar Subbiah: Okay. So, revenue moved up by 4%. Are you asking whether it is on account of price or is it on account of one -off? Is that what you're asking?
Amar Gaur: Yes.
Kumar Subbiah: Okay. Now there's no one -off in the revenue of quarter 2. Quarter 2 has two third of the revenue growth on account of volume and one third of the growth is on account of price. So the price impact is small, one third of that 4%, you say quarter -on-quarter.
Amar Gaur: Okay. Maybe I'll take that offline, probably.
Moderator: The next question is from the line of Basudeb Banerjee from CLSA. Please go ahead.
Basudeb Banerjee: Couple of questions. See, overall replacement volume growth, I missed up initially what you have said, how much was the commercial vehicle replacement?

Arnab Banerjee: Commercial vehicle replacement, the bias, we have had slight degrowth. And we had a very strong growth -- very strong highly double -digit growth in truck -bus radial, leading to market share gain in replacement, but we are still in single -digit market share .
Basudeb Banerjee: And within your commercial vehicle replacement portfolio, what percentage is radial as of now?
Arnab Banerjee: In truck -bus, it is roughly 50 -50.
Basudeb Banerjee: For you.
Arnab Banerjee: Truck -bus radial is 50% of overall truck tyre sales in replacement.
Basudeb Banerjee: Surely. So, if truck -bus radial is growing at double digit and slight declines overall truck -bus replacement tyre seen positive growth only.
Arnab Banerjee: Overall truck -bus is also growing in double digits despite negative growth in truck -bus bias.
Basudeb Banerjee: Okay. And second thing, like lot of negative commentary with respect to highway tyre exports out of India to the target market. So how are you seeing offtake in your target market and production from Badlapur ramping up? So, any comments on that?
Arnab Banerjee: Yes. It's at Ambernath. So, we have some headwinds in Agri radials, which I've been mentioning. I think now we have started receiving some initial commitments from OEMs. The volumes have

been flat. We have been gaining consistently in aftermarket in Europe, U.S. and Latin America, but the drop in OEMs have been absolutely precipitous.
In a sense, it could be 50%, 60% drop in OEM volumes over the last few quarters. Now, a few OEMs are enhancing their approvals and coming back to some kind of offtake, though at a much lower level. And we'll continue to focus, therefore, on the replacement market. But overall, I think it has been flattish for some quarters.
Basudeb Banerjee: And any reason you could assume for such a huge decline, is it purely macro or inventory build -up or how do you see that?
Arnab Banerjee: A bit of both because there is inventory buildup and the demand has fallen off. If you talk to farmers there, for example, in the U.S. the farmers are not only not buying new equipment like harvester or other farming equipment. They're also not buying tyres and using the tyres for longer duration and usage. So there is a slowdown in offtake. There is a huge inventory, which the OEMs are correcting. The replacement distributors are correcting. So it was a double whammy, which is why it was fl at.
Basudeb Banerjee: But do you see that bottoming out currently?
Arnab Banerjee: I think the inventory position is easing out. The demand will take some more time to come back.
Moderator: The next question is from the line of Ankur Poddar from S van Investments. Please go ahead.
Vishal : Vishal here. Sir, I have one question regarding the exports. We have seen exports steady growth of almost 8% to 10% and the share of export has been around 19%, 20% last 3 years -or-so. And you said that you h

ave a visibility of increasing it to 20%, 21% in the near term. Can you share some thoughts and some light and how will you be able to scale up and what is your strategy on that regard?
Arnab Banerjee: Yes. So based on the following pillars: One is the truck -bus radial facility has come on stream, which will help us in expediting the GTM to US and expand in Lat Am and EU. That's one. The second one is we have been expanding the range in passenger car tyres and expanding our downstream throughput capability in Chennai. That will come in handy for exports.
And the third one is we expect the demand to revive gradually in Q3 -Q4 for agriculture radial, which will come out of Ambernath where there is no capacity issue as of now. So these 3 we expect to fire. And if they do so, then the export saliency in the overall business will improve from 19%.
Vishal : Great, sir. Sir, with these new capacities coming in, what kind of SKUs do we intend to increase from this? How many currently we have? And how do we intend to increase the SKUs in next maybe couple of years?
Arnab Banerjee: So, couple of years is a long time. But generally, we have been going at about 40 -plus SKUs for agriculture radials and OTRs, which I think will continue. We have about 1,000 -odd SKUs, and

there is scope to further leverage the range that is there at the new evolving market where the margins are usually good.
So we have started late, so we were first catching up. I think 1,000 is a good place to start looking at the evolving areas. So 40 -plus SKUs Agri radial will continue per quarter. And in passenger radial, I can tell you, I can share some numbers maybe in the first -- next 2, 3 quarters, we have

a plan for at least about 30 to 40 SKUs overall to be launched. This will not come at that prolific rate as Agri radial. And truck -bus radial will be slightly more sedate at maybe 8 to 10 SKUs for the next 2, 3 quar ters.

Ankur Poddar : Great, sir. And sir, do we plan to scale up the replacement or we are as we have got some new OEM in this quarter, we are also targeting aggressively to get into OEMs in the export market? And what is the plan going ahead, if you can share?

Arnab Banerjee: So for agriculture radial, it is both OEM and replacement in export market. And that's important because the volumes are very big in OEM. And in OEM, we classif y them into OE1 and OE2, which is the largest OEM, which are global OEMs like CNH, etc , and the local OEMs, which are there in 1 country or a couple of countries.

So we'll look at both, and the margin difference is not much in export market for Agri radial for OEM and replacement. For passenger, we are just knocking the doors of OEMs, and it will be a long haul, maybe 2, 3, 4 years from now when we'll get a breakthrough. So, 100% is going to be a replacement market and same in TBRs.

Ankur Poddar : Great, sir. Sir, my last question, a small bookkeeping question regarding the debt levels. We see the debt levels have been elevated this quarter because of working capital requirements. So by the year -end, do you see the debt level coming down as the same scenario we have seen in FY '24 also . Where H1, we saw that debt levels were elevated, but gradually, it got reduced by the end of the year. So do we see similar kind of scenario here also or are you comfortable with keeping the debt levels at similar levels ?

Kumar Subbiah: No, I think the debt levels, as Arnab mentioned in the beginning, our capex for the full year is in the range of INR1,000 crores to INR1,050 crores and in the first 6 months of the current year, we have spent about 450. So, we'll spend a little more in capex in the second half of the year. First half also had this dividend of about INR120 crores that we paid in the month of September, okay? It's more specific to last quarter. And third, on the working capital side, why it went

up
was primarily because natural rubber inventory that we had as of 30th September was about significantly high er than the previous quarters. That was mainly because the transit time from Southeast Asia to India came down from 60 - 65 days to around 20 days.

So, what we had planned over 2 or 3 months, many of them consignments reached earlier than our original plan. So, these three things have contributed to increase in our debt level, okay . So, the comparison of current year versus last year, last year, our capex was closer to INR850 crores. This year, we'll be spending closer to INR1,000 crores to INR1,050 crores, so that needs to be funded.

Second, working capital, our intention is to normalize it between the current quarter and next quarter, so that there is no incremental impact on our account working capital the absolute working number level. So, debt level, we don't expect it to come down by end of the year, okay? However, we are very comfortable at current level of leverage, which is about 1.2x the EBITDA is our current debt level. So, we are okay in the current range, but composition of the debt level will change with normalization of working capital and with a higher level of capex in the second half of the year.

Moderator: The next question is from the line of Jaimin Desai from Emkay Global. Please go ahead.

Jaimin Desai: Sir, you indicated the improvement expected in OEM category in the second half. This would be more of first half versus second half or the growth expected on Y -o-Y basis as well? And if you can provide some colour on how will be the OEM category growth across segments with commercial, passenger and 2 -wheelers?

Management : There's too much noise there on the -- line I think.

Moderator: I think t here's too much background noise from your end.

Jaimin Desai: Sorry, is this better?

Moderator: Yes, sir.

Jaimin Desai: Sir, you indicated good growth expected in the OEM category in the second half. Can you provide some colour based on segments, commercial, passenger and 2 -wheelers? And if this growth would be more of second half versus first half or there would be growth Y -o-Y level as well?

Arnab Banerjee: Growth will be definitely second half versus first half because we will be able to deliver more truck -bus radial because of enhanced capacity. Number two, we have visibility of a lot of models that are coming up for either launch or we are going in a secon d or third source. So we have complete visibility in 4 -wheeler. So that will come for enhanced fitment in the OEM and not because of OEM growth or anything else.

Our share will go up in those cases, which is very much visible. It can be delayed by a month here and so, but it will happen. And 2 -wheeler is purely increasing share of business, old and

new SKUs put together.
Jaimin Desai: Understood . Sir, you also touched upon the replacement cycles now shortening across commercial as well as passenger categories. Can you provide some insight on how they would have been, let's say, 5 years back in terms of number of years or a number of months and whe re they are now?
Arnab Banerjee: So, we do once a year long-term demand planning of 5 years where we see a slight reduction of, let's say, sweeping reduction of 1.5 to 2 months to 3 months of the life of the tyre because of enhanced usage. In some segments, it's not across segments.

It is in some segments, which is, let's say, the larger vehicles, which travel much out of the city those kinds of segments . In truck tyre, again, those who travel long distances, not the ones who are traveling intracity or closer distances, start and stop traffic, there it is a different scenario, right? So, it is not on the -- you can't map it to the en tire market.
Moderator: Next question is from the line of Mitul

Shah from DAM Capital Advisors. Please go ahead.
Mitul Shah: Sir, I have two questions. First one is on this pricing discipline, which we have seen in past 1, 1.5 years. So, this question is to Arnab, sir. Sir, based on your past experience, what level of industry volume growth or in terms of utilization, have you seen pricing discipline or at what level of a decline or lower utilization pricing war starts based on your past experience?
Arnab Banerjee: I think it's not linked to capacity utilization. It is linked to each company's individual stance of what it wants to do with a lower price. So, if one thinks that by holding price or lowering price one can get market share, that's one some of the players may try. It may succeed, it may not succeed, but it may try.
Some other players, I'm talking about industry in general without naming any player. And some of the players may try to invest more in different kind of tyres, premium tyres, different kind of channel and investing in marketing and technology, they want to take the price hike.
There are premium players also in the market, right, in the multinational players, which have a different pricing strategy. So, we have a wide spectrum of pricing. I think the old notion of just linking to capacity utilization doesn't really hold right now because there are examples of low-capacity utilization and higher pricing in the market also.
Mitul Shah: Okay. Sir, second question, again, on the pricing side only is raw material has started going down. Natural rubber almost down by more than 20% from peak, crude is also down, steel prices. So roughly the entire RM basket is down by more than 10% from peak levels.
Of course, from the weighted average price, it may not be significant lower, but going forward in Q4, when we are indicating possible raw material decline, so what would be the scenario in terms of passing on price to the end customer? Do you think there i s a possibility of retaining profitability by the industry? I'm not talking only about you, but considering the current environment, and would there be a lag effect in passing on this price benefit similar to the price hike lag effect, so industry can ret urn better margins for 1 or 2 quarters?
Arnab Banerjee: See, I can answer that based on past data. I cannot predict the future. So, if you look at a couple of cycles in the past 5 to 7 years or even back to 2015 -'16, I can talk of CEAT, our margins have been holding steady at around 40%, 41%, even 42% gross margin for a significant number of quarters. So, when the raw material price has gone down, the margin has gone back up to 40% - plus.
So, there is evidence CEAT has been able to hold prices to enable such kind of gross margin.
Now what will happen in the future, I don't know, but there is evidence that this happens.

Moderator: The last two questions are from the line of Raghu Nandhan and Jinesh Gandhi. The next question is from the line of Raghu Nandhan from Nuvama Wealth Management. Please go ahead.
Raghu Nandhan : Sir, you have exposure to Europe market in exports. And with regards to the upcoming EUDR regulation, how do you think there will be an impact both in terms of the pricing as well as whether there will be any demand impact in terms of prebuying?
Arnab Banerjee: Yes. So EUDR itself, I think there is a discussion in the European Parliament towards deferring it by a year. You might have heard about that. But we have prepared ourselves completely to enable business continuity under EUDR, both in terms of procuring natural rubber from domestic markets as well as from import markets.
So, there will be an inflation because the farmer who will comply with EUDR will -- for sharing so much information, etc , will demand a higher price, and that's what is going to happen. So, our

cost of procurement is going to go up to the extent of EUDR rubb

er for supplying to EU markets.
So, we would definitely like to pass this on because it's a global phenomenon. All players --
global players have to comply to this. And there is evidence that people are tending to pass it on,
and we would also pass it on. But if this gets deferred, then it gets deferred by EU.
Moderator: The last question is from the line of Jinesh Gandhi from Ambit Capital. Please go ahead.
Jinesh Gandhi: My question was on the market share. You talked about gaining market share on TBR side. Can
you also reflect upon PCR market share and the replacement category, how that has been
trending given the changes in the market?
Arnab Banerjee: So, my information is dated as of quarter 1 because we have still not laid our hands on the quarter
to share. But we are to close #3 in PCR share. And the gap between us and number one is not
very much and we would definitely like to see us at number one in 2 to 3 years' time, and we
have plans capacity -wise and new product -wise and marketing -wise to get there. So that is PCR.
In two -wheeler, we continue to be number one . This is again quarter 1 figure and with a steady
market share in both motorcycle and scooter.
Jinesh Gandhi: Got it. What will be your market share in PCR currently and in 2 -wheelers currently in 1Q?
Arnab Banerjee: Roughly 35% in 2 -wheelers and roughly 17% in PCRs.
Moderator: As there are no further would. I now would like to hand the conference over to the management
for closing comments.
Arnab Banerjee: Thank you very much for a variety of questions in diverse fields from raw material to markets.
Thanks for your interest, and we hope to see you soon after the end of quarter 3. Have a good
festival time. Happy Diwali.
Moderator: Thank you. O n behalf of DAM Capital Advisors Limited, that concludes this conference. Thank
you for joining us. You may now disconnect your lines.

Call: Jan 2025

"CEAT Limited Q3 FY25 Earnings Conference Call"

January 16, 202 5

MANAGEMENT : MR. ARNAB BANERJEE – MANAGING DIRECTOR &
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MR. KUMAR SUBBIAH – CHIEF FINANCIAL OFFICER ,
CEAT LIMITED
MODERATOR : MR. MUMUKSH MANDLESHA – ANAND RATHI SHARES
& STOCK BROKERS LIMITED

Moderator : Ladies and gentlemen, good day and welcome to the CEAT Q 3 FY25 Earnings Conference Call hosted by Anand Rathi Shares & Stock Brokers Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions . Should you need assistance during th is conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.

I now hand the conference over to Mr. Mumuksh Mandlesha from Anand Rathi Shares & Stock Brokers Limited . Thank you a nd over to you , sir.

Mumuksh Mandlesha : Thank you. Good afternoon everyone . On behalf of Anand Rathi Shares & Stock Brokers , I welcome you all to the Q 3 FY25 Results Conference Call of CEAT Limited.

From the Management side, we have Mr. A rnab Banerjee – Managing Director & CEO and Mr . Kumar Subbiah – Chief Financial Officer .

I would now like to hand over the call to Mr. A rnab Banerjee for his Opening Remarks . Over to you, sir.

Arnab Banerjee : Good afternoon everyone and Happy New Year to everybody and welcome to the Quarter 3 Earnings Call.

I will be taking you through the Business Updates for the Quarter and then will hand it over to Kumar for his remarks on Financial Performance and after that, we will have the Q&A.

Our Q3 continued with aggressive growth on revenue front with 11.6% growth in value Y-o-Y and 7.9% growth in volume. The standalone profit was Rs. 96 crores for Q3 FY25. Gro wth momentum was good overall with 7.9% volume growth over last year as I said. Our segments of international business and replacement have grown in double digit value while the OEM segment is also coming up, it grew about mid-single digit. We have almost matched the all -time high turnover in Quarter 2, both in value and volume terms. Our turnover was Rs. 3,292 crores on a standalone basis.

The international segment managed to grow in double digits Y-o-Y basis, as I mentioned . In the passenger category as well as in the 2-Wheeler and 3-Wheeler category, we witness ed good growth from almost all geography, but more so from Europe where even truck bus radial turnover is also starting moving to a higher level. Replacement markets saw double -digit growth in commercial vehicle with stronger growth in the radial segment and slightly less flattish growth in the bias segment. We have grown well in 2-Wheeler also in replacemen t with higher growth coming in from the rural market where we have a distribution advantage . The growth rate in rural market was almost 40 %-50% higher than the growth rate in the urban market. We are seeing good traction within 2-Wheeler in scooter t yres across all markets in the country. This has led to good utilization of capacities in almost all our plan ts, which is around 75 %-80%, sometimes higher than 80%. Halol is very high at about 95%.

OEM volumes are coming through and started to grow with increase in the market share in 2-Wheeler s and with more vehicles getting launched in CV segment , we are seeing traction in 4-Wheeler as well. For the upcoming quarter, we expect OEM growth to accelerate in both 2-Wheeler s as well as 4-Wheeler segment s and also consolidat e in the T BR segment, though the overall OEM volume in M HCV segment is negative.
In O HT (off-highway tyre) , international business has recorded very good growth in the aftermarket, especially in the European Union, and we expect this strong trend to continue and when the OEM sales bounces back , the overall OHT volume in international market will also accelerate. We continue to deliver double digit post tax ROCE. In the last call, we had talked about our acquisition of Camso . There is no change in the status because the deal is expected to be closed by the month of May in Quarter 1 . There is no impact

of this either on Quarter 3 or in
Quarter 4 Results in FY25.
Demand outlook considering that the monsoon was okay , Kharif harvest should yield food inflation and overall consumer sentiment in the co ming months. Government spends in rural infra is strengthening the purchase power of rural India and overall market in rural which supports our farm tyres and 2-Wheeler s are expected to be robust in the coming months. As far as growth is concerned of the market demand outlook, we expect the truck bus segment to grow in high single digit as well as 2-Wheeler and farm. 2-Whe eler possibly may grow in double digit as well , farm and passenger w ill be in low single digit. That is what we expect the markets to grow by in the next few quarters , next quarter, definitely in the next few quarters. Seasonally we are seeing a slight dip in North and Eastern India where demand comes down overall in the winter months.
In the OEM segment, as you are aware, M HCV is still continuing to de -grow in low single digits and 2-Wheeler segments in OEM , the growth has slowed down, but still overall it is growing close to double -digit and passenger car tyres , again the growth has slowed down in low single digit. However , in this segment , as I mentioned, we are focused on increasing our share of business because of the accelerated fitment of CEAT in the passenger cars especially and 2-Wheeler vehicles which are being rolled out.
So, overall, some more facts on the international market :
Our GTM in the US is progressing well. The initial set of regional distributors ha s been set up. Product feedback is good. And we have a visibility of commitments made by our channel partners in FY26 and we expect that this business will now enter a growth phase , at least TBR segment in US or OHT business in US is also stable and growing in the aftermarket.
As far as margins are concerned, we saw the raw material price escalation of about 1.2% in Quarter 3 over Q2 and business mix and price increase were insufficient to cover up this gap, resulting in a slight margin dip of 0.6% in gross m argin, as we just translated into 0.6% dip in EBITDA as well . We have taken price increases in commercial and farm to the extent of 1%-

1.5% in Quarter 3 , about 4% in passenger , in replacement , these a re all replacement ; however, we did not take price hike in the 2-Wheeler segment barring at the end of Quarter 3 and those price hikes are going on in the month of January . By the end of January, we will be going up in 2-Wheeler s, 3-Wheeler s as well. We got a good 3%-4% price hike in indexed categories of OEMs, and we got our discussion -based price hike in the commercial segment of OEM as well. This w as obviously insufficient as I said to combat that 1.2% price hike in raw materials and therefore apart from 2-Wheeler , 3-Wheeler s, which I mentioned just now, we will look at further price changes in Quarter 4 in replacement and international business es.
Now , coming to the strategic part :
We are looking at electrification , international business, pr emiumization and digital and we talk about these 4 pillars in every analyst meet. Our intention to get pole position in electric vehicles is going well. In 2-Wheeler s, 3-Wheeler s and in 4-Wheeler electric vehicle launches in OEM, we have roughly about 25% share of business which hovers around this figure consistently and we intend to maintain this and gradually inch up the share in the OEM business.
In the replacement m arket , the trend g oing forward would be to have tyres which are suitable

for IC E and electric vehicles, and they have to be electric fit. So, there will be no distinction by and large, barring a small range in terms of t yres for electric vehicles in the replacement market. And that is the trend internationally as well.

Overall international business has

been a core focus area. Our acquisition of Ca mso is a significant milestone which will take us past our milestone of 25% saliency international business. Our non -Camso saliency continues at about 19% and in Quarter 1 next year , when we start ac cumulating this business post that , we intend to reach a figure of 26% and this volume continues to be margin accretive .

Other than Camso, we have had (+46) off-highway SKU launches in Q3, s o that organic growth continues . Multiple OEM approvals have come in from IPL, Magna, JD Brazil and AGCO Massey Ferguson . We have progressed well on channel expansion further for O HT in US market and we have entered new countries that include Vietnam and Peru. There have been some headwinds in international markets, geopolitical conflicts around the Middle East and also currency depreciation in Brazil, which are providing some headwinds. Otherwise, as I mentioned, the GTM in the US and the market access in Europe is improving significantly, leading to a very good . Quarter 3 performance first of all in passenger and TBR and the outlook is also better in future.

Sri Lanka's macroeconomic situation is in a positive trajectory. The new government has come in with a huge mandate and it has taken control. Tourism, foreign remittances were recorded the highest ever in last 5 years and our Sri Lankan business also is going to be robust in the coming future. It is slated to meet its top line and bottom line targets for the current financial year.

Premiumization is the third pillar which we are focusing on. And again, I would repeat that Camso acquisition is actually a premium brand acquisition in the O HT segment with realization far ahead of the value and quality segments and once it comes with us, we would like to retain the premium strategy, the premium positioning and the premium pricing and offer the value at the premium end to our customers, mostly in Europe and US.

In keeping with the tradition of premiumization , we have launched a new innovative t yre in the 2-Wheeler segment called Secura lyfe, which has got a very high product life without compromising the grip of the t yre.

We also got fitted on the Mahindra Thar Ro xx, which is the 5 door Mahindra vehicle, and many more SUVs are also coming up with 17 inch plus fitment. Our 17 inch plus Rim tyre which we track in terms of the overall business is related to hit 25% of OE fitment within the next few quarters and that is one metric which we track because the repercussion on replacement demand will be positive going forward if we get such fitments in the larger SUV vehicles .

We also got recognition and awards from OEM such as Daimler for the service level and quality.

On digital, we are proud to announce that our Chennai plant has been designated as a World Economic Forum Lighthouse. This is the second plant of CEAT which got this recognition, and this is for effectively leveraging advanced fourth industrial technologies to achieve and maintain operational excellence. All this is to reduce crap to improve energy efficiency, to improve manpower productivity and to remove defects and improve quality. So, this will also see reflection going forward in terms of efficiencies in margin.

The organic traffic on our website grew by 25% and the leads from premium SUV users increased by 42%. Conversion from website leads for premium SUV customers increased to 17%. Brand positive sentiments moved up 47% and there was a 166% increase in average interactions per post Y-o-Y. Our CAPEX was about Rs. 250 Cr for Quarter 3 and we maintained the overall guidance of around Rs. 1,050 for the full year, we will stay within that, and we had enabling approval from the board on Nagpur expansion of 2-Wheeler capacity to 100 K tyres per day which may be executed within our overall CAPEX governance, which is bite size CAPEX of

around Rs. 1,000 crores year-on-year.

Our Halol plant received international sustainability and carbon certification ISCC PLUS approval and ISO 2400 certification, highlighting our commitment to sustainable procu rement and ethical sourcing. So, on sustainability, we continue our focus on renewable power generation and sourcing of raw material, natural rubber, particularly through alternate source which are more energy efficient, and it has gone up by 2 6%. Rolling resistance in our t yres has gone down by 5%, which are all moving towards fighting global warming and making a sustainable future happen. So, that is about kind of sums up our strategy of pursuing double digit aggressive growth.

Outlook for Quarter 4 is acceleration of growth from 11.6% further, raw material expected to go up from flattish to maybe 0% -1% depends on way in which crude and currency depreciation moves and so we are looking at expansion of our Chennai capacity and increas e in market share in the passenger segment, especially in the SUV segment going forward.

With this, I would like to pause here and hand over the call to Kumar for his remark s.

Kumar Subbiah: Thank you, Arnab. Good afternoon, ladies and gentlemen, and thank you for joining our Q3 FY25 Earnings Call.

I will share some further financial data points with you all post which we can enter Q&A session.

Overall revenues, consolidated revenue for the quarter stood at a lmost Rs. 3,300 crores , year-on-year growth of about 11.4% and very similar to the revenue that we achieved in Quarter 2 . The revenue growth was driven by all segments, double digit growth in all segments, replacement, exports and OEM and with a good mix of volume and price growth.

So, our consolidated operating margin, which is EBITDA for the quarter, stood at Rs. 346.3 crores, translating to 10.5% margin. This is about 387 basis points contraction year-on-year and 64 basis points contraction quarter -on-quarter . The margin d rop is primarily on account of t he net increase in raw material prices, which we could not pass it on to custo mers in this cumulative period.

Coming to gross margins :

Our gross margin for the quarter stood at 36.9% . On a year -on-year basis, our gross margin contracted by about 450 basis points . Through some effective cost management , we reduced the impact of the same on operating margin to the extent of about 63 basis points.

The raw material price basket has marginally increased in Quarter 3 compared to the previous quarter in line with our expectations that we had shared in the last call. And while most of the raw material prices moved in line with our expectation , international rubber price remaining at a level of $1,900-$2,000 was a surprise with respect to our own assessment , so o verall our EBITDA margin contracted by about 64 basis points quarter -on-quarter largely on account of increas e in raw material prices .

Crude has remained largely range bound most part of the quarter in the range of $70-$75, except very recently , it reached towards $80 and otherwise it remains constant. Rupee has been seeing some slide in the last 1 to 1.5 months driven by factors like foreign portfolio investors pulling out of Indian market leading to outflow of currency , Chinese currency depreciating and also general appreciation of US dollars against the global currencies.

Coming back to rubber :

The domestic rubber prices had started to cool off d uring the course of the quarter from a peak of Rs. 2 50 per kg, which is a 15 year high in Quarter 2 . Largely , the rubber prices in the local market is now currently around Rs. 190 per kg. As I mentioned earlier, international rubber prices are in the range of $1,900-$2,000 level which as per our understanding, at least $150-$200 higher than the normal range at which it s

hould be operating relative to the prices of other commodities.

In case of crude , as it remained in $70-$75, though there were some corrections in the prices of crude derivatives like Butadi ene caprolactam , the correction has been lower than the drop that we saw in crude oil prices. Co nsidering all these factors, we wi ll continue to keep a close watch on our raw material situation. We did bring down our overall covers of natural rubber during the course of the quarter with a hope to buy raw materials at the right levels as and when the price is normalized . We expect ove rall raw material prices for Quarter 3 to be largely in line with Quarter 2 with a minor variation of (+/-1%) as Arnab had already shared with you.

Coming to capital expenditure :

We incurred a CAPEX of Rs. 283 crores during the quarter. Cumulatively , in the first 9 months of the year, we incurred about Rs. 713 crores. All this is cash outflow up towards capital expenditure and we stand by our full year estimate of CAPEX to the tune of approximately around Rs. 1,0 50 crores and balance amount we expect to spend in Quarter 4 . The entire CAPEX of Rs. 283 growth that we incurred in Quarter 3 was funded through internal a ccrua ls.

Working capital :

I think we shared in the last quarter , about some increase in working capital in the previous quarter, largely an account of increase in raw material inventory, particularly in natural rubber due to increase in lead times. We are happy to share with you that the working capital was brought down by about Rs. 84 crores during the quarter and we still think that there is an opportunity for us to normalize working capital more in Quarter 4 . We generated healthy operating ca sh flow during the quarter and despite spending Rs. 283 crores in capital expenditure

and some drop in working capital, our debt for the quarter came down by about Rs. 50 crores
from Rs. 1,885 crores -Rs. 1,835 crore s as of end of the quarter. And here I would like to mention that the drop in debt level happened towards the end of the quarter and as things no rmalized a nd average debt during the quarter was slightly higher than the previous quarter, though we manage to bring it down towards the end of the quarter .
With all this , our debt EBITDA on the consolidated basis stands at a healthy level of 1.22 and debt equity at a healthy level of 0.43. Employee costs remained largely at the same level as in Quarter 2 . Other e xpenses were managed during the quarter, considering little bit of pressure on account raw material costs, we kept the tight control on cost and t herefore the margin impact was restricted only to the extent of difference between the price increase and increase in raw material cost.

Coming to depreciation for the quarter :
There was some increase in depreciation , largely rising out of commissioning of new facilities, expansion of our truck and bus radial tyre plant , the new plant in Chennai and we expect deprec iation to be at the current level going into the next quarter . Interest cost increase d primarily due to the reasons that I mentioned . The average debt level during the quarter was a little higher and also banks increased the MCLR in the range of 10 basis points to 20 basis points and therefore it had some impact . And last is that as we capitalize assets , borrowing to extend associated with the capital assets would also go into profit and loss account.
Overall, the consolidated profit after tax for the quarter stood at Rs. 97 crores compared Rs. 1 81 crores same period of last year and Rs. 121.45 crores in Quarter 2 . Quarter 2 Rs. 121.45 crores also had non -operating income of about Rs. 16 crores received from our joint venture entity in Sri Lanka.
And we are happy also to inform you that during the quarter , the credit r ating agency CARE carried out annual surveillance an

d affirmed rating of AA for the long term and A1 + for the short
term with a positive outlook, which is a move from the neutral outlook that they had taken in the previous year to a positive outlook . And as you would recall, we had shared with you in the previous quarter India rating also carried out a similar annual surveillance in the previous quarter and India rating had also changed the outlook from neutral to positive during the quarter. So, both the credit rating agenc ies now have maintained or affirmed the same credit rating of AA for long term with a positive outlook.
With that , now we can open the floor for Q&A.
Moderator: Thank you very much , sir. Ladies and gentlemen , we will now begin the question -and-answer session . Our first question is from the line of Jinesh Gandhi from Am bit Capital. Please go ahead.
Jinesh Gandhi : Couple of clarifications, f irst, one you mentioned Na gpur 2-Wheeler capacity expansion is 20,000 per day. Is that correct?
Arnab Banerjee : Yes.
Jinesh Gandhi : And secondly exports ?
Kumar Subbiah : I just want to clarify; Arnab had mentioned it is an enabling approval that we have taken.
Jinesh Gandhi : And secondly, we mentioned that exports are 19%, but we expect that to go to 26% in FY26 because of US ramp up , is that understand ing also, correct ?
Arnab Banerjee : When we start integrating the turnover from Camso, it is 1 00% international. It will go to 2 6%.

Jinesh Gandhi : Secondly, with respect to the underlying demand, we are continuing to see a fairly good traction on the replacement side, any red flag which you are seeing on the replacement demand side, given that some of the OEM side growth is moderating, any red flags on the re placement, which you are looking at from FY26 perspective ?
Arnab Banerjee : The passenger side demand is modest. I must say in replacement, which is as I mentioned mid-single digits and the OEM growth also had been modest this year. But then last year, OEM growth has been good . So, the base is high, the vehicle par t is high. So, we will have to wait and see how the demand goes in the replacement for passenger . For 2-Wheeler , demand is very robust , especially in scooter, also in motorcycle and it is particularly robust in less than 50,000 town s. For MHCV , it is as usual in mid-single to high single digits which is pretty good actually and we expect that to continue.
Jinesh Gandhi : And the last question is with respect to our exports, s o what percentage of our exports would be coming from the US now?
Arnab Banerjee : Percentage is difficult to mention . Europe will be highest for us, Europe and Latin America would be higher than US at this point of time. Even the Middle East is high. The US will become

a big market for us in the next 2 years' time , with O HT leading the way and now truck bus
radials and finally passenger car radi als, it is not very high at present.
Jinesh Gandhi : And do you see any benefit of this tariffs which are being threatening to put on Chinese imports,
given that China probably would have much higher share of t yre imported in US, so do you
expect to benefit some of these tariffs actually come through?
Arnab Banerjee : We wi ll have to wait and see because the Chinese manufacturers have also moved to newer and
newer locations. You must have read about a new plant coming up in Cambodia recently, th en
in Mexico, right, so that continue, the competition will remain in some form or the other from
different geographies, from Chinese manufacturers. So, we don't expect too much of a change
for the US market in the n ear future.
Moderator : Thank you. The next question is from the line of Siddhar tha Bera from Nomura. Please go ahead.
Siddhartha Bera : Sir, if I am correct, you mentioned that the overall volume growth has been 7.9% in the quarter ?
Arnab Banerjee : Yes, Quarter

3 .
Siddhartha Bera : So, if I use that, it seems that the ASP increased sequentially has been largely flattish and t his is
despite a lot of price increases we have done across segments in the Quarter 3 , so if you can just
help us understand is it because of mix or anything else , why the ASPs are flattish?
Kumar Subbiah : You are referring to Quarter 3 versus Quarter 2 , is it?
Siddhartha Bera : Yes.

Kumar Subbiah : No, Quarter 3 to Quarter 4 , overall realization moved up by about 1.5% -1.6% realization per kg
at aggregate level. So, in quarter -on-quarter has that additional 1 %-1.5% growth in the price .
See the revenue number operating income includes non-sale amount little bit. So, any moment
there may not allow you to understand exactly, but please in your understanding assume that
there was 1.5% growth in price overall at aggregate level. Obviously, t he percentage varied
depending on the category and segment, but at aggregate level 1.5% growth was there in price .
Siddhartha Bera : And towards the quarter end, what was the amount of price hike we have taken 2-Wheeler s and
how much increase do you expect at an overall level to further take place in the current quarter ?
Arnab Banerjee : It is a very small nominal increase because you would understand that there has been no increase ,
I think for at least 3-4 quarters now in 2-Wheeler s and 3-Wheeler . The market has been robust ,
so w e had focused on growth. So, it is a very nominal increase of around 1% and it will be in
small steps, but there will be multiple steps through Quarter 4 and maybe in Quarter 1 on 2-
Wheeler and 3-Wheeler s as well as opportunities in other categories.
Siddhartha Bera : Sir, basically 2 questions there , why despite a very strong demand in 2-Wheeler s, we have not
sort of been able to take up the prices? Is it because of competition or anything else which is sort
of dealing with passengers ? And second is, how much pric e increase do you think you will need
more to probably go back to our targeted margin levels given that commodities are sort of
flattening out and we probably won't see a very meaningful drop in the coming quarters ?
Arnab Banerjee : Yes, it is because of the competitive situation and the growth has been most robust here. So, that
is the relieving point and with commodity prices flattening out, it is actually easier to plan for a
price hike than when it is going up. That is point number 2. Point number 3 is that 2-Wheeler s
and 3-Wheeler s have a higher proportion of s ynthetic rubber. So, to that way, to that extent, the
super hike of natural rubber was less impactful on 2-Wheeler and 3-Wheeler s, but we have a gap
to fulfi ll there, so that is why we are now intending to take it up in small steps. So, there may be
5-6 steps also to make up the pricing gap.
Siddhartha Bera : And sir, lastly, with this export push from the current segment , do you see generally if I look at
the segments, export should be more profitable and now with the current depreciating as well,
do you think there can be a lot of support that can come from the export markets as well ?
Arnab Banerjee : Yes, so export , those 3 focus areas of EU, US and Latin , there is headwind in Latin , but US is
now going to grow because we have geared up in at least two segments which are OHT and TBR
with p assenger going to come in FY26. Europe has started doing very well and at a very good
margin in all these three focus areas of OHT , in aftermarket and truck bus radial has started
moving up and passenger , we have done very well in Europe as wel l in Quarter 3 . So, out of this
three, two are definitely firing and other area we are also doing fine. So, our order book is good,
so we definitely would like to grow at double digit . We have grown in double digit in Q3. We
will continue to grow in double digit in Q4 and thereafte

r in exports, which is margin accretive
as you said.

Moderator : Thank you. The next question is from the line of Raghunandan from Nuvama Research. Please go ahead.
Raghunandan : Sir, can you share the utilization level currently in TBR, PCR and 2-Wheeler ?
Arnab Banerjee : TBR, Halol plant is fully utilized, and Chennai is ramping up , so it is very difficult to measure the utilization , but we are selling whatever we are producing by and large. The utilization in TBR is very high. In 2-Wheeler , which is our Nagpur plant , again utilization would be 90% kind of levels at this point of time, which is why we took an enabling approval from the board for expanding Nagpur . And passenger again, Chennai is scaling up , so we have very high utilization at Halol almost 9 0%-95% and Chennai is again difficult to measure because it is in the ramp up phase , but pretty high utilization , but w e have a runway in front of us at Chennai.
Raghunandan : So, at Chennai, you would still have space for further brownfield expansion and fair to assume , just wanted to reiterate your stance that next 2 -3 years , all the expansion will remain brownfield?
Arnab Banerjee : Next 2 -3 years , Chennai , there is lot of space, you a re correct, and we will continue to incremen tally expand Chennai, and we have now taken an enabling resolution on Nagpur. So, we will go incremental in Nagpur also, we will keep on expanding it. And TBR, of course is in expansion phase, s o yes, most of it will be brownfield. OHT at Ambernath is also brownfield , so in fact, all of it will be brownfield.
Raghunandan : And what would be the broad CAPEX for FY26? Would it be in the same range , Rs. 1,000-Rs. 1,100 crore s?
Kumar Subbiah : No, see, we are in the midst of our annual planning exercise now. So, as far as the current year is concerned, I think we have clear visibility to the Rs. 1,050 crores kind of a CAPEX . Maybe we will share an update once we complete our annual planning, which has a long -term demand plan, long -term supply plan and next year's plan etc. So, we will share that maybe in the next quarterly call.
Raghunandan : And also , in terms of US market potential and assuming that over the next two years you are saying that it will become reasonably high sized portion of our exports , if you can talk a bit more on when the new products are getting introduced in the PCR space, what kind of markets you are targeting and possibly in the next 2 -3 years, would you expect US to be 20 %-30% of your exports ?
Arnab Banerjee : Yes, US, if you are looking at the product market fit , US is a completely different market from Europe, which is again completely different from India. So, our toolkit is the same. Study the local market , gather insights, not only about the product but about consumer usage, which we did for OTR, for TBR and for PCR. And if you are saying 20 %-25%, it is possible , it is not impossible to reach that kind of figure in the international business basket. Europe as a geography considering all kind of products is nearing 10% of our entire turnover, it is still single digit. So, that is the biggest area, which is growing, and US is very small now, but that is the

aspiration. You are right. And t he product platforms in passenger , you mentioned passenger particularly , I think 10 %-20% similar to Europe, but the product platform and the performance characteristics are different. So, we have developed the full range accordingly and we will ensue on our GTM in passenger in the next financial year, FY26.
Raghunandan : Just a last question , on YTD basis, how has our market share been in 2-Wheeler , PCR , TBR versus last year?
Arnab Banerjee : TBR, t here has been a steady gain, but it is very consolidated market with the top 3 players occupying a large chun

k of the market. So, we are playing in balance , but we are gaining share.
We are close to maybe double digit, but still in single digit , there has been a gain. Passenger is mostly steady with plus minus 0.2% up and down over t he quarters. So, that is how the market share has been in the place .
Moderator : Thank you. The next question is from the line of Joseph George from IIFL. Please go ahead.
Joseph George : I have two questions , one is in relation to price hikes , so what I wanted to understand was of all the price hikes that have taken in the third quarter, how much is reflected in the third quarter results and how much would be the flow through into 4Q, so for example, if you hi ke price at the end of the quarter, the entire flow through will happen 4Q, if you can just quantify that ?
Arnab Banerjee : Well, I think. I don't recall if the exact month, but roughly 50% would have been reflected in Quarter 3 and would flow through into Quarter 4 and then there will be further price hikes in Quarter 4 .
Joseph George : So, would like 100 bps or something flow into 4Q based on the prices that you have already taken ?
Kumar Subbiah : Little less than that.
Joseph George : The second question I had in relation to the interest expense. So, for the quarter, I noticed that it spike to about Rs. 75 crores and y ou mentioned that average debt was higher, but closing debt was lower , but if I do a simple math which is for Rs. 75 crores for the quarter, if I annualized

that, it goes up to about Rs. 300 cro res, your closing debt was less than Rs. 2,000 crores. If I do a simple math there , 300 divided 2000 works to interest cost of about 15%. Even if I assume that the average debt in the quarter was 10% higher say Rs. 2,200 even then it works up to 13 .5%. So, these numbers are mind boggling . So, I want to u nderstand what exactly the cost of debt at this point and what is the direction of that number ?

Arnab Banerjee : No, the finance cost that you see , interest is one of the components in debt. There are also banking -related cost, which is in th at number , but not very significant. See in addition to the debt, we also have some security deposits that we have received from our dealer channel. And there is corresponding receivables also there in the current assets. So, the deposits that we get

from dealers also carry some interest, s o that interest needs to be , that is also part of this finance cost.

Joseph George : Debt that is there on the books, I am not referring to the deposits from the distributors , etc., but for the debt on the books , what is the average cost of debt?

Kumar Subbiah : Yes, see, it is closer to about 8%, mix of both long term and short term

Moderator : Thank you. The next question is from the line of Kaushik Pod dar from KB Capital Market. Please go ahead.

Kaushik Poddar : This Camso acquisition, will it be funded by debt or fresh equity?

Kumar Subbiah : No Camso, it wi ll be a mix of both. Needless to say, this is fungible with debt or internal accruals, and so far in the last 3 years, most part of the CAPEX w e fun ded through our own internal accrual s, so we have enough amount of even CAPEX. During the quarter also, as I mentioned, Rs. 283 crores of CAPEX was entirely funded through internal accruals only. So, theoretically , we always assume whenever we carry out an exercise, one-third would be equity and two-thirds would be bps for the purpo se of evaluation of proposals and reality last 5 -6 years , if we really look at it where we have spent close to about Rs. 5,000 crores , less than one-third of that got funded through debt and m ore than 80% got funded through internal a ccruals, so it will be a mix of both, cash generated from the operations depending on wherever it is required, the operating cash flow would be deployed and w ith this, assuming it is 225

million overall, and some amount we will pay little later. And over a one-year period or 18-month period, only two-thirds of that amount incrementally will remain as a debt and one-third by the end of the cycle it would be done through internal accrual s.

Kaushik Poddar : And as things stand today and as you foresee a little bit into the future, realistically when can we get back to that 14% EBITDA margin?

Kumar Subbiah : No, see , in a 4–5-year cycle, we always have 1 to 1.5 years where the commodity prices move very fast. In our industry , when commodity prices significantly increase within a short period of time is when margins go to the lower end of the range, which let us assume in 10% -15%, let us assume , it is towards the lower end of the range which has happened like rubber from Rs. 150 per kg to 2 -1/2 quarters back touch ed Rs. 250 in Indian market. And similarly crude also has this tendency of suddenly moving up from $70-$100, $110 and it stays there for a period of time . Very rarely , we had occasions where commodities went down by 30 %-40% at a short notice, but when commodities do go up by that level, so at that point in time, g enerally it takes about 6 to 9 months for us to pause incidents of any increase in commodity costs in the form of a price increase after a little bit of a correction. So, not very far from now , we were at (+14%) level , Quarter 4 of last year, Quarter 3 of last year , part of Quarter 2 of last year, we were c loser to that particular range a nd as was mentioned in Arnab's initial introductory speech, we expect Quarter 4 raw material prices to be at Quarter 3 level stable levels . In those circumstances, when raw material prices at least stagnate, I know it is still very high . If you ask us, w e feel natural rubber

international prices are at least $200 higher than the level at which it should be operating, based on the relative prices of other commodities. And similarly, the crude derivative prices should have been corrected little more. This is what a common -sense logic says, but in reality, does not happen. So, when the raw material price s remain at Quarter 4 and Quarter 3 level , any price increase that we take would be margin positive . And let us assume raw material remains even at the current elevated level for 2 quarters to 3 quarters, w e should get back to a slightly higher end of the range of margin and that is what we expected to be. So, if raw material remains , maybe Quarter 1 , Quarter 2 level, we would be higher than the midrange, which let us assume 10 %-15% level. That is where we see , difficult to predict, but that is the way it can move.

Kaushik Poddar : So, by third quarter or fourth quarter of next year, can we see our margin going to say around 14%? I s it the way we are looking at it , provided the raw material remains at this kind of level?

Kumar Subbiah : Yes, two quarters back, we were 14, and we look forward . Internally, we would always try to get it earlier. We will work towards that. While we don't want to give guide you like that, but internally that is the way direction in which we would like to move .
Kaushik Poddar : So, the takeaway I have is that from the peak of the raw material price in 6-9 months, the hike in raw material price gets passed on , is that the right way to look at it ?
Kumar Subbiah : It takes that much time to pass on most part the incidence of raw material cost. Th at is the way it happens . Once it remains stable , it takes almost 6 months for it to be fully passed down.
Moderator : Thank you. Next question is from the line of Jinesh Gandhi from Amb it Capital. Please go ahead.
Jinesh Gandhi : Couple of questions , one is on the capacity expansion side, we have this enabling approval for 2-Wheelers, and we have expanding capacity on the O HT side , apart from these two, any other ex

pansion which we are either doing right now or looking t o add capacit ies going forward ?
Arnab Banerjee : Yes, I will explain the CAPEX framework, which is being consistent for some time now and will be so in future. You are right about Am bernath OHT, and you are right about enabling approval. We are also carrying on incremental addition of capacity to Chennai in passenger car tyres as well as in truck bus radial tyres, s o it is all flexible , gradual. Sometimes we will do a civil somewhere , upstream equipment somewhere , downstream equipment somewhere , but our CAPEX guidance overall is bite size, which we have been maintaining . This year , it was 1050. We have not yet formed an opinion of what it will be next year, but it will be in a similar range . It will be bite size. We will never ha ve a CAPEX plan of Rs. 3,000 crore s in one year et c., going forward. So, it will all fit into that scheme of things. Right now, everything is brown field, so very easy to manage.
Jinesh Gandhi : And for Chennai PCR and TBR, what kind of capacity addition should we budget for?
Arnab Banerjee : Chennai is a continuous process . There is no end game. For example, right now we have been talking about 20,000 that may go up to maybe another 7 000-8000 that may further go up by

another 7 000-8000. It will go and within that 7 000-8000 in a year, we may do only 2000. So, it can go up to 35 ,000-40,000 t yres in Chennai i n the brownfield peak capacity . Right now, we are at about the halfway mark, you can say so. Truck bus radi als, similarly, w e are at the less than halfway mark. It can go up to maybe 3000 overall and we have approval for that from the board, but we will do it in a very measured way , in a very tight and measured way. Right n ow, we are about less than 30% of that figure. So, we will keep adding every year.
Jinesh Gandhi : So, TBR in Chennai would be what would be the peak capacity we can do from the current infrastructure?
Arnab Banerjee : 3000.
Jinesh Gandhi : 3000 per day?
Arnab Banerjee : That is right.
Jinesh Gandhi : Kumar, from the tax rate perspective, how sho uld we think about the tax rate at consol obviously have its influence, but our first nine months we have seen it to be close to about 28% at consol level ?
Kumar Subbiah : See the best wa y to understand ETR is on stand alone. So, consol may sometimes be a little bit confusing and n ow, there is hardly any difference both in revenue as well as in profits between CEAT standalone and C EAT consolidated. Sometimes our JV in Bangladesh loss in case we are incurring or that may have a marginal impact on income tax ETR , so ETR we are close to about 26% in that range on a standalone basis. And as there are no more tax benefits available , so therefore ETR would be closer t o that range only.
Moderator : Thank you. The next question is from the line of Nandan Pradhan from Emkay Global Financial Services. Please go ahead.
Nandan Pradhan : I just wanted to know your thoughts about the volume and the value growth for next year across segments ? And also if you could shed some light on what is driving your outperformance in the OEM category versus the competition? How are the market share gains panning out ?
Arnab Banerjee : You wanted to know the market growth for next year?
Nandan Pradhan : So, your thoughts on h ow do you see CEAT’s volume and value growth across segments next year?
Arnab Banerjee : Next year, next calendar year of financial year, right?
Nandan Pradhan : Yes, FY26.

Arnab Banerjee : FY26, first of all, it will depend on the m arket growth, which I shared earlier. We would continue to push strongly on the passenger side, which is passenger car tyres and 2-Wheeler in replacement. A nd TBR will maintain the momentum . International business with t

he
operationalization of the Camso, I think there will be synergies kicking in for the OHT segment gradually, maybe in the second -half of the year. So, that will be a strong focus in the sense O HT is now about 15% of our turnover. And that will almost double or more than double with the acquisition. So, lot of synergies will k ick in. And OEM, yo u asked how it will be increased . So, in OEM , there have been a lot. It takes a lot of effort in homologation and getting approvals. Those approvals have gradually coming in now. So, in passenger car t yres across OEM, several vehicles are getting launched , some got launched in Q3, Q4, Q1, Q2 l ike that and that is completely visible . That could be one or two months delay here and there, or it may be pre poned . So, our capacities are aligned, plant approvals are aligned. So, we have a fairly good view of how much volume and hence share of business will increase in OEM in both 4-Wheeler and 2-Wheeler .

Moderator : Thank you. The next question is from the line of Vijay Pand ey from N uvama . Please go ahead.

Vijay Pandey : Sir, t here are two questions. One is I wanted to check what is like, profit and exposure in terms of natural number and synthetic rubber like, how much of the total cost will be from raw material, natural rubber and synthetic ?

Kumar Subbiah : While natural rubber is easier to explain because there are not many grades of natural rubber available . There are only two different sources of natural rubber, one being India and another being imports . Largely Indian rubber is called a sheet rubber and imports at least what we do import is largely block rubber. Currently, local natural rubber prices are in the range of Rs. 190 per kg and international natural rubber prices are in the range of $1,900-$2,000 that translates to Rs. 205 per kg to Rs. 210. So, that is what happens. Synthetic rubber has different grades of synthetic rubber , one is called as polybutadiene rubber, which is PBR, then another one is SBR and within them also there are multiple grades , and the prices vary depending on the grade of synthetic rubber and generally , synthetic rubber prices currently are in the range of Rs. 150-Rs. 225 per kg varying between grades, that is the way it is.

Vijay Pandey : And sir, in terms of exposure like 30% natural number is 30% evenly distributed or ?

Kumar Subbiah : In value terms, it is possible , in volume terms , natural rubber could be about 25% and synthetic rubber could be also closer to that number. In value terms, they would be close to about 30% each.

Vijay Pandey : And sir, can you please explain the capacity expansion plan of like you are adding the new capacity in the 2-Wheeler s and 3-Wheeler s segments , can you l ittle bit explain about what is the kind of revenue and expectation from that capacity expansion that would be helpful?

Kumar Subbiah : I think we took an enabling approval for Nagpur . I think Arnab just explained about overall capital framework for us. We tried to create some upstream capacities available and keep on

adding downstream as we see demand is the CAPEX, capital expenditure framework that we have, and our capital allocation determines how much to allocate for each of the key categories. In case of 2-Wheeler , we took an enabling approval , so that we could plan some upstream over a period of time . And currently , as Arnab also earlier mentioned about capacity utilization of 2-Wheeler plant at Nagpur , we a lso outsource some 2-Wheeler s. We are in the range of 85%-90% kind of capacity utilization level. We can stil l get a little more from the existing plants . And the 2-Wheeler has grown this year well in the first 9 months of the year in the replacement segment and it is about 30% of our revenue. Th at is the way we see overall.

Moderator : Thank you. Ladies and gentlemen, t his wil

l be our last question. It is from the line of Garvita from Seven I sland PMS. Please go ahead.

Garvita : My question is around the raw material t hing. So, we have insoluble sulfur as one of the raw materials for manufacturing t yre, right? I wanted to understand what is the percentage share of insoluble sulfur in manufacturing one t yre or in total?

Kumar Subbiah : We don't have that information immediately available. If you could reach out to our Investor Relations, Arjun, we would share the details through him. Is that okay ?

Garvita : That is fine.

Moderator : Thank you. Ladies and gentlemen, t hat was the last question for today. I now hand the conference over to the management for the ir closing comments.

Arnab Banerjee : Thank you very much for attending the call and again wish you a very Happy New Year and looking forward to seeing you again in April.

Moderator : Thank you. On behalf of Anand Rathi Shares & Stock Brokers Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Apr 2025

"CEAT Limited
Q4 FY '25 Earnings Conference Call "
April 30, 202 5

MANAGEMENT : MR. ARNAB BANERJEE – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – CEAT LIMITED
MR. KUMAR SUBBIAH – CHIEF FINANCIAL OFFICER –
CEAT LIMITED
MODERATOR : MR. MIHIR VORA – EQUIRUS SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to the CEAT Q4 FY '25 Earnings Conference Call hosted by Equirus Securities. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the call concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch -tone phone.

I now hand the conference over to Mr. Mihir Vora from Equirus Securities. Thank you, and over to you, sir.

Mihir Vora: Thank you. Good afternoon, everyone. On behalf of Equirus Securities, I welcome you all to the Q4 FY '25 Results Conference Call of CEAT Limited. From the management side, we have Mr. Arnab Banerjee, Managing Director and CEO; and Mr. Kumar Subbiah, Chief Financial Officer.

I would now like to hand over the call to Arnab sir, for his opening remarks. Over to you, sir.

Arnab Banerjee : Good afternoon, and welcome to CEAT's Quarter 4 FY '25 Earnings Call. I'll be taking you through the business updates for the quarter, and then I shall hand it over to Kumar for his remarks on the financial performance. Post that, we'll open the floor for Q&A.

We continue to be bullish on the prospects of Indian domestic market, medium and long -term. With government investment in infrastructure development and changing habits of the customers, we expect the tyre market to grow at a CAGR of 6% to 7% in volume terms for a long period of time until 2047.

We expect exports to grow faster at about 10% to 11% long -term. We also expect the percentage of Indian exports to occupy more than 10% of global trade as a whole. Along with the industry growth, the focus on sustainability and eco -friendly practices is also shaping the future of tyre market.

Supporting this shift, the government's incentive schemes aims to boost electric vehicle adoption, and expand the charging infrastructure, which will accelerate the electric vehicle - specific tyres and propelling similar market demand. At CEAT, we are fully geared to tapping into this trend technology -wise and CRM -wise.

Coming to our performance for the quarter and financial year. In quarter 4, we grew robustly at 14.6% stand -alone basis. On a full year basis, in FY '25, our revenue stood at about INR13,218 crores, which is about 11% increase over the previous year. Stand -alone profit was about INR100 crores for quarter 4 FY '25, which is about 5% higher Q -on-Q basis.

Growth momentum continued in quarter 4. I have been maintaining that we're looking for overall double -digit growth for the year. In quarter 4, volume growth was 11%. Replacement grew with at high single -digit level, whereas OEM grew very strong double -digit, in fact, mid -20s. And we had a slight reversal in international business. We degrew slightly, because of ongoing global uncertainties, tariff and non -tariff barriers in quarter 4.

We remain attentive to these developments, and we'll continue to take appropriate actions, as international business is a focus area for us, as it is margin accretive. Overall, growth for the year in international business was in mid double digits.
Replacement grew mostly very well in robust manner in commercial vehicles, double -digit growth. In 2 -wheeler segment was high single -digit growth and in passenger segment was mid - single -digit. So all across, there was a decent growth in replacement market.
In OEM, we grew both Q -on-Q and Y -o-Y basis, primarily due to growth across segments, whether it is passenger, where we have got approvals in new models with higher rim size t yres, which I've been talking about again. In the past, we had vacated high -volume 12 -13-inch tyre models, and now we are coming back on 14 -inch and upper models across vehicle owners.
In truck bus radials, o

ur enhanced supplies from Chennai plant have enabled us to take a better position in terms of share of business in OEMs. We still are small players in truck bus radial and barely double -digit kind of share of business in OEMs. In 2 -wheeler, we have a good share of business in OEMs, and we continue to build on that.
Quarter 4 volumes were up 3.5% quarter -on-quarter. As far as demand outlook is concerned, the same trends, which we are continuing and we have been talking about, continue into the first quarter of FY '26, which means, the urban demand continues to be soft , whereas the rural demand is definitely much more peppy. And there is a delta of about 4% to 5% in terms of demand level between rural and urban in most segments.
So this trend will continue and which means that with our extended distribution network into rural territories, we should be able to tap into rural demand better, especially for 2 -wheelers and for farm tyres . Demand for passenger car tyres will be a little bit soft, because that comes primarily from the urban markets.
OEM -wise, we expect passenger demand to be low single -digit. 2 -wheeler growth also may slow down, but there will be significant growth in 2 -wheelers. And commercial vehicle growth may come back into positive territory as we go forward.
We have been able to partially mitigate the impact of raw material prices through minor price adjustments in quarter 4. We primarily adjusted price in 2 -wheeler tyres in quarter 4, and we achieved a better product mix.
Looking at commodity prices, as we know that, crude prices were more or less stable across Q3 and Q4. Now, it is going down. And hence, crude -based raw material prices may come off their current levels gradually, more so into quarter 2 than in quarter 1. Natural rubber prices are still holding firm.
International prices have come down. So as a mix, we have seen very minor adjustments in Q4 over Q3. We'll continue to see flattish trend with minor drop in Q1 over Q4. And if there are significant changes, it will come at the end of Q1, more into Q2.

And going by past experience, we expect to hold the price line and our gross margins, which are currently at about 37.5% may see some improvement there on in Q2. As we have been saying that, we are comfortable with a gross margin of 40% plus more the bette r, and we are now at quarter 4 end at 37.5%. So there is some ground to cover.
As far as future trends are concerned, electrification, international business, premiumization and digital, we continue our journey to take tap into these opportunities. We are continuing to hold our position in terms of market share in OEM in 4 -wheeler as well as 2 -wheeler electric vehicle. And the visibility that we have on new vehicles getting launched with CEAT gives us confidence that we'll be able to maintain 20% to 25% share in both the se segments going forward.
International business has been a key driver, and we have a new brand in the fold, which is Camso. We have not yet consolidated the results. We won't consolidate the results of Camso for another quarter. And starting quarter 2, beginning of quarter 2, we w ould be in a position to consolidate Camso results into CEAT results.
All the antitrust regulatory activities are now behind us. So integration work has started in full

acceleration. As you know, it's a carved -out business. We have not bought an entity. So our focus will be in business continuity with 100% retention of customers. Initial few quarters shall go in stabilizing the operation, understanding the operation, and we retain our view of medium - term to long -term margin -accretive business as well as robust growth from the Camso acquisition.

Otherwise, also CEAT OHT continues to make steady progress. We got a few OEM additions, Argo, AGCO, Mexico, YANMAR , etc. Our forestry and agriculture product ranges, which have been launched recently, have given us encouraging response. Our NPD activity continues in full force. We have launched about 49 -plus off -highway tyres SKUs in quarter 4.

For the immediate term, there is some headwinds in international business, as I mentioned, from Latin American markets where the currency has depreciated to a great extent, imports into that country has become more expensive, and we have been rendered some what uncompetitive.

The U.S. tariff situation has thrown some uncertainty into the market. And the rest of the markets like Europe, Middle East and Southeast Asia continue to hold firm and are very stable at this point of time.

Going back to Camso and Sri Lanka, the economy there is doing good. And it has been slapped with a 44% reciprocal tariff, as we know. As we have been engaging with the political dispensation there, including all senior ministers, including the Prime Minist er, we are very hopeful of having, if not favorable, a much better situation emerging over a period of time than the 44% reciprocal tariff that we see today.

In fact, as things stand now, we are looking at a mere 4% tariff on the tracks business and in the worst case, 44% tariff in the tyres business. And we have a mitigation strategy thought through assuming the worst comes true, but we are pretty much sure and hopeful that the situation will emerge to a much better place than the 44% reciprocal tariffs that we see today.

On premiumization, you would have heard about launches of 3 absolutely top -class high -tech tyres , which is the Z -rated 21 -inch radius for high -performance mobility. Here, this tyre can exceed and perform at 300 kilometers per hour. These are ultra -high-performance tyres , which cater to high -end vehicles offering superior grid control and stability at extreme speeds.

We have the CALM technology, which gives a very, very low noise tyre and goes well with the electric vehicle trend that we are tapping into. And we have launched the run -flat tyres , which is the first by any Indian manufacturer in India, which gives you the leverage to travel to a distance of 80 kilometers before you tend to the tyre after it has been impacted. So these premium tyre technologies will give us a fillip towards our premiumization journey as we go along.

In terms of innovation, we have had a 2 -wheeler t yre, which is extremely high light. It may outlive even the vehicle. And we also have got an innovation award by the name of Golden Peacock Award at the IOD Golden Global Consumption 2025 for an innovative truck bus radial product.

We are proud to share that Chennai plant is the new lighthouse designated plant by the World Economic Forum. This is the second plant after Halol, which has entered the Lighthouse Group. This implies high productivity, higher efficiencies and lower cost as Chennai scales further.

On premiumization, we see the website traffic from high -end car users leapfrogged by 26%. Leads from premium SUV users increased by 33%. Brand positive sentiments moved up by 71%, with a 132% increase in average interactions per post Y -o-Y.

Our capex has been around INR950 crores for FY '25, and we expect the capex to be INR900 crores to INR1,000 crores in the coming financial year FY '26 as well. Happy to share that the S&P Global CSA ESG scores in that CEAT stands out amongst the Indian tyre manufacturers with an ESG score of 56. We have a long way to go, but 56% is a good place to start off with. Last year's score was 49.

CEAT is committed to set company -wide emission reductions in line with the science -based net zero standards, which is SBTi. Halol and Ambernath plant have received International Sustainability and Carbon Certificate, ISCC PLUS. CEAT has also earned ISO 240 0 certification, highlighting our commitment to sustainable procurement and ethical sourcing. Recently, we got ranked by EcoVadis, which is widely respected by our OEM customers. We secured a score of 71, which places us in the top 15 percentile of global companies. This will definitely give us a competitive edge in opening the doors in several OEMs globally.

In closing, as we look ahead, we are mindful of the evolving global economic environment, and we are actively adopting to the evolving needs of our customers, especially the premium ones. Our commitment to innovation, quality and customer -centric solution continues to drive us

forward.
As we enter FY '26, we are also excited to bring Camso into the CEAT family and start a new chapter together. With this, I would hand over the call to Kumar for his remarks.

Kumar Subbiah: Thank you, Arnab. Good afternoon, ladies and gentlemen, and thank you for joining our quarter 4 FY '25 earnings call. I'll share some further financial data points with you all, post which we can enter the Q&A session.
Coming to overall financial performance, we ended the year and quarter with some key milestones relating to revenue. Our consolidated revenue for the quarter stood at INR3,421 crores, delivering a year -on-year growth of 14.3%. Our full year revenue stood at INR13,218 crores, a growth of about 10.6%. The revenue for the year and also in quarter 4 was the highest that we have achieved till date.
This was driven by a combination of both volume and price growth. The replacement and international businesses delivered strong double -digit growth, while international business delivered high single -digit growth during the year. In quarter 4, OEM and repl acement businesses continued with strong double -digit growth and IEM segment was flat.
Coming to operating margins. Our gross margin witnessed improvement of about 60 basis points quarter -on-quarter, largely driven by marginally lower raw material prices and selective price increases in some key categories like 2 -wheelers and passenger. With in the perimeter of price elasticity of demand in the replacement segment, while the operating margin saw contraction of about 189 basis points year -on-year, primarily due to increase in raw material prices.
Our consolidated operating margin, that is EBITDA for quarter 4 stood at INR394 crores, translating to 11.5% margin, which is about 101 basis points expansion quarter -on-quarter.
Coming to overall commodity markets and raw material prices. Unlike other commodities like steel, aluminum and other metals, the commodities that go into tyres in the global market saw a very high level, but stable during the quarter 4 .
Contrary to our expectations, the international prices remained at $1,900 to $2,000 per ton level in whole of quarter 4, which is at a premium to local rubber prices around INR15 per kg. Local natural rubber prices remained range bound in the range of about INR190 to INR200 per kg during the quarter 4. In the last 3 weeks, as Arnab mentioned, the international prices have come off the peak and corrected by about $200 per ton .
And currently, international prices are trading at a discount to local natural rubber prices in the range of about INR7 to INR8 per kg, as local natural rubber prices have largely remained firm.
Coming to crude, the crude oil prices were largely in the range of about $70 to $80 per barrel, except in January, where for a short period, it crossed $80. However, the crude oil prices have corrected a bit in April. It is currently hovering around $65.
The key crude derivatives like butadiene, caprolactam, CBFS prices largely remained constant in quarter 4. However, there has been some downward trend price movement in the month of April to the tune of about 2% to 5%. It appears that the crude oil prices would move in the range of $65 to $70 in the short term as OPEC has also announced some increase in production and is also supported by the U.S. go

vernment in pushing higher level of crude oil production.
The third lever that influences raw material prices is rupee. While rupee touched all -time low of INR88 to $1 in the month of March, it has appreciated since beginning of April and currently

hovering around INR85 to USD 1. We feel that the current depreciation of rupee or appreciation of rupee is largely due to depreciation of U.S. dollars against euro and its collateral effect on rupee.
Taking all of the above and all inventory levels, we expect quarter 1 raw material consumption cost to be at the same level as that of quarter 4 or maybe a percentage lower than that. We are keeping our inventory at the lower range of our normal covers to take advantage of any correction in the commodity prices.
Considering these factors, we continue to keep a close watch on the RM situation and see how it evolves over the next few quarters, but we expect them to remain within range.
Coming to debt, capital expenditure and working capital, we spent about INR235 crores on capex during the quarter, which is largely in line with the estimates that we had shared with you in the previous quarterly call. Our overall capex for the year was about INR946 crores in terms of cash outflow, and we capitalized assets to the tune of about INR1,140 crores during the year.

We are working towards incurring a capex , as Arnab outlined, in the range of about INR900 crores to INR1,000 crores in the year FY '25 - '26. While our overall working capital remained negative, it went adverse to the tune of about INR98 crores in quarter 4, largely due to higher level of inventory and receivables by end of March FY '25.
We generated healthy operating cash flow, which was used to manage largely our capex requirement and part of our additional working capital. Our consolidated gross debt stood at INR1,928 crores, an increase of about INR95 crores over quarter 3. We are taking steps to bring efficiencies in cash flows further so that we are able to manage the additional requirement also out of investment where we need to fund for our acquisition of Camso business effective quarter 2.
Our debt -to-EBITDA on a consolidated basis stood healthy at 1.3 x and debt to equity at 1.44x as of 31st March. Coming to operational expenses and employee costs. Employee costs marginally increased in quarter 4 over quarter 3, largely on account of higher headcount in manufacturing locations where capacities have been added.
With respect to operating expenses, we exercised strong controls on all our expenses in quarter 4 that helped us to bring down operating expenses as a percentage of turnover by about 40 basis points over the previous quarter, despite incurring additional c osts towards IPL in quarter 4 versus quarter 3.
Our end -to-end cost reduction programs covering all elements of cost helped in delivering sustainable and significant cost benefits to the tune of about INR180 crores during the year. In the coming year, we will leverage scale and continue to focus on eliminating wastages and improving efficiencies to positively contribute to our margins.
During the quarter, we also announced a voluntary separation package for one of our older plants that led to more than 100 employees accepting voluntary retirement schemes that we had

announced, involving about INR37 crores of cost that has been shown as an exceptional item in our financial statements.
Depreciation marginally went up in quarter 4 versus quarter 3 on account of higher capitalization of assets. Interest cost marginally went up in quarter 4 versus quarter 3, largely on account of increase in our debt, which I just now explained.
During the quarter and the previous quarter, Reserve Bank of India announced reduction in repo rate to the tune of 50 basis points, aggregating to reduction of

25 basis points each. The same
has not been reflected in the MCLRs of banks. The interest rates have seen some corrections in the short -term government bonds as well as treasury bills. We expect the interest rates to soften progressively as we see improvement in the overall liquidity.
Overall, our consolidated profit after tax for the quarter stood at INR93.23 crores, which compares favorably against INR91.61 crores in quarter 3 of the current financial year FY '24 - '25 and INR92.87 crores in quarter 4 of the previous financial year. And during the year, the company delivered a profit of INR449.56 crores, which compared to INR614.48 crores in the -- on a full year basis in the year '23 -'24.
Profit for the current year translates to an EPS of INR116.84 share value of about INR10. We are pleased to also announce that the Board of Directors in the meeting yesterday recommended a dividend of 300% for the financial year 2024 -'25, which translates to INR30 per share. The dividend would be paid post obtaining the formal approval of shareholders. Thank you once again.
We can now open for Q&A.
Moderator: Thank you very much. The first question is from the line of Mumuksh Mandlesha from Anand Rathi Institutional Equities. Please go ahead.
Mumuksh Mandlesha: Congratulations on the healthy growth performance. Sir, firstly, on the growth side, we have seen a very good market share gains last year. For next year also, how do you see the OEM growth, where in particular, how do you see the CV segment growth, sir?
Arnab Banerjee : CV was in negative territory, as you know this, in FY '25. So we expect CV to be in OEMs, the vehicle growth to be in single -digit. It should be in a positive territory basis the information that we are receiving. And our play will be -- we are a small pla yer in TBR. So our play will be in just about double -digit kind of share of business for that growth.
Mumuksh Mandlesha: Got it. And sir, on the exports market, you mentioned some of the challenges there. So how do you see next year growth for that exports market? And also, sir, can you give an update how is the OHT segment in Europe doing, sir?
Arnab Banerjee : OHT segment has been facing headwinds since last 2 years, if you see last 7 -8 quarters, definitely, primarily from the OEM segments. We have an OEM play there and OEM margins are not significantly different from the aftermarket.

So, we have been making this up with an aggressive play in the aftermarket. And in Europe also, that holds true. The OEM demand is showing signs of revival, but it's not yet in. So the headwinds are still there, and we have to rely on growth on -- through aftermarket for some more time.
Mumuksh Mandlesha: And sir, on the Camso part of the business, compact segment, how is that market doing sir, generally, sir?
Arnab Banerjee : It is the same situation. Overall, OEM is sluggish, which is the construction tracks and tyres . But aftermarket is relatively better and the performance in aftermarket is steadier. And then the OEM. OEM demand should come back in some time. As I said, green shoots are visible, but not yet in.
Mumuksh Mandlesha: And sir, on overall export side, will there be a growth for next year, sir?
Arnab Banerjee : Yes, we are definitely planning a growth in Europe, in Latin America, things have to turn around. The currency situation has stabilized. Southeast Asia, Middle East, those are our traditional areas. We will see growth there. So we are definitely planning g rowth in international business as well as in OHT part of the international business. So overall, we are looking forward to growth apart from Camso.
Moderator: The next question is from the line of Siddhartha from Nomura.
Siddhartha: Congrats on a great set of numbers. Sir, first question is on the replacement side. Now can you sort of highlight if the industry growth h

as been similar or there has been market share gains for us as well? And what will be it for 2 -wheelers and passenger car in FY '25? And going ahead, how do you see the scenario? Will it be more steady? Or do you still see some scope of market share gains for us?
Arnab Banerjee : Yes. I would first share the market share status. So year -on-year, we have seen good gains in truck bus radials. But as I mentioned in the context of OEM in aftermarket also, we are small players. We are still in single -digit market share. So on a small ba se, good market share gains. Good gains in 2 -wheeler where we are market leaders and both in motorcycle, scooter, scooter market itself is growing very well. But both in motorcycle, scooter, we have seen significant gains over 1 -year period.
In passenger car tyres , we have had a flattish kind of situation where we have neither lost nor gained the market share in aftermarket. As far as demand is concerned, 2 -wheeler, which is penetrated across the POP's data, we'll see a stronger demand in rural market is what we th ink. Passenger, which is relying more on the 50,000 -plus population town, will see softer demand. And truck bus radial is steady. The GDP is growing at around 6% or thereabout, the demand is also going to be around that or slightly l ower, maybe mid -single -digit.
Siddhartha: Got it, sir. Sir, second question is on the export strategy. Now I think you had indicated that we will enter probably the U.S. market from quarter 2 onwards with the TBR range and all. So any change to that plans, whatever you had, how much do you think w e can contribute or get from

U.S. market in FY '26 given the current scenario now? And in the longer term also, you had a target of touching 25% from exports by in the next 1, 2 years. So where does some of those targets stand given the current context?
Arnab Banerjee : Correct. So I'll answer one by one. With the integration of Camso right away in FY '26, we'll hit the target of FY 26, 25% saliency of international business. Number two, in the current tariff situation, there is -- the key thing is uncertainty, right? None of us really know where the dust will settle. But as far as I'll clarify on the tariff, I'll take this opportunity to clarify on the tariff situation, what is our reading.
India is not marginally uncompetitive, if situation remain as it is. So vis -a-vis our key competitors from Thailand, Vietnam and China, we remain slightly competitive, or if the auto component tariff of 25% applies uniformly, we are neither competitive nor uncompetitive.
As far as Sri Lanka is concerned, 44% is a big burden. But as we see that in tracks, probably the tariff is already down to 4%. In tyres , if it is 44%, then 28% or 30% of our business is from Sri Lanka to U.S. that risk has to be mitigated, and we have a mitigation plan, which I may share maybe later on. So that is a tariff situation overall.
At this moment, if everything is as bad as it is today, our exposure to U.S. is in low single -digit. So therefore, whatever we do, the material impact to our numbers will be very, very minimal in FY '26. Having said that, U.S. is a key investment market, a key growth market for future. We

believe that these things will sort themselves out. So our investment plan in terms of product development, product launches in U.S. market in OHT, PLT as well as truck bus radials will continue as usual.
Siddhartha: Got it, sir. Sir, lastly, on this Camso, just a clarification, either the tariff is 25% in auto parts or it is a reciprocal tariff of 10%. So does this 44% tariff apply? Because as of now, I think that has got delayed.
Arnab Banerjee : You're right. Reciprocal tariff has been postponed for 90 days. After 90 days, if it is not postponed again, then a 44% reciprocal tariff is applicable on Sri Lanka. This is the current situation.
On tracks, a

s I mentioned, it has already been reindexed to 4%, not 44%, 4%, which is 50% of the business. And the other 50%, 44% may apply as things stand now. But with the indications that we have got by interacting with the local government officials as well as Michelin, which has got other business interest in Sri Lanka. So they are also working hard at Washington. We understand that things may resolve out to be b etter in the future.
Moderator: The next question is from the line of Mitul Shah from DAM Capital.
Mitul Shah: Congratulations on a very strong performance, particularly in this tough environment, having double -digit volume growth. Sir, my first question is on clarification on this Camso business to U.S., you indicated 30%. So that includes both tracks and tyres or only tyre related? Or if at all, then how much would be the only tyre from this 30% out of this 30%?

Arnab Banerjee : It's total. Tracks and tyres are roughly half and half, so 15% and 15% roughly.
Mitul Shah: So effective this 40%, 44% impact would be only on the 15% of the overall business of Camso, right?
Arnab Banerjee : As we speak now, things are very dynamic. Things are changing by the day. Yes, as we speak now, that is the impact.
Mitul Shah: Sir, now my question is on the average realization in export geographies, considering the slightly favorable currency movement as well as a few price hikes we have taken on the last 1 year. So on a Y -o-Y basis or Q -on-Q basis, how -- what was the average r ealization per ton basis in these geographies, blended average?
Arnab Banerjee : So on Y -o-Y is not very relevant. On a Q -o-Q basis, we have seen a realization growth in excess of 2% in quarter 4 over quarter 3. And if you can manage the mix, then we would like this realization growth to continue quarter 1 over quarter 2.
Mitul Shah: Yes. So despite this volume -related challenges, we are able to increase the prices by 2% in export, right?
Arnab Banerjee : Not necessarily prices. It's a mix of price plus volume mix.
Mitul Shah: Okay. And sir, lastly, again, on the same similar strategy for considering next few quarters of challenges, what would be your pricing strategy? Whatever benefit from this lower RM basket to pass on or we'll try to maintain pricing or margin benefit?
Arnab Banerjee : And if the RM basket comes down, definitely, the price lines will hold. And when the prices were going up, we were unable to pass on the entire effect to the market. So I am pretty sure that we will hold the price line as the raw material prices taper off. And if they take time to taper off, we'll also be open to looking at some opportunistic price increase in the meanwhile.
Mitul Shah: Sir, geography -wise, can you give any color that over near term first half, maybe which geographies you think will decline in absolute terms and which geography can still continue to grow? The overall market seems to be challenging, but any geography you see decent growth coming in?
Arnab Banerjee : If you're talking about international markets?
Mitul Shah: Yes, sir.
Arnab Banerjee : Yes. So we have stable business and growth in European Union, Middle East, Southeast Asia. We have headwinds in Latin America and North America. Barring that, it is business as usual in most geographies.
Moderator: The next question is from the line of Amar Kant Gaur from Axis Capital.
Amar Kant Gaur: I had 2 -part questions. One is related to Camso. Correct me if I heard it right, your exposure via Camso to U.S. is about 30%. Is that correct?

Arnab Banerjee : Yes, correct.
Amar Kant Gaur: Yes. So sir, I just wanted to understand a little bit in terms of the compensation that we are

paying to Camso, would there be any component that is withheld or that is dependent on the performance in the next maybe 1, 2, 3 years?
A

rnab Banerjee : No, nothing is related to performance or anything. There is some deferred compensation, but that's for the brand. And the stocks that we will take over at various points of time. Not everything is paid on day 1, but there's no correlation to the volume in every quarter or something like that.
Amar Kant Gaur: Understood. And sir, second question was on the other expenses. We have seen other expenses remaining flattish versus typically, we have an increase because of the marketing expense that we have, IPL related and otherwise. So what is preventing these -- I mean, not a significant increase we have seen in other expenses, 4% kind of Q -o-Q increase in revenue, while other expenses have only gone up by only 1%?
Arnab Banerjee : Yes, Kumar?
Kumar Subbiah: See, other expenses, this is one program that we have been running in terms of bringing efficiencies across all cost lines, okay? Generally, it is reflected. There are 2 line items where you'll be able to see that impact. One, obviously, on the raw materia l cost on all programs that we have undertaken to bring efficiencies in raw material costs, either in the buying or in reducing wastages in our factories, okay, or any other programs that has led to reduction in raw material costs.
What you see largely in other expenses is programs on utility costs, programs on factory -related costs, programs on supply chain -related costs. So broadly, despite the fact that revenue has grown quarter -on-quarter by about 3.6% even after adjusting for IP L expenses, we kept all our other costs either constant or lower than the quarter 3, so which is what you are seeing it.
There's no, nothing exceptional about it in terms of there's no onetime cost benefit or onetime cost impact in the previous quarter for the purpose of comparison. It's largely the programs that we are doing. Our endeavor is to keep it at this level. If you look at it same period of last year also, we were around INR660 crores level, okay?
And even the quarter 3, we are about INR655 crores. So we would like to be at this level, even if we have to incur some IPL -related expenses, which would spike up in a particular quarter. In those quarters, we try to keep other expenses a little lower so that overall costs remain within this range.
Amar Kant Gaur: So would it be fair to assume that with some of the marketing expenses built into this quarter, these numbers would likely on a steady -state basis, those IPL expenses notwithstanding would be slightly lower than these on a steady state going forward?
Kumar Subbiah: Quarter 4 IPL duration was small. So obviously, small period -related IPL costs can be mitigated through strong controls and other elements of cost. But in quarter 1, where we have longer period

IPL, where a reasonable portion of our marketing expenses is tilted towards IPL. It will not be able to bring it at par with the quarter 4 or quarter 3. So that you will see some spike in other expenses, particularly marketing expenses in quarter 1.
Moderator: The next question is from the line of Naveen Baid from Nuvama Asset Management.
Naveen Baid: Congratulations on a very good set of numbers. I'm not sure if you have spoken about this, but what was the overall volume growth for this quarter and for the full year?
Arnab Banerjee : Well, exact guidance, we normally not share, but we are definitely looking at.
Naveen Baid: No, no, the quarter gone by?
Arnab Banerjee : Sorry, my mistake. So for quarter 4, you mean, right?
Naveen Baid: Yes, for quarter 4 and for full year?
Arnab Banerjee : Yes. So quarter 4 growth has been 11% -- so total quarter 4 has been 11% volume.
Naveen Baid: Volume growth?
Kumar Subbiah: Yes. Volume growth.
Naveen Baid: Okay. And for full year?
Kumar Subbiah : And full year, it is about 8.5%.
Moderator: The next question is from the line of Vijay Ku

mar Pandey from Nuvama.
Vijay Pandey: I just wanted to understand about the employee expenses. So it has gone slightly up on Y -o-Y, like, as compared to last year on full year level. So just wanted to understand what is driving this? And despite, like, we have a like -- despite the VRS team, t his has gone up, is it like something related to VRS cost? Can you just give some light on that?
Kumar Subbiah: Okay. I'm sorry, could you -- you want to understand about VRS and other expenses? Can you repeat your question?
Vijay Pandey: The employee bene fit expense and the VRS expense?

Kumar Subbiah: Okay. So VRS cost is what we are showing as exceptional item, okay . We incurred about INR37 crores during the quarter 4. We announced separation package in one of our factories, where a little over 100 people took accepted VRS. So therefore, that we are showing separately.
With respect to employee cost moved up on quarter -on-quarter by about INR10 crores. INR215 crores was quarter 3. Quarter 4 was INR225 crores. All of that cost increase in employee cost can be attributed to additional manpower costs incurred in our factories where we have had capacity increase. For example, in Chennai factory, we commissioned our truck and bus radial plant in September, which we are scaling up. So therefore, in quarter 4, we had to engage more people.

Similarly, the volume growth number that we are talking about in quarter 4, 11% kind of volume growth happened, all that had been produced. So these are directly relating to production activity. That cost was incurred in quarter 4, which is the reason as t o why quarter 4 was about INR10 crores more than quarter 3.
With respect to other expenses, I think I've already explained. So unless you have any specific questions, I think other expenses have been explained to you.
Vijay Pandey: Yes, that's okay. And sir, can you give a brief about the equity JV income because that has come down on a year -on-year level for full year. So just wanted to understand what is driving that?
Kumar Subbiah: No, debt to equity, see...
Vijay Pandey: No, sir, the JV income. JV income, profit from JV.
Kumar Subbiah: Your consolidate that share of profit, which is it?
Vijay Pandey: Yes. Share of profit of associates and JV.
Kumar Subbiah: See, it's more or less in line, okay? This year, in fact, is higher. Share of profit this year is about INR21.8 crores versus INR20.8 crores the previous year, okay. And the share of profit is largely the JV venture that we have in Sri Lanka. We don't consolidate it with our results. So this is our share of profits. It has seen an improvement of about INR1 crore, okay? Even in the quarter also, there's a marginal improvement by only about INR5 lakhs quarter -on-quarter, but year -on-year, about INR1 crore higher.
Vijay Pandey: Okay.
Kumar Subbiah: Yes, you look at full year basis, unless you're comparing quarter 4 of last financial year versus quarter 4 of current financial year, okay. But I think the right comparison is full year, full year or quarter 3 to quarter 4, where you would see some kind of stability.
Moderator: We will now begin the next question from Ankur Poddar from Svan Investment.
Ankur Poddar: Congratulations on great set of numbers. Sir, my question is regarding the realization for FY '25 on the overall basis have increased by around 2%, while the RM basket has increased by around 8% to 10%. So there is roughly an under recovery of around 6%, 7 -odd percent. So do you plan to have a price increase in near term? How do you plan to mitigate this kind of your thoughts on that?
Kumar Subbiah: See, increase in raw material as a percentage of turnover when we began the year was close to about 60% of our revenue. So when we say, raw material has moved up by 8%, okay, the impact of that on sales is about 60% of that 8%, okay? So that's the way w

e n eed to look at. And our
realization has moved up by maybe a little over 2%, both through price increase as well as through mix.
And the difference is what is the difference between the impact of raw material costs, okay, and the realization part of it and which is evident in the gross margin also, okay . But we should also

keep in mind, in the previous year, we had a very high level of gross margin improvement also, significant improvement in gross margin, which is why our overall operating margins went up by more than 4% in 2023, '24 versus '22 -'23.
And so on a high base of about 43% kind of a gross margin, okay, and maybe the gross margin has shrunk by about 4.5%. And I think Arnab also earlier mentioned in response to one of the questions. Currently, our gross margin is -- in his opening remarks, ho vering around 37.5%. Our endeavor is to take it up to in the range of 40% to 41%, okay? And we will do that using both the levers, one of them being like any correction in raw material costs from here on would be retained.
And second is obviously judicious price increases across depending on the categories, geographies and segments. Both of them will happen so that we get back to a normal level of

gross margin and normal level of operating margins.
Ankur Poddar: Fair point, sir. Sir, my second question is regarding our export strategy, as Arnab already said that we'll be clocking around 25 %-26% after Camso integration. What is your strategy to scale up the export business from here on for the CEAT as well as Camso in terms of which geographies you want to venture, what kind of products? Specifically with Camso, if you can throw some light you r broad business plan in terms of scaling up the Camso operations from here on?
Arnab Banerjee : Right. So when I said 25 %-26%, it is at current level of Camso business, which utilizes the facility that we are purchasing at the level of 50%. So our endeavor is to take the capacity utilization to 80 %- 85%. So that much headroom we are looking at. In what time period, obviously, in medium -term, which is about 2 to 3 years, but the first year will go in understanding and consolidating business continuity retention of customers.
So, not much may happen in the first few quarters. So, that could lead to that much kind of growth with some inflation, maybe almost 2x of the current volume or 1.7x -1.8x of the current volume. So that's Camso.
On the non -Camso part, we also have Ambernath plant, which is now utilized up to about 65%. So about 35% headroom is there in Ambernath. Plus we are expanding Ambernath as this is our topmost priority of growth to about 150 tons per day.
So we can -- in a reasonable time period, if the OEM volumes come back, we can double Ambernath volume in some time period of maybe 3 to 4 years to 5 years maybe as well. So that's the export growth on OHT of CEAT and Camso. And of course, we have headroom for growth for OTRs as well as bias OTRs from the Bhandup plant as well.
Now, coming to passenger and truck bus radial, here, we have aggressive plans in Europe. And U.S., there will be some headwind unless this uncertainty is sorted out. Current impact is very low, as I explained earlier, because our exposure is very low. But it is an investment market, and we'll continue to invest in this market and in Latin America as well.

And for 2 -wheeler categories and passenger categories in some select markets in Asia as well. So there is a well laid out plan. Camso, to answer your question, will go primarily to North America and Europe. Most of the business will come from there, about 90%.
Ankur Poddar: Okay. Great, sir. My next question is to Kumar, sir. What are our plans regarding post the Camso acquisition, there will be a fair amount of increase in the debt level. So any medium -term plan

s?
How will you kind of scale down these debt levels, if you can share your thoughts?
Kumar Subbiah: Okay. See, currently, as of 31st March, our debt was about INR1,922 crores. That was the level of debt. And if you were to look at from leverage ratios point of view, it is about debt equity is about 0.44 and debt to EBITDA is about 1.3. So low level of leverage, that's the way one can come to a conclusion.
With respect to the current level of leverage, while the debt might go up because the scale of operation is also increasing, overall as a company is also growing, overall absolute EBITDA also, we are almost delivered INR1,500 crores EBITDA in the current year. And last year was maybe INR1,650 crores of EBITDA.
So in absolute terms, everything has moved up. So therefore, debt should be seen in the context of leverage ratios. So our understanding is that it's not that entire consideration of $225 million will have to be invested upfront, okay? So at least about 20 % of that we will be paying after 3 years, 3 to 3.5 years. Some amount of consideration is relating to finished goods inventory that will also not happen upfront. It will happen over a period of time as we take possession of those goods in different marke ts.
So since the cash is fungible, okay, and we are generating cash profit of INR1,000 crores plus even in the year FY '24, '25, our cash profit was about INR1,080 crores.
So we have to decide whether we want to keep the debt low even on a ratio basis or whether we want to keep debt at normal levels, and help the business to grow through investment, not only in this acquisition, but also in capacities so that we are able to deliver growth. I think, the growth of 14.5% in quarter 4 was delivered because we had capacities available to meet the sales growth. And scale does play a role, very important role for the tyre industry in terms of distributing the fixed cost.
So coming to your larger question, it's possible that debt can move up in terms of debt equity, debt-to-EBITDA ratio from current 1.3 level to maybe at 2.2 or 2.3. Maybe the peak in a very bad quarter could be 2.4 -2.5, which is far lower than where we were even 2 years back. We were debt EBITDA was closer to about 2.8 -2.9, that kind of a level. That's the way we see.
As we integrate the business, as we generate more cash, the absolute debt and there will be some improvement in overall debt EBITDA, which would translate to maybe INR3,000 crores up to

INR3,000 crores kind of debt level over a period of time. Internally, we would try to keep it below. But that's the way we see the debt movement over the next 12 months.
Moderator: The next question is from the line of Mitul Shah from DAM Capital.

Mitul Shah: Yes. Sir, my question is again on the Camso side in terms of the -- apart -- we have enough capacity, but apart from that, any strategical investment required in terms of the increasing the network, or what could be the ballpark investment, or capex requirement even considering the maintenance capex from annual point of view?
Kumar Subbiah: Okay. No, look, from our point of view, beyond what we -- the $225 million, which encompasses a lot of other elements in the acquisition of that particular business. We may have to add some key upstream equipment, at least 2 of them in the next 12 months, after 12 to 18 months after we acquired the business, okay .
Our -- to fund that -- to take care of that and plus normal maintenance capex for Camso business in Sri Lanka, maybe we need about Indian rupee terms, possibly about INR100 crores to INR125 crores per annum for the first 2 years. That is the way we see in terms of requirement.
Moderator: The next question is from the line of Siddhartha from Nomura.
Siddhartha: Sir, one question on your margins in various segments because like we have pushed a lot in OEs still we have not seen any m

eaningful margin impact. So how should we think about the difference in margins between your replacement OE and export markets . Some sense there, sir, will be helpful.
Kumar Subbiah: See, look, among all 3 segments, OEM margins are a little lower, okay, and which is where our overall revenue share is about 28%, 29%, okay? But having said that, OEM business also gives us some cost protection during the period when we see high volatility in prices or high upward trend in prices, because we have a mechanism to adjust to any movement in raw material prices with a 1 quarter lag.
So for us to grow in the replacement market, it is important that we have a reasonable presence with OEMs. So in general, in terms of margin distribution, in the normal circumstances, international business and replacement business, operating margins are a t similar levels. Gross margins, replacement could be a little higher, but we also need to invest in marketing and therefore, at the operating margins level is similar.
In case of OEM business, while operating margin vary depending on the categories, for example, our 2 -wheeler margins would be a little better. But in passenger car, where we are penetrating into high -end ty res, et cetera, it could be lower. So operating margins of OEM business could be lower in mid -single digits versus replacement and experts at a high level.
Moderator: Ladies and gentlemen, this was the last question for today. I now hand the conference over to the management for closing comments.
Kumar Subbiah : Thank you very much for attending the earnings call and being with us through FY '25. Looking forward to you being with us in FY '26. Wish you all a very good financial year in FY '26. Thank you.
Moderator: Thank you. On behalf of Equirus Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jul 2025

“CEAT Limited
Q1 FY '26 Results Conference Call ”
July 18, 202 5

MANAGEMENT : MR. ARNAB BANERJEE – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – CEAT LIMITED
MR. KUMAR SUBBIAH – CHIEF FINANCIAL OFFICER –
CEAT LIMITED

MODERATOR : MR. MITUL SHAH – DAM CAPITAL ADVISORS
LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the CEAT Q1 FY '26 Earnings Conference Call hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar and then zero on your touchtone phone. Please note that thi s conference is being recorded.

I now hand the conference over to Mr. Mitul Shah from DAM Capital Advisors Limited. Thank you, and over to you, sir.

Mitul Shah: Thank you, Nidhi. Good afternoon, everyone. Thank you, management, for giving this opportunity to hosting this conference call. On behalf of DAM Capital, I welcome you all to the Q1 FY '26 results Conference Call of CEAT Limited. From the management side, we have Mr. Arnab Banerjee, Managing Director and CEO; and Mr. Kumar Subbiah, Chief Financial Officer.

I would now hand over the call to Mr. Arnab Banerjee for his opening remarks. Over to you, sir.

Arnab Banerjee: Thank you. Good afternoon, and welcome to CEAT's Quarter 1 FY '26 Earnings Call. I'll be taking you through the business updates for the quarter, and then Kumar shall share his remarks on financial performance, and then we'll have the Q&A. Our market is ex periencing a very transformative phase driven by rise of electric vehicles, sustainability demands and digital innovation.

Key themes that are playing out include the development of EV -specific tyres with low rolling resistance and noise, smart and IoT -enabled tyres for predictive maintenance and advancements in airless and puncture -proof designs. Local manufacturing capacity expansion and a shift towards premium tyres are reshaping the market structure across categories and fueling investments.

With these strong drivers in place, the Indian tyre market is expected to grow at strong single -digit CAGR till 2031 with significant growth trajectory for the industry. Demand outlook.

Overall demand outlook for auto sector continues to remain cautiously optimistic. In the near term, above -average monsoon forecast should boost rural demand.

Early kharif sowing, up 11% Y -o-Y underlines stronger farm incomes and augurs well for 2 -wheeler and farm tyre offering. Simultaneously , robust government capex through June to August, targeted across roads, railways and green energy projects will underpin commercial vehicle and commercial equipment segments.

However, there are geopolitical tensions and potential spillover from U.S. tariff uncertainty, which has to be taken care of as we look at supply chain management, and this could hinder consumer sentiment across the globe. In the near term, we expect repla cement demand for commercial MHCV tyres to be around mid -single digits, 2 -wheeler to be high single digits, while there is some concern in the passenger car ty re market in replacement where growth could be low single digit.

In OEM -- low single -digit growth in passenger segments as you are aware. Growth rates are weakening in 2 -wheeler, more so in motorcycles. Scooter segment is growing in single digits.
In international business, we are seeing gradual demand improvement in agriculture radials and OTRs in the OEMs, global OEMs. We expect seasonal demand from Europe for passenger car tyres in Q2. This will improve. And should the tariff situation stabilize, we may expect to see ramp -up of operations in the U.S. Channel destocking may pau se, leading to better sentiment in Q2.
Coming to financial performance. Q1 FY '26 continued with good robust revenue growth of 11.5% Y -o-Y on stand -alone. Stand -alone profit was INR135 crores in Q1 and we continue to deliver double -digit ROCE post tax. Growth momentum was close to

9% in Q1 over last year.
Our replacement market segment has grown in strong single digits, while OEM segment has grown very, very strongly in early 20s. In ternational business, however, faced headwinds in several geographies and sales remained flat.
Replacement saw robust growth in truck and bus segment, helped by continuous investments in construction and mining , as well as stable overall economic activity. 2 -wheeler segment was supported by strong rural demand. Growth within passenger segment in replacement was muted, and we at CEAT have seen a gain in market share across 2 -wheelers, motorcycle, scooter and 4 -wheeler segment in quarter 1 -- on the back of product approvals, CEAT product approvals in bigger cars and SUVs in OEMs, we have seen a robus t growth in share of business.
Moderator: Sorry to interrupt you. We are losing your audio. I need to re -connect your line.
Arnab Banerjee: Yes, I'll repeat the last couple of minutes. Replacement volumes saw robust growth in truck and bus segment, helped by activities in construction and mining as well as overall stable economic activity. In 2 -wheeler segment, the growth was robust, supported by rural demand. Passenger segment demand was a little bit muted. However, we have seen a strong market share growth in 2-wheeler, both motorcycle scooter as well as passenger segment in quarter 1 in replacement.
On the back of product approvals in OEMs in bigger cars and SUVs, which we have been pursuing for the last several quarters, we have seen a robust growth of share of business in passenger tyres in OEM. Similarly, in scooter and motorcycle t yres, we have gained share of business Y -o-Y. Growth in 2 -wheeler, both motorcycle scooters have been strong. Farm tyre growth in OEM was in mid -single digits. OEM volumes grew significantly Y -o-Y basis, therefore, across segments, led by passenger, 2 -wheeler as well as commercial.
In international business, we faced headwinds in Europe in truck bus radial and passenger radial. Our stake in U.S. market is still very low. So the impact of tariff uncertainties were not very significant. However, it is our future growth market. And ther efore, we look forward to situation evolving in the future.
Coming to margins. Our stand -alone gross margin witnessed contraction of about 68 basis points Q-o-Q. Main contributing factors included a flattish raw material cost, coupled with sales realization, which was lower in international market and in OEM market and the business mix, which was inferior because of lower international business sales. Our RM basket remained

largely in line with previous quarters, as I said, that is Q4 '25. Going forward, we expect benefits of lower RM basket to pass through in quarter 2.
Between gross margin and EBITDA line, we have been continuously controlling our expenses. And this time, it was 20 bps lower than , lower on a Q -o-Q basis. This is despite a steady marketing spend, in fact, a higher marketing spend in Q1, which happens due to our participation in IPL. Our stand -alone EBITDA margin in the quarter stood at 11.1%, whereas stand -alone net profit was INR135 crores.
On Camso , we are expecting to close the deal in the current quarter. We are awaiting certain regulatory clearances in Sri Lanka. There has been a slight delay, but it is expected to close, as I said, in the current quarter. Our on -ground teams are working closely with Michelin , and are ready to operationalize the business as soon as we get the green signal f rom the regulatory authorities.
We have already done extensive town hall meetings in Sri Lanka and addressed the management staff of Cam so. We are in advanced stages of discussions in recruiting the right talent in research & Development and Sales. Sri Lanka is currently facing a 30% reciprocal tariff from U.S. on

tyre exports to that country, a rate that was pr

eviously 44%. While it's already lower than the
initial rate, we understand that discussions are still ongoing to negotiate this further down.
On our future trends of electrification, international business, premiumization as well as digitization, first, electrification.
We continue our dominance in passenger EV segment with close to 32% share in OEMs. Across EV models and OEMs, our fitments are getting approved.
We have been also a strong player in 2 -wheeler EV. However, there is a share dip here to 12% of the OEM fitment, which we expect to recover with the growing models of EV in 2 -wheeler, which are the conventional brands. Over the next couple of quarters, we aim to be present in all these 2 -wheeler EV models.
Internationalization has been a key pillar of our growth and profitability. We have been focusing on the OHT business -- and of course, you are aware of our acquisition of Camso to become a leading global player in the OHT segment. We have grown in strong double digits in OHT in quarter 1. We continue to make progress and with key OEM approvals from BOMAG , Mahindra Australia, and F iori.
During quarter 1, the business achieved its sales target despite challenging headwinds in geopolitical uncertainty and tariffs. We launched 22 -plus off -highway SKUs in Q1 and continue to make our product more relevant for the customer.
In non -specialty business, we witnessed muted demand due to uncertainty in the tariff situation and impact on world trade. We witnessed growth within Africa and some scattered geographies. Latin America posed macroeconomic challenges arising out of domesti c currency depreciation and China's free access in the region. Middle East was also -- which is a big market for us, was

also impacted due to the geopolitical situation. We are looking forward to stabilization of the situation and growth to bounce back in international business.
Premiumization, CEAT recently launched tyres with advanced high -tech innovations like ZR rated t yres, 21 -inch t yres, calm technology, run -flat tyres, which you are aware of. We are taking some of these technologies outside India as well. As a next step, we are also investing -- stepping up our investing in digital marketing and channel development efforts to facilitate the sales of these high-quality innovative ty res.
We have gained share in replacement and OEM for the premium segment t yres, which we define as 17 -inch rim size and above. We have also grown in replacement significantly in the larger bikes above 150 cc in both bias and radial fitment. We are investing in our plans to ramp up the mix of larger rim -size tyre for passenger radials and 2 -wheelers. Our brand imagery in the growing segment of premium and luxury cars have shown an uptick in quarter 1.
Digitization. At CEAT, we are committed to harnessing the power of digital innovation to grow -- drive growth efficiency and satisfaction of customers. Our AI -powered solutions in the factories are yielding tangible results across the value chain.
As we build a future -ready organization with a strong digital foundation, we look forward to continuing this journey and delivering sustainable value to our stakeholders. We have extended our already proven vendor portals, for example, from procurement to outsourcing partners, which will remove human errors, enhance transparency and agility.
The organic website traffic grew by 2x. Website traffic from premium users increased significantly. Premium SUV users traffic increased significantly. Positive sentiments for the brand moved up by 33% and there was a 107% increase in average interaction per post Y -o-Y.
Overall capacity utilization was 80% plus. Expansion projects are progressing as per plans, and we expect our total capex for next year, as guided, will be around INR1,000 crores, which will also include the maintenance capex of C

EAT and Cam so.
On sustainability, we were awarded the EcoVadis Silver medal , placing us in 89 percentile of the companies. Our renewable energy power consumption in the manufacturing setup was 42%. We expect this to grow up to 60% by FY '27. We are committed to sourcing material from regions that are free from deforestation and de gradation, which is aligned with 100% EUDR compliance readiness.
We are also actively collaborating with USTMA to explore alternatives to 6 PPD, which are going to be banned. And so we are future - ready as far as sustainability is concerned, not only from a regulatory perspective, but also from the perspective of human rights, ethics, and sustainable sourcing.
As we enter Q2, we are looking forward to the macroeconomic landscape stabilizing, bounce back in international business, better raw material cost pass -through in our P&L and holding our

prices across segments for a better growth and better profitability. I would like to hand over the call now to Kumar for his remarks.

Kumar Subbiah: Thank you, Arnab. Good afternoon, ladies, and gentlemen, and thank you for joining our Q1 FY '25 earnings call. I'll share some further financial data points with you all, post which we can enter the Q&A session. First, regarding our overall financial perf ormance. Our consolidated net revenue for the quarter stood at INR3,529 crores , with a strong year -on-year growth of approximately about 10.5%.

And we crossed revenue of INR3,500 crores in a quarter for the first time. This was driven by a combination of both volume growth as well as price growth on a year -on-year basis. And our growth was predominantly in OEM and replacement segments, while our international business revenue remained flat.

Our consolidated EBITDA for quarter 1 stood at INR386 crores with 10.9% margin, which is about 56 basis points contraction on a quarterly basis, largely on account of lower realization arising out of changes in the mix and about 122 basis points contraction on a year -on basis, primarily due to rise in raw material prices in the last 12 months, which we could not pass on fully to our customers.

Coming to gross margins. Our gross margins for the quarter stood at 36.8%. The raw material basket in quarter 1 largely remained flat as compared to the previous quarter, which was in line with our expectations. On a year -on-year basis, our gross margins c ontracted by about 245 basis points. The drop is primarily on account of rise in raw material basket. Our EBITDA margin contracted by about 56 basis points quarter -on-quarter due to marginally lower realization, coupled with flattish RM basket and margina l increase in our marketing spend.

Coming to raw materials, the key factor that determines the raw material prices, which is crude oil, remained range bound during the quarter, though it flared up in between the -- during the quarter in between due to geopolitical reasons. Brent is currently hovering ar ound $69 with some upward bias.

As regards natural rubber, driven by little softer demand in the international market, crude -- sorry, natural rubber prices fell from about $1,900 to about $1,700 in the SICOM exchange. However, domestic rubber prices have remained high, supported by supp ly-demand gap in the Indian market. It is currently trading around INR200 per kg, and we hope the prices to come downwards , once the availability of international rubber improves in India.

Coming to rupee, rupee has been mildly volatile, around INR85 to INR86 to $1 during the quarter, having appreciated against U.S. dollar by about INR1 on an average against quarter 4. Considering volatility in markets, we'll continue to keep a close watch on RM situation and take necessary action as it involves in the coming quarter.

Coming to debt, capex and working capital. As regards to capex , we spent about INR231 crores during the quarter, which is in line with our annual guidance number of about INR900 crores to INR1,000 crores. The entire capex of INR231 was fully funded through our internal accruals. Our working capital has improved sequentially, predominantly on account of better management of payables and also maintaining other elements like inventories and receivables constant in terms of number of days. Happy to share with you all that our working capital has come down

by about INR64 crores during the quarter. So we ended the quarter with a negative working capital of about INR94 crores. We'll continue to drive efficiency in working capital and use the cash judiciously to fund our growth.

We generated healthy operating cash flow, which was used to manage our capex requirement and also to reduce debt. Our consolidated debt stood at about INR1,814 crores, a drop of about INR115 crores during the quarter. Our stand -alone non -operating income for the quarter includes INR21.5 crores of dividend that we received from our subsidiary in Sri Lanka.

Coming to Camso , we have already secured funding , necessary funding to provide capital for the acquisition of Camso as and when it happens. Our debt -to-EBITDA on a consolidated basis stands at a healthy level of 1.2x and debt equity stood at 0.4x , as of end June. In order to secure additional limits for our NCDs and CPs, we got ourselves assessed by credit rating institutions during the quarter, and both of them affirmed AA with positive outlook rating for long -term and A1+ for short -term.

Coming quickly to operating expenses. Employee costs remained largely at the same level as that of quarter 4. Other expenses were kept under check during the quarter. Our freight costs and outsourcing expenses went up during the quarter due to higher scale of operations. We also had higher marketing spend on account of activities relating to IPL, which would nor malize in quarter 2 and beyond.

Depreciation for the year -- for the quarter stood at the same level as that of quarter 4. Interest cost increased primarily on account of the fact that the debt -- average debt in the quarter was higher than quarter 4, though the debt levels came down dur ing the later part of the quarter. The effective rate of interest have remained same or a little down in quarter 1 versus quarter 4, largely arising out of reduction in the interest rates in the market.

Overall, our consolidated profit after the tax stood at about INR112.3 crores, which compares to about INR154.2 crores during the same period of last year , and INR98.7 crores in quarter 4 2025.

Also happy to share that the Board of Directors of C EAT yesterday in the Board meeting approved a capex plan of about INR450 crores to be spent over the next 18 to 24 months in our Chennai fa ctory in passenger car radial ty res, largely to readjust our upstream capacities arising out of changes in the weight of the t yres.

Lastly, our strategies are in place to strengthen our brand. We remain vigilant of global economic -- macroeconomic trends, adjusting our strategies as needed to remain agile. Additionally, our continuous focus on free cash flows with flexibility to adjust it during difficult periods and healthy balance sheet in terms of leverage ratios continue to reinforce our financial strength.

Thank you. Now we can open the floor for Q&A.

Moderator: The first question comes from the line of Raghunandhan from Nuvama Research.

Raghunandhan: Revenue growth has been good at double digits and company has been gaining market share. For Q1, can you indicate how was the breakup between volume growth and realization? And also within the volume growth, if you can share the trend for OEM , replacement and exports?

Arnab Banerjee: So I'll answer the second part first. Volume growth of export was f

lat. The volume growth of domestic was much higher in OEM, strong 20s and the volume growth in replacement was in single digit. So that was the business unit -wise volume growth. And overall volume growth was about 9% and overall value growth was about 11.5%. So that can give you an idea of the volume and price -led growth.

Raghunandhan: Continuing with the same question, within the replacement growth, if you can talk about TBR, PCR and 2 -wheeler, how have they done? And whether you expect the same trend to continue for the full year?

Arnab Banerjee: Yes. So PCR, I will start with. PCR, the urban demand was soft in replacement and our growth was in low single digit in PCR, but we have...

Moderator: Sorry to interrupt. Raghunandhan, can you mute your lines when you're not speaking?

Raghunandhan: Yes, sure.

Arnab Banerjee: Yes. So I was talking about passenger car tyre market in replacement, which was -- the growth itself was muted in replacement segment. And our growth was single -digit growth, and we have gained market share vis -a-vis quarter 4. And we are very near to our all -time high market share in passenger car ty re, but overall growth was muted. In 2 -wheeler, market has grown better, driven by rural demand.

And our growth has been pretty good in double digits in replacement, which , with higher growth in scooter tyres and slightly lower growth in motorcycle t yres. In CV, in truck bus radial, truck bus bias, there's been a slight degrowth. Truck bus radial has grown in strong single digit Y -o-Y.

Raghunandhan: That's very helpful. And second question to Kumar, sir. Sir, if you can clarify on the raw material side for Q2, how do we see the benefit given the fall in the global rubber prices and also some of the crude derivatives have seen a decline. So how do you see the benefit?

Kumar Subbiah: See, it's going to be a mixed bag in quarter 2. With respect to natural rubber, international prices have corrected progressively to the tune of about $200. So what used to be in SICOM about $1,900, it's close to about $1,700. So about 60% of our natural r ubber is international. So we -- the benefit of the drop in prices , we started getting from June.

So we will have that benefit in quarter 2. But the local prices, which was hovering round about 180 to 185, as we speak today, is about 205. So part of that -- some portion of that benefit on import will get neutralized to the extent of local. But at an aggregate level, I think our expectation is the raw material cost could go down by about 1% to 2% in quart er 2 versus quarter 1. Quarter 1 …

Moderator: Ladies and gentlemen, sorry for interrupting. The management line has been disconnected. Please be on hold. I'll be reconnecting the management line . Ladies and gentlemen, the line for the management is reconnected. Please go ahead.

Kumar Subbiah: Yes. Okay. I think -- so just to summarize, we expect raw material prices in quarter 2 to be about 1% to 2% lower than quarter 1. That is what we are expecting. In quarter 1, it remained flat at quarter 4 level after taking into account overall impact in s ome increase in some raw material feedstocks and reduction in other feedstock.
Raghunandhan: Thank you very much sir. Just a last question on Camso . Can I request some historical numbers for revenue and EBITDA either for FY '25 or CY '24? And also, if you can speak on tariff at 30% on t yre, 4% on track, possibly the tyre tariff might come down. Is Camso partly absorbing the tariff impact on U.S. currently? And how do you see the outlook in this business?
Arnab Banerjee: So historically, the recent trend of turnover of Camso is about $150 million. And the tariff situation is -- 44% was the reciprocal tariff announced. It's come down to 30%, applicable from 1st of August. And so the situation is not yet clear whether it will stay at 30% or go down further.

Hopefully, it will go down further.
And if it stays at 30%, for example, then as I mentioned in the earlier call, we are working on a plan of where to produce what for which market. We also have 2 bias factories in India, and we are inheriting bias factory in Sri Lanka. So there is a possibi lity of rejigging the mix to see where to produce what. That is a backup plan. But we are pretty hopeful that something -- some negotiations are going on, it will work out. At present, it stays at 30%.
Raghunandhan: If you can just share the margin on Camso ? Thank you.
Moderator: I request participants to limit your questions to 2 questions per participant. The next question is from the line of Siddhartha Bera from Nomura.
Siddhartha Bera: Sir, my first question is on this realization where you mentioned that we had seen some reduction in the realization for the international markets. Possible to highlight what is the reason for this? Did we need to absorb some tariffs or why -- or it is a f unction of mix? So if you can just help us understand why it was lower?
Arnab Banerjee: In international markets, we did look at absorbing some tariffs. So -- but that is one part because, as I mentioned, our dependence on USL at this moment is pretty low. We also executed a large order, which is a one -time thing of private label where the margins were -- where the realizations were low.
So these were primarily the reason, not so much a result of mix or anything. Europe -- yes, Europe, which is high margin and high realization. Europe, we had lower volume realization in quarter 1 also. So in a way, all these 3 factors would have impacted. These are assignable one - time causes. So all happened together in Q1.
Siddhartha Bera: Got it. And secondly, sir, on this tariff scenario, now like for this year also, we are nearly half of this year already done. So for the current environment, what is the scenario? Is Camso able to sort of pass on the entire tariff or how much they need to absorb as of now? So if you can share some thoughts there for the near term, that will be very helpful.

Arnab Banerjee: Yes. So assume it stays at 30%. So we have to see the competitive set, which is China, Canada, Vietnam and of course, India in a way. So if you look at the competitive set, there is no incremental competitive disadvantage as far as Camso will face. However, the U.S. customer will experience an overall inflation. So there could be some impact on demand because of that. But otherwise, competitively, I think the situation will be similar to the situation when there was no tariff.
Siddhartha Bera: Okay. Okay. And this $150 million you mentioned, is it for CY '24 or it is your target for CY '25?
Arnab Banerjee: You can say it is the current run rate. Current run rate. Okay.
Siddhartha Bera: Okay. And margins also will be around mid -teens now or there is a bit of softness there because of this tariff scenario?
Arnab Banerjee: The margin -- the historical margin was around mid -teens, yes.
Moderator: Thank you. The next question is from the line of Basudeb Banerjee from CLSA India Private Limited.
Basudeb Banerjee: Yes. A couple of questions. Just -- I missed out, you initially said what percentage of natural rubber you use as international?
Kumar Subbiah : I said 60%.
Basudeb Banerjee: 60%?
Kumar Subbiah : Yes.

Basudeb Banerjee: Okay. So then this 10% decline in SICOM prices should come -- get reflected in your calculation of 200 bps raw mat basket reduction next quarter?
Kumar Subbiah : Yes, I said 2% of cost quarter -on-quarter, yes.
Basudeb Banerjee: And the crude benefit of both included?
Kumar Subbiah : Yes, including this also rupee -related freight on international. All of that, our estimate is about 1% to 2% quarter -on-quarter reduction of cost.
Basudeb Banerjee: Second, sir, this INR450 crores Chennai PCR capex

, this will be included in this INR1,000 crores overall annual capex number?
Kumar Subbiah : Yes, true. That's true.
Kumar Subbiah: On the INR450 crores, the outflow during the current year is not very significant, but we will maintain the capex relating to that INR450 crores also within that basket of -- within the total INR1,000 crores that was indicated.
Basudeb Banerjee: And this quarter, as you highlighted, OEM growth was healthy 20%...

Moderator: Sorry to interrupt. But please -- I request you to please come back for the follow -up question. The next question is from the line of Mumuksh Mandlesha from Anand Rathi Institutional Equities.
Mumuksh Mandlesha: Thanks for the opportunity, and c ongrats on the continuing double -digit revenue growth. Sir, firstly, on the margin side for the stand -alone business, how do you see the drivers for the improvement further from here on, where we can again take back the margin towards 13%, 14% level in the past. So what are key drivers do you see here to further improve the margin, sir?
Arnab Banerjee: So one thing is the raw material situation, which Kumar has explained. So we expect the margin to accrue on account of that. On the sales side, we look at gaining back the volume in international market. We have a clear view of the order book in quarter 2. And the reason is that the channel downstocking, which was there due to uncertainty in quarter 1 is now partially over. And we have a seasonal offtake of orders in Europe.
So Europe is the highest sales realization zone. U.S., we are not yet significant. So we want -- we would like to see that situation improve in quarter 2. That's the second point. And there are some long -term drivers of premiumization in OEM as well as rep lacement, which will continue, which are steadily progressing. So on the sales side, sales realization, there are initiatives tactical as well as long -term, which we are going to take it up and raw material pass -through is going to happen in quarter 2. So we should see some improvement in margin going forward.
Moderator: The next question is from the line of Rishi Vora from Kotak Securities Limited.
Rishi Vora: Sir, just wanted to clarify on Camso. You highlighted that current revenue run rate is around $150 million, but the CY '23 revenues was around $213 million. Is that right understanding?
Kumar Subbiah : Yes, it was around $200 million, but I think we did -- when we shared the financial data, that was -- they work on a calendar year basis. That was the full year data that was available. But in all our conversations, we had indicated 2024 numbers are lower, a little lower. And so -- but 2023 was the only full year data available at that point in time, which was furnished. And '23 had some kind of one -off of 2022 also some part of that was part of 2023.
Rishi Vora: But -- so the right number right now is we are right now annually clocking in $150 million at this point in time.
Kumar Subbiah : Yes, current run rate. Current run rate, you might take it as approximately $150 million.
Rishi Vora: And then profitability at this point in time, we are about low teens because the revenue base has come off?
Kumar Subbiah : Yes. see, look, we still have to take possession of the business. And what we get is only some management information. We'll be able to share more insights once it comes into our fold. But we can assume that range.

Rishi Vora: Understood. And second, just wanted to clarification on the tracks tariff, right? So our -- we are seeing that it's around 4% tariff. So is there any exemption for the rubber tracks -- because generally, if it's 30%, then both for bias tyres and rubber tracks, it has to be 30%, right?
Arnab Banerjee: So yes, 30% is the reciprocal tariff. It's not a category tariff. It's a tariff on the co

untry. And there are possibilities that some categories , like, textile is also important in Sri Lanka. T yre exports is important for Sri Lanka. So some categories may be lower than 30%. It's possible. We will know

once the situation becomes clearer.
Rishi Vora: Okay. But at this point in time, if it's 30%, then it can be 30%? Or you think there can be -- you are assuming that there will be an exemption?
Arnab Banerjee: At this point, it is 30%.
Rishi Vora: Both for tracks and t yres. Yes.
Rishi Vora: And you also talked about if, let's say, the situation remains status quo, then we might shift some of the tyres or bias tyres capacity to India from Sri Lanka. But if in India also, the tariffs are -- obviously, right now, it's not decided, but if it's hypothetically 20%, 25%, then does it make sense for us to shift to India? And if we are also shifting to India, assuming that In dia has lower tariff, then will there be additional capex for this or we can accommodate in the existing facilities without much capex ?
Arnab Banerjee: No. So the tyres can be shifted here and there, both sides, depending on where the tariff is lower. And the lower tariff country can send it to U.S. and the other country can send it to Europe, for example, these are the 2 main markets. If the tariff situation is similar i n both countries, it does make sense to shift from one place to the other, as you rightly said. And tracks can be manufactured only in Sri Lanka.
Rishi Vora: Understood. And just l ast question on other expenses.
Moderator: Sorry to interrupt. I request you to come back for the follow -up question. The next question is from Joseph George from IIFL.
Joseph George: I have 2 questions. One is when I look at your interest expense, it's about INR80 crores in the quarter, translating to an annualized INR320 crores. And when I look at that in the context of your debt number, which is about INR1,800 crores, the rate of interest seems very high. So if you can just clarify what all is included in that INR80 crores interest expense.
That is one. And second is the share of profits from associates and JVs, which used to have a run rate of about INR50 crores per quarter has dropped to a loss of INR15 crores this quarter. So if you can just clarify on that as well.
Kumar Subbiah : Okay. I'll take the second one first. In Sri Lanka business, last quarter, they distributed dividend. So we received about INR21.5 crores of dividend, which we have reported as other income. But when a dividend is paid, if you really look at our total dividend for last -- that we received was

equivalent to the profit or marginally higher than the profit that the business generated because the business has enough cash with them.
There is a withholding tax on the dividend transfer, which is adjusted in the consolidated profit. Considering the dividend itself is as much as the annual -- our share of annual profits, okay, and even a little higher in the current dividend. The withhold ing tax is adjusted in the consolidated profit, and therefore, it is showing as a loss. You won't see it in the subsequent quarter. It's only because of the dividend -related withholding tax.
On the first point with respect to the interest cost, okay , so interest has one component, which is our direct debt. We said debt was a little higher in the first half of the quarter and moved down in the second half of the quarter. Our May month and June month collections were better relative to April month. And th e capex was a little skewed toward s the beginning of the quarter.
And therefore, we ended up with about INR114-115crores drop in debt as of 30th June compared to 31st March. So average debt was a little higher. Second, we also have one debt interest component that we pay on some security deposits part of it, which is also to be added while comparing it with the total

debt when you arrive at the average interest on the total debt.
Joseph George: So what is the split of actual interest on the debt versus the amount on security deposits, et cetera? Because when we calculate the rate of interest, it turns out to be a fairly high number.
Kumar Subbiah : See approximately about 25% of the interest that we have reported here would have on the security deposit. Balance portion is on the other debt, other gross debt.
Joseph George: So your rate of interest is like 12 -13% now on the total debt?
Kumar Subbiah : No rate of interest on our borrowings would be -- average would be around 8% for the quarter.
Moderator: Thank you. The next question is from the line of Basudeb Banerjee from CLS A India Private Limited.
Basudeb Banerjee: A couple of questions quickly. One, as you mentioned this quarter, OEM revenue growth was in mid -20s and replacement was mid -single digit. So I hope that also contributed partly to the gross margin contraction Q -o-Q. Will that be right to assume?
Arnab Banerjee: In the overall situation, if you include international business also, then our mix is usually, let's say, 71%, 72%, 28% of OE. So yes, to a certain extent, it is responsible, but more so because of the flat growth in international business.
Basudeb Banerjee: And second quick question. Camso , as you said, will be closed sometime during Q2. So what should be the right timeline that -- how many months of consolidation in FY '26 approximately?

Arnab Banerjee: So 6 months of second half is what we can look at, could be 7 months also. So something like that.
Moderator: The next question is from Prashant Jain from Anand Rathi Institutional Equities.

Prashant Jain: Thank you for the opportunity. My question would be regarding the debt. So what was the debt at the end of FY '26, including Camso ? And what would be the interest rate for that?
Kumar Subbiah : Okay. I think we have not exactly arrived at the debt, but I can give some sense, okay, assuming in the beginning of the year, we started closer to about INR2,000 crores beginning of the current financial year or as of 31st March. When we were carrying out an exercise in terms of what would be our debt by end of the year, building a little bit of sensitivity analysis with respec t to revenue and profitability.
I think our debt number was coming in the range of about INR3,500 -3,600 crores, assuming we'll spend INR1,000 crores of capex , and after taking into consideration the dividend outflow and also the Camso related. That's what we had assumed in our internal working, okay? It could vary. Quarter 1, our debt came down contrary to our initial plan where we thought it will be flat. So some minor tweaking will happen as we go into the year as we continue to focus on cash flow efficiencies. It could be in that rang e.
Prashant Jain: And what was the interest rate , average interest rate?
Kumar Subbiah : See, currently, on our borrowings, incremental borrowings would be sub -8%, incrementally what we borrow. The current borrowing has some component portion, which is term -loan that is linked to MCLR and public sector banks MCLR is still hovering around 8.25%, 8.3%, okay? So therefore, we hope that MCLR correction will happen in the coming months. Incrementally, I think we are confident in terms of borrowing whatever is addi tional requirement , at below 8%.
Moderator: The next question is from the line of Raghunandhan from Nuvama Research.
Raghunandhan: For FY '26, double -digit revenue growth is expected. Within this, how do you see the growth in replacement and exports? And if you can elaborate on exports post a flat Q1, the pickup, which is expected in Q2, Q3, be it destocking , and which regions do you expect to contribute to the growth?
Arnab Banerjee: Yes. So international business has been flat, and that we expect to come back in Q2.

And we have the complete visibility of order base of Q2. Q3 & Q4, we'll have to wait and see how various things pan out. So it will be definitely positive, if not double -digit growth for the entire year, but we'll try to reach th ere for the remaining quarters.
Replacement growth also with more production coming online with the existing capacities, we expect to move on from here, which is -- I'm talking of volume growth here. We expect higher growth in 2 -wheeler to continue and higher growth in commercial vehicle s to continue.
Replacement market in passenger is a little bit muted. So share gain may be there, but the growth will also continue to be lower than the other 2 categories.
So OEM growth will taper off a little bit, but we'll have strong growth because of the higher in sizes tyre approvals that we are getting and those volumes are coming on stream from OEMs even in quarter 2, quarter 3 and quarter 4. So the mix will slightly be better going forward.

Raghunandhan: Secondly, on to Kumar sir . Sir, how much would be the maintenance cost for CEAT and Camso in FY '26?
Kumar Subbiah: Maintenance means maintenance capex , is it?
Raghunandhan: Yes, sir.
Kumar Subbiah: Okay. S o, maintenance capex for CEAT is normally in the range of about INR200 crores to INR250 crores is what we are estimating it to be. This maintenance capex includes R&D. It includes growth -related molds, okay? It includes digital IT related. Sometimes we also drive some cost improvement programs that might call for some investment, which is also part of that. So all of that we accommodate within this INR250 crores of maintenance capex that we have kept it. We are a little flexible on this. For any good project, any other good innovation or something like that, we have no issues in terms of funding sometimes for improvement like solar, rooftop in factories and things like that because t his helps in terms of making our operations more cost efficient.
As regards Camso so part of it, our Sri Lankan operations part of it, in the current year, it is likely to be very -- not very significant because we are almost in the first -- in the first month of, say, quarter 2, let's assume it happens in quarter 2, Camso. We are talki ng about 6 months kind

of operations in the current financial year. Internally, we have assumed it could be anywhere between INR50 crores and INR100 crores.

It's unlikely to be anything in excess of that -- with respect to routine or maintenance capex . But in case of Sri Lanka, we also intend to create some upstream -related capacities so that the manufacturing becomes independent to produce all aspects of tyres and tracks. So that might require about INR150 crores to INR200 crores of invest capex over a 2 -year period, say, in the next 2 financial years. That's what we expect.

Raghunandhan: Got it, sir. And that is part of the INR1,000 crores, which is planned in FY '26.

Kumar Subbiah: No see, look everything relating to C EAT India is part of the INR1,000 crores, okay. And Camso being about a 6 -month kind of an operation, I said about -- it could cost about INR50 crores or something like that. That's not considered in INR1,000 crores. But if need be, I don't think that would be a big challenge in terms of keeping it within the INR1,000 crores, but I feel it will be in addition to the INR1,000.

Moderator: The next question is from the line of Nitinn Aggarwala from JM Financial Limited.

Nitinn Aggarwala: Just wanted to clarify on the Camso's consolidation or you had indicated that it will start consolidating from the quarter 2. So are we going to do it from quarter 2?

Kumar Subbiah: Now look, as and when it happens, I think Arnab outlined in terms of possible consolidation, say, let's assume 1st September. Okay. So that -- which means that 1st September onwards will get consolidated. Even

we consolidated quarter 2 results, okay, it will be a 1 - month impact of Camso for the current quarter and the next quarter onwards, all 3 months impact.

Nitinn Aggarwala: Okay. So it will happen in...

Kumar Subbiah: Yes, it will be 100% consolidation because it will be a 100% subsidiary of CEA T India.

Nitinn Aggarwala: Okay. So we can assume that it either can happen in Q2 or Q3, not beyond that?

Kumar Subbiah: Yes, yes. Okay. I think it's here and there, that's all. It looks like -- I think you indicated already, we are working towards 1st September. Let's assume it is 1st September at this point in time.

Moderator: The next question comes from the line of Andre y Purushottam from Cogito. Please go ahead.

Andrey Purushottam: Yes. Sorry. Can you hear me? Yes.

Arnab Banerjee : Yes.

Andrey Purushottam: Since, you have set aside as one of your goals to gain market share and you have gained some market share in the past and market share acquisition remains part of your strategy. Can you tell us what you think has helped you gain market share in the recent 12 or 24 months? And what are your plans, particularly in marketing to continue this trend of gaining so me market share and from on now?

Arnab Banerjee: So I presume you're indicating the replacement market. So there are -- in 2-wheeler, we have a very strong dominant position. So I think very quantum gain of market share, we are not looking at. So it will be creeping gain of market share, and that's the w ay it has been in the past a lso for the past 7, 8 quarters.

In some odd quarters, it dips by 0.2%, 0.3% also. So broadly, it is slowly moving up kind of market share , on the back of a strong distribution strength which we have and which we continue to hone and strengthen over the years more and more. So that's a unique strength of CEAT for 2-wheelers only, I'm saying. And there are opportunities where we are relative ly lower market share even now.

It's not that the market share is uniformly high across the country. So we focus on those zones of low market share to bring it up and then the overall market share grows up. But overall, the impact is a creeping market share gain that has happened and will continue to happen. Our brand is very strong in 2 -wheeler commuter segment.

So we are focusing on building the brand stronger in the top end, which is just about 3%, 4% of the market today, which is the radial segment and the higher CC bikes. That's the emerging segment where we would focus our marketing effort. And so that's broadly the -- and of course, the usual stuff like continuous product enhancement and newer patterns and newer vehicles. And OE also has a rub off, so we are strong in OE.

In 4-wheeler, the market is congested in the sense there are a lot of good players in the market, and it's going to be a different kind of game. But the opportunity here is that the premium segment is exploding. -- which is very small today of 10%, 11% of the market, but this will grow to 25%, 30% in 3 to 4 years' time. And that is where most of the marketing efforts are going to be focused with the right kind of products such as RFT, the 21 -inch t yre, we can move even higher . The run flat tyres…

Moderator: Ladies and gentlemen, sorry to interrupt. The line for the management has been disconnected. Please be on hold. Meanwhile, I'll reconnect the management. Thank you. Ladies and gentlemen, the line for the management has been reconnected. Please go ahead.

Arnab Banerjee: Yes, I was continuing on the 4 -wheeler part, and we have invested massively on cricket for keeping the saliency high. And a lot of unique marketing programs are being designed and some are already on , to cater to this evolving SUV stroke premium customers.

So broadly, that is the thrust of the whole thing. C EAT Shoppe is a

unique initiative of C EAT.

50% of our sales happen through exclusive channel, which is going to be stronger in future. So yes, these are some of the initiatives that are going to help us in taking our market share further.

Moderator: The next question is from the line of Disha Sheth from Anvil Shares and Stock.

Disha Sheth: Good afternoon sir. Sir, I wanted to check once we consolidate Camso in Q2, what would be the cost structure , as in how much would add to interest , depreciation? And currently, I believe they are in losses. So what will be the impact on a consolidated basis in terms of margin or cost?

Kumar Subbiah : Can you repeat? Depreciation, is it?

Disha Sheth: Yes. How much would be the additional cost for Camso and which will be added in our consolidated in terms of employe es or interest and depreciation?

Kumar Subbiah : Okay. No, just to make it simple, one way to do it is that we indicated some kind of a margin. So it's better to -- if you're trying to make a model, element -wise, possibly, we can do it later, but revenue numbers broadly, we have given you a sense. We hav e given a sense in terms of our operating margin. So it's better to add that level, okay?

And if you want to know about depreciation standpoint , we still don't have complete details of it. Nothing wrong in taking a 5% of the capital value of the asset as the depreciation, which is what the normal case. But we don't have the full breakup of capital value of the asset. So to arrive at a PBT beyond EB ITDA.

Disha Sheth: Okay. Great. Sir, and last question from my side. In terms of C EAT stand -alone replacement growth, sir, what growth from your study and the past OEM growth do we expect in coming 3 to 5 years in replacemen t overall and the category -wise?

Arnab Banerjee: So replacement growth, it sometimes moves in cycles, especially the commercial tyre segment. But I think we are looking at -- I can talk about our share growth strategy, right? So I will repeat just now what I said. 2 -wheeler, w ill expect to hold or grow marginally, the share, market share.

And our penetration of 2 -wheelers is abysmally low, so is the penetration of cars.

And roads are becoming better. People are traveling more, not just for commuting, but also for hobby and w eekend tours and long tours, et cetera. So tyre wear is going to be higher. Usage of

tyre is going to be higher. So we are quite bullish on the replacement demand long term, though there will be an occasional down cycle here and there.

So we should expect double -digit growth in 2 -wheeler going forward. In passenger, it will depend on our success of market share growth in passenger car t yre. If we can ride our marketing initiative of premium tyre growth, we can grow in strong single digit in passenger. Truck bus radial, I'm talking of all volume here. So no -- inflation on top of that. And truck bus radial will be in strong single digit as well.

Moderator: We'll take this as the last question for today. I would now like to hand the conference over to the management for closing comments.

Arnab Banerjee: So thanks very much. We had a little bit disruptions in the call once or twice. So we regret that. But otherwise, thanks for the very interesting questions and hope we have answered them transparently and adequately. Looking forward to continue our interac tion in future. Thank you very much.

Moderator: Thank you. On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Oct 2025

"CEAT Q2 FY'26 Earnings Conference Call "

October 17, 2025

MANAGEMENT : MR. ARNAB BANERJEE – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER
MR. KUMAR SUBBIAH – CHIEF FINANCIAL OFFICER

MODERATOR : MR. CHIRAG JAIN – EMKAY GLOBAL FINANCIAL
SERVICES LIMITED

Moderator: Ladies and gentlemen , good day, and welcome to CEAT Earnings Conference Call, hosted by Emkay Global Financial Services Limited.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*", then "0" on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Chirag Jain from Emkay Global Financial Services Limited.

Thank you, and over to you, sir.

Chirag Jain : Good afternoon, everyone. On behalf of Emkay Global, I would like to welcome you all to the 2Q FY '26 Earnings Conference Call of CEAT Limited.

Today, we have with us from the management team, Mr. Arnab Banerjee, MD and CEO; and Mr. Kumar Subbiah, CFO. We will start the call with opening comments from the management team, post which we will open the floor for the Q&A session. Over to you, sir.

Arnab Banerjee: Good afternoon, everybody. Welcome to CEAT's Q2 FY '26 Earnings Call. I shall start the discussion and then hand over to Kumar for his remarks on financial performance. Post that, we will have the Q&A.

The Indian t yre market entered a favorable phase this quarter, supported by a major policy boost from the recent GST announcement. The reduced rates are expected to enhance demand of vehicles and t yres, especially for low -ticket vehicles in semi -urban and rural areas. GST would also increase formalization and compliance , and promote broader growth within the industry.

Overall, we expect the combination of favorable tax policy, rising EV adoption and premiumization trends to position the Indian tyre market for robust single -digit growth in the immediate future.

Demand :

While the initial three weeks of September witnessed subdued activity as buyers deferred purchases in anticipation of the GST announcement, trade also down -stocked. However, momentum shifted once the date was crossed in September. A convergence of above -average monsoons, robust kharif harvest and stable interest rates had further strengthened both rural and urban purchasing power and improved consumer sentiment and demand outlook.

In the near term , we expect replacement demand for MHCV t yres, truck and bus t yres to move in line with GDP or maybe about mid -single -digit. For two -wheelers , it could be around 7% to

8%. In passenger car segment, there is some concern around growth , it could be around zero to very low single -digit kind of growth, but there could be some impetus because of the GST reduction. In the OEM, MHCV growth is expected to be zero to low single -digit. In passenger car segment, there is an optimistic outlook of 6% to 8%, but we will have to wait and watch.

And in two -wheeler , the growth momentum will remain good, though it may taper down a little.
In International business , we are seeing a demand improvement in agriculture radials, OTRs, primarily through OEM demand , and across continents of Europe, Africa and LATAM .
Coming to CEAT's performance :
We have had a good quarter in Q2 with 12.2% Y -o-Y growth on stand -alone basis. In Q2, the stand -alone EBITDA stood at Rs. 507 crores. Growth momentum for us continued during Q2 over last year, as I mentioned, 12.2% value growth. Replacement growth was in mid -single - digit. It could have been higher had it not been for September. In September, replacement market degrew, while i t was growing at close to double -digit prior to the GST announcement. As I mentioned, there was a trade down -stocking, customers defer red purchases, so we expect this growth to come back stronger near double -digit in the future.
The OEM segment grew very strongly in mid -20s as we get our fitments back i

nto cars with
higher rim sizes. And international business grew in high -teens. In replacement, two -wheeler is supported by strong growth in rural demand. It has seen robust growth in Q2, and overall passenger segment also grew in mid -single -digits. OEM volumes grew significantly on Y -o-Y basis, as I had mentioned, across segments. And the major growth for us came in passenger car tyres where we have got some good models of cars going ahead with CEAT fitment.
In motorcycle t yres, we have gained share in some specific accounts and hence Y -o-Y growth in motorcycles also has been good in OEM segment. Farm t yre growth was in mid -teens for us in OEM segment and truck and bus also saw us growing well , because we had a small base in OEM. In international business, growth was very good in two, three wheelers as we gained traction in select geographies of Africa, LATAM , for example. It was also good in passenger car tyres with volumes led by the European market and farm growth was also very good in Europe, as well as LATAM and rest of the world.
We faced headwinds in US where tariff uncertainties continued. However, as I mentioned earlier, our stake in the US market is still very low. So overall impact on our growth and profitability was not very material. With the punitive tariff of 50% overall, our sales of OHT to US slowed down further, practically zero by end of the quarter. However, we continued selling our passenger car t yres and truck -bus radial to the US market. Replacement market shares were positive in passenger segment, as well as for two -wheeler segment that is motorcycle and scooter, while we held our market share in TBR in the replacement market.
Coming to margins :
Our Q2 stand -alone gross margin witnessed an expansion of about 400 -plus basis points quarter - on-quarter. So we are now in our long -term base trend of 40% to 42% gross margin. We have entered that zone in Q2. We benefited from softening of the RM basket and improvement of net sales realization in both replacement and international business.

We expect commodities prices to be soft in Q3 as well and around the same levels as Q2. Our stand -alone EBITDA margin stood at 13.7% and stand -alone net profit was Rs. 202.2 crores.
We completed the CAMSO acquisition on 1st of September and with that, we have taken significant leap in becoming a leading player in the premium OHT segment. We reaffirm our outlook that in the medium term this margin is going to be -- this business is going to be margin - accretive. We are happy to report that the business is progressing well and integration efforts have been successful. There have been no surprises, basis one month of operation in Sri Lanka.
We have started taking over direct customer relationship from Michelin in a geography and customer -wise phase transition. This will continue over the next three to four quarters. On the procurement front, as we guided previously, we will continue to buy se mi-finished goods from Michelin till we set up our upstream equipments , and this will take five to six quarters to complete. So , overall, it will take five to six quarters for us to gain complete control of the value chain as far as CAMSO is concerned.
Continuing with our comments on the trend of Electrification, International Business, Premiumization as well as Digital and AI:
In Electrification , our share is 30% currently in the OEM PC/UV EV segment , and it is about 20% in the two -wheeler EV space. We continue to focus on product development for emerging

vehicle sizes and we have a good respect and credibility amongst the OEMs to get fitted on the upcoming new models.

In International Business , we delivered a strong performance in Q2 through diversification of geographical spread and deeper penetration in specific markets. In the non-specialty business, we clocked mid -teens kind of growth on a Y -o-Y

business in key clusters in Europe, in Africa,

in Middle East , so it was quite widespread across various continents. Europe is also our most profitable cluster , as well as the highest growing cluster. And the key category in Europe which is growing very well for us is passenger car tyres. Brazil saw a good traction of two -wheeler tyres. Overall, passenger and truck bus radials contribute to 65% of our export. The share, if we measure the share of Indian export s brand -wise, then CEAT is a leading exporter of passenger car tyres out of India to various geographies.

Premiumization :

In Q2, we launched two more innovations, 90% sustainable bio -based material -based tyres, which is SecuraDrive CIRCL . This is a concept tyre which was showcased in Q2, and this is coming on the back of innovations earlier in the year on calm technologies , Z-rated 21-inch tyres and run -flat tyres. We also launched a premium mining tyre in the truck -bus radial segment, RockRad, which is showing very early promise. And the premium car tyres, we continue to get fitted in emerging OE vehicles and our market share in the premium segment in replacement continues to grow.

Digital and AI :

We are focusing hard on getting business impact through implementation of GenAI and Agentic AI. In this quarter, we introduced autonomous digital agents across key business areas, and we became one of the first organizations to try an agentic chatbot on our website. Currently, it is in beta stage. This would completely personalize customer journeys based on information that they share with us on our website. Agentic AI has got pote ntial and to be integrated across value chain from procurement to manufacturing to QA to sales and marketing , and several use cases are under implementation.

CEAT’s consistent website traffic increased more than 1 million since last year. Organic traffic grew by 20% , 19% to be precise compared to Q2 of last year. And leads for premium SUV users exceeded 30%. Positive sentiments for the brand moved up as well with 28% increase in average interaction per post Y -o-Y.

As of today, as we know, auto component, the tariff situation is as follows. Duty on auto component is 25% , where India is not at a disadvantage with any other country because it's a category specific tariff. So in TBR and PCR segments, we face 25% tariff , whereas 50% is applicable to OST segment out of India. Sri Lanka is currently at 20% tariff from the US on reciprocal basis , and there is no change in that.

Overall capacity utilization is around 80% to 85%. Expansion projects are progressing as per plan, and we expect total CAPEX for the financial year to be around Rs. 1,000 crores as mentioned earlier.

As far as our outlook for immediate future growth goes, I think the GST change will be a positive factor for industry , especially in small towns & rural markets. We also think that we will arrive at some kind of clarity on the US tariff situation sometime during Q3 or Q4. The RMC , as I mentioned, raw material cost is expected to be flat , it may come down slightly , but then the currency is also depreciating. We expect to continue our double digit growth momentum, and we expect to keep our margin profile steady.

With this, I would like to hand over to Kumar.

Kumar Subbiah: Thank you, Arnab. Good afternoon, ladies and gentlemen . And thank you once again for joining our Q2 FY '26 earnings call. I will share some further financial data points , post which we can enter into Q&A session.

Overall financial performance :

Our consolidated revenue for the quarter stood at Rs. 3,773 crores, which is a growth of about 14.2% year -on-year, driven largely by volumes and also price and mix. Volume growth was led by OEM and international business with strong double -digit growth , and while replacement grew in strong single digits. We would like to bring

it to your attention that the consolidated numbers

relating to current quarter also includes the CAMSO business that we have acquired effective

1st September 2025. And in the future, the financial numbers of our consolidated statement will include the en tire period of CAMSO operations.

Coming to our operating margin :

Our consolidated EBITDA margin for Q2 stood at Rs. 511 crores, translating to 13.5%, an improvement of 259 basis points quarter -on-quarter and 250 basis points year -on-year. Our gross margin for the quarter stood at 40.9% on a consolidated basis, an improvement of little over 400 basis points, largely aris ing out of lower raw material prices, higher operating income and improvement in price and mix.

Coming to raw materials :

During Q2, crude oil prices largely remained stable, hovering around $65 (+/-) $2. The crude has recently dropped slightly at the lower end of the range , arising out of drop in demand from China and also adequate supply situation. Overall, raw material prices were lower by about 5% in Q2 over Q1, which is much better than the estimates that we had in the beginning of Q2.

The international rubber prices remained in the range of $1,700 to $1,750 throughout the quarter , while domestic rubber prices softened and came back very close to import parity levels towards the later part of the quarter. The crude derivatives that impact our raw materials like carbon black, synthetic rubber and fabric , came down with some time lag during the quarter. Rupee depreciated by around 3% during the quarter, which would have some impact on the raw material cost in the coming months. Taking into consideration the current base prices of various raw materials and i mpact of rupee depreciation in the last eight weeks, we expect raw material prices to remain at current level at Q3.

Coming to debt, CAPEX and working capital :

We spent about Rs. 185 crores of CAPEX during the quarter, and overall about Rs. 415 crores in the first half of the year. In addition, we also had an additional capital expenditure towards intangibles in the acquisition of CAMSO business in the books of CEAT stand -alone to the tune of about Rs. 236 crores.

On a consolidated level, our net working capital marginally increased by Rs. 58 crores compared to Q1. We ended the quarter with little higher inventory, particularly raw materials, arising out of higher arrival of imports and finished goods to build up for the Q3 requirement. We hope to bring the inventory level to a normal level in Q3.

Our consolidated debt stood at Rs. 2,944 crores as of 30th September, an increase of about Rs. 1,130 crores over end -June position as we raised some funds to manage our capital expenditure and acquisition requirements. Overall, during the quarter, we invested Rs. 272 crores towards equity capital, Rs. 702 crores towards debt , and Rs. 238 crores towards intangibles in the

acquisition of the CAMSO business from Michelin, involving a total cash outflow of Rs. 1,232 crores. After taking into consideration all of that, our debt -to-EBITDA on a consolidated basis stood at comfortable level of 1.8 x as of end -September and debt -equity at a comfortable level of 0.64x. We have enough leverage to provide necessary growth capital to the business going forward.

Coming to operational expenses :

Our employee cost increased as compared to Q1, primarily on account of annual increment cycle and additional manpower in factories to carry out higher level of production. Other expenses went up largely arising out of higher level of manufacturing activity, higher outsourcing volumes, higher distribution costs and marketing maintained at Q1 levels. Depreciation on consolidated basis for the quarter stood similar to Q1. Interest cost during the Q2 increased primarily due to higher debt in the month of Septembe

r , necessitating for payments towards CAMSO and also for our capital expenditure.

You are all aware that the government reduced the GST on tyres from 28% to 18% , and also in case of farm tyres from 18% to 5% effective 22nd of September. We view the new GST regime as a structurally positive development . And we are pleased to share that the CEAT made the transition into new regime successfully and seamlessly.

Overall, our consolidated profit for the quarter stood at Rs. 185.7 crores , compared to about Rs. 121.5 crores during the same period of last year , and Rs. 112.3 crores in Q1 of the current year.

With that, we can now open the floor for questions.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Mumuksh Mandlesha from Anand Rathi Institutional Equities. Please go ahead.

Mumuksh Mandlesha: Yes. Thank you so much for the opportunity, sir, and congrats on a strong margin and revenue performance. Sir, firstly, can you share, how was the CAMSO Q2 performance, sir, in terms of revenue and EBITDA, sir? Also, if you can add, sir, for Q3, how do you see the numbers for CAMSO ?

Arnab Banerjee : See, first, we have got only one month of experience with CAMSO . So, the turnover and the margins that is coming through is under the sales and supply agreement with Michelin. So, we are not selling directly to the customers , nor are we buying any raw materials directly . We are buying semi -finished goods and we are selling to Michelin , who in turn is selling to the customers. So, the en tire value chain that is in our hands is not the en tire one; and therefore, our margins are not reflective of the overall business. So, with that disclaimer if I say, whatever we have seen in the first month, you would agree it's a very small sample size. It is more or less in line with what we paid for.

So, there are no surprises at all in terms of the sales realization from the market, in terms of the cost structure in the factory, whether it is operating cost or employee cost. But I am sure you would agree that we need a full quarter operation to give y ou some sense of where the business is and where it is headed. We are positive in terms of the basic characteristics of the business. And all I can say is that we are completely focused now on increasing feet on street and taking up the sales turnover so that we can use the capacity of the plant, which is currently being utilized at 50%.
Mumuksh Mandlesha: Got it, sir. And sir, just on the US market, sir, how is the end market responding in terms of price hike due to the increase in duty, sir, which is also bearing across countries. So how is the market playing in terms of price hike? And for CAMSO , sir, how do you see, for in terms of market share, do you see any incremental benefit in the market share due to the different duty rates in the market? And just on the end market US, how is it performing, sir?
Arnab Banerjee: So, US, for passenger and truck bus radial, there is partial pass on of the tariff. The incremental tariff is 25% for these categories across countries. So there is no country is at a relative advantage or disadvantage, including India. So we are absorbing somewhat, and we are passing on somewhat to the customer. See, our base is very low. So we are growing. So for us, growing in US is not a problem. We intend to pass on the en tire impact in the next two to three, maybe four quarters. But currently, we are partially absorbing. So sales growth is not an issue, but we have to wait and see . 60% of the tyres in US are imported. So gradually, I expect the rates to be passed on over the few quarters by all players. That's the general answer to your question.
For CAMSO , CAMSO is experiencing 20% duty from Sri Lanka to US. And again, it's at a no relative advantage or disadvantage compared to an

y other country , barring the production within US of course. From what we understand , we have just seen one month of operation. From what we understand that the Michelin sales team has also passed on partially the price, which means they have absorbed some price, which is what we are seeing in our accounts, and they have passed on some part of the price. And we expect CAMSO also to pass on the full impact of tariffs in maybe two to three quarters.
Mumuksh Mandlesha: Got it, sir. Is it possible to share what could be the impact absorption?
Arnab Banerjee: Pardon, can you repeat the question?
Mumuksh Mandlesha: Is it possible to share of the 20% duty, how much has been absorbed, sir?
Arnab Banerjee: In Sri Lanka, we have to analyze that. It would be some part of the duty. I mean, to be honest, we are not very clear how much has been observed, but it could be around 50 :50.
Mumuksh Mandlesha: Got it, sir. And lastly, sir, just on the India side on the GST cut, sir. Just I want to understand, post the GST cut, the cost is lowered for the customer and demand has picked up. So how is the market reacting in terms of discount offerings in the end ma rkets? And over the medium term, do you see the possibility of discounts coming down, sir, or any price hike being taken, sir?

Arnab Banerjee: No, there is no price hike. We have passed on the en tire benefit of the GST cut to our channel and we have also advised the channel to pass on the commensurate rates to .. on all categories to the customer. We are continuously checking whether they are doing so. From our side, 100% of the benefit has been passed on. There is no question of any price hike right now. The raw material is also trending down. We will hold the pri ce line and the duty cut has been en tirely passed on. There is significant benefit to the customers. It works out to around 7% to 8% on the selling price. The 10% duty cut works out to that much amount. And for, let's say, truck tyre, it could be Rs. 1,500 per tyre, which is significant. So we expect the customer sentiment to improve and we expect demand to get a fillip, especially in the smaller towns and the rural towns.
Mumuksh Mandlesha: Got it, sir. Thank you so much for the opportunity.
Moderator: Thank you very much. The next question is from the line of Mitul D. Shah from DAM Capital. Please go ahead.
Mitul Shah: Thank you for the opportunity, sir, and congratulations for a very strong performance all around.

So my question is on replacement demand. As we indicated, it was slightly muted during September, but on overall basis for a quarter, which segment reported h ealthy growth and which were lagging? And going ahead, as we expect October, then there would be some restocking, which was impacted during September. So for Q3, if you can give more light on segment -wise replacement demand for Q3, Q4?

Arnab Banerjee: See, overall market demand, if you are asking about, the truck and bus segment generally is tailing the GDP growth, so it will be around 5%, 6%. Passenger would be soft, zero to low single digit, and two -wheeler would be about maybe 6%, 7% kind of growth going forward. Yes, the trade should be restocking in October, November & December. In October month, we have the festival season, so the market is generally off as far as purchasing is concerned for about a week. Then this quarter is usually a weaker quarter compared to Q2. If you see sequential results over the last few years, then since December, the onset of winter, parts of northern and eastern India witness a slightly lower demand. So top line wise, our top line wise, that is looking at the seasonal trend, we may be equal to or slightly lower than Q2 turnover, as far as top line is concerned.

Mitul Shah: Sir, second and last question is on the raw material basket . if you can help us with the average price for each element

, each key element of this raw material basket during the quarter?

Kumar Subbiah: Sir, largely international natural rubber prices remained within $1,700 to $1,750. We did not see much of a movement except here and there, but it remained within this range. So no major change happened on international prices of natural rubber. In the first two months of the last quarter, there were delays in import arrivals. So that had some iss ues on the local prices of natural rubber, considering the tight situation. So therefore natural rubber prices were higher than the import parity level in July, August . And September month, it came closer to import parity level.

So local prices have come down by about a little over Rs. 10 per kg compared to beginning of the quarter and end of the quarter.

Crude derivatives, see, crude had moved within that $65 plus or minus 2%. So no major change, but in the last couple of weeks or so, crude was in the lower end of the range rather than the higher end of the range . Okay, synthetic rubber, carbon black and nylon fabric prices, their feedstocks moved in the same direction, but it did not come down exactly in line with the movement in crude oil prices in the last six months or so. So carbon black prices remained at the same level as that of Q1. Synthetic rubber prices came down in the range of about 3 -3.5%, and nylon fabric prices about 2 -2.5%. And some of the other steel prices, steel tyre cord, bead wire prices were down about 4 -5%. At aggregate level, based on the mix, we saw raw material cost in Q2 was lower than Q1 by about 5%.

Mitul Shah: Considering the natural rubber recently just in the last month declining, Q3 should see that benefit and Q3, Q4?

Kumar Subbiah: See, only international prices are still hovering around the same level, no change. In fact, with currency depreciation towards later part of August and September, the rupee moving up from 85 to 88 .80 has some impact on impact on raw materials imported as well as raw materials locally bought, but on import parity basis. So therefore our view is that in Q3, overall raw material prices , taking into consideration the impact of currency , should be in line with the current Q2 prices. That is our expectation.

Mitul Shah: Thank you, sir.

Moderator: Thank you very much. The next question is from the line of Vijay Pandey from Nuvama. Please go ahead.

Vijay Pandey: Hi, sir. Thank you for taking my question s and congratulations for an excellent quarter. Sir, wanted to check in terms of price and bifurcation of realization growth that came at around I think 3% to 4%, so what will be the bifurcation between price and mix, if you can just give a detail?

Kumar Subbiah: See, large portion of gross margin improvement is on account of this 5% raw material cost reduction that I had mentioned. Overall, there has been improvement in realization. And considering that we grew strongly in OEMs and international business , and little less in the OEM business, so approximately about a percentage improvement in gross margin in the last quarter considering both price growth and also the category as well as customer mix basis, about a percentage came from realization.

Vijay Pandey: Okay. And sir, is it fair to assume that the channel mix was negative for this quarter because replacement demand was lower than the OE demand?

Kumar Subbiah: Can you repeat the question , what are you asking?

Vijay Pandey: Is it fair to assume that the channel mix OE versus replacement that was negative kind of --
Kumar Subbiah: No, see, overall, at full company level, realization improved, okay. So therefore, it will always happen between quarters, there will be a mix. There was a positive movement in case of international business going strongly in mid double digits, okay. And OEM had also a strong grow

th but replacement lower. So largely made up . I would say largely made up.
Vijay Pandey: Okay, sir. Thank you, thank you.
Moderator: Thank you very much. The next question comes from the line of Ankur Poddar from Svan Investments. Please go ahead.
Ankur Poddar: Hi, sir. Congrats on a good set of numbers and thank you for the opportunity. My first question is what is the overall volume growth for the quarter?
Arnab Banerjee: Overall volume growth for the quarter is 11% plus.
Ankur Poddar: Thank you. And my next question is regarding, and it's an extension of the earlier participant's question on CAMSO . So currently, we are in a sale agreement with Michelin, but when will this normalize and when will we start selling directly to our customers there? Can you share a rough timeline on that?
Arnab Banerjee: See, the en tire value chain will not come in our hands before six quarters , because that much time will be needed to set up the upstream equipments, which is the mixer and the calendar. That's number one. Maybe we wo n’t take six quarters, the sale side will come in our hands faster than six quarters, but it could take three to four quarters.
Ankur Poddar: Okay. And the capacity utilization is currently 50%. So how do we see this ramping up?
Arnab Banerjee: So this will ramp up gradually in the first couple of quarters, but once we start getting to handle our customers directly, I think a steeper gradient is possible.
Ankur Poddar: And my final question is, if you can give me the breakdown of your CAPEX spend till now across segments?
Kumar Subbiah: See, total CAPEX in the first six months of the current year is Rs. 415 crores. And in addition to that, as part of our acquisition of this CAMSO business, yes, Rs. 236 crores is what we had paid. This is towards intangible like trademarks, patents and things like that. In that Rs. 415 crores, about Rs. 100 crores is towards our normal R&D, IT -related, plant maintenance, molds is about Rs. 100 crores in that Rs. 415 crores. And truck and bus radial tyres expansion, we spent about Rs. 50 crores. It's an ongoing expansion. Our intention is to take the truck and bus radial tyre capacity to about 2,000 tyres progressively, which we had shared in the past, and about Rs. 50 crores. And Am bernath plant expansion is about Rs. 70 crores. Chennai factory passenger

car downstream, okay, and also MCS put together is about Rs. 160 crores. And some debottlenecking is about Rs. 40 crores. That is a broad split.
Ankur Poddar: Thanks, Kumar. Vishal here. I have one question regarding CAMSO . So, you said that CAMSO , getting the full business independently, it will take around six -odd quarters. So is there any possibility from here on as you know utilization improves, you said the margin trajectory would improve on the basis of operating leverage. But as such in terms of mix or any other terms, improvement in efficiency, is there any scope that the trajectory of margins is .. is there any lever for improvement from here on in the margin of CAMSO , which we have seen in this quarter going ahead?
Kumar Subbiah: No, see, I think, Arnab had clarified. I think our first impression is that one -month data broadly validates the assumptions that went behind our valuation of the business with respect to cost, with respect to realization. We would request, let us have one full quarter numbers before we give you any view with respect to how the numbers would be going forward. Needless to say, September month was not a full month operation because effective 1st, though it was 1st of September, okay, take few days for the plant to commission and things like that. So, I think next quarter will help us to understand the operations better and share our perspective with respect to margins and other aspects of it.
Ankur Poddar: Fair point, sir. Sir, last question regarding, with

this CAMSO acquisition and the CAPEX coming in, our debt levels are going to rise. So, any internal target regarding debt -to-EBITDA you have set for yourself?
Kumar Subbiah: See, look, if you look at our stand -alone numbers, in the past, whenever we went in for a large amount of CAPEX , if you recall, we were running four projects simultaneously at a point in time even a larger project book and larger debt commitment and things like that. We always said our peak debt -to-EBITDA, we would not like to go beyond 3 and debt -equity beyond 1. It is more about the peak levels is what we have agreed as a framework. While our financial, whatever we have agreed with respect to banks, there is slightly a higher level of thresholds were agreed, so

that there is no breach of any financial covenants with them. As we speak, even after this little over Rs. 1,200 crores of cash outflow relating to this, okay, both the ratios, debt -to-EBITDA and debt-equity continue to remain very strong. So, debt -to-EBITDA as of 30th September is about 1.7x, marginally below 1.7 x and debt -equity is about 0.6 -0.7x.

So, therefore, what is the level? I think our current level , needless to say that we would like our debt levels to come under little lower, because we never have gone beyond Rs. 2,100 crores in terms of absolute debt at any point in time. Now we are closer to Rs. 3,000 crores. It will really help. But there are certain growth related projects that we are undertaking at this point in time, both in India and also in Sri Lanka in terms of adding upstream equipment. We will provide necessary growth capital and we do not expect our debt -to-EBITDA and debt -equity to move significantly higher than the current level. And at a normal stage, I think it should improve at normal level of operations.

Ankur Poddar: Great, sir. Thanks, sir, for answering all my questions and congratulations for a great set of numbers. And happy Diwali, sir, to you and your team. Thank you, sir.

Kumar Subbiah: Thank you.

Moderator: As there are no further questions from the participants, I would now like to hand the conference over to management for closing comments.

Arnab Banerjee: Thank you very much, all of you, for attending this pre -Diwali conference call . And wish all of you and your families and close ones a very, very happy Diwali , and see you in a new year.

Thank you.

Moderator: On behalf of Emkay Global Financial Services Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jan 2026

"CEAT Limited
Q3 FY '26 Earnings Conference Call "
January 20, 202 6

MANAGEMENT : MR. ARNAB BANERJEE – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – CEAT LIMITED
MR. KUMAR SUBBIAH – CHIEF FINANCIAL OFFICER –
CEAT LIMITED
MR. AMIT TOLANI – CHIEF EXECUTIVE – CEAT
SPECIALTY

MODERATOR : MR. MIHIR VORA – EQUIRUS SECURITIES PRIVATE
LIMITED

Moderator: Ladies and gentlemen, good day , and welcome to the CEAT Q3 FY '2 6 Conference Call , hosted by Equirus Securities Private Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone.

I now hand the conference over to Mr. Mihir Vora from Equirus. Thank you , and over to you, Mr. Mihir.

Mihir Vora: Yes. Thank you, Rutuja. So good afternoon, everyone. On behalf of Equirus Securities, I welcome you all to the Q3 FY '26 Post Results Conference Call of CEAT Limited. From the management side, we have with us Mr. Arnab Banerjee, MD and CEO; and Mr. Kumar Subbiah, CFO.

So without further ado, I now hand over the call to the management for the opening remarks. Over to you, sir.

Arnab Banerjee: Good afternoon, everybody , and Happy New Year to you and all your near and dear ones. Welcome to CEAT's Q3 '26 Earnings Call. I will be taking you through the business updates for the quarter and then I shall hand over to Kumar for his remarks on financial performance, post which we will take all the questions.

The Indian tire market delivered an upbeat finish to the calendar year 2025, supported by GST revision, which has improved affordability and overall consumer sentiment. Reforms have also led to broader participation across urban as well as rural markets, b oth for OEMs as well as aftermarket for tires.

Overall, we believe that supportive tax policies, increasing EV adoption and ongoing premiumization trends are likely to position the tire industry for a healthy single -digit growth through FY '31, i.e. next 5 years.

Overall demand outlook. The outlook for auto sector continues to be supportive. Macro tailwinds like RBI reducing repo rate in December is a positive. Robust Rabi sowing and completion of Kharif harvest has also supported disposable cash flows and rural demand. Additionally, OEM price hike expectations have helped maintain near -term purchase activity.

In the near term, we expect replacement demand for MHCVs to be mid - to high -single digit. Any further upside could come from the annual seasonality during the summer months. For 2 - wheeler, demand has been encouraging, and growth could be high -single digit.

In OEM, MHCV is showing signs of recovery post GST rationalization. Growth has been robust in Q3, high -double digit. LCV growth is expected to be similar. Increase in e-commerce and Q - commerce activity would result in better sales of 3 -wheelers.

In passenger segment, near -term growth is expected to be in double digit with strong revival aided by consumer preference towards smaller vehicles and easing financing access. Growth

rates in 2 -wheeler are strong and expected to be in double digits. However, we have to wait for a couple of quarters to see how the impact of GST will pan out.

In international business, demand for radial CVs, off -highway tire and PCUV is strong, where India is emerging as an alternate and credible sourcing base for these tires on the back of improved brand credibility with global OEMs and replacement distributors.

CEAT Performance Q3 FY '26 :

We had a good Q3 where we grew 20% plus Y -o-Y on stand -alone basis. The stand -alone EBITDA stood at INR557 crores.

Volume performance :

Growth momentum continued during the quarter over last year, 20.9% volume growth.

Replacement segment has grown in about mid -teens for us, where demand came in strongly post GST rationalization in September. In OEM, we had a base effect. Last year base was not very high. So OEM has grown well as well. And international business has grown in the 20s , because of channel access improv

ing in several geographies.

In replacement, passenger segment grew well , very strongly. Two-wheeler continues to do well over the quarters and with support coming from both urban and rural clusters , and grew in high teens.

OEM volumes grew strongly Y -o-Y basis across segment. In PCUV, we had a low base effect. So growth was optically very high in OEMs. In 2-wheeler, we continue to have a good share of business, growing in high -single digit. Farm growth in OEM was also strong, where there was a demand revival , and growth was very strong, double digits. Truck and bus radials also saw a very strong double -digit growth.

In international business, we saw growth across segments . Passenger car tires and 2 -, 3-wheelers as well as in farm. In U.S., tariff headwinds persisted, preventing us from growing faster.

We have been making steady improvements across all segments and categories. In replacement market, our share of business was positive across truck, bus radial, across the motorcycle and there was some marginal drop in share in scooter and in passenger, which is much less than 1%. In OEMs, our share grew across passenger , truck. In international business, share of exports grew across all categories.

Coming to margins :

Our Q3 stand -alone gross margin witnessed a contraction of about 109 basis points Q -o-Q. This was primarily driven by increased input cost from appreciated USD. We expect commodity prices to be benign and maybe a mild increase in Q4, which gives us an oppor tunity to achieve a consistent margin profile over time.

Our stand -alone EBITDA stood at 14.1%. Stand -alone net profit was INR191.6 crores , which accounted for the effect of provisioning related to compliance with new labor codes.

Coming to CAMSO :

The business transition is progressing smoothly with key sales hiring completed and plant operations running steadily. On the sales front, the CEAT team is currently taking over direct customer relationships from Michelin. Majority of existing customers hav e approved the business transfer, ensuring uninterrupted continuity of operation.

A further ramp -up of operation f rom the current 50% utilization is expected to take another few quarters post adequate changes in the marketing mix.

CAMSO P&L has experienced some one -time transition cost, which will not recur quarter 4 onwards. Operating profit was in double -digits as per expectation after absorption of all operating costs. It will take 3 to 5 quarters more to control the entire value chain at the purchasing end and the sales end , and exit transition. Margin profiles will keep improving and volume traction shall increase also.

Commenting on the future trends :

Electrification, international business, premiumization and digital and AI.

During Q3, on electrification , CEAT consolidated its leadership with 30% plus share in OEM PCUV EV segment , and it maintained the 2 -wheeler EV share at about 20%. We continue to invest in products in these two categories and we continue to get approvals for new OEM

vehicles.
International : despite uncertainty surrounding the U.S. trade agreement and pricing pressure from Asian competitors, particularly in European market, CEAT Specialty Business delivered its strongest performance to date in Q3 FY '26, growing strongly in mid -20s percent and year -to-date growth also has been high teens. During Q3, we introduced 32 -plus new off -way tire SKUs, and we continue to expand our product portfolio to serve as a one -stop shop for our customers.
In non -specialty, we clocked high 20s growth on Y -o-Y basis in the overall non -specialty business with strong growth coming up in passenger segment as well as in truck bus radial. Europe has been a strong geography for us, along with LatAm and Africa.
Coming to Sri Lankan operations, market challenges persisted in Q3 as Cyclone Ditwah affected

operations and local competition further intensified, particularly in 2 -wheeler and PCR categories. Focus here is to hold on to our already high market shares in all categories and maintain our market leadership.
Overall saliency of international business was about 19.4%. And if we consider the CAMSO turnover which is actually consumed in international markets, this figure technically works out to 23%.
Premiumization , we continuously are building upon our cutting -edge technologies in premium categories. OEM approvals in high -volume premium vehicles are building the foundation for

future replacement demand. We are investing significantly to ramp up the mix of larger rim -sized tires and we continue to see gains in market share for our premium car tires across both replacement and OEM segments. Our 2 -wheeler premium portfolio compris ing of motorcycles, steel radials and fabric radial as well as motorcycle tires for 250cc plus bikes continue to see traction and increase in market share.
Digital and AI : At CEAT, we are committed to becoming an AI -led organization. To achieve this, we are planning to embark on a centralized data lake initiative that brings all enterprise data into one place, providing a solid foundation for AI -driven use cases across the value chain. Additionally, we are preparing to migrate to SAP RISE, which will enable next -generation AI capabilities and help achieve cost efficiency while unlocking advanced analytics and automation. To amplify this transformation, we are automating our entire budgeting process using AI/ML.
During Q3, organic traffic on our website increased 12%, while premium tire sales through leads grew 64% over the same period last year . Positive sentiments for the brand moved up by 36%, with 24% increase in average interactions per post Y -o-Y.
U.S. tariffs :
As we speak, auto component duty on India continues to be 25%. So on -road tires, TBR and PCR fall under this category. For off -highway tires, total duty continues to be 50%.
Sri Lanka is currently facing a 20% tariff and has a temporary advantage while we wait for India -U.S. agreement to reach its finality.
Capex :
Overall capacity utilization is around 80% to 85%. Our capex guidance remains constant as shared with you over the last few quarters.
Sustainability :
At CEAT, we remain committed to our net zero journey. We recently partnered with CleanMax to develop 59 megawatts of hybrid wind solar projects, provided our manufacturing facilities at Halol and Chennai with renewable energy. This marks a significant step in advancing our aim towards achiev ing ~60% clean energy share in operations by FY '27.
Also during Q3, CEAT's Ambernath plant for off -highway tires was awarded the gold medal at the 11th India Green Manufacturing Challenge.
Overall, Q3 closed on a strong growth note with a jump in margin in the stand -alone business , strong product pipeline and a more confident customer , and we look forward to continue this momentum heading into the new year.
With this, I would like to hand over the call to Kumar for his remarks.

Kumar Subbiah: Thank you, Arnab. Good afternoon, ladies and gentlemen , and thank you for joining our quarter 3 earnings call. I'll share some financial data points with you all, post which we can enter the

Q&A session.
Overall financial top line performance :
Our consolidated net revenue for the quarter stood at INR4,157 crores with a year -on-year growth of about 26%, aided by strong volume growth across all segments.
We are happy to share with you that the company crossed a milestone number of INR4,000 crores of revenue for the first time in a quarter and the revenue reported in quarter 3 has been the highest achieved so far. While OEM and international business grew by more than 20%, replacement grew

in mid -teens during the quarter, supported by positive momentum in domestic sales post drop in the GST rates in the month of September.
I would like to bring it to your attention that consolidated year -on-year and quarter -on-quarter numbers are not comparable as CAMSO revenue numbers were not part of the previous year's quarter 3 numbers. And with respect to the previous quarter, the revenue of CAMSO was considered only for a month as the acquisition of the business happened effective from 1st of September 2025.
The stand -alone revenue numbers, which are more comparable for the quarter stood at INR3,957 crores, translating to a growth of about 20.1% year -on-year and 6.91% quarter -on-quarter. Hence, the financial insights that I will share with you today would focu s more on stand -alone numbers.
Coming to operating margins :
Our consolidated EBITDA for quarter 3 stood at INR568 crores, translating to 13.7% margin. It's a 13 basis point improvement sequentially , and 317 basis points improvement year -on-year basis . While our stand -alone EBITDA stood at INR55 7 crores, translating to a margin of about 14.08%, a 39 basis point improvement quarter -on-quarter and 364 basis points improvement year-on-year.
Our stand -alone gross margin for the quarter stood at 39.9%, a marginal contraction of about 109 basis points sequentially, largely arising from drop in finished goods inventory and also a drop in other income, along with some impact on raw material costs.
Coming to raw materials :
During quarter 3, our raw material costs were in line with our costs in quarter 2. The crude prices remained stable and moved in the range of $60 to $65 during the quarter and the crude derivatives, which go into the manufacture of tires also remained with in the same small range. While natural rubber prices remained around $1,700 per tonne, however, it has moved up to $1,800 per tonne in the later part of the quarter. Considering our raw material costs are based on a combination of imports and local material prices with linkage to import parity, the depreciation

of rupee from around INR87 to U.S. dollar at the beginning of the quarter to around INR91 to U.S. dollar now would have some impact on our costs going forward.
We expect the margin impact to be in the range of about 1% to 1.5% in quarter 4 and beyond. While the overall cost environment is broadly favorable, we continue to keep a close watch on the RM. T hat is , raw material situation .
Coming to capex :
During the quarter, we spent about INR254 crores. And till date, we have spent about INR673 crores. In addition, we have also had an outflow of about INR236 crores in quarter 2 towards intangibles at time of acquisition of CAMSO . We expect our normal capex outflow, excluding the intangibles that I just now mentioned , for the current year to be in line with our earlier estimate of around INR1,000 crores for the current financial year.
Our stand -alone working capital continued to remain negative, marginally negative. Our inventory saw a drop of about INR212 crores during the quarter, in line with our plan . And payables also dropped by a similar amount.
Our stand -alone gross debt stood at INR2,954 crores against INR2,944 crores as of end September. During the quarter, the company raised about INR250 crores of NCD, that is non - convertible debentures from the market and retired about INR100 crores . Both are part of the current debt.
Our debt -to-EBITDA on a stand -alone basis stands at a healthy level of 1.52x, which compares favorably with 1.65x that we reported for the previous quarter and our debt -to-equity also improved from about 0.65 to 0.63.
Coming to operational expenses :
The stand -alone employee costs during the quarter moved up from INR244 crores in quarter 2 to INR252 crores. The marginal increase is largely on account of higher leve

l of operational
activities.
We leveraged scale and that helped to manage our other expenses well during the quarter.
Overall, we kept tight controls on costs, which helped in our operating expenses in quarter 3 to be at the same level as quarter 2. However, in absolute terms, it remained constant. In percentage terms, it came down from 20.7% to 19.4%, translating to margin expansion on our stand -alone profits and also after absorbing the drop in gross margins.
Depreciation during the quarter remained at the same level as that of the previous quarter.
Interest cost during the quarter increased by about INR17.88 crores, largely on account of increase in the average debt level. While debt has not moved between quarter 2 -- end of quarter 2 and end of quarter 3, the borrowings in the previous quarter moved up in the month of September. However, in the same level of debt we maintained during the quarter that led to interest cost for the quarter going up by about INR18 crores.

And we would like to bring it to your attention , during the quarter, we made a provision of about INR57.81 crores arising out of notification of new labor codes by the central government. While the changes in rules are still under review, the company made an estimate based on the understanding of new definition of wages applicable for gratuity and leave e ncashment entitlements of the employees as on 31st December 2025. This is reported in our financials as an exceptional line item as the cost relates largely to the past period of service of the employees.
Overall, the consolidated profit after tax for the quarter stood at INR155.4 crores, compares favorably with INR97.0 crores reported during the same period of last year and INR185.7 crores reported in the previous quarter.
Our stand -alone profit reported a higher number of about INR191.59 crores, which compares favorably with INR95.97 crores that we reported in the same period of the previous year but marginally lower than INR202.23 crores that we reported in quarter 2. The profit after tax for the quarter would have been higher but for INR57.81 crores of provision that we made towards new labor codes that I just now mentioned.
We are also pleased to announce that Board of Directors in the meeting yesterday approved INR1,314 crores of capex for our Chennai plant, which would add additional 35 lakh tires of passenger car tire capacities. We expect this capacity addition to be progressively completed by the second half of financial year 2028. The capex would be funded with a mix of debt and internal accruals as we have been doing in the past. While executing the proposal, we would continue to monitor our leverage levels and ensure that balance sheet continues to remain strong.
During the quarter, the credit rating agency, CARE, carried out an annual surveillance and reaffirmed credit rating of AA for long term with a positive outlook , and A1+ for short term.
With this, we can go over to Q&A.
Moderator: Thank you very much. We will now begin the question -and-answer session. T he first question is from the line of Mumuksh Mandlesha from Anand Rathi Institutional Equities.
Mumuksh Mandlesha: Congrats on a good growth during the quarter. Sir, firstly, to Kumar sir, sir, you have said going ahead, there could be 100 to 150 bps kind of impact on the raw material increase due to natural rubber prices going up and INR depreciation. Is it right, sir?
Kumar Subbiah: Yes, that's right .
Mumuksh Mandlesha: Got it. It could come in coming 2, 3 quarters. Right, sir?
Kumar Subbiah: Yes. See, look, largely, we have visibility and cover in advance . Okay. But going into the future, considering the rupee has depreciated and a little bit of movement in the prices of natural rubber, particularly international rubber, it could come in due course of time.
Mumuksh Mandlesha: Got it, sir. And

sir, on the labor code impact . So this INR58 crores is mainly for the past period.
So anything from the Q3 and going ahead, how much on should we factor the impact, sir?

Kumar Subbiah: See, this is predominantly on account of change in the definition of wages. And earlier, you are aware that gratuity and leave encashment entitlements were calculated on basic salary. So with the revision in the definition of wages, it's mostly relating to the past period. But for the future, there will be an impact . Our estimate is , for a quarter is coming to a very small number. So it's not very significant going into the future. Yes, there is an impact. There is an impact in terms of incremental provision but the impact is small . Say less than INR2 crores per quarter. About INR1 crore s or INR2 crores per quarter.
Mumuksh Mandlesha: Got it, sir. And sir, on the CAMSO side, can you share how was the Q3 financial performance

for the CAMSO in terms of revenue and EBITDA, sir?
Arnab Banerjee: So Amit is here with us. Amit is heading the division , CEAT Specialty division. Amit will share a few details.
Amit Tolani: Yes. So the operating numbers are as expected. The top line is as per expected. What we are doing is , we are getting the relationships transitioned from Michelin to CEAT. And as Arnab informed in this call earlier, that's trending as per expectations. And the top line for the quarter is roughly at USD20 million, which is INR182 crores, INR183 crores.
Mumuksh Mandlesha: And sir, I think double digit EBITDA margin , sir, operating profit, right, sir?
Amit Tolani: Yes.
Mumuksh Mandlesha: Got it, sir. And on the, sir, U.S. market, how is the sales going there, sir? And has the Michelin or basically they have taken the price hike to pass on this duty, sir?
Amit Tolani: Yes, necessary price increases have been taken in the market. But as you're aware that Sri Lanka has a favorable tariff compared to India. It's at 20% versus 50%. So right now, the necessary tariff increases have been passed on to the consumer.
Mumuksh Mandlesha: And how is the demand, sir, in U.S. market?
Amit Tolani: Demand remains cyclical as the industry is progressing . Whatever is the cyclical impact and the tariff impact is seen. But again, as I said earlier that it's tracking as per expectations.
Mumuksh Mandlesha: Kumar sir, for this new INR13 billion capex for the PCR, how would the split of that capex in '27 and '28? And , going ahead for next year, do you see any more capex planned other than for PCR ?
Kumar Subbiah: No see, largely we have factored in whenever we had shared our own outlook for the next 2 or 3 years . See look, our current annual capex is about INR1,000 crores to INR1,050 crores rate. That is what it is. As we are scaling up, you've seen in the first 9 months, our volume growth has been over 15%. And year -on-year, the growth was even 20% for the quarter but full year basis.
So from capex capacity creation point of view, we need to take into consideration the volume growth on a higher base. So it's likely that capex estimate from the next year onwards would

move from INR900 crores to INR1,000 crores level to maybe INR1,000 crores to INR1,100 crores, INR1,200 crores level. We are in the process of completing our annual plan.
We will make sure that this capacity expansion -related capex outflow is within that threshold, within that overall number. As of now, we are in the process of completing passenger car capacity expansion at Chennai to take the capacity to 30,000 tires, which is under progress, okay .
And this, about 30,000 to 40,000 tires capacity expansion will get completed in the second half of FY '28.
Along with this, we are also expanding our Nagpur factory, taking the capacity from 80,000 tires to 100,000 tires per day. So these p

roposals, that have been approved by the Board would get implemented and capex flow would be in line with the number that I indicated to you.
Moderator: The next question is from the line of Rishi Vora from Kotak Securities.
Rishi Vora: My first question is on the replacement segment in the domestic market. We have seen a very strong growth. And obviously, this month -- this quarter has been even stronger than what we have seen in the last few quarters. So is it something to do with chann el filling or post GST cut, you are seeing a sudden resurgence in the replacement segment demand? And how should we think about this category growth going into FY '27?
Arnab Banerjee: Overall replacement, yes, there was some channel filling because the channel downstocked in September. But the growth is much more than channel filling. There's a genuine improvement in sentiment, especially for farm and 2 -wheeler tires but also witnessed in the other categories, which is passenger car tires and in truck bus radials. How long this will last, whether this is just a pent -up demand coming through, we will know after a couple of quarters. But my view is that there will be a positive impact on demand overall in replacement.
Rishi Vora: So at least for '27, should we continue to expect at least high single -digit growth to sustain?
Arnab Banerjee: I think so. We can expect high single -digit growth in replacement through FY '27.
Rishi Vora: Understood. And my second question is on the CAMSO bit. Because last -- last to last quarter, when the management had highlighted that the CAMSO annualized revenues is roughly around $140 million to $150 million. And at least this quarter, it seems like the annualized run rate is around $80 million. So what has happened? Why the revenue has further collapsed? What are the factors for the same? And when should we expect at least the quarterly run rate to reach the earlier annualized run rate?
And the second question on the margins of CAMSO , if I heard it correctly, you said this quarter, margins were double digit. But if I just do consol minus stand - alone, then the EBITDA margin is coming out to be around 3%. So what is the discrepancy over there? Can you just explain?

Arnab Banerjee: I'll explain the top line part first. Yes, we have been saying it is 120 million -- 125 million actually. It's slightly down from 140 million -odd. But that's the full turnover, when we realize the full turnover in terms of net sales realization from the customer. Right now, in the transition phase, we are selling to Michelin, who in turn is incurring the cost of distribution and keeping a

small margin transparently with us and selling it to customers. So the markdown realization is around 90, 100. A specific instance last quarter was a cyclone, which has resulted in some disruption of operation, which will be made up. It's a supply chain di sruption.
So essentially, if you calculate, then it will trend to around 9 0, 95, 100 in terms of the reduced offtake price in the transition period. So it is trending as per our expectation. There's no discrepancy there. As far as the margins are concerned, in the operating part of the margin, yes, we have recorded double digit and it includes one -time transition cost as well as some recurring IT costs, which were incurred in quarter 3, which will stop incurring from quarter 4.
And below operating, I think Kumar, you can explain the situation in CAMSO .
Kumar Subbiah: See, I think your question was on the operating margin side. So from that point of view, we have 2 line items. One is that normal operating margin. That is what Amit mentioned to you on the double digits, which is what we realized. Because we are in the first initial phase of acquisition and change management, there are some IT costs we incurred in this 3 or 4 months' time and some other transitionary ex

penses, which we have booked as normal expenses, okay? So those costs are more relating to quarter 3 and maybe in the first month of the operations .
So whenever we do an internal management reporting or performance reporting, at that point in time, we remove what is specific to one particular quarter, more a transitionary is removed for the purpose of evaluating an operating performance. So if you remove it, it is a double -digit number. And most of those costs have been already incurred . And we should be able to sustain a double -digit kind of a margin going into quarter 4. But when we reported these numbers on a consolidated basis, we have taken them as expenses. We have not called them out as a separate exceptional line item. And therefore, when you read it, it appears as a single - digit margin.
Rishi Vora: And so when should we expect a normalization . Like, FY '27 hopefully should be then a normalized year in that sense?
Kumar Subbiah: Some of the one -time costs relating to IT transition, etcetera, I think we have done and dusted as of 31st December. Going into January onwards, those expenses will not be incurred.
Rishi Vora: So at least the margins , the reported margin should also trend towards double digit by '27, low double digit or...
Kumar Subbiah: I think so. No, I think you will see that from quarter 4 onwards, resultant reported margins will be in line. See, just one more point before you follow up with another question. In the P&L of that particular entity also has 2 other elements of cost. One is the depreciation cost and another one is interest cost. Interest , large part of the interest cost, it is also accrued in our books . Of CEAT India books and consolidated , it will get netted off. We have given, in the current capital structure, a reasonably large amount is taken as a debt in their books, okay, keeping in mind repatriation part of flexibility. We will recast it maybe by end of quarter 4. And depreciation cost is currently -- is still at an estimated level. I think in the quarter 4, we are in the process of assessing the life of the assets to ensure that the depreciation that we take into our boo ks is based on real assessment of the life of the assets. Those are below operating line item point of view.

But coming back to your question, I think you would be able to see that margin visible in the reported numbers from quarter 4 onwards, that double -digit kind of a number because we are unlikely to incur those costs starting from January.
Rishi Vora: Understood. And when would this complete transfer from Michelin take place? So like today, you said that there is some markdown which happens. So when should we expect that business transfer to happen?
Arnab Banerjee: So that transfer is at 2 ends. So one is the customer transfer and one is the raw material purchase that we do. So the raw material purchase that we do will stop when we erect our mixer and calendar , which will take another 3 to 5 quarters to completely come to us.
On the front end, customer transfer has started. We have already started looking at a few customers in this quarter. It will accelerate in quarter 4 and maybe by quarter 1 or quarter 2, we should be done with it.
Rishi Vora: So then realization should normalize by second quarter next year?

Arnab Banerjee: From the front end, it will do faster. Y eah, you're right.
Moderator: The next question is from the line of Mihir Vora from Equirus Securities.
Mihir Vora: So sir, my question is a bit clarificatory in nature. So in July, we had announced a capex of around INR450 crores on the passenger car tires capacity in Chennai itself, which was roughly around 35% of the capacity then. So that is roughly 20 lakh, 24 lakh tires assuming. So now we have announced another INR1,350 crores odd capex . So is this including the INR450 crores or that is a separat

e one and this is something which is separate?
Kumar Subbiah: No, this is independent of that . So what we announced in the month of July was taking our capacity to about 30,000 tires per day . And that is under implementation. We hope to complete that execution in the coming financial year, by quarter 3 or quarter 4 of coming financial year. This 30,000 tires to 40,000 tires is over and above that, which will get completed maybe a year later.
Mihir Vora: Right. And sir, so basically, when we do the back of the envelope calculation here, the cost, the tonne per day cost, the capex cost per TPD comes out to be higher this time. So what has changed in the capex here?
Kumar Subbiah: Okay. See, this translates to about 140 tonnes a day. And passenger car radial tires average weight is progressively going up. So therefore, we expect our incremental requirement to have a higher level of weight of the tires. We'll have all the flexibility to produce more number of tires should the upstream capacity being higher and average weight of the tire being lower . And what we intend to do is that -- so this -- if you really look at the total capex and divided by the tonnage that I just now mentioned to you, it will be broadly in line with what we have incurred so far.

Mihir Vora: And sir, just a follow -up on this. Like our capacity expansion in the PCR category has been quite strong compared to our peers. So what steps in terms of market, in terms of pricing would we be taking like to utilize this capacity? And basically, what growth are we expecting here? Because the industry would be growing at 6% to 7% in terms of OEMs but our capacity expansion has been in a strong double digit.
Arnab Banerjee: Yes. So we are looking at growth in all 3 verticals. International is growing strongly as we keep consolidating our market share in several countries where we play, LatAm, Europe . And the U.S. is yet to play out. So we are experiencing strong growth. In domestic OEM, as I mentioned, we had exited several vehicles over the last 2, 3 years. So our base was low last year. We are getting entries in several vehicles, high -volume vehicles from across OEMs, including some EVs. So that growth is coming up. And most of that growth is coming in the OEMs in the higher rim sizes. So when that happens, the average tire weight, as Kumar explained, goes up. And therefore, in terms of tonnage, we need higher capacity. In terms of numbers, of course, we need higher capacity.
We think we have some headroom to grow our share in OEM even now, much as we are growing in this year over a low base of last year.
Coming to replacement, we are at the third rank now behind 2 more players. And there is a gap of about 3.5% to 4% between us and the market leader. So in the next 3 to 4 years, we expect to bridge this gap over a period of this time. And our ambition is to definitely go for market leadership in this segment. We have been doing well. The premiumization journey is going well. In terms of pricing, we are actually introducing many higher technology tires such as the foam tire, which is the CALM tire, the ZR -rated tire, the run flat tire and taking the average , trying to take the average realizations up in this category. The selling price of the dealer to the consumer is also trending up. And over a period of time, with volumes, the margin profile should actually improve.
Moderator: The next question is from the line of Vijay Pandey from Nuvama Wealth.
Vijay Pandey: I have couple of questions. So when you say double -digit EBITDA margin for CAMSO , is it like, should we expect it to be around 10%, 12%? Or is it high teens of more than 15%? Because CAMSO in general, when we will have the full business, that will be at around 20% EBITDA margin, right?
Arnab Banerjee: Yes. So when we said , in quarter 3 what was it, it was just about t

eens, low teens, without any
improvement or too much improvement in the business traction . Which is the volume traction . After the onetime costs, etcetera, are removed, gradually it will trend towards mid -teens. And we did talk about 20% and above. That will come when we take complete control of customers as well as the material supply at the back end and we start improving the capacity utilization of the factory, which is currentl y standing at 50%. When the volume traction comes, yes, it should

move up from mid -teens to around 20%.

Vijay Pandey: Okay. And sir, now in terms of coming to the domestic market, how are you seeing the growth in the fourth quarter for all the segments, especially on the replacement side? If you can just briefly help us map the growth.
Arnab Banerjee: So fourth quarter, yes, fourth quarter seasonally is a mixed quarter. January is usually low because of winter in North and East. I'm talking of replacement, whereas March is usually high because of the onset of summer. So it's a mixed quarter, Jan, Feb, M arch, Usually. However, we have the positive impetus due to the GST reduction. The growth has been pretty good in the month of -- in quarter 3. We have to see if it sustains. If it sustains, we'll have a very good quarter again in Q4. Otherwise, it may moderate a little but the net positive impact of GST will remain.
Vijay Pandey: And in terms of channel inventory, they are still at nominal level for the replacement.
Arnab Banerjee: Channel inventory has normalized completely.
Vijay Pandey: Okay. Okay. And lastly, sir, if you can clarify in terms of the components about the raw materials because international rubber prices ha ve increased. So how is the domestic rubber prices looking ? And other components like carbon fiber and other oil derivative products , if you can just clarify those prices?
Kumar Subbiah: Okay. See, local prices are in the range of INR185 to INR190 per kg . So no major change in the last 3 months. It's been up and -- plus or minus in that range only. International prices have moved up by about $100 per tonne. It's hovering about $1,800, $1,810 per tonne at this point in time. The impact of currency is there on the imports. So therefore, there's a little bit of adver se impact.
Carbon black prices are expected to be a little lower in the current quarter because the average crude level prices were lower in quarter 3. And generally, the previous quarter's movement of crude and the feedstock that goes into carbon black is called as CBFS, remain a little on the lower side. So therefore, that is where it is. Generally, we have quarterly price for carbon black.
Synthetic rubber prices . And beginning to end of the previous quarter, particularly something called as butadiene that determines the synthetic rubber prices, okay, remain in a particular range. Average price towards the end of the quarter or the end of the quarter price was a little lower than the beginning of the quarter and therefore, average for quarter 4 is likely to be a little lower than quarter 3.
And steel and other prices, we don't expect any major change to happen in quarter 4. So considering synthetic rubber also has import parity kind of a pricing, som e portion of it is imported, et cetera, currency could have an impact on it. So overall, our assessment is 1% to 1.5% , sequentially , the raw material basket cost could move up . It is subject to our recipe subject to categories and things like that is what our initial estimate is.
Vijay Pandey: And sir, this 1% to 1.5% headwind is primarily because coming from the currency side?

Kumar Subbiah: Yes, correct. Currency, see currency impact is about -- average about 3% . Some feedstock prices have moved up, some of them down. And considering we have already covered some portion of

the raw materials, 1% to 1.5% is largely currency and a little bit of natural rubber.
Moderator: The next question is from the line of Nitin Agrawa l from JM Financial.
Nitin Agrawal : Congratulations on a good set of numbers. So my question is regarding the demand in the international market, especially for OHT and agri. So where do you see demand panning out for, say, next quarter or going into FY '27?
Amit Tolani: See, our big markets for agri remain Europe, Canada, South America, where we supply to some OEMs as well as Australia, South Africa. So we continue to trend on these markets. From a tariff point of view, U.S., we have little exposure in the U.S., not significan t. And so apart from U.S., all these markets that I mentioned are the markets that we shall continue to focus on for the agri business.
Nitin Agrawal : Okay. So we can see stabilization and going forward , like low -single digit growth in those markets, those categories, can we expect that?
Amit Tolani: Yes.
Moderator: The next question is from the line of Mitul Shah from PCAPL.
Mitul Shah : Congratulations on a strong performance. Sir, my first question is on replacement demand for the quarter. If you can help with some ballpark number for industry for various segments for replacement , like CV, farm equipment, PCR? And related to this, I want to understand how

much would be contribution of the restocking in this as we heard from the channel check that during the GST -related challenges, initially, inventory used to be 15 to 20 days, which went down to about 2, 3 days and post GST, again, restocking started. So what would be the number in terms of the inventory at the beginning of October and at the end of December approximately? This is the first question on replacement side.

Arnab Banerjee: As I mentioned, the inventories have normalized. So if you have picked up 12 to 15 days of inventory in retail, that's the level of inventory roughly at the end of the quarter 3. So the downstocking of September was made up in the month of October itself a nd then we witnessed a good offtake, which was replenished. So there is no further delta that we expect in inventory going forward.

I had mentioned during my initial address that replacement demand has been strong for MHCV, high single digit. And 2 -wheeler has been constantly almost double -digit kind of growth in 2 - wheeler, especially in scooter tires. And passenger had been lukewarm i n the first half but quarter 3 has been also mid - to high single digit for passenger car tires.

Mitul Shah : And do we expect trend to continue at least for 1 or 2 quarter for replacement?

Arnab Banerjee: We have to wait and see. I won't stick my neck out and say that these trends will continue but there will be a net positive impact. I think overall, quarter 4 will be better than first half.

Mitul Shah : Okay. Sir, second question on the CAMSO side. In this quarter, how much would be the gross margin benefit ? Not asking exact absolute number but directionally ? And going forward also, how do you see considering the cross currency impact as well as all other raw material retail parameters , gross margin for Q4 for CAMSO ?

Arnab Banerjee: Gross margin is again moderated because we are in a transition state. So in the transition state, whatever gross margin we had expected, by and large, it is trending, barring one adjustment for steel prices, where we have taken a hit on gross margin and we are aware of that. But this will be again made up by passing on the prices to the customer over quarter 4. So we'll be back to normal kind of gross margins as we expected before the deal closed.

Moderator: The next question is from the line of Vignesh Iyer from Sequent Investments.

Vignesh Iyer: Just one clarification I wanted, I heard you say that there is a one -time expense that we incurred in CAMSO in this quarter, which is not expected to repeat in quarter 4. Sir, can you quantify the amount of spend that we did?

Kumar Subbiah: Okay. See, look, overall for the quarter, it would have been about 4% to 5% of the revenue, was the kind of expenses that we incurred in quarter 3 that we wouldn't incur in quarter 4 onwards.

Moderator: The next question is from the line of Mihir Vora from Equirus Securities.

Mihir Vora: So sir, just some idea on the truck bus radial or the commercial vehicle segment. We mentioned that we grew around mid -single digit in the MHCV category. But going into the segment, how are we seeing the demand sustaining going ahead? And some color on the subsegment or how are we seeing the tonnage shifts happening here? Is it moving towards higher tonnage or still we are there into the haulage segment only? Some color on that as well.

Arnab Banerjee: Are you talking of replacement market?

Mihir Vora: Both OEM and replacement , both, some color.

Arnab Banerjee: Yes. So OEM, it has shifted towards 16 -wheelers as you know , and the demand is concentrated in 16 -wheelers in MHCV. And there's a good demand from LCVs and small commercial vehicles also because of e -commerce and growth in quick -commerce. So that segment is witnessing very strong growth as well, high double digit, in fact, in OEM.

In replacement as well, the tires for small commercial vehicle, light commercial vehicle as well as the full range of MHCV overall is growing at a high single digit and we expect this growth rate to accelerate because the summer season is the big season fo r this. So March to June, this growth should hold at this level, if not more. So we expect this to grow

And MHCV has been very tepid in the first half in OEMs. It has come alive in quarter 3. So it may moderate a little but this cycle should last a few more quarters, maybe 2 to 3 quarters, up to June, definitely is what I think.

Mihir Vora: Right, sir. And sir, basically, on the replacement front also now that because of GST, we may see fleet utilization improving. So are we seeing that traction also on the ground that trucks are

coming in for replacing the tires and going ahead, what do we think there, specifically on the MHCV?

Arnab Banerjee: Yes. In replacement also, we have seen some traction in the demand of tires in quarter 3, which is usually a down quarter because of onset of winter, whereas we have seen traction in Q3 to be better than quarter 2, so which is obviously because of the GST rate reduction. And how much this will sustain, we'll have to wait and see in Q4 and Q1. But as I mentioned, we should have a net positive effect vis -a-vis first half that is before the GST decrease happened.

Moderator: Ladies and gentlemen, as there are no further questions from the participants, I now hand the conference over to management for closing comments.

Arnab Banerjee: Yes. So thank you. Happy New Year once again and this is the last quarter. So we hope to see you at the end of the year with a full year performance review, and we shall share that with you. Thank you very much.

Moderator: Thank you. On behalf of Equirus Securities Private Limited, that concludes this conference. Thank you for joining us , and you may now disconnect your lines.

“CEAT Limited
Q4 and F Y'26 Earnings Conference Call ”
April 29, 202 6

MANAGEMENT : MR. ARNAB BANERJEE – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – CEAT LIMITED
MR. KUMAR SUBBIAH – CHIEF FINANCIAL OFFICER –
CEAT LIMITED

MODERATOR : MR. NITIN AGRAWAL – JM FINANCIAL
INSTITUTIONAL SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the CEAT Q4 and Full Year '26 Earnings Conference Call hosted by JM Financial Institutional Securities Limited. As a reminder, all participant lines will remain in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressi ng star then zero on your touchtone telephone. Please note that this conference is being recorded .

I will now hand the conference over to Mr. Nitin Agrawal from JM Financial Institutional Securities Limited for opening remarks. Thank you, and over to you.

Nitin Agrawal: Thank you, Ryan. Good afternoon, everyone. On behalf of JM Financial, I welcome you all to Q4 and full year '26 results conference call of CEAT Limited. From the management side, we have Mr. Arnab Banerjee, Managing Director and CEO; and Mr. Kumar Subbiah , Chief Financial Officer.

I would now like to hand over the call to Arnab sir, for his opening remarks. Over to you, sir.

Arnab Banerjee: Good afternoon, and welcome to CEAT's quarter 4 earnings call. I'll be taking you through the business updates for this quarter, and then I shall hand it over to Kumar for his remarks on the financial performance, and then we'll have the Q&A.

For the industry, FY '26 was a year of two halves. While the first six months were moving along at a normal pace, and we had double -digit growth in the first half as well, late September proved to be a decisive turning point with GST rate reduction. This meaningfully reduced the effective tax burden across tire categories, improving overall affordability and the sentiment across aftermarket and OEMs.

Coming to Demand Outlook :

Near-term demand would be shaped by multiple variables. While annually, seasonality during summer months augurs well, the broader demand environment remains clouded by the West Asia conflict , and related fuel price expectation. Recently concluded rabi harvest should, however, improve cash flows and sustain rural demand in the near term.

As of now, as we enter FY '27, demand looks good in aftermarket , in OEMs, but there is also an attendant steep raw material price hike, which we can discuss later. Overall demand outlook is expected to moderate out, therefore, but broadly may remain supportive.

In the near term, we expect replacement demand for MHCV to be in high single digit, arising out of increased economic activity, positive seasonality and an aging fleet. For 2 -wheeler, demand has been encouraging with consumption levels surpassing pre -COVID levels. Our passenger tire demand has been somewhat muted in replacement, but may increase in the coming years, post an increase in OE sales in the last year.

In OEM, MHCV is witnessing continued strength, post GST rationalization. Growth has been robust in Q4 in high double digit. Light commercial vehicle growth is also strong. In passenger cars, near -term growth is expected to be healthy single digit and within passenger car, SUV /MPV categories are looking stronger than sedans per se.

In International Business, we are seeing signs of recovery in multiple segments, particularly across CVs in U.S. and Europe. Passenger tire business is also strong, particularly in Europe. However, geopolitical uncertainties remain a key monitorable. Sales to Middle East, obviously, have been severely impacted in quarter 4.

As we are entering a steep inflation zone in quarter 1, we will see progression in demand by the end of quarter 1, moving into quarter 2, but the basic fundamentals otherwise remain strong.

As far as our financial Performance goes :

We had a good quarter 4 where our revenue grew 18.2% Y -o-Y on a standalone basis.

For the full year, we have been maintai

ning that we are looking at an overall double -digit growth.

Happy to share that, on a full year standalone basis, we grew by 15.5%. Also, standalone EBITDA stood at INR587 crore s, significantly crossing the INR500 crore s milestone and also the INR2,000 crore s milestone in a year.

Growth momentum continued in quarter 4 over last year. We had an 18.2% value growth. Replacement grew in mid -teens. OE M also grew around mid -teens, and International Business had a very strong quarter in quarter 4. We have grown in off -highway tire and passenger category tires in Western Europe very well.

In Replacement, 2 -wheeler continues to do well and grew strongly in the mid -20s in quarter 4. Truck, bus and farm also came back strongly in quarter 4, where growth rate was in low teens. Replacement PC UV grew in mid -single digit in quarter 4. But on a full year basis, the growth was slightly better.

In OEMs, we had a healthy growth. Passenger car segment saw very high growth, where we had a lower base as well, and very strong double -digit growth with significant share in premium vehicles. In 2 -wheeler, we maintained our strong single -digit growth even in this year. Farm growth in OEM continued to show resilience , again, strong double -digit growth here. Truck bus saw low double -digit growth in quarter 4.

International Business came back very strongly , across segments. Passenger car tires in Western Europe, U.S., across the markets, very strong growth. 2, 3 -wheelers, again, we ventured into new markets , and the base is small. So growth looks very impressive. Farm was also pretty good in quarter 4. So overall, I think across farm, 2, 3 -wheeler and passenger, the growth was very, very strong. In truck & bus radial also, we had a decent growth, but not as strong as the other three segments.

Share of Business :

During quarter 4, on a full year basis in Replacement market, our share of business was positive across categories. In PC UV about 0.5% up; in motorcycle, about 1% up; in scooter, it was flattish over quarter -on-quarter; in truck bus radial also about 0.5% up in replacement.

In OEMs, in quarter 4, we grew in scooter in terms of share. And we were slightly down in passenger car segment, less than about 1% down , and about 1% down in motorcycle, but these are minor adjustments in terms of models and production ramp -up and the fitments that we have in those models. In truck bus radial also, it was slightly down for the same reason.

Quarter 4 Margins :

Gross margins were almost similar to quarter 3, about 19 basis points down Q -o-Q. Our raw material prices in Q4 was slightly higher than Q3, but in Q1, it will shoot up to 15% plus. By end of Q1, we may reach closer to 20%. So this is a steep increase over a span of 3 months. And the outlook is that we can manage only a small portion of it through cost optimization.

So, price increase is an imperative. In OEM, the price increase comes with a lag. So 1st July will get a big increase. We have got a small single -digit increase in quarter 1. In replacement, we have already taken , between March and April , and by April end, we will be about 5% up. We need to take another at least 5% price hike through the month of May and June, which we are planning. In international business, we have been taking up prices in stages, adding up to close to 10%, but there is an order base which we have, which is at least about 30 days. So the pass-through in terms of execution and realization will take some time.

In quarter 4, our EBITDA margin stood at 14.6% , and 13.4% for the full year, and we have been pretty much consistent through quarter 2, quarter 3 and quarter 4 as we always try to be. Our

standalone net profit in Q4 was INR283 crores and INR812 crores for the full year.
As far as CAMSO is concerned :
The operations are continuing smoothly. The production

was affected due to non -availability of
fuel locally for some time in Sri Lanka. And overall revenues for CAMSO was similar to quarter 3, down about 5% from quarter 3. As you are aware, the CAMSO business is in transition and will continue to be in transition for at least 4 more quarters. At the outset, we had said 4 to 6 quarters, so 2 quarters have gone.
By end of FY '27, the entire value chain may be under our control. By end of first half, the sales side, which is the customer interface should be in our control. However, the purchase side, where we are buying compounds, it will come to our hands only when we erect the upstream equipment of calender and mixture, which is expected to happen by end of quarter 4. So that's how it is in CAMSO .
As far as the other trends are concerned :
Electrification, International Business, Premiumization and Digital, I shall brief you shortly on that.

Electrificat ion: We continue to focus on market shares in OEM on electric vehicles. In passenger, we are sitting at about 29% share. And in 2 -wheeler, it's about 18%. And we are participating in almost all the new launches that is coming up in 4 -wheeler and 2 -wheeler in th e domestic market.
International Business: In international markets, our saliency has improved from 19% to 20.4% in quarter 4, which is on a standalone basis. And along with CAMSO , it has gone in excess of 23%. And this is an important metric for us as I have mentioned that this is a margin attractive business for us.
About 130 -plus new off -highway SKUs were launched, which gives robustness to our product portfolio. We have set up overseas entities and branches in Germany, U.K., France and Poland to build a more permanent localized presence in these and adjacent market .
In the non -specialty business, we have clocked high growth in the 20s in quarter 4, on Y -o-Y basis… in the high 20s. This was despite the fact that substantial headwinds this year we faced from U.S. tariffs initially, and the recent geopolitical unrest in the Middle East.
Premiumization : We have been continuously focusing on 17 -inch plus sales of passenger vehicle. The saliency and market share in that segment has significantly improved in Q4 over Q3. Our sales in the 2 -wheeler premium segment, which is 250cc plus vehicles have been also increasing consistently , and Q4 reached a new high in terms of these premium sales as well. In truck bus radial also, we have started premiumizing, which we have launched a couple of absolutely top -of-the-line premium products, which gives a lower TCO to our customers.
Digital and AI : our digital transformation continued to advance in Q4. Building our AI capabilities, our focus is on democratizing the AI capability across the enterprise and driving value at scale. We want to make it accessible and practical and embedding it into day -to-day workflows and decision -making.
To enable this shift, we are strengthening our data and capability foundation. Q4 included a kickoff of our centralized enterprise data lake, bringing core data onto a single governed platform alongside the initiation of our transition to SAP RISE to unlo ck advanced ana lytics and AI -led efficiencies.
We are also instituting a data governance council for responsible and compliant use of AI and setting up an AI lab s as a Center of Excellence to anchor innovation and upskill our workforce. Together, these initiatives will support a structured and scalable approach to AI adoption across the organization.
U.S. Tariffs:
U.S. tariffs on on-road tires, which is PC/UV and truck bus radial, our tariffs continue to stay at 25% incremental, plus the original tariff of around 4%. In OHT, it has been reduced from 50% now to 10%. And as we know, there's a court order in terms of refunding this tariff. So we are following up to see what happ ens in OHT. No such refunds, et

c., are applicable to on -road tires
because that was Section 232 tariffs, which are not reciprocal tariffs.

Capex :
Our capacity utilization is on the higher side right now in 85% to 90% range across the categories. Looking at the current situation in quarter 1, we are going with absolutely mandatory capex , about maybe INR200 crores to INR250 crores. For our growth capex plus our normal capex , we need about INR1,300 crores to INR1,400 crores capex during the year. We'll calibrate our approach as we go along quarter -to-quarter.
Sustainability :
We have received SBTi validation for company -wide emission reduction aligned with science - based net zero targets, focusing on energy efficiency, clean energy adoption, responsible resource use and continuous performance monitoring.
During Q4, our Halol plant was formally awarded SA8000 certification, which is concerned about social accountability. Gradually, we'll cover the other plants also with this certification.
We achieved S&P Global ESG score of 69/100 in 2025 Corporate Sustainability Assessment, which places us in the top 4% of companies in ATX auto component industry globally.
Overall, FY '26 proved to be a robust growth year and a good year for profitability as well. As we enter FY '27, while input cost inflation presents a near -term headwind, structural demand drivers remain in place, providing the resilience and momentum need ed to navigate this phase and sustain future growth.
With this, I would like to hand over now to Kumar for his remarks.
Kumar Subbiah: Thank you, Arnab. Good afternoon, ladies and gentlemen. Thank you all for joining our quarter 4 FY '26 earnings call. I'll share some further financial data points with you all, post which we can enter the Q&A session.
Coming to Overall Financial Performance :
We ended the year and quarter with some key milestones relating to revenue. Considering our consolidated numbers for the current year include our acquisition of CAMSO business during the course of the year , I would like to call out our standalone financial numbers in parallel so that the comparison of our performance versus last year come out more clearly to you all.
Our consolidated revenue for the quarter stood at INR4,219 crores and standalone revenue stood at INR4,036 crores. Our standalone revenue grew by 18% year -on-year basis. We would like to inform you that our standalone revenue crossed an important milestone of INR4,000 crores in the quarter for the first time in the preceding quarter.
Our full year consolidated revenue stood at INR15,678 crores and the standalone revenue for the year stood at INR15,215 crores , and the standalone growth was about 15.5% on a full year basis. Here again, our standalone revenue crossed an important annual milestone of crossing INR15,000 crores for the first time during the year.

It is important for everyone to note that our revenue grew in double digits in all the 4 quarters of the year. The growth in the second half of the year was higher than the first half of the year, as Arnab mentioned, largely benefiting from the drop in GS T rates for vehicle manufacturers, particularly 2 -wheelers, and lower in passenger costs and also reduction in GST rates on tires from 28% to 18% for most of the tire categories and except in case of foam tires where the rate reduction was from 18% to 5%.
The growth was driven by a combination of both volume and price. During FY '26, the replacement business delivered a strong double -digit growth, while the international business came back strongly in the second half of the year, delivering high teens over the last year, and OEM registered a 20% plus kind of a growth, laying a healthy foundation for the future replacement demand.
Coming to Margin s:
Our standalone gross margin for qu

arter 4 stood at 39.7%, a marginal contraction of about 19 basis points sequentially. While raw material prices went up towards the end of the year, the raw material cost for the quarter more or less remained in line with the previous q uarter and also as shared by us with you in the last quarter in terms of our own forecast.
Coming to EBITDA margins , our consolidated EBITDA for quarter 4 stood at INR598 crores, translating to about 14.2% in margin percentage terms , and our standalone EBITDA stood at INR587 crores. It's a 51 basis points expansion sequentially and expansion of 299 basis points on a year -on-year basis.
For the full year, our consolidated EBITDA stood at INR2,063 crores, translating to 13.2% margin. Our standalone EBITDA stood at INR2,042 crores, which is a 214 basis points improvement versus FY '25. This marks a significant movement for us as our continued efforts and prudence propelled us past the INR2,000 crore s EBITDA milestone for the first time.
Coming to Raw Materials :

Arnab had already shared the details at a very high level. During the beginning of the quarter 4, the crude prices were hovering around $65. However, it surged past $100 per barrel mark by the beginning of March , and continue to operate at these elevated levels. As we speak, the crude is currently hovering around $107. Unlike previous quarters where volatility was driven by sentiment, we are now navigating a scenario of actual and physical disruption.
With regard to natural rubber, while the international prices remain subdued at around $1,700 in the previous quarter, however, in the current quarter, it started with $1,800 level and gradually now hovering around $2,050 to $2,100 per ton. With the linka ge to import parity in the domestic prices of natural rubber and also on account of depreciation of rupee, the natural rubber prices in India has gone up from INR190 per kg level in the beginning of quarter 4 to around INR245 per kg as we speak now.

Rupee has remained volatile and further depreciation in quarter 4 from around INR90 to INR91 to $1 to around INR94 to $1 now , would also have additional impact on our costs going into quarter 1.
During quarter 4, our raw materials were broadly in line with quarter 3, as I had mentioned earlier. We benefited from lower cost inventory during quarter 4. The full impact of the recent increase in raw material costs will materialize in quarter 1 of the current financial year, which we would try to manage through a combination of price increase and cost management in the first half of the year.
While we remain vigilant in our procurement strategies, the combination of new geopolitical risk premiums and physical supply constraints requires, thus, more rigorous monitoring of all of these developments on a day -to-day basis.
Coming to Capex , Working Capital and Debt:
As Arnab mentioned, our planned capacity utilization levels are high at 90% plus level. We stepped up our capex in quarter 4 to INR407 crores for the quarter, higher than around INR200 crores to INR250 crores of flow in the previous quarters. Overall, our capex was about INR1,076 crores in FY '26. The capex was higher in quarter 4, was to ensure that our capacity additions happened in line with our demand in the current year as our utilization levels are high. In addition, we also had an outlay of about INR236 crores in quarter 2 towards acquisition of intangibles with respect to CAMSO .
On a standalone basis, the working capital increased by about INR108 crores as compared to quarter 3. On a full year basis, the operating working capital moved from minus INR31 crores in the beginning of the year to plus INR108 crores, an increase of INR139 crores. This is mainly on account of accumulation of some GST credit balances in 2 of our states to the tune of about INR120 crores , plus an increase in receivables on ex

ports due to longer cycle time involved in
exports and increase in dues from some state governments with respect to incentives. We are taking necessary steps to ensure that we get back to negative working capital zone soon.
Our consolidated debt stood at INR3,011 crores and standalone debt stood at INR2,961 crores, very similar to the level that we were in as of the end of quarter 3. Our debt to EBITDA on a consolidated basis stands at a comfortable level of 1.46 , down from about 1.58 as of quarter 3, and debt to equity is about 0.6 0.
Our balance sheet is strong enough to provide and continue to provide growth capital to the business.
Coming to Operational Expenses :
Our standalone employee cost declined marginally in quarter 4 compared to previous quarter and consolidated increased by about INR18 crores, largely attributable to additional manpower hiring that happened at CAMSO .

During quarter 4, other expenses as a percentage came down from 19.6% to 18.5%, translating to margin expansion on our profits. The drop was also on an absolute basis has decreased by about INR34 crores sequentially due to lower outsourcing and other operating expenses. Overall, we kept tight control on costs, which helped maintain our margin profile during quarter 4 despite inflationary scenario.
Depreciation and Interest :
Depreciation at consolidated level for the quarter remained at similar levels as that of the previous quarter. Consolidated and standalone interest came down by about INR20 crores,

largely on account of lower interest on security deposit and also on account of average debt level
being lower in quarter 4.
Overall Profitability :
Overall consolidated profit for the quarter stood at INR243.8 crores, which compares favorably with INR98.7 crores during the same quarter of last year, and INR155.4 crores in the previous quarter. Our standalone profit for the quarter stood at INR283.6 crores, again compares favorably with INR100.4 crores that we reported during the same period of previous year and INR191.6 crores in quarter 3.
Our quarter 4 profit after tax included amount of , after adjusting an amount of INR10 crores of exceptional item towards voluntary retirement scheme option provided to our emp loyees in one of our factories.
Overall, the company reported a profit after tax on a full year basis INR812.72 crores on a standalone basis and INR697.24 crores on a consolidated basis, translating to an EPS of INR201.17 per share on a standalone basis and INR172.78 on a consolidated basis, respectively.
We're also pleased to inform you that our Board of Directors, in the meeting yesterday, recommended a dividend of 350% for the financial year 2025 to '26, which translates to INR35 per share. The dividend will be paid post obtaining the formal approval of shareholders.
Thank you once again all. With that, we can now open the floor for Q&A.
Moderator: Thank you. Ladies and gentlemen , we will now begin the question and answer session. We take the first question from the line of Siddhartha Bera from Nomura.
Siddhartha Bera: Sir, first question is on the commodity side. So you mentioned 15% RM cost increase in the first quarter. Possible to highlight, I mean, does that fully reflect the current RM, which you said about rubber being at 250 and crude being at 110 , or what level does it represent? And if we look at the current commodity prices, how much more increase do you think can happen on the cost side for our basket maybe in the next 1 or 2 quarters?
Kumar Subbiah: Okay. Now first of all, I would like to clarify the situation is dynamic. Just now we mentioned crude is $107. If we have had this call a week back, we would have also said crude is $95 or $94. So therefore, it's a dynamic situation. Considering we buy ra w materials or cover ourselves

on an average over a period of next 3 months, including imports, our visibility with respect to our current quarter is generally … is reasonable.
So based on inventory that we are carrying and including both raw materials and finished goods, plus the raw materials that we have ordered, we feel that raw material cost increase in quarter 1 could be to the tune of 15%. But if we were to take a replacement cost of raw materials today, the number cou ld be a little higher than 15%.
But I think we should wait and watch beyond quarter 1 in terms of what impact we could have. So it entirely depends on how things unfold during the balance part of the current quarter for us to get a visibility of quarter 2.
Siddhartha Bera: Understood, sir. And on the price increase, if you can also talk about till now, what has been the cumulative price increase, maybe till June, you look to take? I mean, you talked about 5% or mid-single digit till April and another 5% by June. So does tha t mean in quarter 1, we can potentially take, till the end, about a 10% price increase or you think it will be more staggered and visible over the next 2 quarters?
Arnab Banerjee: So, we need to take overall 10% vis -a-vis March, in replacement. Out of that, about 5% can be considered as taken already between March and April. That leaves the balance of 5%, which will be staggered through May and June. It won't be one shot. I t is also dependent on how the competitive situation plays out, how the demand plays out. So we need to take another 5%, and we intend to take another 5%, so that's what is being said, in a staggered manner through May and June.
In OEM, it is indexed. So we have got one index price hike, which is a low single -digit kind of price hike. This is the index on 1st of April. On 1st of July, we will get a heavier price hike, hopefully, based on the index. So there will be a lag.
And in international business, again, we are trying to cover up the entire 5% in terms of announcements, but the pass -through and execution and realization will take 30 to 45 days because of the order base that we keep holding. So, it will not again be a single. I think we have already taken 3% to 5% in international. Another 5% announcement is being made in maybe 1 or 2 weeks' time. So , it will gradually pass through over the … until the end of quarter 1, hopefully, to the extent of around 8%. We'll have to see what is the order base and what is the pass-through. So that the plan.
Siddhartha Bera: Understood, sir. Sir, second question is on CAMSO . I mean we have seen probably some of the execution getting stretched out. If you can give us some color in terms of the revenue ramp -up.

I mean we earlier expected maybe second half, we do see a stronger pickup as we would have been o perating now for around a year.
So when should we expect some of that revenue ramp -up to happen? And maybe in FY '28, what are the production levels you are targeting for CAMSO ? And similarly, on margins, do you expect a double -digit sort of margin target achievable by the second half or FY '27 or that may also take longer?

Arnab Banerjee: Yes. So the CAMSO business is with us right now in transition phase. So let me just refresh what is the transition phase. In transition phase, we sell the goods to Mic helin and not to our customers. And Michelin sales team is selling it to the customer. So about 25% to 30% margin of the overall value chain is sitting there. Then, at the back end, we are not buying the raw materials, we are buying compounds from Michelin because the plant, as we acquir ed, didn't have the upstream equipment of mixer and calendar . This will take … I'm first talking about the back end… this will take at least 6 quarters, 4 to 6, we have been saying, so which means we took over the business in September '25. We will be able to complete this job by Ma

rch '27. So
that is roughly about 6 quarters. And the front room, the activity will accelerate faster. We are planning to take over the customer interface to the extent of about 90% by September '26, which is by the end of quarter 2.
Now what we can look forward to, therefore, once we take over the customer interface, the entire sales and marketing setup will be in our hand. We are almost done with setting up the field force. Some more rec ruitments are still being made. So that is the time when we can look at interacting with our customers in aftermarket and OEM , and taking up the turnover. The volume increase and the value increase can only happen, therefore, in the second half and not prior to that when Michelin is handling the customer.
Within aftermarket and OEM, we expect to stabilize and grow in aftermarket faster. In OEM, as you can understand, we'll have to do the new product development, get on to the new vehicles from the OEM. So it will be slightly later, maybe in FY '28, the gro wth of OEMs will start coming. But aftermarket should start happening in the second half of this financial year. That is as far as growth goes.
The fixed costs are more or less fixed. When we talk of margins, we have started activating the marketing campaigns, we have started setting up the network, which is warehousing and local field people in Europe and in the U.S. We have also started recruiting, as I said, the sales guys, we have started recruiting the R&D guys also. So all these costs, we will start incurring even now when sales is not going up so that we are completely prepared in the second half to take sales up.
And finally, at the end of this year, in FY '2 7, when the equipment are also established in the factory, we'll gain that part of the value chain also. So , the turnover will start increasing in second half of this year. Margin will start getting impacted by FY '28.
Moderator: We take the next question from the line of Raghunandhan from Nuvama Institutional Equities.
Raghunandhan : thank you for th e opportunity. Few clarifications. Firstly, for Q4 FY '26 standalone , sir, can you please share the volume growth Y -o-Y and also the growth for OEM, replacement and exports?
Arnab Banerjee: Volume growth Y -o-Y is close to 20% overall, right, quarter 4 to quarter 4. And the growth across the segments have been pretty much uniform, a little higher in international business, in mid-20s, and it is about mid -teens to 20s for replacement and OEM.
Raghunandhan: Got it, sir. And second on CAMSO , would the U.S. tariffs now be at that same rate of 10%, or would there be a different tariff?

Arnab Banerjee: No, it will be … the tariff will be at 10% and the metals part of tracks, which is a little metal clip that goes on the undersurface of the track, that will be tariffed at 25%.
Raghunandhan: Okay, sir. But the tracks would be what percentage of revenue, sir for CAMSO within U.S.?
Arnab Banerjee: Tracks is roughly 50%.
Raghunandhan: Noted, sir. Got it. And in terms of export markets, how much would be our Middle East exposure? Would you expect that to be an overhang for growth in FY '27? Or would you expect double -digit growth to continue for '27?
Arnab Banerjee: Yes. So Middle East is about 15 -odd percent for us. So that will be a little uncertain. It was practically 0 in quarter 4. And then towards the end of quarter 4, it's also … it may not be 0, but it won't be 15%. But as I mentioned, our international business basket is widely diversified

towards Southeast Asi a, Europe, U.S. and also LatAm. And if you look at the global potential, we are a very small player in that perspective. So we have tremendous potential for growth. If we had Middle East, the growth would have been higher. But I think we'll be able to make up Middle East like we did in quarter 4. Quarter 1 outlook order base -wise loo

ks good after completely discounting Middle East. So whatever comes from Middle East w ill be a bonus.

Raghunandhan: Noted, sir. That's good to hear. And for FY '27, what would be the total consol capex expected, sir?

Kumar Subbiah: Okay. So , India overall, I'm excluding CAMSO , our capex would be about 25% more than what we had incurred last year, which is about INR1,076 crores was our last year. So it should be in the range of INR1,350 crores to INR1,400 crores for India.

We would be frugal and careful in quarter 1, considering current situation, and we'll scale up as we go by, once things normalize. But this is a kind of a number that we have in mind so that we are able to create capacities to meet our demand.

And as far as CAMSO operations are concerned, I think we have shared it in the past. And just now Arnab also , in response to another question, spoke about creating an upstream facility to be ready by March next year. We had estimated that capex to be around $30 million approximately. And out of that, maybe three-fourths of that we would be spending in the current year in terms of cash flow , in that range. So that will be in addition to this number. And the number relating to upstream was part of our capex estimate in the business case itself.

Raghunandhan: Noted, sir. This is very helpful. Just a last question . How are you seeing the competition scenario in terms of price increases, given that industry is going through tough times? Are you seeing players across categories taking price increases or is there any worries that there could be delays in the price hikes?

Arnab Banerjee: So the market is competitive. It's difficult to predict. However, so far, what I have observed is that price increases are coming through , much delayed by some competitors, but at different categories at different dates, some price increases have definitely come through in the month of March & April.

Moderator: We take the next question from the line of Mumuksh Mandlesha , from Anand Rathi Institutional Equities. Please go ahead.

Mumuksh Mandlesha: Sir, generally replacement market, we have seen, past grew in the single digit to high single digit. In Q3, we had the postponement demand from Q3. But in Q4 also we sustained very strong demand. Is it partly, sir, due to some reason like because there was price hike expected in Q1, so there was some preponement of demand or generally, you saw better demand due to GST?

Arnab Banerjee: No, that, I can answer categorically, there was no impact of expected price hike in quarter 1 on the quarter 4 sales. And even March -end price hike was not like 5%. It has been staggered through the month of March and April . The entire 5% that I talked about. So , it is the GST decrease -led momentum that has carried forwa rd from quarter 3 to quarter 4. Also, this is true because it is across category , and it is across markets. So it's a secular demand increase and not something which is particularly fixed on a certain geography market combination. So it is because of that momentum.

Mumuksh Mandlesha: Got it, sir. And sir, now in the Q1 , in the April month, with the war environment and with kind of price hikes happening, I mean did you see any change in the pattern? Is it become more softer now, sir?

Arnab Banerjee: So quarter 1 usually is a good quarter in terms of consumption of tires, especially in the commercial segment. And then by end of quarter 1, with the onset of monsoons, the passenger segments also pick up. So generally, it is a good quarter demand -wise. S o the momentum of Q3, Q4 continues into quarter 1 exactly like it was. So that's number one.

However, because of the steep price increase of raw material, we have been able to pass on only half of that, right? Even that, a little bit of it is happening in the last week of April. So the full impact of price incr

ease has not yet been experienced by the market. As it experiences 5% to 10% price hike through quarter 1, we expect some moderation of demand.

Mumuksh Mandlesha: Got it. So great to hear that demand continues the same. Sir, just on the CAMSO side, because with the lower duty, in the end market, are you seeing a better demand trend? And also, just want to understand how this raw material inflation impacts the CAMSO margin, sir, how that pass-through would happen? And anything on the freight cost increase there also?

Arnab Banerjee: So freight cost increase is 2 to 3x in several markets. Normally, that is recovered through a freight surcharge, which we are doing across categories. The lower demand … the lower taxes resulting in higher demand in U.S. market is not very much evident to us because we are not handling the customers directly, as I mentioned. So once we start handling the customer interface directly, I think we'll be able to leverage such c hanges much better. So right now, it 's not very much apparent.

Mumuksh Mandlesha: And just on this RM inflation for CAMSO , how would the margins be passed through ?

Arnab Banerjee: So that happens more like the OEM sales. There is a periodic assessment index -wise -- material index -wise, and that is how the pricing is adjusted between us and Michelin. On both sides,

because we buy compound from them, we also sell them the finished goods. So on both sides, adjustments happen.

Moderator: We take the next question from the line of Rishi Vora from Kotak Securities.

Rishi Vora: Just a follow -up on the pricing scenario in the industry , and particularly just talking about the leader, MRF . At least so far, what I have picked up is they have taken select price hikes in LCV and maybe farm segment, but nothing much have been taken in 2-wheeler, PCR and CV segment. So, is that understanding correct? And let's say, if in next quarter, let's say, next couple of months also, if they don't take price increase, will it be easier for us or we'll also rethink our strategy on pricing because at least on the 2 -wheeler side, they are the… let's say, 2 -wheeler and CVs, they are like top player, right? So what's our thought on this?

Arnab Banerjee: So a couple of corrections. MRF has taken price increase in all the segments to the best of our knowledge, including 2 -wheeler and passenger. They took it in a staggered manner, but it has come through.

Rishi Vora: Okay. Understood. And what would be the quantum of that?

Moderator: Ladies and gentlemen, we have lost the line of the management. Please stay connected while I reconnect the management. Ladies and gentlemen, thank you for your patience, we have the management line reconnected. Rishi, if you could please repeat your questi on?

Rishi Vora: Sure. Just on the MRF question, sir, do you by any chance, do you have an idea of what quantum of price increases they have taken so far?

Arnab Banerjee: About I think, 3% , 3.5% they have taken, roughly. I don't recall category -wise, but that's a good estimate.

Rishi Vora: Understood. Secondly, let's say, just thinking about demand from, let's say, beyond first half, if we take a 10% ... if you're able to take a 10% price increase and especially in the CV segment, which is relatively more price sensitive, now how sh ould we think about demand?
Because second half, the base will also become pretty high for us, given that, for second half of FY '26, we have seen a very strong healthy double -digit growth, is there a risk that the industry itself may decline in second half, given 10% or whatever qua ntum of price increase plus the base itself , on the replacement side?

Arnab Banerjee: So, on the replacement side, the reduction of GST is a tailwind definitely towards …in all categories , number one. Number two, the vehicle park is increasing significantly because of higher

sales of old vehicles, right? And in the truck bus segment, as you would appreciate, the replacement , the life cycle of the tire is much shorter unlike the passenger segment.
So if the overall goods movement, which is again dependent on the GDP growth, if overall goods segment is not impacted too much, if there is … the fuel prices … price hike is moderate, so there are many things that are involved, right?

So if the trucks are plying, if the rates are holding, the remuneration rate for the truckers, they will replace tires. So we expect moderation in demand, but it's not like … we don't expect a degrowth in truck bus radial tire even after a 10% price hike. But definitely, it will slow down.

Rishi Vora: But, sir, what explains such a strong growth in second half, right? If GST is the trigger where there is a 10% reduction in prices and effectively now we'll be reversing the GST cut, right, with the price hike, so shouldn't there be some normalization ove r there? Because if GST … and obviously, the normal replacement cycle, then the ideal … let's say, the norm alized growth has to be 6%, 7%. And what we have witnessed at least over the last couple of months is 15% to 20% growth. So what explains this? And if the price increases do happen, then, shouldn't kind of demand normalize back to the 5%, 6% levels?

Arnab Banerjee: You're right. So I think you were talking of the OEM demand, if I understand you correctly. Yes, that would definitely come down to single digit, the fresh truck sales. I was more talking of the truck bus tire sales. So the vehicle… so I won't repeat my answer , but I think you understand.

Rishi Vora: Sorry, sir, I was talking o nly about replacement, not OEMs .
Arnab Banerjee: Yes. Okay. So replacement demand will be in single digit in truck bus radial. So there will be a moderation, single digits, it may fall to low single digit also, which we are used to in truck bus radial if the 10% price hike is not adjusted in the market. But it all depends on how fuel prices behave, how the overall GDP sentiment moves. If there is a demand for movement of trucks, tires will need replacement. And tires will be replaced, the demand will come down, but it won't turn into negat ive territory. That's what I was trying to say.
Rishi Vora: Understood. And sir, any comments on how the growth should look for PCR and 2 -wheeler replacement, like in the second half and beyond?
Arnab Banerjee: Yes. So PCR, as you are aware, was not great even in last year. The market grew by hardly 1% to 2% in replacement . Right? But again, vehicle park is coming in, but here, the replacement cycles are long. So we expect a gradual improvement in PCR, not like PCR going to 10% or 15%. Maybe from 1% to 2%, it can go to 3% to 4% . Or 5% at best.
In 2-wheeler, we have had good growth, especially in the scooter segment, scooterization, the EV, and it's supported by growth in both urban and rural markets. So , some moderation could happen because of price increase, but it should stay as per our expectation in single digit to high single -digit kind of growth across this year as well. That's the expectation in replacement.
Rishi Vora: Understood. And just last thing on finance cost and other income, right? Finance cost, how should we think about going into FY '27 with … like if the INR3,000 crore s debt and 8%, 9% is the interest cost … 7%, 8%, how we should think about the annualized finance cost and what drove the sharp increase in other income this quarter?
Kumar Subbiah: Okay. Two things with respect to finance cost. See, generally, the finance cost includes interest on our debt as well as some security deposits that we have of our dealers and distributors. That interest is also part of our finance cost in addition to som e banking -related expenses.

Our debt level

more or less remained around INR3,000 crores for the last 3 quarters. September, we were close to about … a little over INR2,900 crores. December also similar levels and March also. I'm talking about standalone . Consolidated also not very different from that standpoint. So that is one of the reasons.
So going into the next year, of course, you have to generate enough cash to sustain debt level if we have to manage our capex program as we have just outlined. And we'll continue to be responsible with respect to leverage ratios in terms of , you know, while looking at our capex decisions and also debt level. In the normal course, we could have afforded a INR1,400 crores kind of capex for Indian operations without too much of impact on debt, maybe another INR200 crores, INR300 crores, but at much higher absolute EBITDA level, much higher revenue level is what we would have done in the normal course.
Considering that quarter 1 looks a little challenging with respect to cash that we will be generating and the margins standpoint, we will try to keep our debt levels, at least in the current quarter, similar to the level at which we ended in the previous 3 quarters.
So the absolute amount of interest remains same. And we'll step up our capex . And if that means debt level has to, a little bit, go up, we will do so in a normal margin scenario, which we hope will start from quarter 2 onwards. So therefore, you can assume, in your model, current level of debt for one more quarter, slightly higher level of debt in the subsequent quarters for the purpose of finance cost assumptions.
And with respect to other income, I think it has some component, a little bit of royalty income on CAMSO part of the operations, which is a small amount , is there. And some amount is also there with respect to hedging -related income, as we had hedged all our exposures with respect to raw materials and other revenue -related expenses. Considering the currency depreciated, there was some kind of hedging income, which is also classified as other income. I wouldn't say INR62.5 crores of other income we have reported on a standalone basis is a sustainable number. I think what we had reported in the previous quarter average would be the correct representation of our other income. And last quarter had more to do with the fact that we had currency -related gains, which is taken as other income.
Moderator: We take the next question from the line of Vijay Pandey from Axis Capital.
Vijay Pandey : Sir, a couple of questions. First, I wanted to check about the inventory days. So . the consolidated has slightly gone up. So if you can just highlight what is driving that? The working capital cycle and the inventory days?
Kumar Subbiah: You want a response on consolidated or standalone ?
Vijay Pandey : Both standalone , consolidated . Consolidated has gone up, that is what I see. Standalone is broadly flat.
Kumar Subbiah: Yes. Standalone is flat. Generally, our inventory level is the lowest on the 31st of March, in

general. And normally, March is our best month. And therefore, from our standpoint, we generally end, the finished goods point of view, inventory at the lowest level, and we have been

maintaining at around about 24 to 27 days kind of a range is our finished goods inventory in general as far as Indian operations are concerned. And consolidated, we had a little higher amount of inventory at CAMSO . As we are taking over operations directly, we have to produce and keep the inventory with this for the purpose of servicing the other geographies. But the impact is not much. I think it's about 1,000 -- in CAMSO -- Raw material inventory was higher as of 31st March. It was higher , a little over INR200 crores, and it was done. The war was breaking out in the month of March. Okay, f rom supply security point of view, we decided that we will keep s

ome extra physical inventory to make sure all our factories run on all the days.

And we were also anticipating some increase in raw material costs or availability of raw material , and therefore, we decided to keep inventory in physical form with this and therefore, about INR200 crores kind of raw material inventory increase that we saw as of 31st March over 31st of December.

Generally, our inventory of raw material is also very similar, anywhere between 24 and 26 days in physical form, including all of that, including our work in progress in factories and things like that. And maybe 3, 4 days extra inventory was there as of 31 st March more as a supply security.

Vijay Pandey : Okay. Sir, our CAMSO business, I understand that we will see margin expansion probably from FY '28, majority of it. But what is your expectation for FY '27 because we'll also have a higher commodity increase. So if you can just help us understand the expectation on the CAMSO business?

Kumar Subbiah: See, I think when we took over the business, we did share about the potential of that particular business, and at our operating level of margins the seller was operating. And we thought we would get some benefit in terms of being part of us, closer to our part of the world, there will be some synergies and things like that.

I think in the beginning of the conversation and also to a question, Arnab shared in terms of what we are doing is that full /entire value chain is not with us today. And we expect that entire value chain to be with us in the form of entire control over manufacturing as well as in terms of ability to service the customers from our own warehouses over a 12 -month period of the current financial year. By end of the financial year, I think one part, customers would have .. would be serviced by us directly. By beginning of next financial year, we would be most likely producing all the products in our own factory, including upstream -related. That's where we see in terms of our plan.

And during the interim period, it is proposed to have the infrastructure ready, people ready and different locations, warehousing to do a local servicing, people to take care of sales. And therefore, this could be ca lled as a transitionary period. And therefore, during this period, we would like to have that flexibility and freedom to operate as it is necessary for the purpose of business. We'll still stick to the underlying margins based on which we acquired the business. So during the interim period, there could be a little bit of fluctuation. As we go into the current year, we'll keep updating in terms of our own view. As of now, I think , I don't think there's any change over what we have already communicated.

Vijay Pandey : And, sir, on the capex side, so the INR1,300 crores to INR1,400 crores is for standalone , and additional, we expect around INR50 crores to INR100 crores on the CAMSO upstream business, right? This is entirely coming in '27 or part of it will go on till '28?

Kumar Subbiah: Okay. No, we have kept aside $30 million for CAMSO for the purpose of upstream, particularly mixers, calenders. I think it won't be INR100 crores , it will be higher than INR100 crores. Our estimate is maybe about $25 million could be an outflow . $20 million to $25 million as far as CAMSO goes. From our standpoint, I think we shared with you INR1,350 crores to INR1,400 crores as our requirement for the current year to ensure that we have adequate capacities to meet the demand. In quarter 1, we'll be a little careful. And subsequent quarters, if things normalize, that is the kind of capex that we would like to incur during the course of the year.

Moderator: As there are no further questions from the participants, I now hand the conference over to the management for their closing remarks.

Arnab Banerjee: Thank you very much for your interest i

n CEAT, and we have come off one very good year, and
we are entering a turbulent quarter. So we'll do our best and see you on the other side of Q1.
Thank you.
Moderator: Thank you. On behalf of JM Financial Institutional Securities Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.